

Sona BLW Precis. (SONACOMS)

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SONA BLW Precision Forgings Ltd. (Sona Comstar)

Q1 FY23 Earnings Conference Call Transcript

July 28, 2022

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator: Ladies and gentlemen, Good day, and welcome to Sona Comstar 's Q1 FY23 Earnings Call. Please note, all participant lines are in the listen-only mode for as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you to mute your line except when you are asking a question.

Slide 2:

Going on slide number two. Some of the statements by the management team in today's conference call may be forward-looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer-related question or confirm or deny any customer names or relationship due to the confidentiality reasons. Please refrain from naming any customer in your questions.

Now I will hand over the floor to Mr. Kapil Singh. He is the head of consumer and digital commerce research, India and lead auto analyst at Nomura.

Kapil, please go ahead. Thank you.

Kapil Singh : Slide 3:

Good day everyone. To take us through the Q1 FY23 results and answer your questions with us, we are pleased to welcome the management team from Sona Comstar. We have with us Mr. Vivek Vikram Singh, MD and Group CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Sat Mohan Gupta, CEO of the Motor Business; Mr. Vikram Verma, CEO of the Driveline Business; Mr. Rohit Nanda, Group CFO and Mr. Amit Mishra, Head of Investor Relations. I will now hand over the call to Vivek for his opening remarks and the presentation. Over to you, Vivek.

Vivek Vikram Singh: Thank you, Kapil and welcome everyone to the earnings call of the first quarter of financial year 2023, where we have achieved our highest quarterly revenue numbers ever, so far.

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We believe that when talking to our shareholders, bad news should take the elevator while good news can take the stairs, so we will begin with the negatives. In the last call I had said that we expect margin pressure to continue in the near term, and so it has. We had another steep steel price increase in April and also faced cost issues due to power outages. On the demand side, two of our major markets, Europe and Asia, were severely impacted due to the Russia-Ukraine war and the Covid lockdowns, respectively. Because of all these issues, despite strong revenue growth, our EBITDA margin has been pushed to what is its lowest level in the last six years, barring the two Covid quarters. And this is all after cost pass-throughs

to customers, as Rohit will explain in his slide later.

Having said that, we believe that the good news outweighs the bad. Raw material prices for steel, copper and aluminum have begun cooling off, and we expect to see the benefits from the current quarter itself. Freight rates too have started moderating, and power availability is also much

better now. On the growth front, despite the slowdown in Europe, we continue to expect FY23 to have the same kind of strong revenue growth as we have seen in the last few years, especially in the second half of the fiscal. This is given that a strong order book will start converting into revenues in the second half.

Q1 was also special for being our second-best quarter ever for business development, led by significant new EV Program wins for final drive differential assemblies and two-wheeler traction motors both from large

and established OEMs.

Slide 4:

Beginning with the numbers, we have had good revenue growth sequentially and a robust growth of 18% on a YoY basis. On the EBITDA front, RM cost increases and some one-time expenses that Rohit will

elaborate upon later, have kept growth down to 3%, while net profit has risen by 5% year on year. We are seeing margin pressure beginning to ease off during the July to September quarter, and we hope this reversal in inflation continues.

The revenue growth has once again been led by our BEV revenue, where we have grown by 68% and reached 29% revenue share in this quarter.

Slide 5:

As I mentioned in my opening line, this was our best quarter from a revenue perspective. Our growth becomes even more remarkable when seen in the

context of our industry. The automotive industry has gone through an unprecedented, and I know this word gets tossed around very lightly these days, but I use it sparingly, and this fits the occasion that it has gone through an unprecedented tough run for the last three years. In fact, at 18 odd million of light vehicle sales, Q1 sales were merely 12% higher than Q1 FY21, which was the very height of the Covid pandemic.

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When we compare on a YoY basis, from where we were last year to now, global light vehicle sales have declined by 17%, while we have outperformed by delivering 18% of purely organic growth in the last year. All credit, as always, to Vikram and Sat for their leadership and our fantastic teams that keep delivering against all odds.

Slide 8:

Now an update on our biggest strategic priority, electrification. Our BEV revenue share has increased to 29%, and in absolute terms, this has grown by 68% to over 1.6 billion rupees in the last quarter. We continue to build on our EV order book, and in Q1, we have added 6 new EV programs from 4 new EV customers.

To enumerate them, in India, we have won a motor program from a new age electric two-wheeler customer, one EV differential gear program from a CV customer, who is an existing customer for their ICE business, but are new EV customers. Internationally, we won an order for a unique non-differential drivetrain

part from an existing large global EV customer. Now, this is not very significant commercially as a program, but it demonstrates rather vividly, how much faith our customers have in our customized and solution-led approach that they are willing to entrust us where other suppliers could not deliver and even with products that we do not traditionally make.

The remaining 3 program wins are substantial enough that we would like to elaborate upon them in the next slide.

Slide 9:

We really wanted to highlight these two wins to you, our shareholders, as they are significant for the future of both businesses, commercially as well as directionally. The first one is a large volume traction motor program that we have won from an established and leading Indian two-wheeler OEM; this is for their flagship EV two-wheeler. The program has come after a yearlong technical engagement with the customer, and this has resulted in this is our largest ever order win for our traction motor. This program is slated to begin serial production in this financial year itself, end of Q3 or early Q4. This win is a major confidence booster for our motor business. I mean, all of you know that the traction motor business we really began two and a half years ago, and we have taken a new electrified direction. So this is a major reaffirmation of our endeavor and our intent.

Saving the best for last, we have won two new EV programs for final drive differential assemblies from a European OEM, one for their sedan line and one for their SUVs. This is an existing customer for their ICE models, but with this, we have added them to our list of EV customers. We will be supplying to all of their global manufacturing locations, and in value terms, this is the

second largest single order win we have ever had. So yeah, quite significant from a future perspective. Our engineering and marketing teams

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went through eight months of rigorous technical discussions, process audits and finally overcame extraordinarily stiff global competition to land these programs.

Slide 10:

With this addition of 6 new E V programs, we have reached 36 EV programs spread across 23 unique customers. To increase transparency and data quality, we have added a table that shows the program and customer

distribution, also across vehicle segments and product groups, and the fact that we have 19 E V drivetrain programs across 10 unique passenger vehicle customers and that we already have 10 E V motor programs across 9 customers, should hopefully demonstrate how deep and diversified our EV penetration is becoming on a global basis.

Once again, the fact that 26 of the 36 are yet to enter serial production also demonstrates how much future E V revenue growth remains to be realized right now.

Slide 12:

This quite neatly brings me to our net order book. We did consume some parts of the order book as some programs entered serial production or ramped up to full volume, and frankly, that is the reason for our sequential growth in a declining market; and as I mentioned before, this was the second -best quarter for new wins, and with the addition of 28 billion worth of new orders last quarter, at the end of Q1 FY23, our net orderbook has expanded to 205 billion rupees. If you actually were to compare this to last year full year, this is almost 9.6 times the full FY22 revenue, which is quite a good number to have.

In addition to the six EV programs discussed earlier, we have also added seven programs for non -EV applications, but they were smaller in size. With this, now, the EV portion has reached two -thirds of the orderbook.

Slide 14:

Now to diversification, and usually, this is more information sharing, but this time, it is actually quite relevant because of the disproportionate effect on markets. So first, we will begin with revenue

mix by powertrain. One can

naturally see the significant progress on BEV share in the last three years going from merely 2% to 29%, while ICE -dependent revenue has decreased in the same period from 27% to 17%. What is special or what is notable in this quarter is a large reduction in the micro- hybrid and hybrid category, which I believe bears explaining. So, a majority of our micro -hybrid and hybrid sales happen in the European and Asian markets, which is natural as these are the two markets which have the highest proliferation of hybrid vehicles, and as the next slide will show, this quarter, sales in both these markets were severely impacted due to the Russia -Ukraine situation and inflation in Europe, and due to the stringent covid lockdowns in China.

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Slide 15:

As you can see in this chart, Europe and Asia, which constituted around 40% of our revenue in FY22, were reduced to only 21% in Q1, and at the cost of repetition and of perhaps sounding like we are beating our own drum, I think this chart truly reveals the resilience of our business model. It

truly tells one that why is the diversified revenue mix important, that despite the fact that we had such a huge drop in our third and fourth largest markets, they nearly halved, we actually managed to grow our revenue by 18% on a total basis, and you know, we hope that it makes our shareholders as proud and pleased as it makes us and the team.

Coming to product mix, the same geographic factor is visible as micro and plug -in hybrid starters fell from 26 % to 17 %. The

other notable trend here

and that it also repeats itself in the vehicle segment revenue mix is the happy discovery that traction motors and hence electric two-wheelers

have reached 4% of revenue, far ahead of our own internal estimates to

be honest. I think in the last quarter call or the last -to-last quarter call, I had

said that we expect it to be mid- single digits at the end of FY23. We are

getting there faster, which is a testament to one our market share is higher

than we estimated it to be, while electrification remains at the same level but at least for our customers, it is working out well.

With this, I will turn the call over to our Group CTO, Mr. Deshmukh, to discuss

the progress on technology. Over to you, sir.

Kiran Deshmukh: Slide 1 6:

Thank you, Vivek. Good evening, ladies and gentlemen.

Slide 1 7:

Research and technology development is exciting and enthralling, yet it is a crusade of patience and perseverance. R&D is not for short term; it's for

long term. Not many changes in its status occur in a quarter. So, I am

presenting the same chart many of you would have seen before.

For those attending this call for the first time, our technology roadmap

addresses two revolutions in mobility: Electrification and Automation. Our

vision is to become a significant player in electric, autonomous, and

connected vehicles, and the road map displays these very intentions.

The map shows our past, present, and future product offerings, depicted by

the dark area for our legacy and core products, the blue area for the

products we developed in recent years, and the white area for our

aspirations for the future. The chart lays out the way forward for our technology development and the acquisition of competencies.

Several products in the white region are currently under development in

our R&D centres and will move to the blue area as their development

fructifies. Last year, for example, three products entered the blue zone: an

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integrated motor controller module for the predictive active suspension

and spool gear and epicyclic gear set for the EV drivetrains. The first

product has allowed us to expand into the growing autonomous and connected space. The other two have

allowed us to extend our reach in

the various EV drivetrains' architectures.

While the right side of this chart is relatively crowded, one can see ample

space in the autonomous and connected quadrant on the left. We are

currently exploring acquisitions and potential technology partnerships to

enable us to address the emerging sensing, perception, and telematics

needs of autonomous vehicles.

With that, I will hand over to Rohit to cover the financial update.

Rohit Nanda: Slide 18:

Thank you, Mr. Deshmukh. A very good day to you all. It's my pleasure to

share our first quarter results with you.

Slide 19:

Our first quarter revenue has grown by 18% year on year to 589 crores,

which is the highest ever revenue reported by us. Our BEV revenue

continues to show strong growth as it grew by 68% year on year. This now

constitutes 29% of our total sales. Our non-BEV revenue also grew, though it

grew by 6%, but that's despite our top three geographies of North America,

India and Europe, which actually saw a decline of 14% in the light vehicle

sales over the same period.

Our EBITDA at 142.5 crores grew by 3% year on year, whereas EBITDA

margin has declined by 3.5%. 3.4% of the margin decline is explained by

the increased raw material prices. This is despite cost pass-through for a

major part of the material prices because of the arithmetic effect of it. Besides this, there were also some additional non-routine costs incurred

during this quarter which have neutralized the positive impact of operating leverage. These include 2.1 crore incurred due to severe power outages

and one-time expenses on new tech partnerships about Rs. 1.3 crore.

Our PAT stood at 75.8 crores which is higher by 5% compared to the

adjusted PAT for the first quarter of last year. Reported PAT of last year had actually a one-off impact of Rs 10 crores for reversal of IPO expenses and

the same was disclosed last year as well. Our lower finance cost this year has improved the margin transmission from EBITDA to PAT.

Slide 20:

Given that the drop in our margin is coming from RM price inflation, we would like to once again demonstrate how inflation and input prices, even with a 100% cost pass-through, lead to lower margin due to arithmetic effect, and we will do it through this illustration that you can see on the screen.

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As you can see, for a company with a 55% material margin, if RM costs were to increase by 25%, even with a full cost pass-through, the margin for the company would drop by 560 basis points. The company will make the same amount of material margin, which in this illustration is 55 rupees, but the margin percentage would drop because of the arithmetic effect.

Slide 21:

Now from the illustration, we move on to how RM prices have actually affected EBITDA margin for Sona. On this slide, we have used indexed alloy steel prices for Sona to show you that while cost of the largest raw material consumed by the company has gone up by 25%, our margin has fallen only by 350 basis points over the same time.

It clearly establishes how the company has managed to largely contain the adverse impact of RM price inflation through various measures like cost pass-through, growth, mix and other cost-saving initiatives like value engineering and value addition.

The market news flow, as well as the global macros along with the spot prices, indicate that we may have potentially seen the highs in the metal prices and like Vivek has already mentioned in the beginning, if this inference is correct, we should expect the metal prices to come down and for its impact to unfold over the forthcoming quarters.

Slide 22:

Finally, we move on to the last slide, which reflects our key ratios.

We start off with Value Addition to Employee Cost, which now stands at 5.9 times. It has shown continuous

improvement over the past three years, reflecting the strength in the P&L and the ability of the company to withstand shocks.

Our Return on Capital Employed (RoCE) now stands at nearly 29%, which is similar to March-20 levels. It has declined from the higher levels we have seen in March-21 and -22 due to increase in the working capital and capex undertaken by the company as we undergo the expansion process.

Our Return on Equity (RoE) is strong at 29%; however, it is also lower than the previous periods because of the base effect coming from the primary equity issued in the IPO last year.

Our Net Debt continues to be negative, reflecting a significant headroom to borrow in case a need were to arise.

Working Capital Turnover is stable at 3.9 times, confirming that the growth in working capital is in line with the revenue growth.

Fixed Asset Turnover ratio is slightly lower at 4.5 times due to capitalization of some of the new projects by the company.

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With this, we have come to the end of our Q1 earnings presentation, and I will now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much. We are now at the Q&A portion of this presentation.

We will now open the floor for Q&A session. If you wish to raise a question, please use the raise hand function allocated at the bottom right of the Webex page. We will unmute your line and prompt you to speak up, or you can submit your question via the Q&A chat box addressing to all panelists. Please be reminded to keep your questions to a maximum of two questions. If you have more questions, please return to the queue. Thank you.

Kapil Singh: Deanna, by the time the question queue builds, I'll just ask a couple of

questions. So Vivek , congratulations , first of all, you know, we have seen strong order wins for this quarter, and in some sense , this was one question we had asked you many times, you know, in terms of your differential assembly order wins for other global customers. So , what more can you tell us about this order in terms of either the segment or , you know , why do you think you won this order , you know , that some of that insight would help?

Vivek Vikram Singh: So, I don't want to give anything away. What we realized recently is that our customers and competitors also read the transcripts of these calls , so we don't want to give any competitive advantage away , but, you know what , also the spotlight should be on Vikram. He is the man who deserves it. So Vikram, if you want to say something, anything that doesn't get us into trouble , you can share more on that win with Kapil.

Vikram Verma: Like all global OEMs do assessment of many new suppliers like us , and they, we qualified in comparison with all the known big suppliers of the similar products which they make. So , we were selected to be one of the bidders for this big global OEM while , as Vivek explained that there was a rigorous technical audits ' qualification in terms of future -ready products available with us that brought us onto the spotlight to bid against those big Tier -1 suppliers and finally, we won against mostly on the technical ground, I think this is an opening for more such things happening in future.

Vivek Vikram Singh: So, to add , Vikram is unusually modest today. So , I'll add a little bit. One, we have replaced the incumbents who were always the drivelines suppliers, which is big deal in Europe , bigger than we have always found American customers easier to enter into than Europe. So , this was one big thing. It has mainly come on our technical provenance because , you know, the six - year head start that we have , working with our original, the first customer we started working with , has taught us a lot of things that only come by doing millions of types. I think that has , you know, helped a lot in the technical part. We weren't the best commercially , to be honest, but we still won because technically , that advantage was far superior.

Kapil Singh: Okay, that's great to hear. Could you give some more insight? When you say technically more superior, what exactly does that mean?

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Vivek Vikram Singh: I don't even think most people will understand it. It is to do with processes . It is to do the processes of making the final drive differential assembly lighter and able to transmit more torque. In the end, if I had to simplify it, more torque per gram, in the end, that's what it comes down to. It can require many skills. There are some parts of how you put it together which are not as strong. So, you change the process of doing it and to make it stronger. So, yeah, I mean, we will be getting into engineering design and metallurgy if I had to answer that.

Kapil Singh: That much is good. I don't think I 'll understand too much beyond this. Second, I also wanted to check on, you know , the domestic two-wheeler order that we have won and , you know , there is this concern which is there that there is a lot of competition in motors and , you know , there is so many motor manufacturers, but what you highlight in case of differential assembly has been that , you know , it's not just about the price. So , is it the same thing for the two -wheeler OEM order as well that we have got that It 's not about the price that at which you are supplying, but more about the technology that you are giving?

Vivek Vikram Singh: I mean, of course, as you know, ever since we decided to go public, we have been asked this question hundreds of times and , you know, some people are skeptical, some people are more believing, but let's understand a couple of things. One competition will be there. If there is anything that is a high -value part, it is going to have competition . It is going to have global competition. We have always had global competition in the two product areas that we were originally in . Also, we have always been top ten suppliers, if not the top five suppliers for the products we make ; we are for all of them. Even in this new one, think about it, if you are a vehicle maker and a two -wheeler maker, what is important in the vehicle , to be honest , apart from the battery, the traction motor, the motor controller and the BMS? I don't know how much more innovation or product differentiation

you can bring apart from these four. I am not saying other things are not important. Seats are important, aesthetics are important, wheels are important, everything has importance, but there are some products that are more equal than others. Traction motor is one of them. If your entire vehicle differentiation rest on 3 or 4 things, won't you want them to be best and not just the cheapest? I mean, we are not dealing with commodity parts, and hence just as it is cheaper hence will be more. And as we transparently share, our average motor production right now is about 13,000 motors. All of you have the Vahan data and e-two-wheeler data; the market share calculation is not that tough. We like letting the numbers speak for us, and we firmly believe that what we do is who we are and not what we say, what we believe, or what we desire to be. A lot of people will say things; our numbers are there, you can see it. Just the fact that and we are an independent motor maker, we are not aligned with any particular OEM or group or anything; we still tend to win usually on product quality. Of course, you also have to be commercially competitive. That goes without saying. But yeah, we have, again in this case, displaced an incumbent global supplier, which is our competition almost always. In life, it is a choice

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when I

looking at competition that whether we choose to compete with those we consider above us or do we look at people who are not as good and then just be happy with where we are. We have taken the first path. We respect the competition. We are almost always very, very conscious of any new competition coming and we believe it's great. Competition forces product innovation. It makes us better, it makes our process iterative, it makes our board, our shareholders question us and makes us want to improve. So yeah, I am sure it won't end the questions on competition or, as I have learned a new phrase - right to win. What is your right to win, they keep asking? So, but that's okay, right? I mean, we will keep doing and hopefully, what we do will prove the skeptics wrong and the believers right, and that's the way we want it to be.

Kapil Singh: Thank you, Vivek, for the detailed answers. Yeah, Deanna, we could take the Q&A.

Moderator: Okay. I will go through those participants who have raised hand. Just a reminder that please keep your question to two questions maximum, and then you can go back to the queue. We will start off with Gunjan Prithyani. Hi Gunjan, your line is unmuted. Please go ahead.

Gunjan Prithyani: Yeah, Hi, can you hear me?

Vivek Vikram Singh: Yes, Gunjan, go ahead.

Gunjan Prithyani: Okay. So, thanks for taking my questions. I just had a couple of clarifications. Firstly, on this two-wheeler, clearly a pretty big win. So, I remember during the last conference call, we had spoken about 6-7% revenue share coming from this category by the end of FY23. Do we think that, you know, this category can be even more meaningful, given this is quite a big win? So how should we think about the ramp-up of this segment in terms of revenue contribution?

Vivek Vikram Singh: We like to stick to that guidance; if there is another happy surprise, great because this program begins end of Q3 or early Q4. So, it will just be a quarter, right? So, I don't know how much it will change in percentage. Also, in the second half, we have a lot of other programs coming up in the driveline business. New programs launching and these relative percentages, Gunjan, are always tricky.

Gunjan Prithyani: Okay, got it. And okay, now that you brought up that, you know, some of the other programs will get into serial production. I mean, this order book is really very impressive. I am just trying to get a little bit more color on this, you know, how should I think about the magnitude of programs which can go into serial production in the next 12 months or 18 months because, you know, this is a pretty big order backlog or orderbook which can be executed over the next 8-10 years. But if I have to think about next 2-3 years, you know, if you can just help us, how should we think about the magnitude which can go under execution within the next two years or so?

Vivek Vikram Singh: This is FY23. So, they will, I know for the fact that there are three large programs entering production this year, but they won't fully ramp up, none of them, because they are all in the second half. But if I take FY26 also, so 23, 24, 25, 26, that is majority of them should have ramped up.

Gunjan Prithyani: This is you are talking about the three large, you know, programs.

Vivek Vikram Singh: Yeah, I don't want to give away the whole thing; otherwise, you know, I might as well just give the revenue of each of these years, think about it. It is, just to help you, it is shaped like a croissant like I have said before. It is slightly thin in the beginning, very thick in the initial half and then it is a longer tail. So yeah, 24, 25, 26 are the three big years of pipeline conversion.

Gunjan Prithyani: Okay, got it. I don't know how to think about the croissant parallel that you

d
raw, but I was just trying to understand in terms of the value opportunity because there are clearly three large programs, but you know, I don't know the value, and if I look at this order book, it is very impressive. Almost nine times the revenue that as you yourself quantified. But anything that you can help us understand, you know 20%, 30%, what goes into execution within the framework of next three years, four years, I mean I am fine if you give by FY26 as well.

Vivek Vikram Singh: Pratik, would you be able to help with that? I would not know this number top of my mind, but I know that 3-4 big programs, and not the one that we talked about today. One of the motor ones is in that, but there are two very large differential assembly programs that are going into production in FY23. They won't fully ramp up, but yeah, second half has two big new programs and the motor, so three, yeah. Pratik, can you give a percentage, rough percentage, or range, FY23, 24, 25 in these three years, how much of this pipeline is getting into production?

Pratik Sachan: I will need to just calculate it.

Vivek Vikram Singh: Right, okay, so we will try and get back. But my estimate would be that maybe almost half.

Gunjan Prithyani: Sorry, almost?

Vivek Vikram Singh: Half.

Gunjan Prithyani: Okay, got it. And the last question maybe from my side is the market shares that, you know, you usually give us some sense on maybe diff assembly, motor, how have we trended? I know quarter to quarter, these are not numbers that I should bother with but, you know, directionally, if you can give us some sense. Is it progressing in terms of gains? Still within across segments, particularly the diff assembly?

Vivek Vikram Singh: Yeah, that's I think it's where it was because nothing material has changed. So yeah, it is where it was. Motor, what had I said, 15% odd? I would think it would be slightly higher. So, I think let's be on the safer side of it and

continue to say 15. Also, if you know, this quarter, some incumbent electric two-wheeler makers did not produce enough. I guess the ones who were affected more by the China lockdowns and hence we may have a temporarily higher market share because of that factor because, you know, people, our customers have a more India-centric supply chain. So, I think that right now, it's much higher than the 15% number, but I think we'll stay that for a longer-term guidance.

Gunjan Prithyani: Okay. And Rohit, could you just...

Moderator: I am sorry, Gunjan, we would like to keep the question to two only for each participant. Please go join back the queue. Thank you. We will go back to the next person asking question is, Gautam Sinha Roy. Hi Gautam, your line is unmuted; please go ahead with your two questions.

Hello? Okay, so we can't hear you at all. Can you please speak up because if not, we go to the next speaker? Next investor Aryn Pirani.

Amyr your line is unmute.

Amyr Pirani : Hi, thank you, can you hear me?

Moderator: Very good. Go ahead.

Amyr Pirani: Thank you. First of all, thanks for continuing to give the impact of RM and how it impacts margins. I think that is something which is very useful, but my question was on overall EBITDA and EBIT growth vs Revenue growth. So, I mean, it looks like other expenses have seen a lot of inflation. So, if you can help us understand what is happening there because EBITDA growth, EBIT growth is actually quite muted compared to the overall topline growth.

Rohit Nanda : Hi Amyr, yeah, so I think the increase in other expenses is primarily because of a change in mix as, you know, we have two business lines, so, you know, one business line is primarily more an assembly line and the second one is the manufacturing, so one has a higher material costs and the other one has higher manufacturing

expenses. So, you know, the shift of revenue from one business to another leads to this. Apart from the two cases that I mentioned, the higher power cost, which is about 2 odd crores, and one - time expenses related to tech partnerships, that's about 1.3 odd crores, so these are the two expenses which were slightly, I would say out of the ordinary. Other than that, other expenses have actually not gone up. That's primarily because of the shift in the mix in terms of the revenue growth vs EBITDA comparison etc. I mean, actually, the answer is in the slide that we showed because when the material inflation happens so, there is an inflation that is coming into the revenue also, so some bit of the revenue growth is also coming from the material price inflation.

Amyr Pirani : Great, that's helpful, and again on the orderbook side, when we think about the orderbook that you, you know, talked about two quarters back on the ADAS and even today, so a lot of this is starting in FY25-26. So, sorry for just going back to, you know, where Gunjan was trying to probe, how

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should we think about it, you know, revenue development because it looks like 25-26 could be really large revenue years and, you know, 24 and 23 probably, you know, may not be like that, is that the correct way to think about it? Or even 24 and 25 could have very strong, you know, year on year on revenue traction.

Vivek Vikram Singh: So, define strong.

Amyr Pirani : Okay, so you have been growing at a CAGR, you know, as you yourself, you know, show at a very high double-digit CAGR, last few quarters.

Obviously, you know, because of not everything in your control, you know, the revenue momentum has been slower there, you know, the end markets have not done well. So, you know, when we think of 23 and 24 compared to 25, it looks like 25-26 could have like 30-40% revenue growth kind of a year, whereas near term could be 15-20%. Is that the correct way to look at it, or we are getting it wrong?

Vivek Vikram Singh : Amyr, 23 will be higher than 22 by double-digit, 24 will be higher than 23 by double-digit, 25 will be higher than 24 by double-digit, and 26 will be higher than 25 by double digits.

Amyr Pirani : Okay.

Vivek Vikram Singh: What those double digits are? Are they 15 or 40? It will depend on many things outside our control, and I am not trying to be vague; I am genuinely saying. Like, there was a very large program supposed to start in July for us. Now, it most likely is going to start in October. What if it gets pushed to January? If I had said to you that we are going to grow by 40% and we don't, it makes us seem disingenuous where we are not. We are trying to help you, but these are not things in our control, and a lot of these new programs have actually got delayed. So, when we talk about 3-4 years, it is far easier for us to take a guess that any new launch doesn't get delayed by more than two quarters but within a year, and within this quarterly confined thing, it's very hard. I mean, as you rightly said, we win programs which are going to come in 25, 26. What is going to come in 23, we actually won in 20 or 21. Whatever we as a management team are doing right now is going to come into fruition 2-3 years later. So, when you view us

with the quarterly lens, we also don't find ourselves fitting into that approach because it's not really anything we practice.

Amyr Pirani : That's fair, very much appreciated . I guess as we see more and more quarters of orderbook and revenue momentum , I guess we will get better at getting a , you know , a forecast sense of the same but thanks for the explanation.

Moderator: Thank you for your question. We move on to the next participant. We will go on to Basudeb Banerjee. Your line is unmuted ; please go ahead. We have two questions.

Go ahead.

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Basudeb Banerjee : Yeah , so I just have one question to understand from Nanda Sir . As you very well explained , the optical effect on gross margin for the 25% steel alloy inflation and , typically for your starter motor business where there is no pass-through in general, so, that is valid only for the gear part business - DGAs and DGs. So , to segregate that now in the genuine raw material deflationary period, the starter motor margin should come back to the prior levels, whereas to just to calculate the optical effect won't make much of difference because revenue will also get deflated. So absolute EBITDA won't matter. But for the starter motor part, the absolute EBITDA delta should matter. So , if you can help us to segregate in that way and if you can explain that aspect.

Rohit Nanda : So, we actually do not give business-wise separate revenue or segregate this. Vivek is smiling because that's not the data we separately publish. So , your conclusion is correct, but to be able to give how the numbers would look like would not be possible.

Basudeb Banerjee : No, no, just it will help us explain that yeah ...

Vivek Vikram Singh: Yeah, yeah, I will give you guidance, don't worry. So steel is not that big a component for the motor business , to be honest. It is big, but not as big as it is in the driveline. Copper, steel and aluminum all three matter for the motor business . There , also the price of chips and magnets matter. So , there are many more things because they are also bought-out parts. However, you are absolutely bang on that the speed of absolute EBITDA and margin recovery in starter motor is far more rapid than it is in driveline . On a revenue basis , it's anywhere between 60 -40 driveline to motor to 50 -50 in some quarters can be there, but between 40 to 50 if that helps.

Basudeb Banerjee : So, it will help us like overall on a blended gross margin decline of 560 basis points what you highlighted , how much has been the top to bottom decline in motors margin , that will be more helpful. Just motors margin decline in this whole raw material inflation.

Vivek Vikram Singh: And I am being completely honest with you, I don't even know this number because we don't actually measure it because , for us , it doesn't really matter because we can't control it or have any action that can offset it, right ? Where you have contractual pass-through , you anyway get it ; where you don't have it, you can go to customers and ask if it's something exceptional. But beyond that, there isn't much. So , I also don't know the answer. I don't know if Rohit knows it , but I doubt it.

Basudeb Banerjee : Sure, So the second question is the traction motor for the two-wheeler order ; what you have got is BLDC or PMSM , sir?

Vivek Vikram Singh: Sat, would you like to take this ? Again , I know the answer , but I just want him to also speak about it because it is his win.

Sat Mohan Gupta: Yeah , thanks , Vivek. It's a PMSM motor.

Basudeb Banerjee: Okay, sure, thanks.

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Moderator: Thank you for your question. We move on to the next investor , Chirag Shah.

Hi Chirag , your line is unmuted.

Chirag Shah : Yeah, thanks for the opportunity. I hope you can hear me. So , my first question is , again, follow up on the raw material side. So , if I have to adjust the YoY increase in raw materials which you explained , it appears on a like -

to-like basis that the revenue growth is single digit , and I presume that is driven by sharp fall in Europe and China. Is it anyway possible to indicate what would be the drop in Europe and China revenue YoY basis , given the macro environment , which was completely out of your control? I mean, on a like -to-like basis, is that the right way of looking at it? That your revenue

growth , if I had to adjust for the raw material pressure , is actually only single digit or volume growth is kind of single digit.

Vivek Vikram Singh: I would say yes. I haven't done the math myself , but it would be far less than the 18% because the 18% also has some empty sales built in , right ? Which is just basically, we paid more for steel, we gave it to the customer , and that is not adding to margins anywhere in the system. So yes , that would be right. How much has the absolute fall in revenue from Europe and China been ? I think it can be calculated from the data we have provided.

Chirag Shah : Yeah , I was under the impression that the product mix across region would be reasonably different.

Vivek Vikram Singh: Yes, it is.

Chirag Shah : So, on average basis , we can calculate , but if you can somehow , that work I have done but , you know , because of the difference in the product and also maybe the raw material pricing also , given the currency , they have behaved , it could have been , fair point, I have done that , I would take it offline. Secondly , I don't know whether you would like to share , but the new order wins in the European market that you have shown this quarter , can you indicate one or two competitors who were there against whom you won the order?

Vivek Vikram Singh: No, no , no, that's not right. That's not right. I mean , look , in life to take other 's name and to say things about them and especially , I mean , you should be graceful in victory as well as defeat , I believe I should not take anybody else's name.

Chirag Shah : Fair point , sir. So then , if I can just squeeze in one more question - the PSM order that you indicated , what could be the broader realization that we can assume if you can indicate a broad range if not the absolute number ? I understand the strategic reason being but a broad a way of looking at the realization.

Vivek Vikram Singh : So, we should make about 14 -15, type of thing, margins, but as you know , in these businesses , in the traction motor business, the margins are lower. The returns are much higher. So , in our traditional business , if you know , for every rupee we would spend in , let's say , differential assembly or differential

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gear, for every rupee of capex , you get about 2 rupees of revenue. In these motors , it is much better. I would say for every rupee you get anywhere between 5 -5.5 back . So the return is much higher , and as management, you know, we have to try to balance growth , margin and return , all three , so that's also one of the reasons . I know , and I genuinely empathize with analysts who have to do this so that they can figure out how it will look like in the future. We don't because , for us , it has to be a basket where we take a decision , right? There will be some , which will be high growth, low margin but high return. There will be some , which are high margin , but lower return , and you have to balance this to make the company's performance better.

Chirag Shah : So, I was more referring to realization per unit, you know something of that because I understand the business model , it's a high return, high asset turn business so margin would be lower.

Vivek Vikram Singh : Revenue per unit , (in Hindi) आप कह रहे हो? [English translation : you are saying?]

Chirag Shah: Per unit, yeah.

Vivek Vikram Singh : Okay, Sat. (in Hindi) Range दीजिये [English translation : Please give the range]

Sat Mohan Gupta : Yeah, it will be in the range of 12,000 to 14,000.

Chirag Shah: Yeah, this is helpful. And can we assume that the new order that you win, you are building in this raw material issue, you know , that in general the starter motor as you indicated the pass-through is not as good as it is in

driveline, but the new orders that you win, they are on similar lines or over

there, you are taking care of this pass-through issue so that you are not affected by the vagaries of commodity.

Vivek Vikram Singh: So, we are. I mean, nobody is perfect, and neither are we, but as we learn, we try to improve ourselves. So, the new contracts we enter into, we try to improve them and make them more legit and try to remove volatility. We are not people who understand commodity or forex, and it is not our job to speculate in those things. So, we try to build in as much pass-through as possible, so we are responsible for what we do and our value addition and not of these things. Having said that, I don't blame the legacy contracts also because, to be honest, the last three years, the kind of volatility has not been seen. In the driveline business, we always had those contracts because it was all more coming from an Indian and Japanese legacy; hence they were always there.

Chirag Shah: Thank you very much. All the very best. I will come back if I want to ask more questions.

Moderator: Thank you. We will go to the next investor, Jay K. Your line is unmuted. Please go ahead with your two questions.

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Jay K: Hi Vivek, hi entire management. Congratulations for this enduring the storm and coming back through the storm. I just had one question on, you know, how the whole contracts work and what is the kind of preparedness? Because when you said that, you know, for example, you won this order, so what is the expectancy and preparedness of the client? Like, the product line ready on even their part, and what is your preparedness as in how do you decide what will go in production when, because, you know, sometimes when you are saying that something will go into production in FY 24-25, you know, I mean no assumptions, but there, there might be things that might, you know, even delay a certain contract or even it can lead to cancellation of certain contracts. So, then, you know, how does the whole structure work when you want to go into production after signing?

Vivek Vikram Singh: Good question, actually. So, second order question in some sense. So, what can one do in a scenario where you know that very rarely would a product launch be ahead of time? Very rarely are program volumes higher than the customer indicates in the beginning. It's almost always delayed. How much by is what you have to build in, and it is usually lower than what customer indicates. So, what we do, while budgeting and planning our production plans or our order book that we show you, we build in discounts to what customers say, basis our experience of how that customer's projections have panned out in the past. We have been in this field for a while - two decades. So, we know that let's say, customer X says we will do 100,000 vehicles. They are right; 95% of it usually comes. So, you build that in. In production planning, the biggest thing you can do is try to make your capacity as fungible as possible, which means that for various customers' different products, you can use the same capital equipment. To build in that fungibility that if some markets, some customers go up and down, I think, I mentioned in the diversity or diversification of markets and products. It is also important that your capital equipment or your capacity is multimodal and can serve different end products. That is what we can do. Rest as you know, customer is king and when they decide to launch is when we have to service them.

Jay K: Fair enough. So basically, you are saying you would prefer more, I mean not exactly, but more like a process leader than a product leader. You can say in some sense.

Vivek Vikram Singh: Sorry I didn't. I didn't quite follow.

Jay K: I think, like you said, the fungibility of the capacity is basically so if there is some delay in the order, that same cap

ital equipment can be used, you know, to ramp up another order that is already in the pipeline or in production.

Vivek Vikram Singh: Yeah, it's not a process thing . It's because we are super focused and do only a few products and have a large enough market share. So , you are producing in millions and millions , and no one very rarely would it happen that everybody is speaking at the same time? That's what allow s us. If we were doing many , many products , this would be very hard to do.

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Jay K : Thank you and all the best guys for the future.

Vivek Vikram Singh: Thank you for your kind words.

Kapil Singh: Vivek , I'll read out a few questions from the Q&A chat box that we have got. This one is from Shyam. He is asking - with severe energy crisis in Europe, how are you seeing the geography scaling up or down from 1 -2 levels? I'll read it out one by one , I guess.

Vivek Vikram Singh: Yeah. So, hi Shyam, I can't hear your voice but thank you for the question. The real answer is I don't know . I am not going to be bold enough to predict what's going to happen in the next two months. It looks slightly better than Q1 fro m today , where we are sitting today , but things are so volatile that I can't know that if this will hold for another month. It is better than Q1 , in short.

Kapil Singh: Then he's asking - are there production disruptions or SOP delays in Europe?

Vivek Vikram Singh: Not any that I know of . No.

Kapil Singh: Next question is - with steel prices softening, can we expect motor gross margins to improve materially back to Q2 FY21 levels from , say second half of FY23 since steel was not a complete pass -through ?

Vivek Vikram Singh: No, because steel has not gone down to Q2 FY21 levels . If it does, I guess so, yeah. But as you know, steel has gone down from its high of April this year ; it hasn't gone back to where it used to be a year back. There is a long way for it to climb down yet.

Kapil Singh: Yeah, then the next question is from Gautam . He has asked - DA has grown 37% Y oY, how would have ICE DA business grown?

Vivek Vikram Singh: We don't have a ICE D A business in passenger vehicle s.

Kapil Singh: Traction motor order wins - is this including controller? 913 crores would imply what level of wallet share?

Vivek Vikram Singh: Sorry, is this for that specific program win that we indic ated?

Kapil Singh: Yes.

Vivek Vikram Singh: Okay . One, it is addition to order book only . In this case , this will be the lifetime value because it is beginning in FY23 , and definitely , it's not a 10 - year program . No, there's no controller in this.

Kapil Singh: Okay. And they have also asked - what is the wallet share in this? Maybe they are asking share of business?

Vivek Vikram Singh: Hmm, Sat?

Sat Mohan Gupta: It's very difficult to ...

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Vivek Vikram Singh: Yeah, I mean , for a product part that is no t even in production today , to know exactly what is the wallet share two years later, it's kind of tough to predict. We don't even know what the customer will end up actually selling two years later , right ?

Kapil Singh: I think this is for the two -wheeler order .

Vivek Vikram Singh: Yeah, I mean , there are two suppliers. I don't know what , it's us and somebody else , right ? So, it's basically , no, we can't answer that today for sure.

Kapil Singh: And, any tax rate guidance for FY23?

Vivek Vikram Singh: Do you know more than we do? Because is tax rate changing ? Rohit?

Rohit Nanda: So, I think you can take it around 24% .

Kapil Singh: Then, there is one clarification - Vikram sir said half of the order book shall get executed by FY25. Does that mean 10,000 crore s?

Vivek Vikram Singh: No, no, no. Half of them will enter production , is what I said , and my name i

s Vivek . Vikram is also here , so he didn't say anything ; I think I said it.

Rohit Nanda: And Vivek, don't talk about the croissant again.

Vivek Vikram Singh: Yeah, and that too because people have just put me under the gun , but Pratik will calculate , and so Gunjan and Aryn we will try and get back to you. What if I am wrong , and I may be wrong ? I am just guessing off the top of my head.

Kapil Singh: One more question is - what are the sources of funds for growth capex ? Will you raise any equity , or is that out of question?

Vivek Vikram Singh: Nothing is out of question ever. If we need the capital, every source of capital will be evaluated. Currently , with the capex plans we have and the cash outflows vs what we are generating , we don't see that happening. So , unless we were to do an acquisition, I doubt, I doubt that would be. So , there is nothing like out of questions ; it's just not required.

Kapil Singh: Okay , and then - is there any impact of global recession on our orderbook in the upcoming quarters?

Vivek Vikram Singh: I mean , if there is a global recession, it would be the most predicted global recession of all time , and the impact on the order book would be that in the near term , not enough will convert. It will be product launches may get delayed , and the sales schedules that we have estimated would get compressed. So yeah, I mean, and I don't know how severe the recession would be if it does come. So maybe, it's just a vague way of saying I don't really know how bad the recession . If we have a recession like 2008- 2009, all bets are off. You would have far more problems to think about than just how much of the orderbook is converting. I hope it doesn't come or get that severe , but we will see . All we can do as management is try to control

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the factors that are in our control , which are our actions , right? We can manage our costs better. We can try that the decisions that are irreversible and require a cash outflow. We are very , very, very cautious on those , and we already are. Reversible decisions will continue to be agile and move quickly. So that's all we can do , and when it comes, I hope we weather the storm better than most and to the best of our ability. That's all one can say.

Kapil Singh: Deanna, I think I have run through all the questions in the box. You can take any of the investor questions. Thank you.

Moderator: Thank you , Kapil. We will go to the investor's live question , and we will go to Saurabh Tendulkar. Saurabh, your line is unmuted, and you go ahead with your two questions.

Saurabh Tendulkar: Hello , sir. Congratulations for the great set of numbers , and thank you for the opportunity. So , my first question is regarding this 10 -crore item which is hedging instrument in cash flow hedge. So , what it is exactly ? It is because of the rupee depreciation compared to dollar or something else?

Rohit Nanda: You are referring to the item in the OCI?

Saurabh Tendulkar: No, sir, in profit and loss statement. Yes, OCI.

Rohit Nanda: So, we have started following hedge accounting from this quarter. So , basis that what we are required to do is we are required to do mark to market of the outstanding forward contracts and to the extent the hedges are effective that will stay in OCI . So, when the corresponding underlying asset or liability comes to the P&L , that is when the relevant contracts M2M will also come to the P&L.

Saurabh Tendulkar: Okay , sir, got it, got it . Understood . And my second question is regarding the customer concentration. So , I just wanted to know if these OEMs will start insourcing the electric motors , which is around the 50% of the total cost so, and also the electric drive units. So , do you see any risk associated to it? Because we have like top -10 customers are contributing around

80%

of the revenue. So , we have customer concentration. So , you see that risk?

Vivek Vikram Singh: So, instead of, I'll try and answer this. So , you have to understand the context of our industry, right? Every company reflects the industry it serves or operates in. We are not a FMCG or B2C players who will have thousands and millions of customers , right? There are only about 100 odd major OEMs in the world in the automotive industry . And if you look at the automotive industry structure, if you take passenger vehicles, for example, the top- 10 carmakers control 80% of the volume. So , if you also are a truly global

player, won't you mimic the industry you are in ? So, our top -10 is also 80%. It is very hard for it to not be if you are global. If you are very local, it could be much higher. So , I think we are fairly well diversified , to be honest , in that sense. The second part of your question or the first part was insourcing. Again , this is a historical context that insourcing vs outsourcing , has existed in our industry for the last 70 -80 years. When we started making differential

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gears, they themselves were insourced for most people . Very few people actually bought differential gears from outside. Slowly , we have converted people from a make to buy. In traction motors , we only service two - wheeler customers , as you well know. If they do insource it and that happens, of course , we would be at risk. Why not ? There , of course , we have far less customers. But just my personal opinion and this is no forecast, but I don't think electric drive units are going to be insourced anytime soon. Drive units or differential assemblies and drive trains have existed now for 100 years plus. Most people have, everyone started with insourcing and increasingly , it is outsourcing just because in the context of today's EV world where you are expected to deploy a large amount for electric vehicle, you know, development. As an OEM, if I were an OEM, personally, I would be more focused on how can I design and develop a much better vehicle and then sell service and distribute it rather than worry about, oh , let me try and make differential gears on my own because capital is not infinite. If you have, it is a capital allocation decision for the OEM. So that's my humble opinion, will it be correct or not, time will tell, our revenues will tell, and you know, performance will show if it is true or not.

Moderator: Okay, seems like we are reaching ; we are at the end of the Q&A session. I would like to invite the management to do a quick closing remark.

Vivek Vikram Singh: Okay, So thank you as always . I would like to thank all of you for giving us your valuable time. Your questions are important, they make us better at presenting our performance and also give us indicators of what matters to you, and we will try and do better for you , our shareholders. So, and in case you have any further questions or feedback on how we can continue to do better and make these sessions more meaningful. Please feel free to reach out, and yeah, see you all in the next quarter . Thank you.

Kapil Singh: Thank you , everyone from the management team , and I thank all the investors for joining the call. Deanna, we can close it now.

Moderator: Thank you again. Thank you , everyone, for your time. You may drop off the line.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Nov 2022

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SONA BLW Precision Forgings Ltd. (Sona Comstar)

Q2 FY23 Earnings Conference Call Transcript

October 28, 2022

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Hi, Ladies and Gentlemen . Good Day , and Welcome to Sona Comstar Q2FY23 Earnings Conference call. Please note all participant lines are now in the listening mode only as of now and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded and we request you to place your lines on mute except when you are asking a question.

Slide 2:

Here is a disclaimer for the call.

Some of the statements by the management team in today's conference call may be forward-looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details.

The management will also not be taking any specific customer-related questions or confirm or deny any customer names or relationships due to confidentiality reasons, so please refrain from naming any customers in your questions.

Now I will hand over the floor to Mr. Kapil Singh, Nomura Head of Consumer and Digital Commerce Research India and Lead Auto Analyst. Kapil please go ahead. Thank you .

Kapil Singh : Slide 3:

Thank you , Gigi. Good Day everyone and wish everyone a very Happy Diwali! To take us through the Q2FY23 results and to answer your questions with us, we have the management team from Sona Comstar led by Mr. Vivek

Vikram Singh (MD and Group CEO), Mr Kiran Deshmukh (Group CTO), Mr. Sat Mohan Gupta (CEO of the Motor Business), Mr. Vikram Verma (CEO of the Driveline Business), Rohit Nanda (Group CFO), Mr. Amit Mishra (Head, Investor Relations) and Mr. Pratik Sachan (DGM, Corporate Strategy and Investor Relations).

I will hand over the call to Vivek for his opening remarks, followed by the presentation. Over to you Vivek.

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Vivek Vikram Singh: Thank you , Kapil. And I hope everyone had a great Diwali. I have a slight, I actually got the flu a couple of days ago so I am not that well and my throat is a little strained so do not please misunderstand it for a lack of enthusiasm or optimism. Anyway, on behalf of Sona Comstar, I would like to welcome all of you to the earnings call of what has been our best quarter ever across all the financial metrics of revenue, EBITDA and net profit.

While we are understandably proud of that achievement, we believe that when talking to shareholders, bad news should take the elevator. So as we always do, we will begin with the negatives. First , one of our major erstwhile

markets, Europe continues to remain under pressure from the demand perspective. On the cost side , like we predicted last quarter, raw material

prices have started cooling but not by much , so pressure on margins from the input side is not completely alleviated. Additionally , there was a large one-time inventory correction at one of our major EV customers early on in the quarter . So while sales have resumed at the normal run rate , this has

made our Q2 EV revenue percentage share lower than it would have been otherwise. There is also , and we do get questions around this a lot, a lot of

macroeconomic uncertainty about the world in general. And instead of adding our voice to an already crowded field of opinions, I guess we just like

to tell our shareholders that look, we built a solid resilient and diversified low fixed-cost business model and this is obviously good in good times but on a relative basis , we are quite brilliant in bad times. I mean you just have to look at our history. We have built a business which does relatively outperform in harder times and I mean just look at this quarter . EV sales were lower than

the last quarter, so lower sequentially ; differential assembly sales were lower, sequentially ; Europe , which is one of our higher margin markets was much lower, continues to be weak ; and yet we have delivered sequential as well as year on year growth in revenue, EBITDA and net profit. And not only that , we have also managed to improve our margin sequentially. So I think that is the thought I want to leave you with and not ask us too much about macroeconomic outcomes and forecasts because , to be honest , a lot of you listening in know more than we do about those things. All we can assure you of is how strong our business is.

With that , we move on to the good news part and there was quite a bit of that this quarter . We have added one new EV Program which is perhaps not so important because of its size, but it is fairly important directionally because ever since our IPO we have got a lot of questions on this trend of how much is in the OEM and how much is going to be outsourced. And I talk about this later. We have also added a new product to our portfolio, spiral bevel gears. It has taken us many years, I would say more than a decade. This project has been going on from before my time. Many years of engineering effort to get this product made through the forging route and because it opens a new market and a new revenue stream for us, it is an extremely, extremely

gratifying outcome for Vikram, Mr . Deshmukh , and the entire driveline team.

We have also updated our product roadmap. We have an annual strategy exercise every August and we have added some new and exciting future products that we intend to introduce in the next few years , and Mr.

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Deshmukh will talk more about these later. As a company , we talk even in our board, even in our executive board, even in internal meeting s, 90% of the time on technology . So I hope some of that reflects when we talk to our shareholders as well. A nother good news, a lot of the programs that

we

launched last year and we won last year kind of started coming into production from this quarter which has contributed to revenue growth and will continue to contribute to the growth in the next couple of quarters. Lastly, the domestic auto market has been growing significantly year on year and that obviously , because we are dominant in our presence in differential gears in India, has added a tailwind to our numbers.

Slide 4:

Right, so to the numbers . Sequentially , we have had a double -digit growth across all the three metrics. However, what we will talk about on this slide are year on year basis, we have seen a robust revenue growth of 12% while EBITDA and net profit have risen by 7% and 5% respectively. BEV revenue in absolute terms grew by 6%, while the BEV revenue share was 21% due to the one-time inventory correction that I spoke about that happened in the last quarter. If we were to leave those few weeks of zero schedules out, the revenue share would have been much higher than this.

Also, quite importantly, our EBITDA and PAT margins have returned to our normal range of 25 to 27% and 14 to 16% respectively, after two quarters of unusual margin pressure. This is an encouraging sign for us and I hope input prices continue to cool in the quarters to come.

Slide 5:

Coming to H1 I am proud to report that we managed to increase our revenue, EBITDA and PAT margin by 15%, 5% and 5% respectively over what was a pretty strong H1 in FY22. And this is despite unprecedented inflation and both supply -side as well as demand- side disruptions in almost all of our key markets.

Slide 8:

Now coming to our strategic priorities ; so first , electrification . BEV revenue share was 21% in H1 FY22. This has increased to 25% . In absolute revenue terms at 294 cr ores almost, the BEV revenue has grown by 33%. We continue to build on our EV order book . In Q1. We have added one new EV Program which is from an existing customer but this is for differential assembly.

Slide 9:

So with this addition , we now have 37 EV programs across 23 different

customers. The program which we won, like I said, is to an existing customer in India where we have been supplying differential gears for their ICE as well as EV variants for years. But we are now moving up to supplying differential assemblies for their next generation of born electric vehicles. And this is quite an important win as a trend because, like I said, I have often got this

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question. So this is now the second customer and hopefully there will be a third in time to come where we have moved from being differential gear suppliers to differential assembly suppliers, which indicates that when it comes to the electric vehicle transmission, there is higher outsourcing than used to be earlier. Obviously, in commercial terms, it means our value per vehicle goes up by anywhere around 3 to 6 times depending on whether there is a final drive gear attached or not. And lastly, also, I should mention that this program that we won has a start of production in FY24 itself which also speaks to the increasing OEM urgency to launch new EV variants.

Slide 11:

This brings me to our net order book. Now we did consume some parts of the order book as some programs entered serial production or ramped up and that is the key reason for our sequential growth and the addition of 4 billion means that our net order book stays at 205 billion at the end of Q2. The only change worth mentioning here is the increased proportion of EV going up to 68%.

Slide 13:

With this, we come to diversification which is one of our key strengths. The weakness in European and Asian markets in the first half, and if you remember, in Q1 Asia was very very weak because of the zero covid shutdowns etc. It means that the revenue share from hybrid and micro-hybrid has been lower as c

ompared to previous years which is quite natural as these are the two markets with the highest proliferation of hybrid vehicles. Stepping away from just the first half on a longer-term trend. The increasing share of BEV and decreasing proportion from ICE seems to be continuing unchanged.

Slide 14:

Geographically, things have been quite volatile as you can see Europe and Asia used to be 40% of our revenue in FY22 and this is reduced to only about 25% in H1. The gaps of course have been filled up by the US and Indian markets which continue to be quite robust. They have increased to 42% and 32% respectively. Now, relative market shares are always a little tricky, especially in the times of strong growth, right? Because in a growing thing relative has to be seen in the context of absolute numbers rather than just relative percentages. So, Europe also, you would notice that if you look at Q1, Q2 was better than Q1 at least. So that is an improvement. However, like I said initially, it is far far away from how strong Europe generally used to be. Coming to product mix, the same geographic factor is visible as micro and plug-in hybrid starters fall from 26% to 21% in H1. And although just this quarter the numbers were reasonable. Again, the other notable trend that repeats here in the vehicle segment is traction motors are now 4%, which is also the electric two-wheeler percent, which is 4%, which is ahead of our own internal estimates so far.

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So with this I will turn the call over to our Group CTO Mr. Deshmukh. He has some fairly important progress to report on the technology front. So over to you, Sir.

Kiran Deshmukh : Slide 15:

Thank you, Vivek. Good evening, ladies and gentlemen.

Slide 16:

We have been sharing this technology roadmap in every earnings call. And since the market conditions are dynamic and the technology landscape continues to evolve, we keep tweaking our tech roadmap to align with the

changed realities. This time, for example, we have fine-tuned one product and added as many as six new products in the white area, representing the products under development that are being explored.

As I mentioned during our past earnings calls, our vision is to become a significant player in electric, autonomous and connected vehicles, offering integrated solutions to our customers. We are exploring partnerships and acquisitions of technologies such as sensing hardware and software solutions that address the burgeoning autonomous and connected vehicle space.

As a tweak to our technology roadmap, we have removed the DCDC converter from the chart and introduced an integrated motor controller that uses the available resources also to do the function of the DCDC converter. This way we believe we can provide a more efficient and cost-effective solution to our customers.

To augment our content in the final drive units for EVs, we are developing epicyclic gear drives consisting of several Helical Gears. We also have leveraged the competencies of our motor and driveline businesses to build an Electronic Locking Differential (EDL). This device located in the differential, electronically allows both wheels to turn at the same speed, providing additional traction should the vehicle become stuck. We recognize that our metal-forming know-how can do much more than the net-formed bevel gears we are known for. We have been exploring how we can bring value to our technology while making the products in an EV drive train stronger, more durable and cost-competitive. As a result of this study, we are now developing three products where the bulk of machining will be replaced by forming. Our forming process will save the input material and provide additional strength to the products. So we have created two essential parts of the EV drive motor using this method: Steel Rotor Shafts and Non

-Ferrous End Caps. We are also in an advanced stage of developing formed Park Gears. So all these products are now displayed into the white area, showing what we are developing and as they get developed and matured and get commercialized, they will move to the blue area.

Finally, I would like to share a significant breakthrough we accomplished during the quarter. Vivek mentioned it earlier. We have successfully

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developed net-shaped spiral bevel gears. Perhaps, for the first time in the world, spiral bevel gears made by forming rather than cutting the gear teeth have been commercialized and we will soon be supplying these gears to global farm equipment manufacturers.

This development is big because it is poised to do to the automotive spiral and hypoid gears, what this technology did to the straight bevel gears

several decades ago. Because net-shaped gears are made with lesser steel and have a more favorable grain structure than their machine counterparts, they offer an unmatched price performance pressure. With decades of expertise in designing and making net-formed straight bevel gears, we can now provide the same benefits for spiral bevel gears. Soon our customers will be able to get Spiral and Hypoid gears far superior to the current machine d gears at a competitive cost.

We have always directed our R&D efforts towards creating groundbreaking products that give a unique value to our customers. This is one of those examples and we will continue to be on that path in the future. With that, I hand over to Rohit to cover the financial update.

Rohit Nanda: Slide 17:

Thank you, Mr. Deshmukh. A very good day to you all. It is my pleasure to share our second quarter and first half results for the financial year 2023 with you.

Slide 18:

This quarter, we have clocked the highest-ever revenue, EBITDA and PAT, at 657 crores, 166 crores and 93 crores respectively. In terms of revenue, we had a growth of 12%, wherein BEV revenue grew by 6% year on year and non-BEV revenue this time grew by a strong 14%. While our top three geographies of North America, India and Europe grew by only 4% in light vehicle sales. A large part of this growth has come from the ramp-up of some new programs

which strengthens the credibility of our diversified business model once again. Our EBITDA grew by 7% to 166 crores. Our EBITDA margin for the quarter was 25.2% against 24.2% in the previous quarter showing an improvement on a sequential basis. Compared to the second quarter of last year, the margin was lower by about 1.2% which is largely on account of the arithmetic effect of material price increases despite material cost passthrough. Our PAT was 93 crores, showing a growth of 5% compared to the second quarter of last year.

Slide 19:

During the first half of the year, our revenue grew by 15% and stood at 1,247 crores. Our BEV revenue grew by 33% at 294 cr and it constituted 25% of our total sales. Our non-BEV revenue grew by 10% whereas light vehicle sales in the three key territories declined by 6% over the same period.

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Our EBITDA grew by 5% to 308 crores. Though margin percentage was lower by 2.3%. But again, this is primarily due to the arithmetic effect from the RM price increase despite the cost pass through. Our first half PAT grew by 5% to 168 crores when compared to the adjusted PAT of first half of the last year. Last year, first half PAT, as some of you may recall, had an exceptional income on account of reversal of IPO expenses which had been adjusted to arrive at a fair comparison of the numbers. There was also an improved margin transmission from EBITDA to PAT during the first half, mainly due to lower finance costs.

Slide 20:

Moving on to the first half cash flow, the company generated 231 crores of

cash from operations. An important takeaway from the cash flow summary here is that high organic growth of the company has continued to be cash accretive so far. As we have managed to generate 65 crores of free cash flow during the first half, even after deployment of 166 crores in Capex. Besides this, we also paid dividend of 45 crores during the first half.

Slide 21:

This brings us to the last slide of our presentation in which we report the key ratios.

The first one being value addition to employee cost ratio. It has further improved to 6.2 times which shows that marginal growth and value addition continues to improve relative to the growth and employee costs of the company. Our return ratios of RoCE and RoE continued to be strong above 25% though they are a tad lower than that of the last two years, primarily due to higher working capital and ongoing Capex expenditure. Return on equity also had an inverse base effect due to the primary equity raised in the IPO last year.

Our net debt continues to be negative, reflecting the balance sheet's potential to raise debt to support future growth. Working capital turnover ratio is also largely similar as earlier periods at 3.8 times, indicating that growth in working capital has been largely in line with the growth of the underlying business. Lastly, the fixed asset turnover ratio has come down a bit to 3.9 times, mainly on account of capitalization of our new unit in Pune which we have set up to support execution of the growing order book on the driveline business side.

This brings us to the end of our Q2 and H1 earnings presentation and I will now hand the proceedings back to the Namura team for the Q&A.

Moderator: Wonderful. Thank you very much, management. We will now open the floor for the Q&A session. So if you wish to raise a question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak or you may submit your question through the Q&A chatbox addressing to all panellists. Please be reminded

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to keep your questions to maximum of two questions. If you have more questions to ask please return to the queue. Thank you.

So first up we have Mr . Garvit, your line is unmuted, please proceed with your questions. Hi , Mr. Goyal?

Garvit Goyal : My question is basically from the demand side, actually how we are seeing that demand trends going on in Europe and America currently , and in the upcoming quarter, specifically from the EV side , Sir.

Vivek Vikram Singh: Although I did mention that ; but to add our voices to macroeconomics, I will tell you what we see on 28 October at 4:25 pm and it may not be valid even a month out because things have become so dynamic. North America is

quite strong actually demand wise. EV demand , like I said, continues to be as strong ; India continues to be strong for off highway, passenger vehicles and commercial vehicles ; Europe has been weak all through this year. I think ever since March this year, Europe has been weak and continues that way. Obviously , all of us read a lot, and we hear a lot but this is where things stand as of today as of now, this is what I see.

Garvit Goyal : Okay, okay, thank you . Thank you , Sir.

Moderator : Wonderful . Thank you for your question. So next up we have Mr . Jinesh . Your line is unmuted , please proceed.

Jinesh Gandhi : Hi Vivek, so a couple of questions from my side . Firstly, given that 27 programs are yet to get into serial production ...

Vivek Vikram Singh: Can you speak a little louder please?

Jinesh Gandhi : Is it better now? Yeah, so given that 27 programs are yet to go into serial production, can you give some flavour on how many programs you expect to go in serial production in the second half and for FY24 and 25?

Vivek Vikram Singh: So I won't talk about

the second half of this year, but a majority of them should enter production within the next six quarters, so the full next year , because there have been delays, I won't obfuscate that. There have been two or three programs that were supposed to actually start this quarter and they have not. Maybe they will start by end of next quarter . Maybe they will be delayed even further because, although and I think you remember we had this conversation, the semiconductor -led supply chain shortage is not a shortage anymore, it is a supply -demand mismatch ; the right kind of chips for the right kind of component to the right kind of OEM. And those kind of things still persist. So it is such a weird thing to have that there are places where people have everything, all the means of production but demand is an issue while there are some people where demand is not an issue, but they cannot get the supply chain thing sorted. So it is still a little messy to try to pinpoint for extremely short term, but most of them, I think will start in the next six quarters.

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Jinesh Gandhi : Got it . And second question pertains to the new product, net spiral bevel gears . Can you give some color on the size of the opportunity? And you talked about some orders in hand. So how big is the order? And by when do you expect commercialization of that?

Vivek Vikram Singh : So the first order is not that big. Like I said, we are first starting with a very specialized off highway vehicle product. We also want to make more before we keep taking it public , and for passenger vehicles, once we make the same thing in hypoid then it becomes passenger vehicle and that is where the big market is. I would say the market opportunity addressable is as big as the differential gear market in total size. However , I mean to get to where we are in differential gears to like 7 -8% world market share. It took us 20 years. Now it won't take us 20 years to do this again because now we are somebody at that time we were a startup. But still I mean give us 5 -6 years minimum to reach something of size. But yeah it is a big enough market and value -wise some of these products are fairly large.

And the same, I do not know if you got that point Mr. Deshmukh made that exact same rationale and USP or you know right to win what we did to straight bevel gears when we made it through the forging route, the exact same thing happens to spiral now basically.

Jinesh Gandhi : Right, Right, I got that. Thanks .

Moderator : Wonderful , thank you very much. So next up we have Anay . Your line is unmuted. Please proceed with your questions.

Anay Mittal : Hello? Mr Vikram can you hear me?

Vivek Vikram Singh: Hi Anay, I can hear you loud and clear.

Anay Mittal : Thanks. Vivek, I might go to this topic again on that Europe trend and demand, so sorry for that but I need some clarity, specifically one or two areas. Right ? Are you seeing any trend where a customer has a budget for a particular EV project and they are putting those on hold because of ongoing whatever ? It is like too many things are happening at the same time. So are you seeing trends on those lines? Number one.

Number two, when you said that other markets, right, like particularly India, you said that demand is strong and we have domestic consumption and stuff and infrastructure is booming here in India. So are you seeing any demand like those offsetting your near-term losses in other geographies?

Vivek Vikram Singh: So thanks. I will take the second part first. I mean this is the first time we have even crossed 600 crore revenue in a quarter, so we are actually at 650 plus.

So this is the best we have ever done.

Anay Mittal : No no, first of all, I would congratulate you for that, Vivek.

Vivek Vikram Singh: Not for congratulations , just to give you the challenge of when you g

row that

much relative share is slightly misleading. So if you look at Europe's share even

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now in absolute terms it is not that bad. It is just that on a relative basis where everything else is growing a lot, it has not grown at all. This quarter, so there is a bit of actually confusing signal even to us because we also go by our customers and what they are telling us and even more importantly , actions speak way louder than words. How much are they buying and how much are they picking up every month is the biggest indicator. This quarter was higher than last quarter for us. Although the commentary and tone seems not so optimistic, the numbers are not so bad in Europe. Other markets like I said, North America and India are doing fairly well. So nothing to say , but even you know the problem that you cannot stick your neck out for too long because you do not know what is going to happen in a month or two. The best thing we can do is be agile, be dynamic and act with, you know, alacrity. So there is no loss to make up because in a sense and I will be more realistic and slightly brutal, if sales are gone, they are gone, you know, you are not gonna get them back because if a guy has delayed their purchase decision by six months, it is not going to come in this time frame and if you lose time in pursuing anything as valuable as it may be, time is the most valuable commodity. So you have lost that. So I do not think anything gets made up because we cater to the global vehicle market, if enough global vehicles are sold anywhere we will be okay. But yeah, if something happens that affects the whole vehicle production, that is more challenging.

Anay Mittal : Thanks. Thanks , Vivek.

Moderator : Wonderful. Thank you very much for your questions. So next up we have Chirag. Let me just unmute Chirag's mic. Okay, can you try to see if you can speak? Yes please proceed .

Chirag Shah : Am I audible?

Vivek Vikram Singh : Yes Chirag, very much so .

Chirag Shah : Yeah. Hi, good afternoon everyone. Thanks for this opportunity sir . Two questions . One, last few quarters, if we see there have been series of disruptions happening, you know , be it OEM volumes and higher RMC etc. etc. So if we take a step back and if you have to assess where are we today in terms of volumes or like to like benchmarking . Where are we today ? In terms of volumes , say a year back, where we were and where are we today? If you can give a ballpark understanding taking into account the geography mix issues, the product mix issue that we are going through. So that is the first question because we all focus on revenue for the company right there is so it helps us to understand where are we in terms of your benchmarking?

Vivek Vikram Singh: So Chirag, that is a very interesting question. I mean the whole presentation was the answer to that in one sense. The thing is, it is hard, it is not just the last four quarters by the way . I was given charge of this company in February 2019, so I have never seen a normal quarter, so I do not know what a normal benchmark is anymore. I think what that has allowed us to do is build a business which handles volatility relatively well. I

would not say we are antifragile but fragility does not shake us as much as it would other s, let's say

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peers. Again , reasons : very low fixed cost, very high value addition upon employee costs. Do not choose products which are very commodity or market linked that one market goes down and suddenly you are out of business. And you have seen that all of those tests being applied. So I would say we continue to be focused on that , that as a business we are strong and resilient. Markets have not been great, I mean if you look at it and there are enough reports, I mean Nomura, BofA , all of

them do a very fine reporting

line by line of each market on light vehicle etc . No market has really done well. If you look into last six quarters, it is just now that we talk about a year on year, so we compared this quarter or this half with the corresponding half last year. But if we go back to 2018 and you being an auto analyst yourself seen all of this . Between 2010- 2018 like clockwork the auto motor market used to grow by 4-5% every year. I think those days are just not there anymore and companies like ours which are fit and built to handle volatility and shocks, I think that is more important than just looking at trends and saying this market grows, I also grow. What can you do in a dynamic environment

where there are many moving parts, I think that is what our benchmark is.

Our benchmark is, how much money did we make? How much returns did we make? Did we deploy our cash properly? That is what our metrics is like I

get the cash balance by the way, everyday we have very extreme metrics. We prepare for the worst literally. What is the worst? Your revenue goes to

zero, absolute zero right? Every day we have a number that the executive board gets, which is how many months we can continue like we are today

without a single paisa of revenue and Rohit obviously knows that answer well.

We may not want to share it, but it is a long time and that is what we build our business for . That what is the worst that can happen and what do we do in those times and these are the benchmarks that matter to us, the other s that we report of course they matter , the metrics that are that help analysts commonalize . People compare A to B, but for us , it is this: how strong are we because we believe the world will continue to be volatile and uncertain ?

Chirag Shah : Thank s, thanks for this. The second question was the new product, the white part of the product chart that you have. So I understand that proof of concept happens then after that you add a product over there . But if you can elaborate more on that, in general at what stage you add a product over there and how should we look at the development life cycle? I understand that you may have your own set of successes and so on and so forth. But internally, how do you look at when you add a product in that particular white area, if I use that word and what are your aspirations and how fast do you want to make it a commercial product or at least a product ready for approval stage from OEMs.

Vivek Vikram Singh: Great question Chirag. So I will let Mr . Deshmukh answer it in detail. However you are right the variance is fairly high that there are products there which could enter commercial production in a quarter or two and there are products which frankly may never also enter . Even the spiral bevel gear by the way, like I said, it has taken us more than a decade from starting to actually getting it done. So it is a very good question, Mr . Deshmukh sir?

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Kiran Deshmukh: Yeah. So as in every R&D project the success is not assured. So we keep on working on it and of course we work on those projects where probability of success is quite high and probability of commercializing that product into something which will be a commercial success is high . That is what we look at. So there are products which in the white area today, which may come into the blue area next quarter. There are some more products there, which may not see the light of the day. Like, Vivek just now mentioned the spiral bevel that has entered the blue area now this quarter, we have been

working on this for more than 10 years. So it is a long journey and a lot of products which we drop and there are a lot of products that will come into it. It is a dynamic chart and depending upon the technology landscape, how it shapes, depending upon the market conditions. We keep on, we have interna

I discussions regularly, we have strategy sessions and we keep on modifying this chart based on these realities .

Chirag Shah : Thank you . And if I can squeeze in one last question. So in general, Vivek, your view on demand, especially in China. How should we look at the ramp up? Because we read a lot of news flows coming across from China, but you

are probably the right person to indicate, how should we look at the ramp up in volumes happening? What's happening over there?

Vivek Vikram Singh : So, I mean, this quarter has been exceptionally good in China as all the news flow will indicate. How sustainable it is? We will all have to wait and watch. I am not 100% sold that it is intrinsic and structural. I think there are other elements, there may be subsidies, there may be incentives, there may be other factors that play. Unsubsidized, latent demand, converting to actual demand, that's a real thing. Right? When you have a huge class of people who want to buy and then they eventually have the means to buy those vehicles. So again, I will be like slightly more skeptical about that.

Chirag Shah : But if you look at next few quarters, the next 4 -6 quarters, can we assume that this kind of run rate that we have seen in the last quarter is sustainable in short term, say next four quarters or six quarters, is that the indication that you are getting from your OEMs?

Vivek Vikram Singh : So are you talking about us or are you talking about the China automotive market in general because we are very small in China and China is a very big market. So very different things.

Chirag Shah : Yeah, I was actually trying to figure out for both to be very frank.

Vivek Vikram Singh : Macro and Micro are very different, Chirag, because see micro growth can double when you are that small, right, you just have to win one new program and you can double . So that is and that is not very consequential to be honest. I would focus more on North America, India and Europe, in that order for growth.

Chirag Shah : Thank you. Thank you very much.

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Moderator : Thank you Chirag for your questions. So next up we have Nitij. Nitij your line is unmuted. Please proceed.

Nitij Mangal: Hi, good evening, Thanks for taking my questions. Firstly I want to go back to the technology roadmap, it seems the range of components you are working on in current and legacy categories is way more than what you have in legacy. So let's say someone has to think of, what is the revenue potential from these components on a 3 -5-7 year kind of basis. How should one think of that? And also in your order book , is there any contribution coming in from the current components?

Vivek Vikram Singh: Hi Nitij, so firstly Happy Diwali! . Good to hear you on this. Again, the black ones were legacy, this is what we started with when we let's say 2016, 2017, right. All the blue ones are the ones where we actually produce and have orders for they are in. So these are all products that we have and we offer. The white ones are the ones where there is a degree of uncertainty on when would they enter or add to our revenue stream? Right. That's the question?

Nitij Mangal: Yeah. And I do not know, I mean is there any way to quantify a bit in terms of, you know, you know, obviously there is, there are probabilities of successes and the farther you are in the commercialization the more uncertain it is. But let's see if you think of the blue part of the chart , is there a way to think of what is the total revenue potential and then you know, think of probabilities of success.

Vivek Vikram Singh : Yeah. You do not have to think of probability if it is blue, the order book is the value. So blue plus black is equal to the order book value.

Nitij Mangal: And how much of the order book is blue?

Vivek Vikram Singh : I would say a large part , right , because the sta

rtter motors and differential

gears would not be that big. All differential assembly is in blue and yeah, I mean if you were to look at it, I think about 60 maybe 65 -70%, would be in the blue. I know what you are asking , Nitij . You are asking in the left hand

side in the excel sheet, how many rows and then how do I add the columns, right? But what I am saying is, probability is not there, that is order book only. The white is where probabilities come in because that is where you could be zero or you could be hundred and that is hard to predict because as you know, I mean we only add to blue when we get a purchase order. So blue is certain, probabilistic is all white. But you know if you had met me in 2015, 2016 and you come to our office, we made one product, differential gear. So this is all that blue is just last 6-7 years of work and our revenues would be perhaps, I do not know. Pratik, what is the revenue share from differential gears? 20%? less than that?

Pratik Sachan : In the orderbook?

Vivek Vikram Singh : No, what is today our revenue from differential gears as a product as a percentage? It is on the chart. Just go one chart back.

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Yeah, this is it right, differential gears is white. This is 31% of our revenue. So like I said, All of this has been added in the last 5 -6 years, so hopefully 5 -6 years later all of the business that is there today becomes again 30 -40% and that is exactly by the way, I was not being philosophical when I was responding to Chirag's question. That is how you build a business that can withstand stresses in a falling market and all of that. That whatever you have 5-6 years later should only be a portion of the revenue of that time. And that is the endeavor that we keep making new things and we keep gaining market share and the things we have. That is it. These are the two things.

Nitij Mangal: Okay. Alright, thanks. And secondly what kind of potential benefits you are thinking from the PLI scheme.

Vivek Vikram Singh: Large, but we have not quantified it and as we have spoken before, you know that the scheme outlay is fixed. the number of claimants and exactly what they are entitled to is kind of still up in the air. Right? So all of us, if I were to apply the percentage in a lot of our parts which are electrical and high tech which will qualify, they qualify them theoretically for the highest percentage but I do not think that is possible because that is a very very large number of incentive.

Nitij Mangal: Okay, thank you very much.

Moderator : Thank you very much. So before we open the floor for further questions. I will now pass to Sid to address some questions we received from the Q&A box. Sid over to you.

Siddharth Bera : On the road map, we had shared in the past on various technologies, like Enedym, IRP etc. on the motor side which we had done and we had planned to sort of start production in the next couple of years. So any update or any progress can you share about where are we in terms of the clientele and the plan to sort of start those?

Vivek Vikram Singh: Thanks Siddharth. I will ask Mr. Deshmukh to respond to that. I think three - IRP, Enedym and C -Motive .

Kiran Deshmukh: IRP, Enedym, C-Motive. With IRP and Enedym the projects are in very late stage I mean they are at very advanced stage of development and they should be ready for commercialization in next 2 quarters, next six months. Again it depends upon the final results, final test results and like I said before R&D projects are binary. You succeed, you do not succeed, depends upon what results you get. You may have to do some tweaking, you may have to take one more iteration, in which case it may take longer time but if everything goes fine then we should have products coming from these two partnerships which is IRP and Enedym. Both are magnet free motors ; should be ready for commercialization in the next six months. C -Motive is a third company with whom we are working, it is a completely new technology.

Vivek Vikram Singh : I will take that. It is a bit of a moon shot to be honest because it is an entirely different way of making motors through electrostatic technology. So that I

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do not think you should consider for any forecast estimates. Even for us, it is one of those things that if it works out, changes the way motors are made

and if it does not, well the option value is not that high. It is like an option that we put in about \$1 million behind that research. It is trying to eliminate all of it, the rotors, even the copper I think will go. So it is a very different way. Hence the probability is obviously lower because the closer you are to the way things were made, the probability is higher. So Enedym is obviously

higher because it is a way motors have been made earlier. But they had a problem called torque ripple which is that the torque literally rippled if you made a graph instead of being a very steady way, which was a rippling way. And I think the work we are doing with Enedym is trying to solve that problem.

And if we do solve that it becomes a very very proficient magnetless motor. Hence the higher degree of certainty. Electrostatic means through static charge it is trying to develop magnetic current which is obviously much further away from how things are normally done right now.

Siddharth Bera : Got it, and for the existing motors like BLDC and PMSM in which we are already supplying, and given the strong preference we are seeing for some

of these electric models, would it be possible to share any numbers in terms of capacity? How you are, you have built currently and depending on the sort of because you are getting how much do the capacity will touch in the next couple of years.

Vivek Vikram Singh: So Sat, if you could touch upon installed as well as capacity utilization.

Siddharth wants to know the capacity that we have for BLDC and PMSM, you know 2 wheeler , 3 wheeler motors.

Sat Mohan Gupta : So, right now we have a capacity of around 250K for hub motors and around 75-100K for PMSM motors in our Chennai plant.

Siddharth Bera : And the utilization levels will be?

Sat Mohan Gupta : Utilization levels as you know, it depends upon quarter to quarter and right now around 35 to 40%.

Siddharth Bera : And lastly sir, on the Capex side, if you look at it again for the next couple of years what is the number you are looking at, any change in that and broadly in which areas you are planning to sort of do the capex. That will be all for me.

Vivek Vikram Singh : So Rohit?

Rohit Nanda : So next 3 years we are estimating the capex to be 900 to 1,000 crores to take care of the existing order book.

Vivek Vikram Singh : So Siddharth, it only goes up and down depending on, you know if you see that in the near term something is not going very high or whatever. Then you kind of push out the cash flow. So cash management of Capex is a different thing from commitment of Capex. So we are fairly actively monitoring that. I think in the second part, Rohit, he wanted to know which areas. So I will answer that, most of it is actually towards, I would say , the largest would be

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differential assembly and final gear and other EV transmission parts that we also showed in white, some of it will obviously start doing. The second largest would be towards the IM CM, the integrated suspension module product. The third largest would be towards adding more differential gear capacity which also serves by the way the differential assembly business and fourth would be the traction motors. Obviously there is zero capex deployed for starter motor.

Rohit Nanda: So it will be 80% for

the driveline business and about 20% for the rest of the business.

Siddharth Bera : Okay thanks a lot sir.

Moderator : Thank you very much, Sid. Thank you. So next up we have Basudeb . Just a reminder to investors due to limitation of time please refrain to two questions per person. Thank you.

Basudeb Banerjee : Yeah my thanks. I have a couple of questions sir, one as in your presentation also you have explained and earlier also we discussed that the optical effect of metal inflation impacting margin, so with metal prices correcting since

what almost June how much of the revenue is reflecting metal deflation this quarter and what part of the potential optical reversal in margin is already there in the numbers?

Vivek Vikram Singh: Thanks Bhaskar . Not much has happened for alloyed steel actually . Only Rs 5,000 per ton was the reduction that we got, so not that much as we were expecting. But yeah it is already in the margins.

Rohit , Vikram, if you want to

add to that or if you are seeing anything more.

Basudeb Banerjee : Just expected to understand how much potential of that reversal is still pending compared to the 300 -350 bps of negative impacts.

Vivek Vikram Singh : Huge, I mean we are still at almost the second highest steel prices we have seen, in perhaps a decade.

Basudeb Banerjee : And this Rs 5 ,000 per ton is on a base of how much, sir?

Vivek Vikram Singh: So, Rohit, do you want to share, you have a slide on the build up, on how it has kept going up? I mean 5 ,000 gets us to what the prices were in March 2022.

Rohit Nanda : In April, we had a large price increase, in fact July price decrease does not even take care of the price increase that we had in April actually . So it is higher than the March price.

Basudeb Banerjee : So broadly speaking, with operating leverage not being that substantial huge scope for this reversal in the base effect. Definitely , plus PLI being unaccounted so the margin has a huge scope to move up, per se.

Vivek Vikram Singh : Yeah, and like I said before to you also that the largest variable is steel price, that is the biggest variable. If you remember, in 2020 our margins had reached almost 30% because the steel prices became quite low and since

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then it just kept climbing climbing climbing to this level. And like Rohit rightly pointed out, this is actually not even the price increase that happened in April has also not been reversed. So this is the 2nd highest price point in the last I do not know how many years .

Basudeb Banerjee : Sure, thanks .

Moderator : Wonderful , Thank you, Basudeb . Next up we have Jay. Jay your line is unmuted. Please proceed.

Jay Shah : Hi, can you hear me?

Moderator : Yes, loud and clear.

Jay Shah : Congratulations team for a great and a superb quarter and hope you guys had a great Diwali. So I want to ask you this question Vivek, as we have seen in the last few quarters and even prior to listing, majority of our order book used to be you know maybe 6 -8 quarters or maybe in that range down the line and like you just said FY24 we will see a lot of ramp up. So, in a way can you say that you know last 3 -4 years the industry itself has been adopting the standards to EV and hence now the shift will be much more quicker even when you get order like I think in the last quarter, I asked you this questions, where from the time you finalize the deal and when it goes to, you know production, how much time does it takes and now you see a majority of our 205 billion order book is coming into production in FY24, so would you be able to say that now? Okay, the curve of production can be much steeper?

Vivek Vikram Singh: So Jay, look very astute of you , number one and also Happy Diwali, I did not have that good a Diwali because I fell ill but still. So yes, in a way if I were to kind of to draw a visual analogy, the en

d time for ICE and the starting point

for new EV models was actually drawn a couple of years ago. So the people who were late to that point, let's say who were launching new models or who are starting a new model now, they have very little time to go to SOP. So yes, the pressure on us though obviously increases a lot for these customers, that I think I mentioned today and good I think you caught it. I said that there is this Program we won they want to start next year. This is not usual, you know, 18-24 months is the usual time. So I think a lot of OEMs are now under pressure

to catch up and this trend will accelerate and I think Europe has already passed, 2035, is now a hard cut off. ICE s have to drop off if you have to now start doing new model launches. Let's say you are a car maker and you have a car launch in 2027, how many people would think of launching a diesel or petrol car in 2027? Outside India of course . That number is very low, so when you know that already and you know that it is inevitable that you have to launch only EV variants. Now you are getting into a hurry, so yes, yeah the urgency is increasing however and this is a note of caution for the people to also read this and other supplier, there is a time period beyond which we cannot crash these processes, these are all safely critical things, there is an amount of time that one must put in testing, and samples, and validation before we go to market, we do A sample, B1 sample, B2 sample, B3, C... before we go to production, so it cannot be cut down beyond a point also

but you are absolutely bang on right, the urgency and the tone has shifted to you know, one of those everything is needed tomorrow.

Jay Shah : Got it, got it. And just the last question now that we are seeing more adoption, I would not name the OEM, but yeah they have come with another variant where the price of the variant is just half of the ir actual variant which was doing so great so would it be that you know your wallet share per car as you know if if you if you can say it rightly like if Moore's law is applied and if the cost of car keeps coming down, your wallet share per car might go down but obviously your product will go into more number of cars, can that be a possibility?

Vivek Vikram Singh: It is right, I mean if you have seen that chart in which we defined our strategy, we started with very low volume but very high value and very few number of cars, very high performance and then we kept moving down to when EV becomes mass. See still whatever saying that EV is not that mass, it is still most of the successful EVs are relatively expensive for most markets. It will become mass one day, so there is a point which will come, but that is I think 10 to 15 years later when EV is the vehicle, there is no other power train, there is no competing power train. At that time, which sector do you want to specialize in etc, because right now for us it is how much value total and how much can that be done balancing 2 things returns and profit, that is it. There is some things which will have higher EBITDA but lower return some will have slightly lower EBITDA but higher return and you got to balance those two. But yeah, exciting times, the next 2 -3 years will be exciting. Yes, they could be, you know, a couple of quarters here and there, with uncertainties and geopolitical stuff, but I think the direction is pretty clear and I think it is also getting pretty linear.

Jay Shah : Okay. Okay, thank you so much and God speed recovery to you Vivek.

Vivek Vikram Singh: Thanks. Yeah. Thanks

Moderator : Wonderful, thank you very much. So due to the time concern we will end the Q&A sessions here. If you have any follow up questions, please feel free to email your questions to your Nomura sales representative or corporate access team. So now I will pass back to all to Kapil. Kapil over to you.

Vivek Vikram Singh: Actually, I am okay with more questions by the way. I know some of you have to go and attend some other earnings call perhaps but I am okay. We are here. It is only five. It is not that we are going home.

Kapil Singh: Okay, sure. Gigi do we have any more questions in the queue?

Moderator : Earlier we had a question from Afin, but I think Afin just dropped off. Let me see if he is still around.

Kapil Singh: Ok, anybody else.

Moderator : I think Afin dropped off just now. So for those who had raised your question, who had pressed your raise hand function if you have any follow up please

just raise it again, so I know you have a follow up question. We have got a new raise hand from Deepak. Deepak over to you.

Deepak Yadav: Hello, can you hear me?

Vivek Vikram Singh: Yes, Deepak

Deepak Yadav : Congratulations for a good set of numbers. I have two questions. The first is, I believe you were looking for some acquisition opportunities for a compatible sensor based company, if I am correct. So, how far are we in this endeavor or process and what products in your portfolio, I believe in the white region would have synergies if such acquisition will ever take place? Is it your controller or invertors or next generation motors we are working for? The second one is we are seeing kind of boom in electric two wheelers segment in India. Recently I was in my village where my grandfather, he bought EV like electric scooters so it was quite nice. So what Sona Comstar

is basically doing to proactively capture this opportunity. Thank you!

Vivek Vikram Singh: Thank you for those interesting questions, Deepak. So first one I will take, all M&As are binary till a deal is done, nothing is done, once we do and if we

do, we will of course inform everyone. You have very astutely already observed that the right inverter and the controller we control using inversion, so that is why it is an inverter. Basically anything. What is the sensor capability we are looking to add or we are looking to develop that capability is around the software end. We will not enter the chip or the hardware control of it. It will be, how do we get software to control these electronic sensors to perform a function that makes vehicles better for their consumer. That is the objective here. So yeah, the capability alignment will be more towards software driven products.

Second and very interesting one. And thank you for sharing. I have also always believed that our rural India has a great potential for electric vehicles for one of the biggest reasons obviously electricity being subsidized when your TCO goes down dramatically. What we are doing as ourselves we cannot do much because you have to understand that we are B2B2C, so we cannot solve end consumer problems directly. However, we are working with a lot of our customers on electric tractors, electric 2-wheelers and 3-wheelers, which can be used for both passengers and goods carrying for rural India and I genuinely believe rural India has a humongous untapped potential for electric vehicle. I mean just think of electric tractors because you are not going too far from home range anxiety is not an issue. The TCO is phenomenal here. What it does to reduce pollution etcetera is just a byproduct, just economically, it makes so much sense. So we are working with a couple of our customers on electric tractor products and I think it is quite exciting and hopefully all my best wishes to your father and hope there are many more who purchase this. I think the problem currently with vehicles are they are not made for rural roads. I think you need a much wider tread of the wheel, you need better suspensions to take those uneven roads,

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etcetera. But it will get

that there, there is a great market opportunity waiting to be found.

Deepak Yadav : If I can add a small question. So recently there was a company, I would not take a name. They acquired an electric tractor manufacturing startup.

Right? So can I say that in future, Sona Comstar can use their expertise to go into this end product or they are only focused on supplying motors or other mission critical parts?

Vivek Vikram Singh: So Deepak that I will clarify, I know who you are talking about. We will work with such people and supply them the parts they need, we are never going to invest in or buy a vehicle maker, because that is not our business and it provides a direct conflict of interest. We can be in the best intention that whatever we do, but our actions must be above reproach, if we want to be the leaders in our field. So there should not be an iota of a doubt in my customers mind that whatever product that we co design or we designed for them, I am going to use for something else because of a vested financial interest in owning a vehicle company. So that that day we will not let arise, we will help all our OEM customers develop the best products they possibly can but no we will not go and make vehicles.

Deepak Yadav : Thanks and that answers my question. Thank you very much.

Moderator : Thank you very much. So Vivek just want to know if you are okay on time, would you like to take one more question?

Vivek Vikram Singh: 100% and actually Kapil has not even asked me a question, which is usually used to be the first question so I have to at least answer his question.

Moderator: Okay, so we have Sunil next, Sunil your line is open. Please proceed.

Sunil Bhojwani : Hi Vivek and team, thank you and congratulations for the great numbers. So I have two questions. One would be pertaining to China and Europe. What difficulties are you seeing in your plants in China and Europe? And is there any margin dilution happening because of higher input costs like power and

other things due to China and Europe and on the overall consolidated basis.

What capacity utilization are we at? I will ask my second one later.

Vivek Vikram Singh: Sure. So capacity utilization is because we have multiple products and multiple processes. Quite a tough one. So what I try to do is give you product.

I think gears we're running at about 70 odd percent because we just added a lot of capacity. That is why the fixed asset turnover also you would have

seen gone down because we just had a lot of capacity; differential assemblies, etc. I think we are running about 80 -85% and starter motors about at about, I would say 45%, traction motors around 35- 40% like Sat said. So these are the broad things. We do not have a plant in Europe actually, we only have warehouses. So, I know what you mean by the increase in input prices, etc., but since we do not manufacture there, it is not consequential. Our China plant is also not very very big. So of course there are challenges, there were challenges in

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the last quarter, but this quarter has been relatively smooth. But Sat, anything you want to add on our China plant?

Sat Mohan Gupta : No Vivek, I think you covered it very well. Right now we are not seeing a big change in our forecast in the numbers.

Sunil Bhojwani : So any lockdowns or anything else is not really hampering the plant in China, okay. And my second question was with pertaining to the customers and also due to the high growth in the BEV and EV segment, is there any cannibalization possible? And do you have a lot of overlapping customers? Because what I see is you have close to 37 customers in the Nov EV and about 19 odd customers in the EV segment, so is there a lot of cannibalization which could kind of take the growth away?

Vivek Vikram Singh : Not that much actually. So if we can, I think I know you're talking about the order book slide right?

Not much because if you look at it, passenger vehicle, everyone has an E V variant and usually we are there, so that is where cannibalization can happen. Off highway and commercial vehicle there isn't much two wheelers we were not in and three wheelers, two wheelers are added only recently after we made the traction motor. It is not really cannibalization and I think I mentioned this trend when I spoke in my opening remarks that for the gear guys, we are actually moving up. We have already done so for two customers like I said, hopefully we will do it for one more instead of cannibalization, it is actually value addition is increasing for us. So that is what is happening for us so far.

Sunil Bhojwani : Okay. That helps, if I could just add on one thing. How do you forecast the next few quarters on overall basis. I know you do not give out any guidance or numbers but a little view of yours, and your management.

Vivek Vikram Singh : I mean it should be good and strong, you know our track record, it should continue to be good. We just do not know how the macros would be, because what is harder to estimate is, you know, the base that you have already, you know which new order books, how much you land, but what happens to the base you have not had, does that shrink? And if yes, by how much, I mean in just the last three years we have seen the industry go from 96 million vehicles producing industry to 72 million. So that is the variable that we do not know but yeah, growth should be there and it should be robust in the near term, in the medium term, hopefully also in the long term, but at least we can answer till the near term and medium term.

Sunil Bhojwani : Okay, great, thank you so much. Thank you. That was it from my side.

Moderator : Thank you Sunil for your question and thank you Sir Vivek. Thank you. Just a kind reminder for clients online if you have any further questions, please feel free to use the raise hand function we will help you to unmute your line. Alternatively, do submit your question to us through the Q&A box, we still

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have a short time left before we conclude the call. So do take the last opportunity to ask any questions you may have.

Moderator : Hi so Vivek, seems we do not have any follow up questions as of now, would you like to end the call slightly earlier with the closing remarks.

Vivek Vikram Singh : Sure, unless Kapil wants to add anything, we must take our host's permission before ending things.

Kapil Singh : No, I will hand it back to you Vivek for any closing remarks. Thank you so much.

Vivek Vikram Singh: Nothing, as always thank you to all of you who attended and gave us your valuable time. I know there are many things you would maybe rather be doing on a Friday evening but your questions help us understand our business also better. We do not look at it the exact same way the outside world looks at it. So it makes us better. Learning is iterative and we hope to continue learning and continue to do better in the future. So thank you and see you again next quarter.

Kapil Singh: Thank you very much everyone for attending the call and I thank the entire management team of Sona Comstar for taking out time as usual. Thank you.

Vivek Vikram Singh : Thank You

Moderator: Thank you everyone. Thank you again for your time. Happy Diwali and now you may drop off the line. Thank you.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Jan 2023

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY23 Earnings Conference Call Transcript
January 24, 2023

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Ladies and Gentlemen, good day , and welcome to Sona Comstar 's Q3FY23 Earnings call. Please note all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes.

Please note that this call is being recorded . We request that you place your lines on mute, except when asking a question.

Slide 2:

We will now go to the disclaimer . Some of the statements by the management team in today's conference call may be forward- looking in nature , and we request you to refer to the disclaimer in the earnings presentation for further details.

The management will also not be taking any specific customer -related questions or confirm or deny any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now I'll hand over the floor to Mr Kapil Singh, Head of Consumer and Digital Commerce Research India and Lead Auto Analyst at Nomura. Kapil, please go ahead. Thank you.

Kapil Singh : Slide 3:

Hi, Good day everyone. To take us through the Q3FY23 results. We have Mr. Vivek Vikram Singh (MD and Group CEO), Mr. Kiran Manohar Deshmukh (Group CTO), Mr. Sat Mohan Gupta (CEO, Motor Business), Mr . Vikram Verma (CEO , Driveline Business), Mr . Rohit Nanda (Group CFO), Mr . Amit Mishra, (Head Investor Relations) and Mr . Pratik Sachan (DGM Corporate Strategy & IR).

I will now hand over the call to Vivek for his opening remarks and the presentation. Over to you, Vivek.

Vivek Vikram Singh: Thank you , Kapil, and welcome everyone to the earnings call of what has been our best quarter ever in almost every aspect of our business.

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But first, as is our policy when talking to shareholders, we will begin with the challenges. Due to the new battery standards, most of our EV 2 Wheeler customers had to get their vehicles homologated again, which meant we saw very little production in October and November, which has negatively

affected Q3's traction motor sales. The production run rate has normalized since December , and things are back on track, and we are back to our old run rate. On the cost side , as you would have seen in other companies and industries, raw material prices have continued to come down. But our largest purchase commodity, which is alloy steel, remains at elevated prices. To be perfectly frank , for the first time in almost four quarters, there are very little challenges to talk about , and the lead indicators are frankly good.

So I'll move on quickly to the positives. So in financial terms , we've achieved our highest revenue, highest E BITDA and highest net profit. We also won the biggest single new order in our history which is an EV driveline program which is a big step for us in both business development terms as well as technology because this is also a new product for us called an electronically locking differential or EDL. This win demonstrates our ability to keep adding new and

higher -value products for our customers and hence new revenue streams with higher per-unit prices for ourselves. We also signed our first acquisition since 2019 with NOVELIC in this quarter , and we are adding a third pillar to our business which is sensors and software. We hope that we can close this deal by the end of this quarter, the current one and from Q1FY24 onwards,

we should see that also for the adding to our numbers. Last, but not the least, on the ES G front, we released our first sustainability report , and I'd encourage all of you to please go check it out. We've taken quite ambitious targets for ourselves in the company.

Now before I go onto the numbers - now we don't consider ourselves to be macro experts actually, probably the opposite, but we inevitably get asked questions about the markets we serve. So to kind of preempt that here are a

few highlights: Q3 was positive on a year -on-year basis for the US market , and things continue looking good. The Indian market did well across all the three categories that we serve - passenger vehicle, commercial vehicle and off-highway - and also continues to be strong. Asia is quite volatile with the Covid situation in China , and we have to wait and watch before we can take a medium- term call. Q3 was also positive for a change on a YOY basis for Europe light vehicles , and we believe that after five quarters of weakness going forward, the Europe market appears to be slowly turning around.

Slide 4:

So to the numbers, we've had good sequential growth and more importantly on a YOY basis, our revenues grew by 39%, while EBITDA and net profit have grown by 43 % and 45% respectively. This is because of consistent margin improvement. BEV revenue , in absolute terms , grew by 29% to its highest -ever number of over 173 crores . While the BEV revenue share for the quarter was 26%.

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Now , this is the first time we've actually crossed 100 crores in quarterly net profit on an organic basis. And please forgive me for a bit of nostalgia , but I still remember when we crossed 10 crore PAT for the first time , it was Q4 of FY2016. That was my first year at Sona. Obviously , for Vikram and Mr. Deshmukh , it was many many years, but my first year and to have grown over quarterly profits by about 10 times in less than seven years is a really proud and meaningful milestone for all of us here in the team.

Slide 5:

Coming to nine -month figures , Revenue, EBITDA and PAT are up by 22 % , 17% and 18% respectively.

I'd also like to point out that due to a strong Q3 , our EBITDA and PAT margins have both returned to a usual long range of 25 -27% and 14-16% . I think , given how the product mix and geography mix looks like going forward for the next, I'd say at least 4 -5 quarters , I think , it's safe to say that we can sustain the new 27 % and 15% margin ranges.

Now since the calendar year 2022 has ended we also got our global market shares calculated by Ricardo. So again, first, not-so-good news. I'll start by saying that global market share for starter motors has declined from 4.6 to 4.1%. Now, this is not because we lost any business, but mainly because the highest starter motor market shares are in Europe followed by the US, both of these declined as a percentage of the world auto market. While Asia, where we had lower penetration, grew its share in CY22. Hopefully, as both Europe and the US look like they are picking up, we should see recovery on this front in calendar year 23.

Our market share in differential gears , on the other hand, continues to grow rapidly and has reached 7.2% of global volumes. Despite this relative shift of the US and Europe going down, this is what underlines our ability to grow on the strength of new orders alone.

Slide 8:

Coming to EV, our battery electric vehicle revenue share has increased from 23% in nine months FY22 to 25% and BEV revenue in absolute terms has grown by 31% to over Rs. 4.6 billion in the first nine months of the year. We continue to build our own EV order book , and in Q3 we have added four new EV programs and two new EV customers.

Slide 9:

So there are two new driveline program editions, both for existing customers and targeted at the North American market , on which I'll elaborate on the next slide. There are also two new motor program wins, both for electric two -wheeler makers in India and while one is for a new entrant, the other is for a

currently top 15 E- scooter maker.

With this, we have now reached 41 EV programs across 25 different customers. Exactly a year ago this metric was 24, across 14 customers, which means we have added 17 new programs and 11 new customers in just 12

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months. This displays our growing EV presence globally and the pace at which we are growing. In fact, we did an internal analysis based on a JPMorgan report and found that in the next three years, 98 new EV Car models are going to be launched in the US, Europe and India and our driveline products will be present in 21 of them.

Slide 10:

Now, coming to our proudest and perhaps the single most significant achievement this quarter. We have won a new order for electronically

locking differential assemblies on EDLs, which is the single largest new order win in the history of our company. This is for an existing EV customer and is our most advanced and highest-value driveline product. If you happened

to visit us at the Auto Expo, you may have seen this on display. This win has come after a lot of effort, a lot of joint hard work between our customers'

and our own engineering teams.

In addition, we've also won another differential assembly program for electric cars for the US market from a different existing customer. And what is remarkable in both is that both programs must start in less than 12 months.

It shows two things: one the urgency of people to launch EV models and also how much our customers rely on our agility in going from design to production quickly.

Slide 11:

Like we are showing agility in product development we are trying to also show agility in dynamically changing our strategic approach. So we had shown this about a year and a half ago when we did our first call, we have

changed this a little to cover both passenger and commercial vehicle applications. Now in the driveline which is on the left-hand side, you can see that we already

cover most segments on both sides. And this is the point I want to make because oftentimes we get asked on things like content per

vehicle and how much is the differential assembly. Well, the thing is it depends on the application and the torque. So differential assembly value

alone per vehicle can range from \$30 at the bottom to almost \$300 at the top on the passenger side. And on the commercial vehicle side, it can range

from just about \$20 to almost \$900 going to the top of the range. So our

strategy is to cover the whole spectrum for sure but focus more on

maximizing our penetration in the top three segments of both PV and CV. PV

we are already fairly significant, I think in CV also we intend to increase our

penetration while also being present in and benefiting from the higher volumes of the lower power side.

In motors, on the other hand, we cover only the lower end of the power

range today, which is high volume but medium margin. I mean we produced

120,000 traction motors in 2022 and given that only around 630,000 e-2-

wheelers were sold in India in that time, that should comfortably put us

among the top players if not the single largest player in India. But that's not

the end goal for us, it never was, that is only the beginning, and we intend

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to cover all vehicle segments. The focus in the next three years at least will be on light passenger and light commercial vehicles and electric buses,

that's going to be our focus. And in time we hope to advance to larger passenger vehicles and commercial vehicles, but not in this current phase.

So that's the strategy on electrification.

Slide 13:

With that we come to our net order book which has increased on the back

of these 4 new EV programs and 5 new non-EV programs, those are mostly

in the driveline products for commercial vehicles. This increases by 35% year on year and our order book increases 16% over just last quarter, and we reached finally 238 billion at the end of Q3. Now the large size of the EV programs wins have also increased the proportion of EV in this order book, and now it's 73%.

Slide 14:

We've also updated our customer reach metrics at the end of 2022 and are exceptionally honoured that today we serve 7 of the world's top 10 passenger vehicle OEMs. We serve 3 of the top 10 truck makers and 7 of the top 10 tractor makers of the world. We are also privileged to supply to 4 of the top 15 electric two-wheeler makers in India and 5 of the top 15 electric car makers in the world. This reach ensures that we are well diversified and a part of a structural growth trend as electrification increases and not just dependent on one or two customers.

Slide 16:

With this, we neatly come to diversification. The weakness in Europe in the first nine months means that the revenue share from hybrid and micro-hybrid has been lower as compared to previous years. On a longer-term trend, the increasing share of BEV and decreasing proportion from ICE seems to be continued.

Slide 17:

Geographically, things have been far more interesting as you can see, Europe and Asia, which used to constitute around 40% of our revenue last year were reduced to only 25% for the first time. Now, despite that are exceptionally strong growth in the US backed by new programs and new order wins and the strengthening of the Indian market have more than made up by increasing to 45% and 29% respectively. Now relative market shares can be tricky like I said, I think last time also especially in the times of big growth. So when analyzing these numbers also look at the absolute numbers like how our Europe revenue has in fact increased on a YOY basis in Q3. There is little change in product mix or vehicle segment mix from the last quarter. So not too much to add here.

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So with

this, I turn to our group CTO, Mr. Deshmukh to update us on technology, over to you.

Kiran Deshmukh: Slide 18:

Thank you, Vivek. Good evening, Ladies and Gentlemen!

Slide 19:

Like in the past, I am sharing our technology roadmap with you. Every time a new product under development is commercialized, we move it from the white area to the blue zone. Last quarter, for example, our breakthrough net-shaped spiral bevel gear set moved to the blue semi-circle reflecting its commercial launch.

This quarter, our newly developed electronically locking differential assembly or the EDL debuts for the high-end electric SUV for the North American market.

The EDL is an advanced technology used in high-performance and off-road vehicles to enhance stability, traction and safety. An EDL is a type of differential that uses electronic actuators to lock the wheels on the left and

right sides of the vehicle together. This allows the wheels to rotate at the same speed, providing maximum traction and stability. The differential is controlled by a computer that receives input from various sensors such as the vehicle speed, steering angle and yaw rate.

The computer then uses this information to determine when the differential should be locked or when it should be unlocked based on the driving conditions and the driver's inputs.

The technology enables better performance in off-road and inclement weather conditions.

The EDL as you would have seen from what I said before, is a critical component of the car and must integrate seamlessly with the rest of the vehicle systems. So this development required a significant amount of engineering and testing to ensure the EDL performance effectively while

minimizing the impact on vehicle's energy efficiency and meeting regulatory requirements. In this particular case, the customer's launch schedule was highly aggressive, and our engineers worked closely with the customer's team to make this happen. This demonstrates our engineers' abilities to work collaboratively in quickly developing highly engineered product and the customer's trust in their capabilities to do so.

On that note, I hand it over to Rohit to cover the financials.

Rohit Nanda: Slide 20:

Thank you, Mr. Deshmukh. A very good day to you all. It's my pleasure to share our third quarter and nine months results for financial year 2023 with you.

Slide 21:

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Q3 was our best quarter in all three parameters of revenue, EBITDA and PAT at 685 crores in revenue, 186 crores in EBITDA and 107 crores PAT. Our BEV revenue grew by 29% this quarter, whereas our non-BEV revenue grew by a robust 42% which is more than two times of the underlying market growth of 18%.

Our EBITDA margin has improved back to above 27%, and it was 80 basis points better than comparable quarter last year, primarily due to better product mix. Absolute EBITDA has grown by 43% compared to revenue growth of 39%. On a sequential basis, EBITDA margin is up by 200 basis points mainly due to better product mix. Profit after tax at 107 crores is higher by 45% compared to adjusted PAT reported for the third quarter during last year.

Slide 22:

During the nine months of the year, our revenue grew by 22% to 1,932 crores. Our BEV revenue grew by 31% to 467 crores and constituted 25% of our total sales. Our non-BEV revenue grew by 20% while the light vehicle market in our three largest markets of North America, India and Europe grew by only 1% over the same period.

For nine months our EBITDA grew by 17% to 494 crores, EBITDA margin percentage was lower by 120 basis points, largely due to arithmetic effect from increase in RM prices despite the cost pass-through. The PAT for the first nine months grew by 18% to 276 crores, compared to the adjusted PAT of 234 crores for the same period last year. Margin transmission be

tween EBITDA

and PAT is better due to lower finance costs as compared to the previous year.

Slide 23:

This brings me to the slide on the key ratios. Our value addition to employee cost ratio continues to improve further, and it is now 6.4 times showing that the rate of marginal growth in the value addition is higher than the growth in employee cost of the company.

Our return ratios of ROCE and ROE continue to be strong, above 25%. Though these are a bit lower from the past two year levels, primarily due to higher working capital and ongoing capital expenditure for revenue to be

generated in the future. Return on equity also had a base effect due to primary equity raised in the IPO, during the last financial year.

Our net debt continues to be negative, reflecting the balance sheet strength to raise debt in order to support future growth.

Working capital turnover ratio

has improved to 4.1 times. Whereas fixed asset turnover ratio has come down a little bit to 3.9 times, mainly on account of new capitalization done during the year.

Slide 25:

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Last, but not the least, we are glad to share that our first sustainability report has been published in December. This can be accessed on our website. For now, I'll just briefly touch upon the key ESG goals that we have set for ourselves.

Our environmental goals include providing solutions for low-carbon mobility by increasing revenue from products meant for electric vehicles to 45% of our revenue by 2026. Besides this, improving resource efficiency in our operations through reduction of specific energy consumption by 4% by year 2025 and 8% by year 2030. Besides this, we have also taken targets for reduction in Scope-1 and Scope-2 emissions. Apart from environmental goals, we've also set other ESG goals like social and governance goals, which include maintaining the highest levels of quality and health and safety environment for the employees - be an equal opportunity employer, create a meaningful impact through our CSR programs and ensure highest level of corporate governance through zero tolerance for corruption and non-compliance.

I will encourage you all to access our sustainability report on our website, and with this, we have now come to the end of our Q3 earnings presentation. I will now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you so much, we will now open the floor for the Q&A session. If you wish to raise a question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak. Or you may submit your questions via the Q&A chat box addressed to all panellists. Please be reminded to keep your questions to a maximum of two questions. If you have more questions, please return to the queue. Thank you!

We will take the first question. It is from Gunjan. Gunjan, your line is unmuted now kindly go ahead.

Gunjan Prithyani: Sure, thanks. Thanks, team, for taking my questions. Two questions from my side, firstly on the, you know, on the order backlog, clearly this is impressive, but you know, we're adding new programs, we're adding new customers. What I'm just trying to get more colour on is, you know, slide nine, where you give your programs which are under serial production. Now though, that number has been sort of at 10 for the last couple of quarters. You know, if you can give us some colour on, when do we see some of the new commissionings, you know, the new wins that you speak about today, you do mention, you know, that is towards the end. Is there something which flows through in the next couple of quarters, and, you know, what segments would that be in, some colour on how we should see the order book translating into revenues over the next 3-4 quarters, that will be the first question?

V

Vivek Vikram Singh: Gunjan, so first of all, hello and second, you know, our business is long-term in nature, it's a long-term game we are playing with long-term players, three quarters, two quarters is not the way to look at programs, even if a program

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and you covered auto for a while. So 10 means, this 10 is not just in serial production, it is at its maximum. So it is a fully ramped-up thing. No program can go from start to fully ramped up in just three quarters. So it doesn't happen. So it'll be hard for me to comment on that. We will keep looking at it every quarter, and we should see, but in the next 4-5 quarters, we should see a lot of programs becoming active even if they're not fully ramped up. I mean, if you look at our BEV revenue right, that should give you some indication that they are obviously ramping up, which is why numbers keep going up.

Gunjan Prithyani: Okay. But you do expect like, you know, few of these which are, you know, which are in the order book, start commission or start contributing. I mean, I understand that ramp will take time but is there visibility from the next 3-4 quarters' perspective?

Vivek Vikram Singh: Yeah yeah, even in this quarter, there are four or five that have started, but they have not come to a stage where it is fully ramped up, and that how much time it takes, that's, one that's not in our hands, that's in the customer's hands, and that can take a while, but yeah, a lot of them are starting actually this quarter, a lot of them are starting.

Gunjan Prithyani: Got it, and Vivek, the second question on this whole, you know the EV competitive landscape that's been changing globally, right? I mean, we all

saw the way, you know, the EV makers are looking at price cuts and aggressively pricing the models, and you know, in that context, when you're looking at your opportunity, you know, how are we approaching this now? Because does this mean there is more cost pressure as a supplier, you know, given the pricing from the OEM is getting more aggressive, and I don't want to name the customers or OEM here? But I mean clearly, there has been very aggressive pricing and uh, you know, you know, does this aggressive pricing mean that the market shift could accelerate? So how are you guys approaching this change in the narrative on the EVs?

Vivek Vikram Singh: So there is a lot of noise out there, and not enough signal. With most of our customers, we worked, and I know who you are talking about, but we have worked with most of them for decades. Behaviour between customer and supplier if you have a long-term relationship doesn't shift overnight. Market news shifts overnight, yes, capital markets react overnight, but relationships don't change that much like business models don't change. We do not see any significant impact on that front, to be honest, at all. Acceleration in electrification, yeah, I mean, look, if people cut prices, of course, it can be accelerated. However, the biggest shift will come when battery prices actually go to the level they should be, which is much lower than today actually, the last couple of years is when the battery prices have plateaued. That's what has kind of made electrification penetration slower in the last couple of quarters than it was. That is the big one that I will ask you to look at. I can understand, in your role, you come across news every day, and you have to see that changing. We, let's say, we win a new order, right? We've been working on this for the last two years, on the pricing and all the product

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development. It doesn't suddenly change overnight just because the news item comes. So nothing, I mean, you have, you know, our numbers for the last 22 years. We get asked this question a lot. But do you think

auto was ever

a market in which customers were like, no, no, increase your margins a lot? We don't care about cost. I mean, when was auto not cost-competitive? It isn't got to do with the EV world. It was always this way, which is perhaps why we are rare in making the kind of margins we do.

Gunjan Prithyani: Okay, got it. Just last clarification, and I'll join back the queue. The EDL product that we've, you know, we showcased at auto component expo, and you know, if you can give some colour on how the cost of this product is different from the diff assembly that we've been doing so far. I mean, just broad approximate numbers would help.

Vivek Vikram Singh: Cost or Price?

Gunjan Prithyani: Content value, let me put it very simply for you because, you know, we obsess over content value. So how would it be different from the conventional diff assembly that you were doing?

Vivek Vikram Singh: It is at the highest end of the range I indicated to you. In my commentary, I had indicated that differential assemblies can go from 30 per vehicle to 300 in passenger vehicle side. So it is towards the highest end of that range.

Gunjan Prithyani: Okay, all right, thank you, I'll join back the queue.

Kapil Singh: Just following up on the EDL thing. Vivek, can you just talk about, you know, how many, like, what is your competition in this EDL? And how much time did it take to make this product? Also, what are the additional components that go into making this compared to a standard differential assembly that you do, and, you know, in terms of the future applications of this product as well? Where all can this be used in the future?

Vivek Vikram Singh: So I let Vikram answer this because, to be honest, it is his achievement, not mine, and second, again, we should not look at each product and say how much can we multiply by. The thing is, at any range we can, and the higher end is what we will try to service. We won't even stop at EDL, right? We are going to do the whole transmission eventually. So everything that you see to try to predict how our future will look in a year or two, it will not work because if you did the same exercise two years ago, you would have taken \$60 differentials and multiplied by a large number. If you've taken it four years before that, you would have taken \$18-20 per gear set and tried to multiply by that number. Every three years, who we are as a business and what we can do in capability terms itself will change. Vikram?

Vikram Verma: Yeah. Yeah, I think the present differential, which can have 6 -7 main parts, can go up to 15 plus parts to make an EDL. So the content within the differential actually goes up twice, that's one. And of course , the complexity of making is quite different than the normal differentials , which we are making for EV vehicle for passenger car, a low -end pass-car application to

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a very high -end pass-car which uses EDL, off-roading application, it is required. So as I said , it will be twice in number of parts going in, that I think was your question ?

Vivek Vikram Singh: So, competition Vikram and what is unique about our EDL?

Vikram Verma: From a design perspective, I think the EDL which we have made is quite different from that what competitors have been making for ICE. And so , from that angle , it is very different. I can't explain to you in terms of how it functions, the end function is the same, but the construction is very much different. So that's the uniqueness of what we have made in collaboration with customer.

Vivek Vikram Singh: And this was done jointly with the customer because EDL existed in the ICE world , but they didn't really in the EV world. So to make it with the customer was a challenge , and we've done well. The traditional competitors were GKN and Dana. I think these were the two who were

known for EDLs in the

past. But this is different because it's made only for like this a born electric. This is a born electric EDL. So in a way , it's a different product. And again,

we're trying to be one step ahead of global competition. I mean, if we have to make a mark globally, you believe we have to always be doing, you know, different things. So that's the goal of this.

Kapil Singh : Yeah. And how much time did it take us to make this?

Vivek Vikram Singh: From beginning to now? A while, Vikram?

Vikram Verma: I think we have been working for the last two years.

Kapil Singh: Okay, And we also have another order for differential assembly for electric cars. So could you talk about it as well that, is this a product? and also , the

question that I was asking on EDL was also the thing that not so much from, you know, numbers prediction but just to understand the applicability of EDLs, will it be, will the future high -end electric cars also be using EDLs according to you is that a requirement?

Vivek Vikram Singh: Big SUVs and pickup trucks.

Kapil Singh: Okay, so most of the electric SUVs and pickups will be using it, all right .

Vivek Vikram Singh: It is a better way than doing what, I would not name the company who was trying to do with a quad motor configuration. This is a better way to achieve the same end result.

Kapil Singh: Okay. And does it have any software components as well?

Vivek Vikram Singh: No, I mean software is at the OEM end, ours , we just have the electronic actuator . I think I showed you at the auto expo what that does , but not software.

Kapil Singh: And this will be over what period this order is, the order book that we have assumed is over what period?

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Vivek Vikram Singh: So the order books end is 10 years , as you know, I mean, we only give for ten years. Obviously , it is less than 10 years because it begins in. Yeah, but this is an open order. So as long as the vehicle.

Kapil Singh: And by when can we hit the peak revenues here ?

Vivek Vikram Singh: That's a good question.

Vikram Verma: I think it kicks off from the end of this year and should grow over the next two years, 2026 probably it will peak.

Vivek Vikram Singh: Calendar 25 or 26 calendar should be peak.

Kapil Singh: Thanks , Juliet, you can continue with the Q&A .

Moderator: Okay, thank you. Next question is from Chirag. Your line is unmuted now. Please go ahead.

Chirag Shah: Yeah, thanks for the opportunity. Hi Vikram and everyone, I had a question

on a follow-up that actually answered some of my questions on EDL. See, my basic question was how and why an OEM would adopt EDL over a differential assembly, one. Be it passenger car or commercial vehicle, that is the broad question. And second, is there a regulatory push required to achieve the penetration of EDL?

Vivek Vikram Singh: EDL is a differential assembly. Name is electronically locking differential assembly.

Chirag Shah: The reason why I was asking is, the cost or the value difference, as you indicated, from 30 to 300, is at the top end of the spectrum, means it involves a good amount of value content jump from an OEM perspective, also. OEM spending \$30 may not be willing to spend \$300. So what will drive them? You partly answer SUVs and pickups. But why and how to transition to even lower vehicles or cars or commercial, and is regulatory push required for this for faster penetration?

Vivek Vikram Singh: No, so I will answer this. I think you are trying to ask that with the new product that will go in everything? No, it won't.

So EDL is required if, you, one, you need to have a four-wheel drive as a beginning. Why 30 vs 300 is also how many driven axles, right? So two, so first, you have to say it is actually 30 to 150 in that sense. Even in that case, it is the class of vehicles. So if

you don't have an off-roading four-wheel drive requirement, you don't need anything. You don't need an EDL for a city car. Which is why I said SUV and pickup truck is the target segment, which is why in that if you look at the highest segment.

Chirag Shah: And I presume push is required for adoption. That it is a natural progression the way it happened in ICE.

Vivek Vikram Singh: Not really. This is more the OEM's desire to give you better handling of the vehicle. So let's say he gets locked, and you can max power to the other

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one. How do you need it? Yeah, it is almost all reputable and global SUVs, and I'm taking global definition of SUVs, not the one where crossover also come in. Almost all of them, if they are SUVs, will be four-wheel drive, and they will have EDL even now. So it's an ICE product also.

Chirag Shah: Yeah. And are you looking to enter the ICE market also, given that you have an EDL now and will be required in ICE market, or you are not looking at ICE market at all?

Vivek Vikram Singh: Not at all, because look, we started making differentials in 2016 for EV there is no reason to go supply to a market that will start shrinking. So opportunity just doesn't make strategic sense.

Chirag Shah: Yeah. My second question was on this market share data that you shared, you know, from the differentials and motors. Is it possible to indicate what is the global denominator in that? Because it would be helpful for us to understand what, according to Ricardo, was the global sales like, given that there have been so many upheavals last year, if you can share that number, according to them, what was the industry volume that they have calculated.

Vivek Vikram Singh: Sorry, Chirag. Your voice actually is slightly. I couldn't understand.

Chirag Shah: What I am saying is, if you can share the industry data that Ricardo has used, industry volumes to calculate the market share for the full year.

Vivek Vikram Singh: Sure, that is widely available. 80 million vehicles sold last year CY22, and, sure we will send it to you.

Chirag Shah: Sure, I will take it offline. Thank you for the opportunity.

Moderator: We have the next question from Hitesh Goel. Hitesh, your line is unmuted now, please go ahead.

Hitesh Goel: Hi Vivek, hi team. So, you know, my question is more on the PLI Scheme, you know, so can you give us some sense on what is happening on the PLI? You are already applying to the government on the, you know, incentives that you're getting? But as far as I understand, it's not coming into the P & L as of now, right? So when do we expect that? How is it getting calculated? Because somewhere I read it, the government is looking at value add to

really compute that rather than revenue, which was the first draft, which we saw in the PLI scheme and whether you will be passing on to the OEMs

because that will be a competitive advantage, especially for, you know, Indian automakers, suppliers, right? So whether some part of that will be passed on or, you have sufficient pricing power to hold on to the gates. Vivek Vikram Singh: So I let Rohit answer it. Our accounting treatment policy etc , is clear till we get it, we are not accounting for it. So we haven't made any provision or any adjustments for PLI , but Rohit?

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Rohit Nanda: Yeah. So Hitesh , to the best of our understanding, the scheme continues to be linked to the revenue. So, value addition criteria is basically the qualifying criteria, the domestic value addition. So to the best of our understanding , so far, we have not, I mean , we were called by the ministry also recently to have a meeting and all, but we have not heard about any changes from them , and like Vivek already clarified, we don't intend to start taking the credit in

our books till the time we actually get it, which will be in the next financial year. So when in the next financial year is also something that we don't know as of now. We will probably keep everybody informed as and when we get more information from the government, but this is where we are.

Hitesh Goel: And just to be clear, what is the average incentive on revenue that you're looking at? I mean in your portfolio.

Rohit Nanda: So there are two factors there. One is that it will be limited to the products which qualify under the scheme that I'm sure you understand, the percentage also is graded depending upon the turnover we achieve. I think my sense is that at the peak over the years because one, there is an EV sort of top-up that we are likely to get, overall over five years , I think the peak rate that will hit will be , I think , around 15%, we may start at around I think 11% or so.

Hitesh Goel: And is there a necessity to pass to the OEMs , or you have, you know , because you know ...

Vivek Vikram Singh: Unlikely, Hitesh. You know who our customers are. There is no customer in, I mean, there is only one customer who's above 5%. Most of the customers in India are less than 2% of our revenue, so bargaining power is not the same as it is everywhere. 2nd, for most of our Indian customers, we're not getting any incentives, not much there.

Hitesh Goel: Okay , got it, Thank you!

Moderator: We have the next question from Amin, your line is unmuted now. Please go ahead.

Amyr Pirani: Yes. Hi, can you hear me? thanks for the opportunity, and congratulations on the order win on the EDL. Some clarification on that. So (A) this order , so basically , this is for an entirely new product , or are you like replacing someone or are you giving a better product to something that you are already supplying? So some colour there would be helpful.

Vivek Vikram Singh: So, new product for this customer, obviously , the product exists in ICE vehicles of different car makers but not for them. For them , this is the first EDL.

Amyr Pirani: Okay, okay. And the other order that you know declared today . Obviously, the amount is significantly lower. Is it because it is for a significantly lower tenure , or is it just because it is a relatively lower -value add product compared to the EDL? So I just wanted to understand that.

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Vivek Vikram Singh: Amin, correct. So it is lower value, lower volume and low tenure, all three. Small cars, in an ordinary quarter that would have been a highlight win. But, and that's the point I've been trying to make to a lot of people that you know, you win a big SUV with a big value , you get in money terms, you get way more than you get in volume terms, here even if the volume is decent, value is so little and one axle driven. So it's just not a big car. So you don't get that much.

Amyr Pirani: Great. Most of my other questions are answered. So thanks a lot. I'll come back in the queue.

Moderator: We have the next question from Jinesh Gandhi. Your line is unmuted now, kindly go ahead.

Jinesh Gandhi: Am I audible? Congrats on the EDL order. So can you indicate what's the share of business, would it be 100%? Are we single supplier for that product for that particular model, or it's a shared sort of business?

Vivek Vikram Singh: No, yes, So yeah, single source.

Jinesh Gandhi: Okay, that's great. Secondly, when I look at our Asia Pacific ex-India revenue, that market has been under tremendous pressure to put, so, in terms of share has been following because other markets are doing well, but on absolute basis also that geography seems to be coming down. So what is happening there? Why are we seeing decline in that geography particularly? I mean, I presume that's China.

Vivek Vikram Singh: China plus Southeast Asia, but the decline mainly on the ICE starter motors

as a percentage of vehicles sold is getting lowered. So if you have only one product, and that is what the plant in China does. That's a starter motor plant. So yeah, there is a time where we'll have to figure that out. What is the point of continuing in a particular market that's electrifying fast? So that was bound to happen.

You know, China is electrifying far faster than India. So India, your starter motor business or even in the US can continue for 15 years, let's say, but in China, maybe five years, six years, it may be all-electric.

Jinesh Gandhi: Okay, okay. And are we seeing increased penetration of our driveline products in China, or that is difficult?

Vivek Vikram Singh: No, I think we mentioned this even right from the I. P. O. time that our strategy is North America, Europe and India to retain because we already have very very high market share and grow in US and Europe. Now this time why our market share increased is we grew quite a lot in North America, Europe is still very under-penetrated. I would say low single digits is what would be a differential gear market share. Asia, especially, China, the biggest problem is there is a duty, Jinesh. So if I export, there is a duty, and if I want to go set up there, you know we have, we don't see that as a better choice and right now if you have a lot of room to grow in North America and Europe like a lot. It (China) is also a lower-margin market, by the way.

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Jinesh Gandhi: And lastly, on the PLI part, I mean, given that only few of our products would be qualifying for that. Can you talk about what percentage of our current revenues, would be eligible for PLI scheme in the sense, in terms of the portfolio mix would be eligible for PLI scheme and similarly, if you can do it at the order book level, that will give us some indication of how we stand in terms of our qualification for PLI?

Vivek Vikram Singh: So I don't think that's a true assumption that only a few of our products are qualified. Will be qualifying is not the thing because the list is out. So all EV differential assemblies, all EV traction motors and Rohit, IMCM will also qualify, right?

Rohit Nanda: That we are getting clarification but right now, our EV revenue largely would be a good indicator as of now.

Vivek Vikram Singh: Yeah, actually that's, that's a very good one. EV revenue. So whatever is EV is pretty much automatically qualified.

Jinesh Gandhi: Got it. That's very helpful. Thank you. Thanks, and all the best.

Kapil Singh: We have a couple of questions in the Q&A box as well. So one of them is from Pragya Shah, you have added a lot of new products in the last year. Have you seen any new customers or existing customers ordering these new products apart from first initial customers for whom you have initially built these products? The reason is to understand RoC on these products.

Vivek Vikram Singh: Yeah, Rohit, you can take this.

Rohit Nanda: So I think the number of customers and the products actually we disclose every quarter. So if you see the number of customers and number of orders, they've been going up. So there are repeats, no, I shouldn't say repeat, but there are different customers buying the same or similar products. And what was the second part of the question?

Kapil Singh: So basically, if there are, the question here implies that if there are more

people ordering the same new product , then maybe the ROC E on the product will be better. So is that how it works? How do the ROC E on the new products work?

Vivek Vikram Singh: I don't subscribe to that philosophy number one. I think if your product doesn't make in the first batch itself, it doesn't start making good money and return , you shouldn't do it. So we don't follow or subscribe to that philosophy. If we have a single order also ,

it will be ROC E positive , and it will be in the range that we have been doing business. That is the discipline with which we do anything anyway. We don't price , actually , as you guys would have also found out in other companies , that thing of let's first introduce a low price and then when volumes increase , we will get higher price does not work in auto. Whatever is the price you set , it can only go down from there. It can never go up from there , and from economies of scale, yes , they come in but not that much. However , if you just add a look at the latest order that , we, I mean, traction motors is a new product category. We went from no

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customers to 7 -8 customers in almost two years. If you take any of the ones but you have to go at least 2 -3 years because for a product to go from when we announce it to S. O. P is one year, from S. O. P. to other customers seeing it and enquiring and then trying to build that would be another year minimum , so 2 to 3 years is how much time it takes. But anyway, I mean economic value- wise, it should start working out from product one.

Kapil Singh: Yeah , and then the last question from my side, you know Rohit , you talked about the fact or Vivek , you also, that we should be able to hold onto the margins around these levels. So if you could just talk us through in the context of EV revenue mix will be going up and what are you seeing on the raw

material costs and also the motor business mix will also be going up. So when you put these three variables together , what are you seeing?

Vivek Vikram Singh: You said just three, there are more, there are many more, but I won't confuse you, which is why I had said very simply that at least for the next 4 -5 quarters , we see 27 and 15 as sustainable levels. If nothing changes drastically, and alloy steel does not go up further , or you know, aluminium can go up further. However, I think there is also potential for good news, which is equal, which is alloy steel can come down also, which it should. Geographic mix and product mix, we kind of have an idea of what the next four quarters are. It looks like it should hold at this level. There are other variables also , by the way, but I'm not confusing the matter. I'm just trying to give a straight and simple answer that it should be continuing, nothing else. I mean , interest etc , doesn't really affect us that much. So I don't think there are other variables at play.

Kapil Singh: Okay, great . Juliet , I'll hand you back for the closing remarks.

Moderator: Thank you very much. We will now conclude this call. If you have any follow - up questions, please feel free to email your Nomura Sales Representative or corporate access. Thank you , everyone, for your time . Over to the management for the closing remark.

Vivek Vikram Singh: Thank you , Juliet, and thank you , Kapil, and thank you , everyone , for attending. I'm sure you have other places to be. So I won't take long. Thank you.

Kapil Singh: Thank you. On behalf of Nomura, we'd like to thank the management and all investors for joining us. Thank you very much, and we can close it now.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Jan 2023

Sona Comstar – Adding a New Pillar of Growth Page 1 of 33 SONA BLW Precision Forgings Ltd. (Sona Comstar)

Adding a New Pillar of Growth – Call Transcript

January 09, 2023

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Ladies and gentlemen, good day, and welcome to Sona Comstar's

Conference Call. At this moment, all participants are in the listen-only mode.

A question-and-answer session will be conducted after the presentation

concludes. At that time, you may click on the video question button below the media player to ask your questions. Please note that this conference is being recorded. Some of the statements made by the management team in today's conference call may be forward-looking in nature, and we request

you to refer to the disclaimer in the earnings presentation for further details.

The management will not be taking any specific customer-related questions

or confirm or deny any customer names or relationships due to confidentiality reasons. Please refrain from naming any customers in your questions.

I now hand the call over to Mr. Vivek Vikram Singh for his opening remarks and the presentation. Thank you, and over to you, sir.

Slide 3:

Vivek Vikram Singh: Thank you, Aman, and I hope everyone had a great New Year. On behalf of

Sona Comstar, I'd like to welcome all of you to the addition of a third pillar in our growth story, one of sensors and software.

Now, as the automotive world

moves into the future, it is becoming what we call EPIC. In the last couple of years, all of you must have read or at least heard extensively about chips.

Well, another term for chips is integrated circuits or IC. That is the same IC in NOVELIC. It is the same IC, which is in another form in our view of the future of mobility.

So we've coined this term EPIC to capture all the four big ships, which are electrification of the powertrain, personalization of the vehicle to match and

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suit driver preferences, the increasing intelligence of vehicles in the systems

inside them. And lastly, the connectedness that makes all of this possible. So in the EPIC, IC also stands for intelligent and connected, and that is the IC in

NOVELIC that it is novel, it is intelligent, it is connected.

In this, I'd say, brave new world that is coming, sensors and software will play an oversized role in the automotive. This realization has been there with us for

a long while, but it really hit home when we were making our IMCM module,

the Integrated Motor Controller Modules for the intelligent suspension. And we realize this is that just a single module in a vehicle requires 2 million lines of

code, which is about 5x the software that goes into an average space shuttle.

And that's not a very surprising thing. An average modern car has around 100

million lines of code, whereas the more advanced ones can go up to 200

million, and a fully autonomous vehicle will have more than 500 million lines

of code. With this context in mind, we have embarked upon the next phase in our long-term strategy.

Slide 4:

Once again, we have been listed for almost 18 months, and I want to

reiterate our purpose as a company. Why we exist as a company is to be one

of the world's most respected and valuable auto technology companies. This is important to keep in mind with why we do the things we do. There is a purpose. We are a company that's led by a purpose, and that is why it's

important to keep in mind when you look at any decision that we take.

Our automotive industry, as all of you already know, has a technology

megatrend called electrification. And we expect that by 2035, EV

penetration would be over 80% at least. On that trend, we acted early. We

started our journey on electrification in 2016. And that has allowed us to take

a leadership position in the global driveline space as well as the Indian motor space.

Now today, a new technology is emerging, which is one of increasing

autonomy and intelligence of vehicles and systems within these vehicles. And

in the same Sona Comstar spirit of moving not where the wall is today, but where the wall will be in the future. We are taking a meaningful step in the

direction of electrified autonomous vehicles or E-AV with the NOVELIC acquisition.

Slide 5:

Now building an autonomous vehicle, in simple terms, is a matter of replacing with machinery, the three things that humans need to drive – the hands and feet that operate the controls, the senses that perceive their surroundings and the brain that turns the data into decisions. Now the first bit is mostly mechanical and electrical.

The second one, the one of perception, is achieved through sensors, whether they be cameras, LiDAR or radar sensors. And the third, the intelligence to turn this input data into decisions, is software. Software plus and iteratively learning general intelligence or, in simpler terms, AI. This is what is driving autonomous.

What this does and what NOVELIC helps us is in adding the second and third set of capabilities of semiconductor chip design of radar sensors, software and ML/AI tools to add to what we already have in mechanical, electrical and electronic abilities. This would help us to start building the third business vertical of sensors and software.

Slide 6:

Now why NOVELIC specifically? So we have five compelling reasons for this.

One, extremely, extremely few companies share our DNA of being high technology, high growth and very high profit. I mean, their 27% net profit

margin is rare. And when we saw that NOVELIC has achieved all three of these without any external funding ever, metaphorically speaking, at least it was love at first sight.

Second, we've done a lot of research in the last six months to val

idate the

hypothesis that radar sensors are the best technology to solve the in-cabin sensing problem. We'll speak more about this and why best, as I've said repeatedly, best is not just high performance. It is high performance and low cost and, importantly, with a zero invasion of passenger privacy.

Third, which is very very important to us and very close to our hearts. And it is also a fact that most M&As fail mostly due to cultural integration issues. With NOVELIC, although, if you can see them on your screen, you will later, they may not look like us to tally. But culturally, we are very very similar with shared middle-class values of integrity and frugality and respect for money. They are also committed to vitality and agility in innovation and engineering excellence.

Fourth, and this one is a slightly technical one that, this is one of the rare vertically integrated companies in this field with capabilities spanning the entire gamut from chip and sensor design to signal processing software; very

rare to have the whole capability set at one place.

And last but not the least part of it. So we expect this deal to be EPS accretive from the first year itself while providing us the opportunity to grow this into another \$100 million vertical in the next six to seven years.

Now we'll talk about each of these details in the next few slides.

Slide 7:

So first, the market. Because of increasing autonomy and intelligence in vehicles and vehicular systems, more-and-more perception is required. This perception is achieved through sensors, as you can see on your screen, whether they be camera, LiDAR or radar. And according to McKinsey,

increasing adoption of ADAS and autonomous or semi-autonomous driving will propel this ADAS sensor market to \$43 billion by 2030, which is a 3x jump in the next seven to eight years. Now today, most ADAS applications are so old by single sensor solutions.

However, as autonomy advances, this can only be achieved through a multisensory approach and sensor fusion, which means a combination of camera, radar or LiDAR and the ability to integrate it. Today, there are very few companies globally that have innovative single-sensor solutions, let alone having multi-sensor. So no one company actually today is working on all three types. NOVELIC is very proficient in radar technologies and can offer sensor

fusion algorithms to its customers.

Slide 8:

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In addition to its technology prowess, NOVELIC is unique in its approach to high profitability and sustainable growth. It has been profitable every single year since its inception. It has grown revenues at a phenomenal 53% CAGR over the last 10 years. And all of this without ever raising any external equity capital. So there is a lot I admire in these three gentlemen that I may not have told them personally, but I'm telling that publicly that the journey they have taken is inspirational to us in many ways. And this is so much like Sona in how we value money, technology and growth that - I mean, this is only our second acquisition in eight years. So it goes that we look very hard and we are very selective. But when we do find someone, it is someone very aligned with us. So together with NOVELIC, we are going to be one of the very few companies in the world to have a large and growing revenue share from the twin automotive megatrends of electrification and autonomy while achieving and maintaining a high growth and remarkable financial performance in terms of profit and return on capital. Now I'll hand over to our Group CTO, Mr. Deshmukh, to talk more about the technology and its application. Mr. Deshmukh, sir.

Slide: 9

Kiran Deshmukh: Thank you, Vivek. Good evening, ladies and gentlemen. Radar will play a significant role in ADAS world

. Radars can detect distance and speed of the vehicles on the road, obstacles in the car's path, the position of the car relating to the road and other vehicles and the car's blind spots. Mainly ADAS

functionality, such as adaptive cruise control, automatic emergency braking, lane-keeping assistance and autonomous driving, cannot be performed cost-effectively without ADAS.

Another critical application of radar technology is in in-cabin sensing. Children and pets left behind in locked cars have resulted in thousands of deaths worldwide due to heat stroke. In new car models, government regulations and car Safety Assessment guidelines mandate Child Presence Detection or what is called CPD. Euro NCAP 2023 requires CPD for a 5-star rating. Major OEMs have joined hands and have announced that they will provide CPD on their own in the cars.

NOVELIC's radar technology detects life presence, child presence and seat occupancy through vital signs such as heart rate and respiration sensors. The

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technology works under any lighting conditions, including behind the car seats and even in the car seat-belt. Moreover, as Vivek mentioned, the sensing happens anonymously, so there can be no previous concerns like those in sensing by cameras.

In short, NOVELIC's mmWave radar technology is the best solution for in-cabin sensing. The in-car sensing that NOVELIC's technology makes possible can also be used for other applications such as optimized deployment of airbags and other safety systems, driver monitoring through the science of drowsy or distractive drive or gesture control infotainment and human-machine

interface. Let's look at this technology through a video.

Slide 10:

[Video Plays]

[Video Stops]

Slide 11:

We have seen a glimpse of NOVELIC's technology. Next, we introduce you to the three founders of NOVELIC who are behind this innovation. Darko, who is the CEO; Veljko, who is the CTO; and Veselin, who is the Chief Sales Officer. With that, I hand over to Veljko to talk about their innovation and their capabilities. Over to you, Veljko.

Veljko Mihajlovic: Thank you, Mr. Deshmukh, and hello, everyone. This is a very exciting moment for us and the whole NOVELIC team, and we are happy to be here today.

Well, I think Vivek and Mr. Deshmukh have given quite good top overview of our technology. And I'm actually happy to see how quickly Sona team understood NOVELIC 's story. I hope also that the video was helpful to everyone else joined today to get better understanding. So I'm not going to talk about technology purely, but also about our story from our perspective a bit. Veselin, Darko and I, we have been working together for the last almost 16 years. And for the last 10 years, we put all our working energy and our time in a company we founded together with our amazing team. We are engineers by background, specialized in mmWave systems, algorithms and systems on chip. And NOVELIC was founded with clear mission to develop end -to-end capabilities in mmWave radar sensors

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and also to commercialize it through various product lines in different industries, wherever possible, with major focus on automotive. We built our know-how step-by-step, experiment-by-experiment, project-by-project. Our speciality is short-range radar and applications requiring miniature hardware and smartly engineered embedded software, such as in-cabin radar, parking radar, collision avoidance, side or rear radars, guiding and docking radars, etc. Those examples you could have seen in the video. We started as a team of 5, and today we are over 160 people with 130 engineers, 10 of which are PhDs, who are developing product platforms in several European developing centres. Like Vivek mentioned, although we have been working with a capital-intensive technology, we have managed to develop that technology in an organic way. We engaged from day one with customers. We provided them short-term value while also trying to identify long-term road maps and how our radar technology can fit in those road maps in three, four, five years. On that journey, we generated revenue and profits with continuous growth year-on-year and used that profits to reinvest. And now, for moving to the next phase of our growth, we wanted to have a strategic partner, a strategic partner in a real sense of that mean. The partner with the same commitment to innovation and technology like we are. The partner who supports us in scaling up our business and who gives us the freedom to innovate further. And to be fair, when we met Sona Comstar team, we knew that this was the one. Because we immediately felt great alignment on the core values, and those are the main ingredient of an organization. Together with Sona Comstar, with access to their customer base and marketing support, we believe that we can grow NOVELIC exponentially and become a significant player in the global market of autonomous mobility and automation in a broader sense. Slide 12: And now, on the next slide, let me briefly explain the new ecosystem being built in automotive world and NOVELIC 's capabilities across the value chain. First, the value chain itself is changing and transforming. It's transforming from

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traditional hierarchy of tiers to hierarchy combined with the need for much more collaboration and orientation to domains of competencies. And that happens in both megatrends of automotive industry in electrification and also in autonomous driving. We are preparing NOVELIC for that shift. Basically, what our -- now big brother Sona Comstar did in the electrification domain, we are going to do in the autonomous driving domain. In our case, this means that we would keep integrating and improving all subsystems of other sensors we develop. Here, we speak about electronic boards, antennas, mechanics embedded software, application software or machine learning. On our supply chain, due to our modular and chip-agnostic system, we can partner with all leading chip suppliers. So actually, we want to combine modularity of independent subsystems with vertical integration. And we believe that this approach, in combination with changed value chain

ecosystem, will give us potential to deliver to and collaborate with basically all tiers, with OEMs, with Tier 1s, with Tier 2s, with autonomous driving integrators, with anyone. Depending on the context and customers'

demand, we can supply what they need, that can be hardware, software or the fully integrated autonomous driving subsystem. This will give us resilience,

and we consider it one of our biggest strengths in the times that are coming for autonomous industry.

I'll now hand over to Rohit to tell you more about the transaction. Thank you.

Slide 13:

Rohit Nanda: Thank you, Veljko. Good evening, ladies and gentlemen. Let me now walk you through the structure and the key financial parameters of the transaction. We have structured the transaction in a way that it's a win-win for the shareholders of both Sona as well as NOVELIC. Sona will be buying 54% equity in the company for EUR 40.5 million through a combination of primary and secondary routes. This will mean that NOVELIC founders will continue to contribute and participate in its growth story in a meaningful way.

At the mentioned consideration, NOVELIC is valued at a pre-money EV of EUR

64.5 million and post-money valuation of EUR 75 million. It puts the implied

valuation at 26 times the estimated PAT for the calendar year 2022, which also happens to be the financial year for NOVELIC.

Purchase consideration

will be discharged in three instalments, with 60% to be paid out at the

So

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transaction closing and the balance 40% in two equal instalments, each at the end of 12 and 24 months from the date of closing. The transaction will be funded primarily from Sona's existing resources, and we expect it to be closed by the end of March. We expect the transaction to be EPS accretive for Sona from the first year itself.

This brings us to the end of our presentation, and I'll now hand the proceedings back to the Chorus team for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session.

Anyone who has a question may click on the video question button below the media player to ask your question. When your name is announced, you will receive a pop-up on your screen, choose the option 'join as panelist', accept the prompt, unmute your audio video and proceed with your question. Ladies and gentlemen, we will wait for a minute while the question queue assembles.

While we wait for the queue to assemble, we have our first text question that is received from Chirag Jain from Catamaran.

So the question is, basis the press release and the presentation, it seems NOVELIC's key solution is in In-cabin sensing. Is NOVELIC solution also being

built for the core autonomous driving? If yes, what is the content per vehicle today? And what can it increase to?

Vivek Vikram Singh: So I kind of expected this because this is a -- NOVELIC team, apologies. But this is one of the key questions that you get in India as a listed company.

content per vehicle is somehow term that is used. So, Chirag, it is more about the capability that is there. The applications are immense. I will request Veljko to talk a little bit about the applications, because -- and I think that's what

Veljko tried to form for you, the pyramid that it's changing so much that who provides what kind of content in a system and what is the shape of that final system is very different.

I think that question of content per vehicle is very rooted to the world that we showed, the Tier 1, Tier 2, OEM world. Here, NOVELIC has the ability and already does provide service to all four levels. So, their customer could be a chip designer itself. It could be a global Tier 1. It could be the OEM, and it could be could become mobility solution providers people like Waymo, Uber,

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who are providing you the final autonomous solution. All four of them are currently, all four of these categories are already customers and will continue to be. However, the framework that one uses to ask a question will be different in this world. But Veljko, you can talk more about what other solutions

this capability set can be used for. But for everybody on the call, it is this, it is radar sensing. And then processing that sense or that perception when it comes back, processing that for meaningful decisions. That's the capability in very simple terms. But Veljko, please.

Veljko Mihaelovic: Okay. So when we speak about in-cabin solution, we speak about a completely new application in the automotive. So this road map was defined pretty recently. We were working on that since the beginning, since our inception, we knew that this application will be on the road of new vehicles. And we build the technology for that. So the road maps, like we could have seen on one of our previous slides, are starting the production of that sensor that is mandated by regulatory bodies from 2024, 2025 onward. And all OEMs will have to be ready for that solution.

Radar is actually has proven over the years of competition on the technological level and stories among, let's say, regulatory bodies, etc., as the most suitable choice here. So the best product market fit. And we, as the company, are now ahead of the market regarding the maturity of the solution that

we are preparing and regarding the -- also its cost side, which is not neglectable while partnering with our chip suppliers. So we at the tiny software to resolve several critical applications. So when we speak about regarding the content, we speak about applications which are mandatory, which we will have to provide, actually which OEMs will need to have as the functions for 5-star safety. This is the child presence detection. But we also speak here about add-on functions that we build by smartly engineering the software, which are the seat occupancy detection, so detecting the occupied seat and therefore replacing the current technology, which is existing there, which is actually basically the cables and sensors put in the seat. So by using radar, we can get rid of those existing sensors and basically get the new product at a very little cost. And also in addition to seat occupancy, we speak about intrusion and proximity alert; when basically in one sensor, we will also have the alarm

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function completely integrated in serial production. So that this is for the generation one of the products. So, child presence detection, seat occupancy and intrusion alert. Of course, and these are the feature on road maps of all OEMs. Of course, we are not sitting still knowing already what can happen in the generation two, and the work has been done also on more advanced features.

Vivek Vikram Singh: Now, to add to what Veljko said and to give an analogy that I think maybe everyone is familiar with, to say content per vehicle in a software-driven world is trying to, let's say, how much does SAP cost or how much does Microsoft cost per machine. It's a very hard question. It depends on the optionality and modularity that you choose. If you choose just one function, Veljko told you about three, it could be one, it could be done in -- how many features do you want to add, depends on each provider, and it will be a choice between the OEM and between the Tier 1 and the chip designer. Similar thing, if you had asked us in 2017, that what is the content per vehicle of a driveline and electric vehicle, we won't be able to answer you. We are trying to do things which are at the cutting edge of what is available in the world today. To be the best, you have to be that person because -- if we that's a classic innovator's dilemma thing, to ask, how much is the addressable market and you think about what was asked to IBM in 1980, that how many computers do you think you can sell to our industry, go to and ask to Mr. Jelenic and Daimler, when the car industry started, that how many cars do you think you can sell?

The question, I don't think it's the right question at this moment. The track record is there. The growth record is there. Like we said, we are going to grow very strongly and profitably. I don't think these subtleties of model making devices, like content per vehicle, need to fit in. And trust me, within 10 years, you'll realize that, that's not the question anymore. I think another request because he said about general autonomy, I think how radar perception can be used for enabling autonomous vehicle in its mobility function that I think

you should also address.

Veljko Mihajlovic : Yes. So when we speak about autonomous driving, so basically, we have two worlds. One is inside of the cabin, and one is the outside. Basically, the most of the attention is focused on the outside now. Our solution was focused on

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inside of the cabin. So detecting what happens inside, I mean, one of our product lines. However, we do develop the other product lines, which are also based on the same radar technology, which resolved the exterior functions. Some of them are also already mandatory, some of them on the road map

some very of them basically on the big road map of having fully autonomous vehicles.

And radar is the inevitable sensor that must be used if we want to have to achieve full autonomous driving. In the exterior world, we are focused on what we call short-range detection, so let's say vicinity of the vehicles. So around the vehicle to allow what we call low-speed autonomous driving functions such as helping with parking, such as emergency brake in city-drive, such as detecting the pedestrians, and also providing not only that but interaction between the car, the people approaching or the passengers while detecting the gestures and other commands to unlock the car or protect the doors of the car. So this is where we are focused today.

Vivek Vikram Singh: Thank you. Veljko. And Darko or Veselin, if you want to add anything on ASPER as a product or how ASPER helps autonomy, please take it.

Veselin Brankovic : We are speaking about automotive, but we should have actually a much broader spectrum of the observation, the needs and what is our technology doing is addressing mobility world. Mobility is not only pure passenger vehicles. These are also transportation vehicles we already have in today, the agricultural construction, mining vehicles. There are also vehicles who have two wheels or three wheels. So, all of them will come and need to merge with new technologies together.

The advantage of another growth, which is not purely automotive is that deployment of technology potentially a little bit faster, considering automotive design process and deployment of technology. Our ASPER platform can offer typically protection from potential collisions, which are coming from the back or rear radar observation for transportation vehicles and also for two and three wheel vehicles as well as a lateral protection. In many cases, in automotive world people are addressing only corner type of radars and front radars, and we are addressing rear radars and lateral radars.

The main also difference between our approach and other approaches is that a lot of intelligence and signal processing is done on a module itself.

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That means that ASPER type of products can be used for the aftermarket approach and also for approach where such are called EC unit or processing unit like we have in classic automotive vehicles is not existing. So that means we strongly believe that radar will be deeply employed in transportation vehicles like heavy vehicles and also will be deployed in vehicles like motorcycles, like e-bikes, where actually the size matters, where processing power matters and power consumption matters.

Vivek Vikram Singh: Thank you, Veselin, that was actually -- yes, we missed that point that it is much broader than what is currently called automotive. We can move on to the next question, but every one of you who's here you are invited, and please do visit us all at the Auto Expo. You will get to see the technology live when in action. The demonstrator that some of you saw in the video would be there. I think it has landed in India today.

You will also meet these three gentlemen and their teams. And you will also see the other perception applications of radar at our stall. So please do come. Seeing is much better than seeing on a video or a slide. So please try and come to our show.

Moderator: Thank You. We invite our next questioner, that is from the line of Kapil Singh

from Nomura.

Kapil Singh: Maybe, first of all, congratulations for embarking on a new journey for third dimension of growth, really. So look forward to all the developments here, and to the entire Sona Comstar as well as NOVELIC team. I'll start with the NOVELIC team first. As somebody who is on the outside, what I would like to understand first is you are a profitable, high-growth kind of a company. And

ny. And

you've never raised capital as well.

So when you look at this transaction, obviously, you are looking at something very strategic that comes to your table. So I heard you talk about the strategic fit. But if you could also share some - one or two examples of what you think, for example, Sona brings to the table from your perspective?

Vivek Vikram Singh: Yes. So Darko, Veselin, Veljko, anybody wants to answer that. Please go ahead. I'm not going to help you with this question. This is just for you guys.

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Veljko Mihajlovic: So maybe I can start and then we can all add on. So for us, we see a very serious company with high technology focus. So the company that was built on the innovation and that was able to commercialize its innovation on the market and which built the, let's say the spirit and the culture for that. And this is not something that you can build quickly or you miss some steps. Basically, you see that by doing conversations by moving on in tracking whether you have alignment. So this was the most important aspect from the beginning. We see that we can and will be mentored on our journey to grow NOVELIC in a very similar way just on the let's say another technological field.

So like I said in my slide, we want to do in the world of ADAS sensors and autonomous driving what Sona already achieved in another pillar. Also, what is important for us is that they will give us the support, but they will give us also the freedom to operate.

They believe in us, they will believe what we have built is on the healthy pillars and that we could execute. And we think this is important in these kinds of deals that you keep the momentum. You keep the momentum of your vision because it will take some time until we really align on all details, and we are sure we will. And by that time, we feel that we will get the freedom to operate and to build a NOVELIC like we envisioned. So, I don't know, if Darko and Veselin can add on. Darko, maybe you?

Darko Tasovac: Yes, I would like to add. I think we get the experience. If I may summarize.

Guidelines, and we can be taught also by Sona how to become a big company. We see it as a big brother and also not just that capital investment, but also like having a teacher who can provide us and lead us to this success,

if I may summarize in a short sentence.

Veselin Brankovic: I will add only one sentence. What we really respect the Sona is dynamic.

Dynamic movement. We are facing that all automotive world is dramatically changing. You had a new ones approaching fast. We have the old ones, was still slower try to adapt. In a world of Tier 1 worlds where the Sona is -- because we engage with a lot of Tier 1 as a customer. This is our customers. You see that the organization matters are very old fashioned, which cannot allow them to act fast and to move -- they are not inventing, they are reacting on the needs for ones. You need to predict what one will need. You need to engage with ones in early stage. You need to invest in relationship with ones

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to understand their need before they are raising RFQs. And this dynamic is something that we'd like to follow -up together with Sona. We recognize this as a huge Sona advantage.

Kapil Singh: Thank You. One question is on just the growth opportunity. How should we think about it going ahead for this business? Is it a manufacturing capacity driven business where we need to make investments? What will the investment plan in next say two, three years? What is the capacity utilization if that is a relevant metric? And there was also a mention of a potential to or

option to acquire a chip designing company, I believe. So, if you could just touch upon that as well?

Vivek Vikram Singh: So Darko can take that one. But it's not a pote

ntial to acquire. We have a chip design company already.

Kapil Singh: The transaction scope also includes acquisition of Nirsen.

Vivek Vikram Singh: Yes. So Nirsen has been -- it is a company owned by the NOVELIC founders in the same proportion. So this, as part of the transaction, Nirsen will be acquired by NOVELIC as a form of having the full integration going from chip design

and putting the software on that the sensors and then the software. The one thing I'd like to add, and thank you guys for all the love. But also getting to mass manufacturing in millions takes a bit of experience. That's something we can bring.

Everything else they can do independently, and we don't really, they don't require us as much. Yes, we're always there to mentor and guide but they

already all of that . But yes, going from a few thousand to a few million is not a journey that is -- I mean, if you do it first step, it's much harder and longer, you go together, it's a bit easier, and we've been there. So that's a good advantage to have in that space. But the second point, Darko, you can talk about that also, what Kapil asked.

Darko Tasovac: So, regarding the first , focus of the growth is definitely in the technology you have seen on the video. As Veljko already mentioned, t his is a mandatory NCAP for car OEMs to have it in order to get the safety stars and safety points. So also, our road map is this something that we are pushing to be focused on our investment. We are in this field for a long time. We know the technology.

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We have also a lot of patents there. And it seems for us, the first lets say success as the in -cabin that we mentioned on the video.

Vivek Vikram Singh: So Kapil, because you also covered t ech, that will be easier for you to understand. A lot of it, the investment is people because you're writing code, how many lines of code is basically the functionality. The board, you're not going to manufacture anyway, right? That comes, the chip is also -- its chip-design, you're going to get the software part. It's just the manufacturi ng of just the sensor bits. That's the only bit that is there. So, capacity is a derivative of people, we are putting in primary so that the first three -year business plan

is going to be self -funded after that primary.

And beyond that, should right now doe sn't look like. So, when I said 100 million, the money is already there. I hope that this \$100 million happen s much earlier. And I hope then we need more money to do something bigger. Like we have, as you have seen with solar, I mean, if you say how much would

the capex that we have previously outlined last time we spoke, what was about \$120 million. \$120 million, yes, is enough to service what was our order book till the end of last quarter? Next quarter's order book will increase and hence, funding incre ases.

But yes, we are fairly good with, I would say, capital deployment, capital allocation and capital uses. We have a very -- I'd say, like I said, and this you

would also appreciate, it's a very middle -class strong value on how to take every rupee, eve ry euro and extend the maximum use out of it while not sacrificing our technology goals. It is extremely rare . And that's wh y, I mean, we acquired Comstar, I think in 2018 and for 4.5 years, we haven't done anything, because you rarely need somebody like that, if you need really high tech, high -growth company, then you have to talk about cash burn and

all and we are not the people who can digest cash burn. We don't have that in our system. Or you meet people who only talk about things like, yes, this

content per vehicle, \$10 per vehicle, so many vehicles, this multiple, give me 8 multiples , those . Why should I do something that I can buy the equipment and do myself. If you're not gaining any capability. If you're not adding anything to yourself as an organiza

tion as a human being, what are you

doing? We are trying to make technology that the world looks to us for, which is why it started with our purpose. It is never purely financial, but it has to be

financially so und. Finance is the second part of it, but it has to be highly

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profitable and able to stand on its feet. But this transaction that we've envisioned in the business plan that we've drawn out together, that funding is there. So we should be able to, on our own steam get to, like I said, the \$100 million target is because we all joke about it, but that's the time we become a real company. So that's the goal. And then, when we see how we take it from there and how quickly.

Kapil Singh: Sure, look forward to that. Just one clarification. This \$100 million includes what all, does it include in-cabin technology only or what all does it include?

Vivek Vikram Singh: So ACAM. ASPER, am I missing something Darko? So ACAM is a short form for in-cabin advanced. I don't know. You guys can take, Darko, Veljko can explain. And ASPER is the sensory perception one, plus we have IoT products also. Darko?

Darko Tasovac: Yes.

Vivek Vikram Singh: So, in 100 million, what would be the breakup like?

Darko Tasovac: It's more a question for Veselin, I think.

Veselin Brankovic: So, we would have two different main approaches is one a little bit smaller.

The direction is that we are hoping that we are approximately equally strong, having us the type of the platform. And from other side, inside of the Cabin platform.

There will be the main pillars of that what we are expecting as a revenue stream. You need to understand and we have in a space of the sensors, you're speaking in defining smart commodity hardware. If you get smart commodity hardware. After that, you can bring up new functionality considering machine learning, new functionality, considering new applications who are actually like a software. This software content together with hardware will make a difference. The value for the customer will be not necessarily -- actually, you will have a smart sensors, which we are going to develop.

So in our road map, all type of platforms, the basic platforms which we are designing for the hardware point of view will be enhanced by comprehensive software updates for the different application, which will come constantly. So we are expecting that in this area, we will have having

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two major platforms, a lot of family of different products for different type of concrete applications, covering complete mobility. And we are starting the advantage like detecting people. Detecting people means you can detect people inside of the vehicle. You can get detect people outside of the vehicle. You can detect the people also in an industrial environment. So all those things are there. But as said, we are focusing at the moment of mobility solution, where automotive itself, passenger vehicle is one part of the story. And the second part of the story is the rest of the applications in construction, the transportation, two and three wheel vehicles.

Vivek Vikram Singh: So Kapil, in short ACAM, a cabin sensing, ASPER, which is sensory perception, which is outside the vehicle. These are the big two from product side, plus there will be engineering services and licensing. There is a lot of licensing income that we get because there are customers who want to deploy on their own. They just want you to design and get them the sensor software and you get paid for as many units they sell. So these are the three revenue streams.

And licensing, currently, a large part of it is licensing and there, trust me, if you can think of any major European OEM, it is already there. So yes, that will also continue. However, over time, ACAM will be the biggest

revenue stream.

ASPER second biggest and licensing and software services as the third revenue stream.

Kapil Singh: Thank you. I have other questions but will get back to the queue.

Vivek Vikram Singh: Yes. But the thing is in this changing world, where the product versus service or product versus solution,

actually, it is solution now. The solution could be a piece of hardware or it could be a few lines of code. Now, you don't manufacture lines of code. But you've got to do it together. I mean, you have come to our Chennai plant, and you've seen our IMCM. What does it look like? It's just a board with a lot of electronics, and you would wonder why is it so expensive is because of the millions of lines of code that go into. And that, I mean, somebody asked me once that what is the weight? How would that matter? I think, we all and hopefully, as people understand us as a company more, and I hope we can do that job. We sometimes are not that good at it. We

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can also help people realize that it is a very fast -changing world in a car that has 100 million to 200 million lines of code the old way of how much does it weigh and how much is value addition. Those days are going and very fast. So let's see how well we communicate this, that's always been a challenge, especially in India, right? I mean, I think it would be easier to communicate this in San Francisco or Israel or Stuttgart, but in India, it gets a little difficult because we are also used to what we see around us, and that still, perhaps, is a little behind where global mobility has already moved.

Kapil Singh: Sure, Thank you

Moderator: We move to our next question that is from the line of Hitesh Goel from CLSA.

Hitesh Goel: Hi, everyone. Hello, Vivek, Rohit and Sona team and also the NOVELIC team and congratulations for a great deal. I just wanted to understand, I missed that structure part on the transaction first. Can you please explain that is it -- as founder how much going into the company, if you can explain that? And I also...

Moderator: Hitesh, I'm sorry to interrupt. May I request you please speak a bit loud?

Hitesh Goel: Can you hear me now? Yes. So, I just wanted to understand the structure of how much is there a stake sale of founders in this transaction? How much is -

- or how much is going to the company? And in EV Euro 64.5 million. So there is around Euro 23.5 million debt, right, in the company? Just wanted to understand the structure because I missed it.

Rohit Nanda: So, I'll clarify. So, post-money valuation is Euro 75 million. And Sona will be acquiring 54% stake as a mix of primary and secondary. So, what Sona will pay out would be Euro 40.5 million as total consideration. And the payout is -

- has a staggered sort of cash outflow. So, 60% on closing and then 20% each at the end of 12 and 24 months, respectively.

Hitesh Goel: Okay. And is there a debt in the company or it's totally?

Rohit Nanda: No, no. It's near to zero, let's say.

Hitesh Goel: Okay, so my second question would be, can we understand much better the background of the promoters on NOVELIC before starting NOVELIC. Just

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wanted to understand how they worked with -- in which companies so that we can understand some relationships?

Vivek Vikram Singh: Sure. So, who -- first of all, hi, Hitesh, I haven't seen your face for like in 1.5 years. Darko, Veselin, who wants to take this one.

Veselin Brankovic: I will tell as a couple of words. So, the company Novelic just celebrated 10 year anniversary, recently. But generally, the core team, that means three of us, we have been working together previously in a German-based Tier 2 company in Stuttgart. So, we were actually delivering solutions to Tier 1 companies in Germany.

And we were wor

king together in this area for more than, I would like to say,

I think, seven years before. So that means we are working quite a long time together. That was very important because it's not easy to make an

innovative company, which also brings some money. It's not easy to make innovative company which can stand how to make a product. This is an essential thing in order to have this unique experience of how to make a product.

This is a basic classical startup. He has excellent ideas. Maybe they can have a -- like a prototype but doesn't know how to make a product. So that means

in this parallel world, you need to beat the other competencies to deliver maturity of the product and also to bring up the new ideas in front. So I think we managed to do it through our long experience d work in this area.

Vivek Vikram Singh: Veselin was their boss, Darko and Veljko , when he hired them. And then the three of them came back from Germany. Actually, if you understand a little bit about the European structure, a lot of people, the bright people from Serbia had to go and work in Western European countries like Germany, It happened in India as well. Like a lot of our brighter engineers went to the US and now we are also seeing that. And then all three of them thought why can't we do this in our home country. And that's why I said when he shared values and lot of things, but I'll let Darko speak on why they came back and started an entrepreneurial unit?

Darko Tasovac: Yes. At that time, it was more than 10 years ago. Now we' re sitting on the table -- at the table, and we then decided -- we're speaking about any of these ideas we're discussing because we were based in Stuttgart. We had

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many connections with automotive industry. And then we came to the idea and be able to see how the mmWave radar sensor is going to be developed in the future. And we decided to go back in Belgrade and set up and founded the company. We started with five people. And today, we have more than 150 people.

All three of us are -- have electrical engineering background. So, at the beginning of NOVELIC , we all were also designers, software developers. We did also the programming of these FPGA chips. We designed the chips. So, we have also skills there. And slowly as the company progressed and became larger and larger . We actually started to see that there is really a potential that needs to be used in order to develop this idea.

Hitesh Goel: And just one more question. Do you think you will also get benefit from Sona relationships, global relationships in some of the OEMs or customers that they have? In Europe, you have a good relationship, but they had who have a relationship in China, US as well. So, is that a thought process while going with Sona?

Darko Tasovac: Yes, also having access to these customers going hand -in-hand with our big brother. That's definitely something that can be useful for us and getting experience also from these relations with the OEMs with Tier 1s, how to deliver the products, how to communicate with them, how to set up these deals. How to go at the end into the production also of these products, that's something that definitely can Sona help us.

Hitesh Goel: Great, and I wish all the best to you – both Sona and NOVELIC.

Moderator: We take our next question from the line of Jinesh Gandhi from Motilal Oswal.

Jinesh Gandhi: Hi, a couple of questions from my side. One is on the structure of the transaction. So, can you talk about for the balance, 40%, is it linked to any milestones or it's just the timing?

Vivek Vikram Singh: Just timing. I assume you're asking about the payment transaction. Remaining 46% of the equity will be held in equal proportion by the three co - founders.

Jinesh Gandhi: And any road map for – or any call options that Sona has to acquire balance 46% stake or

that's not yet part of the transaction?

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Vivek Vikram Singh: No, it isn't, and it's also not part of our ideology. We are not chip designers, they are. We need to know what we are good at and what we bring to the table and what they bring to the table and respect that. It's not an asset acquisition, Jinesh, this is a capability . Capability lies within the individuals, not in a building or a machine.

Jinesh Gandhi: And what sum of money goes into this EUR 40 million, how much goes into the company? You indicated the \$100 million revenues would be largely funded...

Vivek Vikram Singh: Actually, the details that Rohit shared, it is easy to do the math. The founders requested that we don't speak out how much they are getting. But the pre-money and post-money valuation if it is provided in the slide, I think it's very easy to work the math backwards.

Jinesh Gandhi: And the funding into the company will be good enough to take it to EUR 100 million is what you indicated?

Vivek Vikram Singh: Yes. So, if we stay on the business plan, the funding plus obviously, the cash that is being generated by the company itself. This is a very high cash generation business. As you saw 27% of the net profit. So, with that and the growth is also a lot of free cash being thrown out. So that plus the primary infusion should in all probability get us to our business plan and frankly, a little beyond, but it's best to be a little conservative with these things.

Capital will not -- we will not let it become a constraint to the growth of this company. Neither have we for ourselves. We started, if you remember, in 2016, we were INR 350 crore company. And we have got this path, we have not really -- and we are still, I think, pretty much debt free and we can accomplish a lot if we use our cash wisely.

Jinesh Gandhi: Got it. And lastly, can you talk about the competitive landscape for this solution, I mean not the technology, but the solution for in-cabin sensing and that way, where are we, NOVELIC is in terms of market share might be the wrong word, but where are we in terms of our competitiveness, if you can talk more about that? Thanks.

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Vivek Vikram Singh: It's a very good question, but yes, solution and technology are both linked in a way. But Veljko, Darko, Veselin, who wants to take this one? And please be gentle on your competition. Don't say that one. So please go.

Veljko Mihajlovic: So maybe I can try on this one. Good question, actually, a very good one.

So, first question started among technologies basically. So, like for every sensing problem. So, at the beginning, there was the mmWave radar that we were doing. There was camera. There were some other technologies. And from recently, there is almost a consensus in the industry...

Vivek Vikram Singh: Veljko do you want to show the slide of camera versus radar versus LiDAR, if you have it. Pratik, do we have that? Actually, it's a very good question, Jinesh, in many ways, because this perception problem, there are -- like people asked about hybrid versus electric versus hydrogen. We bet on electric. It's proven true. Right now, that same thing is going on. Although I think it's a multi-sensor thing. LiDARs, I don't know but it's okay. LiDAR is very, very, very expensive. Camera is the cheapest, but it suffers from a lot of problems. Not just privacy in many environmental conditions, it just doesn't work. And it is invasive. So not everybody appreciates that. So, radar is a bit of both plus the mmWave that Veljko is talking about is so accurate that and he has written a paper on it, by the way, and I might send it to you later that you can actually do ECG, you can detect skin movement. You can get the heart rate, you can do an ECG using radar waves, it's that accurate. So

insanely high level of accuracy, which is far beyond cameras; at a reasonable cost and not the cost of LiDAR. And that's the big, big advantage between the technologies. And Veljko, again, you can go on with the competition within radar.

Veljko Mihajlovic: Yes, exactly. So the choice among technologies, then they are narrowed down for -- to the mmWave radar for the applications that we are mentioning. Of course, here is important to say, and we will follow the story, that for the other applications that also existing in-cabin but also outside. So there is no single sensor, which is the best solution in all terms. So, there will be always coexistence of those. And that's why we built our competencies focused on radar, but also ready to do the sensor fusion when the time comes.

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But now we are focused on the radar and on these particular features that we mentioned for the in-cabin. In that world regarding the competition, so

basically, today, there is one Tier 1 who is working directly on developing the solution. And there are many others who are from the companies like us. And in that domain, basically, we do have a couple of competitors who joined

quite late compared to us. So we started this about 10 years ago. We could have not been right, but luckily or maybe knowing some things about technology, we were right. So we were ignored for the first five years that the radar will be technology for in-cabin.

So the people were quite reserved for that function. But it proved to be the best performing and also safe on the other hand. So now we are, a lot ahead of what those others are developing in terms of maturity, like I said on my part of the presentation and the performance.

So we really understand both the technology but also the problems of the scenery and the application. So there, we are quite confident that, of course, there is competition, there will be, like in all automotive value chains, I mean, it's unhealthy to have one supplier for any application. But we are very convinced that our solution has good, unique selling point. And I would dare to say also, the unfair advantage when we are now taking off while receiving the RFQs from OEMs.

Vivek Vikram Singh: So Jinesh, I think we can take a few names here, Veljko, because those are public, like Veoneer is doing something in sensors. Who else that we can name? There was an Israeli company that got acquired by Harman right now, Caaresys.

Veljko Mihajlovic: Yes. Then we have the company called Bittsense from Asia also, who is doing a similar solution. We have the company Vayyar. Those are the companies who are, in the value chain on the level where we are. And some of the Tier 1s are publicly working on that. Some are working, some are actually exhibiting today the solutions that also come from us. But like I said, in the Tier 1 world, there is only one company, where we are doing in-cabin radar.

Jinesh Gandhi: And that Tier 1 is working with you. The name which were taken is the same one Infineon?

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Vivek Vikram Singh: So the Tier 1 who is working in most advance is working with the NOVELIC team. They are obviously customer name, they don't want to take. But it's a traditional Tier 1, which is fairly advanced, and they are using NOVELIC chipsets on these things.

Veljko Mihajlovic: Just to correct, they use our software and models. So and we are, by the way, regarding the chip for this technology. So, although we have the competencies for the chips like Vivek mentioned. And this is in, let's see, also in alignment with the philosophy of the new value chain that I mentioned before. So we need to make smart partnerships and collaboration a lot more and a lot stronger to get the products that we develop, which are quite complex.

x. So in this particular thing for the in-cabin, and that's also the public information, we are the preferred partner of Infineon. So on their website, you can see NOVELIC is the preferred partner for in-cabin also on our side. So that means we are using their chip. And we are using our software and our module development part so that we make the fully integrated smart sensor for in-cabin.

Jinesh Gandhi: Got it. Thanks, and all the best.

Veljko Mihajlovic: Thank you.

Vivek Vikram Singh: Thanks, Jinesh. Good to see you.

Mr. Deshmukh, I think, has a flight actually at an airport trying to board, I think

Darko and Veselin are also at different airports. So this is a truly global team. We have one person in Belgrade, one in Mumbai, two in Delhi, one in

Amsterdam and one in Las Vegas at the CES show. So they're going straight from CES to India auto expo. So while the next questioner comes, please, do visit. I think you'll be able to understand much more at our stall.

Moderator: We invite the next question that is from the line of Chirag Shah from Nuvama.

Chirag Shah: My question is, a very wonderful insight that you have shared and congratulations to both the teams for this wonderful transaction. Two questions. From NOVELIC perspective, what is the inflection point as far as ADAS is concerned? Level 2 itself is the inflection point or Level 4 and 5. And if it is Level 4 and 5 in your assessment today, realistically what -- how much

time will need to achieve those levels because -- and the enablers over there, which -- where you can commercialize that?

Vivek Vikram Singh : Great question. Before we go to level 4, 5, actually, the biggest inflection point has come last year, when NCAP, the rating to get 5-star rating, you have to have in cabin sensing. Second will be when 2025, this becomes a compulsory, a mandate. So you know that in many of our technologies that exist in automotive today, they got pushed because of safety reason by regulators, airbags, seat belts. Similarly, in -cabin sensing. That's why I said that will be the biggest revenue stream.

The inflection point will come when it becomes mandated by law, which should be 2025. In NCAP ratings, it has already come. So that is already there.

On the other the inflection point on the ASPER part, which is the sensory perception or autonomous part, I'll let Veljko or Darko answer on what level would it become even more, although Chirag has level 5 (at every level) , there is something. But Veljko, do you want to take this?

Veljko Mihajlovic : Yes. So basically, for in -cabin sensor formally, I think it's classified in Level 2, but I'm not sure. And -- but what's more important than the level is -- the need and the regulation which requires it and that we have a solution to that . So this is what gives us the confidence that this product is needed and it will reach in time to the market. Regarding the exterior function. So basically, how should I say, yes, there are many players now working on all levels. So the ones that do the thing they claim they are on the level 5. There is a journey to get there. And on that journey, I think what the industry realizes is that there will be very tough to -- for many single companies, even the biggest ones to resolve those functions. So what we think is that -- and what our strategy would be that we would share a couple of, independent solutions, which are covering some niche aspects of all levels of autonomous driving, where we, own the complete product. And for the ambitious systems for full autonomy, we think that we will be partnering with the others.

And we would provide not necessarily the complete solution, but also the domain -specific subsystem, which results for a particular function within that level of autonomy. So this is the more the, the road

in which we believe in. For

example, I can give you concretely. So for example, within the short range radars. So you have like in the Level 3 already, you have like a dozen already

to really have even the partial automation. And whereas many are speaking about their advancements in all domains, we are still facing the products which are at the best level in the radar world, they are Level 2 plus, or even the ones that claim they have Level 5 there. So, this is how this story is complex. And we think that if one has a good product, which resolves a particular niche and set of applications, then there would be definitely the need for that one.

Vivek Vikram Singh: Yeah. So Chirag, it's more linear than exponential. So Level 2, there are already 10 or 12 sensing needs you require. At Level 3, you get to parking, kick sensor, doors, if you come to or proximity . Level 4, you increase more because more systems become semiautonomous or autonomous. So it is a curve on which it keeps going up, but it's not a step function . So it's a linear 45-degree kind of thing, and it just keeps increasing a return of increase. So that will be a better way to picture it.

Chirag Shah: In your assessment, moving one step away from Level 2 to Level 3 or Level 3 to Level 4, how much time would it take? Is it a five to six year journey, or you expect regulations to be helpful and it could happen much sooner?

Vivek Vikram Singh: That's a very good question, and I don't think any of us can know the full answer. I would say, the world is today at Level 2.5 already very comfortably.

Actually, the journey from 4 to 5 is the tricky one to predict. But I don't know, Veselin or Veljko you want to take a shot, 2.5 to 4, that's slightly easier to predict. Full driving by the vehicle or something to do claim it. That's quite fine.

That's I think about 10 years easily, maybe 15, maybe I don't even know. But 2.5 to 4 Veljko or Veselin, do you want to take a shot?

Veljko Mihajlovic: I just wanted to add that there is even now the debate in the industry whether Level 3 and 4 actually make sense to be deployed. Because they give you the freedom to hand over to the vehicle to operate, but they also keep you accountable be react at any ti me. So, from that perspecti ve, there is a debate whether it be deployed. But anyhow, like Vivek said regarding the development, this must go in this linear way. So from Level 1 to 2 to 3 to 4 and so forth. So how long basically so.

Chirag Shah: It's a toug h one, I understand that. It's a tough one. Sir, lastly, let me squeeze in one question. On the investment areas that you're looking at, so whatever money that is coming in the company and even beyond that, what are the

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areas where you're looking to put th e money to use? Is that more capacity, is it more capability ? Within capabilities, what are you looking at?

Vivek Vikram Singh: That I'll let the NOVELIC team answer. Again, the investment, the current one and the business plan that we have spoken about is only r estricted to ACAM, in-cabin, ASPER, which is outside cabin and licensing and services. That's it, these three revenue stream. There is potential to add actually many more. As you heard, now realized with us that what we started out with even when we IPOed , only three, four products. Every year, we add at least three, four new products, so revenue streams keep getting well , right now, that is for that. However, this – what is the capex deployed for, Veljko if you want to or Veljko, actually Veljko's in charge of spending the money. So he should answer where this is going.

Veljko Mihajlovic: So basically, most of that will go into the developing the programs that we are in today. So it's really the investment in competencies. Of course, some parts w

ould go in inves ting in preparing for the serial production and manufacturing, especially for this exterior radar that you mentioned, the ASPER and especially for the aftermarket and also here in machine and two, three -wheeler segments. Because there, we also plan to ship the complete modules with hardware and software.

Chirag Shah: So, you do the investment in human capital, you need t o add more people as you move to \$1 00 million, you will need to add more people or that all the developments of that has been invested alre ady?

Veljko Mihajlovic: So we will grow in the number of people also definitely, yes.

Vivek Vikram Singh: But, Chirag, to add to what Veljko already said, we also need to add in people side, because we're getting into serial production now, also product

people. So, I think already hiring great product guys from fairly -fairly reputable companies like Microsoft, etcetera. So, we are getting a good product and program and serial production, as I said earlier, when you go from a few to a

few million, there is a journey. So apart from just machine and infra and assembly benches, we also need to get the right people for the right kind of growth.

Chirag Shah: Thank you very much a nd all the best.

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Moderator: We invite the next question from the line of Siddharth Bera from Nomura.

Vivek Vikram Singh: So while Siddharth j oins, Aman, if I may request, we would, you know us and we ordinarily never close the call early. It's been 1.5 hours. Mr. Deshmukh

already left for his flight, two other gentlemen have to leave for flights since we've been on this deal closing for the las t week or so, we haven't any of us

have not slept really for a long time. So, if this could be the last question, we love to talk again, please visit us, and we'll talk there, but it's be en a long, I'd

say seven, eight days for all of us.

Siddhartha Bera: Hi Si r, thanks for the opportunity. Sir, most of the questions have been answered. Just I think on the addressable size which you had indicated, will it be fair to say that, the mix will be more skewed towards products and less of

a tech or it can be more of tech and less of products? And even within that, in terms of the addressable market, will the in-vehicle and outside vehicle will be similar, or there is a segment which is bigger, so some clarity on this aspect?

Vivek Vikram Singh: Sure. But I would say, if you are looking at NOVELIC 2028, the larger part of revenue comes from products. In product, the largest product should be ACAM just because value per unit would just be higher. Second largest should be ASPER followed by the third category of the products. We're still, and I'm trying to break Siddhartha the technology, everything is technology, the product that you use, the way we are speaking to each other is technology, right? However, the device that you use, it's a product and the services are the solution that you can't see, but you're getting charge for. As core OS, the operating system or the service provider or the telecom network provider. So we will be doing both. Any guess, Darko, or Veselin, what is the ratio of product to service? 70:30, is that fair?

Veljko Mihajlovic: Yes. That's fair, roughly, Vivek that you mentioned.

Vivek Vikram Singh: So, 70-30, 70 products, 30 services and licensing. Licensing is repeating recurring revenue without extra effort or expense. Those are great revenue streams to have, and we don't want to let go, which is why it's harder. Like I said, this is a combination, like we already started doing it. When we started realizing and some people ask us why your margins higher than others in the industry, because we are not a pure product company even now. A lot of what we do is because the product is high technology, a lot of services are

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being attached and we are getting the money for it. So, it's similar but even more, I would say, tech intensive.

Siddhartha Bera: Understood. Thanks a lot, sir.

Moderator: Thank you. We have one last text question. That is from the line of Prateek Poddar from Nippon India Mutual Fund.

Could you please talk about how would you charge the OEMs for mmWave radar products? Would it be SaaS-based or based on price path? Also, which third-party chip suppliers are we using to embed our software on?

Vivek Vikram Singh: That actually is a very good question. I have to complement Prateek. I think the best question for the last but, okay, who wants to take this one. It is a very, very relevant question on how the pricing model also will be developed. And is it a SaaS-based model or is it product plus both? And which chipset, Veljko you can go with which chip are we embedded with.

Veljko Mihajlovic: So yes, regarding the chips that we are using, we are partnering with Infineon with Texas instruments, returning fees for, let's say, various product developments, particularly for in-cabin solution, we are partnering with Infineon. Because we identified their chip as the best fit for that product and to put in our software. Regarding the pricing model, I think Veselin can amend on that. So, SaaS is, of course, something that is envisioned for the future. And I think there, we will accommodate basically to how the complete value chain behaves. So, I think the OEMs now need – have the way to go on their pricing model and then that will respectively translate to all the Tiers in the, say, with different -- with – for their different features that we are providing.

So, we can imagine in the future, which is not so distant that this sensor, for example, has like a mandatory function, which is regulated by law, which is child presence detection. And then one can pay for intrusion detection.

So, to share let's say, the alarm feature set on or off depending whether he's spending summer in some isolated island or some dense city or so. So, this is

the future that is definitely coming. But for the third generation of the products, we are definitely going to the model where we charge per piece of our IP or product delivery. Maybe Veselin can comment more on that.

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Veselin Brankovic: Just I would like to say also if you look at carefully new experiences now for

our Auto Show in Las Vegas. I think there is changes in the future in 5 to 10 years that at least many car manufacturers say, yes, software company. So, we have a software vehicle. I say, it's very nice to say you've software vehicle but need to have hardware component . So, enabling this software that are differentiating.

So that means there is this tendency to try to put some kind of -- how should I say new business model. We are listening this carefully. We just want -- do not want to come to the position to act on the classical purchasing pressure given the price down. So, we would like to say how can I help you to make a more interesting business model so that you are happy about it. So, this is something which we are seriously thinking, we cannot discuss this too much right now, but we are trying also in a very dense communication and exchange with Tier 1s. But I need to say also with OEMs, and this is actually what we previously said, I don't think it is changing. So, Tier 2 companies can go and engage with OEMs directly. So, to try to find what is the best solution for the business model, which is convenient for both sides. So I think I'll let the things still happen. But we think that the classical type of approach will keep for the next years. But I really don't know how much and how fast the things will change after 5 years, time. We will see a lot of changes in the business models.

Vivek Vikram Singh:

Yes. So I'll just summarize, Prateek, because it is an excellent question, and one we wondered about the 10 years later, how do you monetize technology, so revenue monetization models would be one and I think at least for both ACAM and ASPER large part would be still the traditional, the OEM buys the module on which we can play one of two parts exactly like we do in differential, we could either be the software guys and we can be in the software plus the hardware guys. Same as we do in, let's say, our driveline business, we can either be -- the guys who do the whole gearbox or we can be just the differential assembly guys . So that's why the two levels. That should still stay the largest form of the monetization model.

Second one would be in licensing and Veljko talked about, like imagine your car has a device like your smartphone, you can download apps on it, all the apps exist. And if you pay, there is a paid version or a not, and then some of the apps which are only paid. So, if you pay for intrusion alarm, that intrusion

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alarm will become active. The hardware for it is being inbuilt by default. The software becomes active. And per use, the provider or the licensor gets paid. That should become our second revenue stream.

Third, not directly to OEM, but even Tier 2, Tier 1, like I said, the boundaries have just gone away. The same guy can be your competitor, the same guy would be a customer. And currently, a lot of leading OEMs are integrating very large systems with sensing software and sensing hardware, which NOVELIC already provides today. And these things should also continue to grow as functionalities increase.

But yeah, many avenues to monetize as mobility itself starts shifting, I mean if you go very into the future, Mobility as a Service would become there that for a person, it is the journey from point A to point B . it could be done using many devices that are all provided by the same integrator. You could get into a subway get out, get into a bus, get into a car and then in the end take a scooter if that is the best thing that your mobility provider face.

And you pay by using. So, a lot of this is evolving. We have prepared for all of that. But even if nothing happens, like I said, the traditional way of tipping the whole product that works, you fit it in, as they said, plug-and-play that should still remain a large part of it.

On the chipset part, we work with literally every chip provider. However, for the in-cabin sensing, we are embedded with Infineon. For other applications, we work with Texas Instruments, NXP and Infineon and others. But excellent question, Prateek.

Moderator: That would be our last question for today. I'll now like to hand the call over to Mr. Vivek Vikram Singh for closing comments.

Vivek Vikram Singh: So, thank you so much, everyone, for listening. We are available to explain

this and more. And even the NOVELIC team would be available 12 th, 13th , 14th and 15th at the Auto Expo in Pragati Maidan, Delhi, hope to see as many of you as possible. As you know, we are fairly approachable as a team. We also really, really love feedback. So as much feedback as possible. It helps us iterate, improve and get better. So th ank you so much.

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Moderator: Thank you very much. Ladies and gentlemen, on behalf of Sona Comstar, that concludes today's session. Thank you for your participation. You may now click on the exit meeting to disconnect. Thank you.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company t akes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2023

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q4 FY23 Earnings Conference Call Transcript
May 03, 2023

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good afternoon, ladies and gentlemen, good day! and welcome to Sona Comstar Q4 FY23 earnings group conference call. Please note all participant lines are in the listen -only mode for now. There will be an opportunity for you to ask questions after the presentation concludes.

Please note this call is being recorded. We request you to place your line on mute except when asking the question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward- looking in nature and we request you to refer to the

disclaimer in the earnings presentation for further details.

The management will also not be taking any specific customer -related questions or confirm or deny any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your question.

I will now hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Auto Analyst at Nomura. Kapil, please go ahead.

Kapil Singh : Slide 3:

Thank you, Deanna . Good day to everyone. To take us through Q4FY23 results and to answer your questions we have with us, Mr . Vivek Vikram Singh, MD and Group CEO; Mr . Kiran Deshmukh, Group CTO; Mr. Sat Mohan Gupta, CEO of the Motor Business; Mr . Vikram Verma, CEO of Driveline Business; Mr . Rohit Nanda, Group CFO; Mr . Amit Mishra, Head Investor Relations and Mr . Pratik Sachan, DGM Corporate Strategy and Investor Relations.

I will now hand over the call to Vivek for his opening remarks and the presentation . Over to you Vivek.

Vivek Vikram Singh: Thank you , Kapil and Deanna , and welcome everyone to the earnings call of what has once again been our best quarter ever. I think I've said it a few

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times, but I hope I never get tired of saying this, so the best quarter ever and the best financial year ever in several aspects of our business.

But first, as is our policy when talking to the company's owners, our shareholders, we will begin with the challenges. So, although inflation seems to be cooling in general, there hasn't been much change on the cost side on our largest purchase commodity which is alloy steel. It remains at

elevated prices, so hopefully that too shall correct soon. Apart from that as highlighted in the previous call, in the EV two-wheeler industry, there was a

requirement to get the vehicles homologated again due to the new battery standards. Also, there is a challenge around lack of clarity and uncertainty on FAME -2 subsidies , and that too is a constraint to growth.

On the positive side, I guess there is a lot more of that this time. In financial terms, we achieved the highest revenue, EBITDA, and net profit in Q4FY23.

We close the financial year with a stronger order book, with the addition of several new programs, new customers, and new products. This gives us the confidence to sustain growth momentum in FY24 and beyond over the medium term. We've also made substantial progress on our technology

roadmap by developing four new products in FY23 alone. We're also working on several exciting and innovative products for our customers across both motor and driveline businesses. We are obviously excited to add sensors and software as the third pillar of growth and hope to close the NOVELIC transaction before the end of this quarter. On the ESG front, we made some credible progress by developing and implementing an innovative solution in our forging plant at Gurgaon, that helps us recycle and save around 12,000 liters of water per day. This of course is a great achievement, and we'll talk

about it at the end of our presentation.

Before proceeding, I would like to add that we don't consider ourselves macro experts at all, but to pre-empt your questions about the markets we serve here are a few observations. The US market was positive on a year-on-year basis in Q4 and continues to look good. The Indian market did well across all three categories of PV, CV, and off-highway and continues to be fairly strong. Europe also had a positive quarter on a year-on-year basis, which is very gladdening to see that it is continuing to improve over the recent quarters. Asia, which is our smallest market remains volatile because of the uncertainties of the post-COVID reopening in China. Let's see when that recovers.

Slide 4:

So, coming to the numbers, we again had good sequential growth but more importantly, and perhaps the only important metric for us on the year-on-year basis, our revenue grew by 35% while EBITDA and net profit increased by 49% and 54% respectively, as we continue to improve on our margins. Battery electric vehicle segment revenue grew by 37% and for the first time, we've crossed the 200-crore mark from that segment. BEV revenue share also increased to 28%.

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Slide 5:

For the full year, like every year, we would like to report our performance scorecard as managers to you on our five KRAs that we've, consistently since our listing, been talking about our financials, our progress on electrification, our progress on business development, diversification, and new product development.

Beginning with financials, we continue to do well on all three indicators - growth, margins, and returns. Our revenue, EBITDA and PAT are up by 26%, 25%, and 28% respectively. Another quarter of strong operating performance has increased our EBITDA and PAT margins to the middle of our usual range. I think we've always communicated a range of 25% to 27% for EBITDA and 14% to 16% for PAT. And I think now

we've come bang in the middle of that.

Returns too, have been and continue to be strong.

Slide 6:

As I think I said last year too while showing a similar slide, any company's performance is meaningful only when seen in the context of the industry it operates in. The best benchmark for us is global light vehicle sales and relative to that, we continue to rise against the tide, we more than doubled our revenue in a market that has declined by 7% during these three tough years, and having done this organically, is a remarkable, remarkable feat for our entire team. Another aspect I want to mention, but actually repeat, is that while this chart shows a linear growth of over 25% each year, it doesn't mean that each quarter had 25% growth. The real world is seldom linear and ours is a company, which grows mostly through new programs, growth comes in steps. As you may have noticed in the eight quarters since our IPO, our growth has been between 0% to 10% twice, between 10% and 20% twice,

between 20% and 50% twice, and over 50% twice as well. So, if you look at the data scatter, there is not much of a meaningful pattern on quarters.

However, when you look at years, a meaningful pattern does emerge.

And also, please forgive me for perhaps reminding everyone of the obvious but if you look at the last two years that we've been publicly listed, we've grown by an incredible 70% while maintaining our margins. And this is

despite, I would say, unprecedented headwinds like COVID, semiconductor chip shortages, extreme inflation, and even a war in Europe. So, apart from the tremendous team that I mentioned, our unrelenting focus on technology, innovation, and the lens by which we see how much value can we increase rather than just looking at pure volume. I think these are the reasons for our resilient performance.

Slide 9:

Coming to our second KRA which is on Electrification. So, our battery electric vehicle revenue has grown by 33% over last year in absolute terms and

stand s at 670 crore which incidentally is close to our total revenue just four

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years back. We added 12 new EV programs during the year and strengthened the EV orderbook further.

In Q4 specifically, we added one new EV program from a new EV customer which we'll talk about in the next slide. And here I wanted to mention that we often ask all of you for specific and actionable feedback and this is in actual response to one of those that we received from Gunjan and Anuja of BofA. We updated our EV program split because they kept saying that everything seems to be in the orderbook. So, earlier we used to only show two categories fully ramped up production and in orderbook. What we've done this time, and for the sake of more transparency is, we made it in three categories. So, one is fully ramped -up mature programs. Second, started production but in ramp- up phase, and last, not yet in production. So, if I were to do that for this, at the end of FY23 we have a total of 20 programs in production, out of which 10 are mature and completely ramped up. Other 10 are in ramp- up phase. The remaining 22 are not yet in production and will start either during this year or the following years. I hope this brings more clarity and transparency and we hope to also continue to improve with more feedback from you.

Slide 10:

Yes, to now talk about the new order win that we just had. This was from a North American New Age OEM of commercial vehicles, and we are proud of it and are highlighting it for three reasons.

First, this order is for a bundled product offering, which includes obviously our highest -selling EV product, which is the final drive differential assembly, and two completely new products – intermediate gears, and input shafts. All these combined complete all the major moving parts in an EV gearbox.

Now, this obviously

has been a stated ambition of ours, but I'm glad that we've got that fairly early.

Second, this would be our first commercial vehicle differential assembly ever and this marks our entry in to the EV gearbox parts for a new market segment, which is electric commercial vehicles and this program specifically for class four and class five trucks.

Third reason: the increase in revenue potential in a vehicle and again, I wanted to mention that point that all research we kind of read about the automotive industry, every market segment and the focus seems to be on volume s of vehicles sold. We prefer as a company to look at market segments from a value perspective. And I think it is due to the strategic lens that we've been able to move step by step in the last 6 -7 years from a \$15 to \$20 differential gear set for an electric car to a driveline system with \$600 to \$900 revenue realization per vehicle in terms of an electric class four truck.

Slide 11:

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There's not much to talk about in this slide. We keep it for the sake of continuity and because it's a good visual representation of the geographic diversity of our electrification mission. The only change is the addition of a new program as well as a new customer in North America.

Slide 13:

On to our third KRA which is Business Development. This year was our best year of business development. We've added 80 billion rupees worth of orders during the year. This came from 35 new programs and 7 new customers.

Primarily our revenue growth this year came via the consumption of 51 billion rupees from this order book. As I explained earlier, in an industry that is not actually growing, the only source of your growth would be your ability to get orders and then consume them fast enough in order to maintain your growth, and that's what happened. Taking that out the net addition to the

net order book was 29 billion rupees.

Slide 14:

Which brings us neatly to our net orderbook which at the end of FY23 stands at 21.5 thousand crores or around \$2.4 billion .

As visible here , almost all our

sequential growth in this quarter came from the consumption of the new orders while the EV contribution , and that's the second takeaway from this

slide , has increased to 77% which is quite a big number now.

Slide 16:

Fourth KRA is around Diversification. Now again, as every time , the trend of increasing electrification and decreasing ICE dependence continues unabated as we keep developing new EV products and benefit from this EV

megatrend.

Slide 17:

Geographically, we've seen a shift in our revenue mix this year, North

America has contributed 43% of our revenue in FY23. This shows an

exceptionally strong growth backed by new programs mostly. Very heartening to see that after dropping to merely 11% revenue share in Q1 ,

Europe market has also recovered , and because of that, we have almost

got back to the same percentage we used to be last year from Europe. And

if you look at absolute revenue because this is against a fairly high growth of

26%. We have seen a YOY growth in absolute revenue from Europe.

Not much change in product mix or vehicle segment mix, to be honest , from

the last quarter. Except that on an annual basis, the revenue share from

traction motors for electric two - and three -wheelers has grown significantly.

This revenue share that stands at 4% today used to be almost 0% two years ago and 1.5% just last year.

So, with that, I come to the end of my update. I turned to our Group CTO,

Mr. Deshmukh to update us on our technology . Over to you , Sir.

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Kiran Deshmukh: Slide 18:

Thank you , Vivek . Good evening , ladies and gentlemen.

Slide 19:

I'm pleased to present our technology roadmap as we continue to break

new ground in innovation. The development journey from i

deation to

commercialization is exciting and we visually represent every time by

transitioning a product from white area to blue on our technology roadmap.

I'm delighted to report that we have successfully transitioned four groundbreaking products into the blue zone over the past year alone.

In recent quarters, we have proudly commercialized the net shifts spiral

bevel gears and the electronically controlled locking differential or the EDL.

Our spiral bevel gears testify to our pioneering efforts in precision forming in this product category. Meanwhile, our EDL

represents the first-ever complex

differential specifically designed for electric vehicles. Both these are further

solidifying our commitment to sustainable innovation.

Building on this impressive momentum, we have added two more products, the input shaft , and intermediate gears to the blue zone this quarter. These

advanced products enhance our capabilities in precision forming and

machining and bring us one step closer to developing a comprehensive EV

gearbox. Consequently, we have reinforced our position as leaders in

providing higher value addition for electric vehicles.

With that, I invite Rohit to provide you with an update on our financial

performance.

Rohit Nanda: Slide 20:

Thank you , Mr. Deshmukh . A very good day to you all. It's my pleasure to

share our fourth -quarter and full -year results for FY23 with you.

Slide 21:

Like Vivek already mentioned, Q4 was our best quarter on all three

parameters of revenue, EBITDA, and PAT, being 744 crores, 201 crores, and

120 crores respectively. Our BEV revenues grew by 37% this quarter whereas our non -BEV revenue also grew by a robust 35%, which is more than three

times the underlying growth in our key markets of North America, India , and

Europe.

Our EBITDA grew by 49% as year-on-year margin improved by 2.5% to 27.1%.

EBITDA margin improvement was primarily due to operating leverage and a better product mix.

Our adjusted PAT for the quarter was 122 crores which is higher by 57% compared to the adjusted PAT of 78 crores in the comparable quarter last

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year. There was a better margin transmission from EBITDA to PAT due to lower net interest cost and depreciation combined as a percentage of revenue.

This quarter, our PAT has been adjusted for exceptional expenses pertaining to acquisition-related diligence work whereas PAT for the comparable quarter, last year was adjusted for one-time tax-related impact.

Slide 22:

For the full financial year, our revenue grew by 26% to 2,676 crores. Our BEV revenue grew by 33% to 671 crores, and it was 26% of our total sales. Our non-BEV revenue grew by 23% while the underlying light vehicle market grew by only 2% in our three largest markets of North America, India, and Europe combined.

For the full year, our EBITDA grew by 25% to 696 crores. We had a positive impact on our EBITDA margin from operating leverage and product mix. On the whole, however, our margin percentage was lowered by about 20 basis points because of increased RM prices, despite cost pass-through, due to arithmetic effects.

Our adjusted PAT for the full year grew by 29% to 398 crores. Compared to the adjusted PAT of 309 crores last year. Lower net finance cost led to improved margin transmission bettering EBITDA and PAT impact for the full

year as well. As I've already explained, the PAT adjustment for FY23 pertains to diligence expenses related to acquisition while PAT adjustment for the last year for the full year pertains to one-time tax-related impact and reversal of IPO expenses.

Slide 23:

We now move to the cash flows. During the full year, the company generated 535 crores as cash from operations and 200 crores as free cash flows. We thus managed to fund our entire Capex spending of 335 crores from cash generated from operations.

Besides this, we also distributed a dividend of 120 crores during the last financial year.

Slide 23:

With this, we come to the slide on our key ratios.

The first one there is value addition to employee cost (VA/Employee Cost) which has further improved from 5.7 times last year to 6.4 times this year,

which reflects continued improvement in our marginal value addition

relative to change in the total employee cost, our return ratios of RoCE and

RoE continue to be strong with RoCE about 30% and RoE about 26%. These are somewhat lower from the last two-year levels primarily due to ongoing

Capex expenditure. Besides, in case of return on equity, there is also an adverse base effect due to primary equity raised during the IPO.

Our net debt to EBITDA continues to be below zero as net debt number is continuing to be negative. Working capital turnover ratio has improved to

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4.2 times. Our fixed asset turnover ratio has declined a bit to 3.9 times which is mainly on account of the new capitalization that we did during the year.

With this, I'll now hand it over to Vikram who'll be sharing an interesting ESG case study, which showcases our efforts towards a better environment. Over to you, Vikram.

Slide 24:

Thank you, Rohit. Good evening, everyone.

Slide 25:

As you know that the driveline business is more concentrated with the forging as a process and the forging requires a lot of power and water. So, in a forging process, a die lubricant is used for both lubricating the die and cooling of the die. So, in the process, the water evaporates and then condenses, and extra water goes through into the pit that is normally disposed of through a proper channel, an authorized channel. This used to be the process earlier. Now, the team at the forging plant has done an exceptional job of putting a system through which we can recover water, which is around 75% of the water is now recovered and put back into the system. So, this is a cycle, which has been used and this process is probably done for the first time. And hence, it should help many of the forging industries in the country. The whole idea of showing this and we will share this to the community that how each one can use this process for improving action in the uses of water. So, that's something, which we are very proud to share with the whole community, the forging industry. I think that brings my end of this presentation and I will now ask the Nomura team to go ahead with the next session.

Moderator: Thank You! very much now we are at the Q and A session of the presentation. We will now open the floor for Q and A. If you wish to raise a question, please use the raise hand function located in the bottom right of your Webex page. I will unmute your line and prompt you to speak or you can submit the question via Q and A chat box addressing to all presenters. Please be reminded to keep your question to a maximum of two questions. If you have more questions, please return to the queue. Thank you very much!

Now, I'll go to the first caller Ms. Gunjan. Your line is unmute, please go ahead with your question.

Gunjan Prithyani : Hi, thanks team for taking my questions, and thanks Vivek for incorporating the feedback it's pretty useful. I had two questions, firstly, a little bit generic one on the industry. Now, clearly, the most topical thing has been the, you know, the price aggression or the price cuts that we're seeing in the industry. And in general, there is a fear that this eventually percolates down to the

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suppliers as well in terms of, you know, looking at the cost structures or renegotiations. Has there been any renegotiations at your end or re- look at the contract values or maybe, if you can share some colors around on how we should be thinking about this change in competitive landscape that we've seen on the EV?

Vivek Vikram Singh: Thank you! Gunjan. I think we've answered this question in different ways over the last three quarters. But again, I'll answer it with a Hindi phrase that I've used often, "Pratyaksh ko praman ki avashyakta nahi hoti hai". The numbers will tell you the story, if there is a significant discount, it will reflect in lower margins. If it is not, then it is not. Of course, there is pressure, when is not pressure there. I mean if you're running a real business, there is always pressure. How we deal with the pressure is our job as a management team and there is almost always a renegotiation of contracts. But yeah, the net result is visible. And I don't think there is much to be said about that. There is almost always something of the other going on with one customer or the other. But if you look at the net result, I don't think there is anything of concern there. And like I said, I think three times in the last three quarters, we've answered this question. I'm very amused to see that whenever prices go up, nobody asks us this question that will you get extra money from your customer?

Gunjan Prithyani : OK. Got it. Maybe just let me ask another question that I have is on your slide 10. So, you know, where you talk about the new customer, you put out an interesting, you know how the rise, the content value has been rising with the addition of these new products with every passing quarter. I just wanted to understand the original differential assembly that we, you know, we were giving to the, you know, to the customers was essentially just the differential assembly, there was no intermediate gear, there was no final reduction gear, right? If you can just give some colors on how does the value enhance by going from, you know, from the basic what you were supplying earlier to now adding this intermediate gear and what is it that is pending for us to supply

the, you know, like it? So, you've mentioned that, we are one step closer to supplying the final product. So, what is it that is still missing in this portfolio for us to do that? You know, \$600- \$700 differential assembly. Or the integrated unit, maybe I'm just a little confused.

Vivek Vikram Singh: No, no, no issues Gunjan. I mean for a non-technical person, it's a good enough question. If you look at the parts, the bundle value, like I said, is already between \$600- \$900 right? However, the thing is, it's not just the value of the product, it is also for what vehicle. So, differential assembly is also just the differential assembly, the second item from the bottom. Yeah, that can range from \$30 to \$600, just that, without the final gear, also, if you go from a small hatchback car to a large class seven class eight truck. So the range is quite, it's not just the product, it is the product in what vehicle, which is what we've been trying to I think say even by the way in the gears. The cheapest gear we've sold as a unit is 45 rupees and the most expensive is 4,500 rupees. The range is very, very wide. So, it isn't just what is the cost of

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this product or the price of this product? It is the price for that application for what kind of vehicle? What kind of load? What kind of torque? So that's the thing. So, it is two factors at play. Are you going, which is why we made that slide and it will be in the appendix. What segment of the market are you addressing? And in that, how much?

Second part of your question, which is far more interesting, is what is remaining? So, if you look at the whole EV drive unit, what is remaining? And I'll let Vikram also add, that of course, we are not putting it together, right? Even now we are doing all the different parts of it and letting the OEM assemble it. I think the bearings we are not doing in this, and we are not doing

the thermal management. So, the cooling, whether it be liquid, whether it be oil based, we are not doing that. So, we have still not gone to that level of system integration of the whole gearbox. Vikram, you want to add to this?

Vikram Verma : No, I think you've answered. I mean if the question is, what next is the gearbox, in which all these parts are to go will require bearings, require seals, the thermal management. There is a big housing and a lot of sensors going into it. Beyond that is also, the product has to have motor also and inverter

also, I mean, I think in the roadmap, Mr. Deshmukh had shown that was our final goal. So, this is still an intermediate before we reach there.

Vivek Vikram Singh: Correct. So Gunjan, in short, we just keep moving forward. And every time we move forward, we transparently share it with all our shareholders that we've moved one more step. The goal is still, there is still a lot more to do.

Gunjan Prithyani: So, the final reduction we are doing right? now that's not the gap in the portfolio anymore.

Vivek Vikram Singh: No, that we've been doing. That's actually at the third stage, final reduction gear on the differential assembly. I think that we've been supplying since 2018- 19. So that's been a while. The fourth one which you see is for the tri-motor architecture. That's the single reduction at the wheels, the spool gears. EDL was what we showcased, I think last quarter. And this is the first time we're doing intermediate gears in shafts. We've never done these products before and this also requires actually for us to do a little bit of cold forging, knowledge, and capability, which is what we are building. I think we've been often asked that, what else are we adding. Well, this was always on the map. I don't think people asked us about it, but yeah, this was always an obvious adjacency within the gearbox.

Gunjan Prithyani: Ok. Got it. I'll just ask last question and I'll join back the queue – if you can just update us on where we are on the PLI if anything accrued in this year end. You know, just what is it, you know, that needs to be given to the government to get the incentive.

Vivek Vikram Singh: Yeah, I'll let Rohit answer that. just philosophically. I think we, for the last two years, maintained that we will do our business without planning for any government intervention or subsidies. Because that is, I think the right way to

do it. If they come, they come, if they don't, they don't, we have never accounted for it. We've never given much thought about it but Rohit can answer that. He's far more on top of these things.

Rohit Nanda: So, Hi Gunjan, PLI, I mean, like all the other players, we've also moved our application and all for the product approval based on the current status, and all our understanding is that for FY23 actually, there may be no PLI, OK. The year gone by, I'm talking about FY24 onwards. It should be there. But I mean, there are many things, which are yet to become clear. In fact, the government has come out with the SOP towards the end of April only. So, we are still studying it, trying to sort of understand the process and all. But currently, I think for everybody, it is that everyone has applied for the product approval and that is still everybody is in the queue in terms of approvals.

Gunjan Prithyani: Ok. Got it. Thank you so much!

Moderator: We now go to the next caller. Vimal Gohil your line is unmute, please go ahead with your two questions.

Vimal Gohil: So, my question is to Rohit. Rohit we've seen our gross margins actually have touched 60% at one point of time. Obviously, we've averaged around 57- 58.

We're currently at 54. There is some softening of raw material costs that we see at this point in time. So, what's the outlook over there and question to Vikram, Sir, your outlook on the

starter motor business? Let's see, it's been passed off. So, what would be our outlook next?

Vivek Vikram Singh: I think you meant me. Vikram handles driveline business. I will let Sat answer the starter motor question since he is in charge of the motor business, but first Rohit the question is to you.

Rohit Nanda: Yeah, so, the material cost, I think apart from the alloy steel, I think we've seen softening of material prices over the last one year, I would say. But if I were to look at the alloy steel prices, I think they are still higher than where

we ended the last financial year. I mean, it's hard to predict. Generally, steel prices have come off but not the alloy steel prices. I mean, alloy steel that we consume. In fact, in April, we saw price increase. After that, there have been two decreases in July and then October, but they have been insufficient to even set off the increase that we gave in April. So, in a way, we are actually, for the full year, like I mentioned in my part of the commentary also, I think the alloy steel price that we paid this year was still

higher than the last year. And that's the largest commodity that we consume.

In terms of outlook. It's hard for us to really say anything because logically speaking, even alloy steel prices should have come off. Given that general steel prices have come off significantly from their highest, so, no predictions as such I would say.

Vivek Vikram Singh: Sat, on starter motors.

Sat Mohan Gupta: Yeah, I mean the starter motors, we did a good job in the FY23. And our volumes were quite stable. Though, I mean, a little bit lower than what we projected earlier due to the US and the European market. Overall, it's looking still good in the FY24, and we will continue to do that.

Vivek Vikram Singh: Yeah, and I think beyond that, Vimal, I don't think any of us know, and like I also mentioned, we humbly state that we are not experts in macros, we are not experts in predicting the future. And, if anything we have learned in the last four years is that we all need to be perhaps more humble. The world is far more dynamic and uncertain than we think it is. I think what we can do is focus on our business and be always ready and agile and move fast. But predicting the future doesn't seem to be something we are very good at, and we'll continue to not do that. We can see the bigger trends. We see how things move in, I'd say, 10 to 15 years. But you know, one or two years is just harder to get certainty.

Moderator: OK, we'll go next to Kapil Singh. Kapil, please go ahead with your question

Kapil Singh: Yeah, few questions. firstly, on orderbook, we have seen the 28 billion of orderbook consumed this quarter. So, any major product you can highlight which has gone into production. I'm sure it would not be fully ramped up in

the first quarter itself.

Vivek Vikram Singh: No, but I think that will be too specific because see it is only one or two programs that do that, but if I answer that, that's almost answering on the behalf of another customer, so, no point. But yeah, you know how a business is and I think it's a very good sign if you see this periodic up and down because that means that the order book is not just something which we were asked, I think earlier that it's something that is far in the future. These are things that this is how growth comes. Specific, I mean, there is no new product in this. It's all new customers only. That's why I'm not answering.

Kapil Singh: Ok. No, what I was trying to understand is whether this would not be fully ramped up right now. Right?

Vivek Vikram Singh: No, shouldn't.

Kapil Singh: So, I mean, the impact on orderbook is larger than the impact on revenue. That's what I was trying to understand.

Vivek Vikram Singh: It always is that way because what you're trying to do is take out s

omething

and when one of the programs has hit maturity or full peak, so now any additional is zero, so you take out from ...so how it works is let's say you were 10% off peak, but now this 10% goes out from the next 40 quarters, so there is a large value. So, you take 28 billion, you divide that by the number of quarters remaining and you'll get it. Actually, the math is fairly simple, and you realize that almost all our growth is because of that. There's nothing else happening.

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Kapil Singh: Yeah, yeah, and when you say something, some orders are fully ramped up, what does this mean? If you could give or take an example of, I'm saying any general product in the market so that we can understand?

Vivek Vikram Singh: Let's take any standard biggest product, a differential assembly, and the vehicle maker has projected and has planned to build 100,000 vehicles a year from that program. So, how it starts is initially in the initial phases will be 10,000, let's say for the first year, which could not be a full year. Next year, it goes up to 60-70 thousand. By the third year usually it gets to 100 thousand which is the peak. After that, it'll stay at 100 thousand then it'll start declining, that's usually the curve any product cycle follows. So, when we say fully ramped up, it means it has reached the peak volume said by the customer. Of course, they can be plus or minus 10% in this every year if suddenly a lot of demand comes. But if the peak stated at beginning assumption is reached, we take that out of orderbook.

Kapil Singh: Ok. Also, on the orderbook, do you assume any market growth, or this is just the growth of the new products basically, which is what is reflecting here?

Vivek Vikram Singh: We never assume market growth for anything we do. Our budgets are based on zero basis because again, and you know this Kapil, I was made CEO four years ago, and I've never seen market growth.

Kapil Singh: You've seen a market decline actually.

Vivek Vikram Singh: Yeah, so, we don't assume all that. We assume zero because again like I said, we're not macro experts, so we don't know any better. So, we just say, let's assume everything will remain the same as it is today and then plan around that. Orderbook has nothing to do with the market and growth. It is customer projection and program ramp-up projection.

Kapil Singh: OK. So, if, if you know, let's take a longer lead product like a tractor, for example. So, you, or a truck, you know, in those basically you're not going to assume any growth in those when you build your order book, basically.

Vivek Vikram Singh: Correct. So, when growth does come, you will see growth. Actually, orderbook will still not grow because you can't solve for 10 years for that thing. Your base will suddenly go up though. So, even without consuming from the order book, your revenue can grow sequentially quite a lot and we are fervently hoping for that day to come. It hasn't yet.

Kapil Singh: And, and just one last question on slide 10, the new product that we have you know, the lead time for this is quite small, you know, Q4 start of production. So, can you throw some color because generally, we have longer lead times, our award cycles are longer? Is this a new customer? And why the lead time is smaller than usual? And also, what does this mean for future other segments, for example, cars, you know, gearbox or other

segment trucks, just, some color on that as well ?

Vivek Vikram Singh: Yeah, development cycles are shortening. That's a fact. What does it mean is a lot more pressure on our engineering teams and this is something we

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really are concerned about that every customer seems to be in a far more hurried thing which obviously is good from a shareholder's perspective, that

profits and revenues come faster than they used to. But there is a lot of pressure and a lot of time pressure, I guess it will continue till this EV trend and the EV transformation stabilizes. I think we are in the midst of a large disruption in the industry. We are obviously beneficiaries of it. But yeah, there is a lot of hard work.

What does it mean for other segments and other gearboxes? Kapil, we always say only what we mean, whatever we have said is all there is to it. There is not much more to read. We have made these new products and we have been able to secure a customer. We will always keep trying, keep striving to grow that business, keep trying to sell to more customers. And it will take a while. The capability curves are long. Often we've been asked about others, and we have always commented that we don't talk about others because our race is our race. Our product roadmap is transparently shared with all of you, including with all our competitors and customers and everyone. This is what we intend to do. We are not hiding what we intend to do, our race, our milestones are there. If it is on our road map, we will do it. There is no question about that. I think in the last two years, we demonstrated that many times. If it requires that we will be taking some things that other people have been doing other people, other companies, well so be it. We don't define ourselves by competition. We do not define ourselves by finite-mindedness. It is completely transparent whenever there is something more, let's say we sell it to another commercial vehicle guy, we'll share it. If we take those parts and do it for a passenger vehicle, we'll also share it.

Kapil Singh: Ok. Thank you very much.

Moderator: Thank you Kapil for your questions and we are now going to Nitij Mangal. Nitij, your line is unmute. Please go ahead with your two questions.

Nitij Mangal : The question is on the Traction motors and the context of the uncertainties in electric two-wheelers and also anything you can share incrementally on the development of the magnetless motors.

Vivek Vikram Singh: Nitij, I couldn't quite hear you clearly. I think what I got was something around magnetless motors, but I didn't get much more.

Nitij Mangal : Yes. Yes, of course. So, how are you thinking of the ramp-up of the traction motor business in India? Given there is some uncertainty around the FAME, regulations, etc., and then also, anything incremental on the development of magnetless motors?

Vivek Vikram Singh: Sure. So, we are obviously like everybody else subject to the markets we operate. If the overall demand of our customer or the production plan of our customer is lowered. So, do we get it lowered? So, we are not thinking too much about it. We are ready with the products. We should still see growth.

But what would happen is then that growth will come from incremental market share addition rather than growth in the industry. I am too, I would

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say, unaware to comment on what will happen of FAME 2 or what will not. So, I will leave that. I believe that this, I think we've had this conversation that any industry or any business model that is dependent on government subsidies like PLI like FAME, that will always be prone to far more risk than a business that exists without it. We have always kept away from that. We did not plan our business around those subsidies even while quoting to our customers. And that's how we will continue if the market comes great. If it doesn't, it doesn't, we can't control that. So, it's uncontrollable. And also, we again, very humbly say we don't really know what is going to happen on

FAME 2 . So, we can't answer much.

Second, on magnetless motors , Sat you or Mr . Deshmukh can give an update. Although if any of you attended Auto Expo , you would have been able to see one of those in action.

Sat, do you want to share an update on the magnet less motors?

Sat Mohan Gupta : I don't know , sure. On the magnetless motor, I mean, we are working with, and we have also shown one of the motors with our partner in Auto Expo.

Right now, it's in development and a validation phase and we will come back on the status. And yeah, maybe in the next invest or call with you guys with more firm ed information and the data. But right now, it's in the validation phase and we are working on some of the options.

Kiran Deshmukh: Just to add to what Sat just now said, we are working on several technologies for magnetless. And currently , in our technology road map, those products are in the white zone. The moment they are ready to be commercialized, they will move to the blue zone. We will share that in this forum. As any other R&D project, these are all in the development stage , and depending upon the results and the validation , outcome of the validation tests, we will be in a position to say which technology we will go for, etc.

Nitij Mangal: OK, Thank you . I have one more question. Vivek when you see your order book flowing into revenues, let's over the next two or three years. I believe the share of EV s can probably get to like 45 -50% or so. How do you see your

customer concentration within EVs, let's say three years, five years down the line?

Vivek Vikram Singh: See, even today, if you look at our overall customer concentration, there is no customer who is over 20% right? Even now, even at this time of IPO, that was the same thing. 3 to 5 years later, also a similar type of thing should exist.

In fact, it is one of our priorities that you know, top two customers, how do we bring it to a manageable level? Of course, our goal is that no customer should be higher than 15%. We're already at 20. I think we will maintain this

good practice and in 3 to 5 years, you'll be happy to see there'll be a lot

more. However, dependence on which customer is not really the thing, it is which customer of ours does well in the market, which is the harder part to

predict, because who sells how many cars is not something we can control, we will do our best for every single customer, right? Then how they perform in the market is not something which is a controllable factor that we have.

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Our job is to get as many customers and as many programs, we are already with 26 customers. We will keep adding to this list. How they perform, you know, that's up to them and to the end customer , who's the king after all, who decides which vehicle to buy, that person he or she decides the fate of all of us.

Nitij Mangal: Got it. Thank you , and all the best .

Vivek Vikram Singh : Thanks, Nitij

Moderator: Thank you so much . We'll go to the next caller Sonal Gupta, Sonal your line is unmute, please go ahead.

Sonal Gupta : Hi. Can you hear me? Congrats on a great quarter and I think what's more heartening to see is that every quarter you innovate and come up with new products for which you are winning orders, so I think kudos to the team on that. It's very impressive.

Just a couple of questions from my side. One, I would just want to understand like, what is the capex target that you're looking at over the next couple of years? And also, I mean, we have the Inflation Reduction Act in the US. So will that sort of imply that you also look at some sort of a US facility given that is your largest market?

Vivek Vikram Singh: Thanks , Sonal . So the second part, I will answer that we are always actively considering new facilities anywhere. But the Inflation Reduction Act is not , it's actually more of an opportunity for us than otherwise. That's not that much of a thing. But the first one on capex I think I'll let Rohit answer that question.

Rohit Nanda: For capex plan , generally we see three -year time horizon

. I think for the next

three years, the number would be around 1,000 to 1,100 crores, some of the new orders and all, that's a three -year number in terms of capex.

Sonal Gupta : 1,000 to 1,100 crores, got it and just like I mean, any thoughts around like I think, Nitij asked that question, like on the India traction motors side? Because there's been a change in regulation and some customers have been impacted as well. So, how do you see that part of the business sort of moving ahead?

Vivek Vikram Singh : It is 4% of our revenue right now. I hope it grows, but like I said, what will happen with FAME 2 and what will happen post-FAME , we don't actually know. That's why we are begging forgiveness that it's our ignorance that we don't know which way the government or the regulator will turn, we can't take that call. However, just rest assured, I mean, it is the smallest market segment that we have. Hopefully , it grows, we will keep trying with other directions in traction motors also.

Sonal Gupta : Got it, and just last question, I mean, just to follow up with Rohit like on the commodity cost side, have we seen all the benefits other than the alloy steel, which where we have not seen any benefit but for others like copper, etc. I

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mean, like I mean, would we broadly say that all what needed to be passed on to us has been done?

Rohit Nanda : So, on the commodity prices, whether it is with the vendors or with the customers, there are periodic cycles, you know, it could be a three -month , six-month settlement cycle. So, for example, copper would be LME linked, so the price will automatically adjust.

Vivek Vikram Singh: I don't know if Rohit's voice was clear, it wasn't very clear to me. But basically , all of these price -passthrough mechanisms are pretty well in nature. They are usually linked to one or the other index, one of the other global indexes like LME or the Gerdau index. So, it's fairly transparent. So, if it happens, it comes through, there isn't much , I would say , things to worry about there. Copper as an element has softened a little bit so that benefit must have already come in but not that much, by the way.

Sonal Gupta : Got it, great. Thanks a lot for taking the question.

Vivek Vikram Singh: Actually alloy steel, Sonal, why is different is because we buy all our alloy steel in India. Now, there are geographical disparities between. So, steel may cost you different things in different geographies. It's not very usual. Usually , it's lockstep and all commodities move in tandem, but this is a slight difference, right

Sonal Gupta: Ok, great, thanks. Thanks a lot.

Moderator: Thank you. Ok, we'll go to the next caller. Caller is Jyoti, I think she has dropped off the line. We'll take Hitesh. Hitesh your line is unmute please go ahead.

Hitesh Goel : Congratulations on a very good set of results. Actually, my questions are basically first is on this PLI incentive, you know, which our firm is one of the biggest beneficiaries. So, can you give us some sense? Have we started getting in those incentives as yet or what is, where is the, you know, where are we on that , right now ?

Vivek Vikram Singh: So, I don't think that anybody has got it, so neither have we, but Rohit can answer that better.

Rohit Nanda : Yeah, so Hitesh our understanding is that nobody is going to be getting, I'm, I'm talking of only auto PLI right now for FY23 because I believe it's now been linked with the product approval and product approvals are all in the pipeline. So, you know, now it should kick in only after the products are approved. The government has recently come out with the SOP which they had been drafting. We are also going through it. But like I said, our understanding is for FY23 probably nobody is getting it . Going forward once the products are approved for each of t

he participants, that's when you start to get it.

Hitesh Goel : So we'll get it for the retrospective basis or only for say FY24.

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Rohit Nanda: My understanding is FY24 onwards. But these things are still, I mean, I would say early days, but my broadly, my understanding is that it will be with a prospective effect, not with retrospective effect.

Vivek Vikram Singh: I think Hitesh, just as we do in our company, from the analyst perspective also, take the most conservative view because I don't think it's an area we want to be optimistic on because these things seldom pan out in the most optimistic fashion.

Hitesh Goel: Yeah, great. And my second question is, just a housekeeping one also on this, you know, there's this other income which comes in the fourth quarter, right, in stand alone, which is, you know, that's why stand alone PAT is higher than consol PAT. Could you tell me what it is Rohit?

Rohit Nanda: It would be intra-group dividend, which Sona would have received from subsidiaries.

Hitesh Goel: Ok. Ok. So, that comes in the fourth quarter. So, that's why there's a skew

Rohit Nanda: It's not necessary, but normally it comes in the fourth quarter. Your observation is right.

Hitesh Goel: Ok. Thank you and all the best.

Moderator: Thank you very much, ladies and gentlemen. We are now at the end of this session, and we would like to invite Vivek to do a quick closing remark.

Vivek Vikram Singh: Sure, I hope there is nobody whose hand is raised and we have not answered. I would love to take all questions, but if there isn't, well, thank you.

Thank you again for giving us your valuable time and attention. If you do have anything which is specific and actionable and can improve our performance or our communication, please do send it to us, and yeah, see you all in the next quarter. Thank you.

Kapil Singh: Ladies and gentlemen on behalf of Nomura I thank you for joining this call and I thank the management of Sona Comstar for taking out time. Deanna, we can close the call now. Thank you very much.

Moderator: Certainly. Thank you, everyone for participating. Have a good evening.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2023

Date: -3rd August, 2023

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on 30th June, 2023

Dear Sir / Madam, Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Thursday, 27th July, 2023 on the financial result of the Company for the quarter ended on 30th June, 2023.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you, For Sona BLW Precision Forgings Limited

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q1 FY24 Earnings Conference Call Transcript
July 27, 2023

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Ladies and gentlemen, good day , and welcome to the Sona Comstar Q1FY24 earnings group conference call. Please note all participant lines are in the listen -only mode as of now, there will be an opportunity for you to ask questions after the presentation concludes.

Please note that this call is being recorded. We request that you place your line on mute except when asking a question.
Slide 2:

Some of the statements by the management team in today's conference call may be forward-looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details.

The management will not be taking any specific customer-related questions or confirm or deny any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your question.

Now, I will hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India , and lead auto analyst at Nomura. Kapil, please go ahead.

Kapil Singh : Slide 3:

Good day, everyone. To take us through Q1FY24 results and to answer your questions, we have the entire senior management team of Sona Comstar.

We have Mr. Vivek Vikram Singh, MD and Group CEO, Mr. Kiran Deshmukh Group CTO, Mr. Sat Mohan Gupta, CEO - Motor Business, Mr. Vikram Verma, CEO - Driveline Business, Mr. Rohit Nanda, Group CFO, Mr. Amit Mishra, Head Investor Relations and Mr. Pratik Sachan DGM Corporate Strategy and Investor Relations. I will hand over the call to Mr. Vivek for his opening remarks followed by the presentation. Over to you, Vivek.

Vivek Vikram Singh: Thank you, Kapil, and welcome everyone to the earnings call of what has once again been the highest -ever quarterly EBITDA.

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But first, as is our practice when talking to our shareholders, we let bad news take the elevator while good news takes the stairs. As highlighted in the last earnings call as well, the EV Two -wheeler industry continues to face issues around FAME II subsidy reduction and the related fallout on pricing and demand. This has meant an almost 25 crore negative impact on our sales this quarter from what would have been. We estimate that for the full year, we should see a 100 to 120 crore negative impact on the budgeted revenue from this category. However, having said that we still expect traction motors to be our fastest -growing product segment because this will happen on the back of new programs and new customer additions. EV Two-wheeler motors have relatively lower margins than our other products. So the corresponding impact on EBITDA and profit should be smaller. Now come to the good news part of it, which is, which far outweighs the bad. In financial terms, we achieved our highest -ever EBITDA in Q1FY24. This is despite marginally lower sequential revenue. We've also begun FY24 with some meaningful new wins in both Motor and Driveline businesses that give us the confidence that we are moving swiftly on a long -term strategy. Three of the new programs, also mark our entry into three distinct new market segments that we had not been addressing before. We have additionally made substantial progress on our technology roadmap by partnering with a road -tested technology partner in Equipmake. And this is to enter the high-voltage motor and inverter space.

The macro view of the markets we serve also remains positive with light vehicle sales in both the U S and Europe growing by double digits on a year -

on-year basis in Q1, growth continues to look robust in most of our markets.

The Indian market also did well in passenger cars and was I would say flatish in CV and off -highway. So overall continues to look positive.

Slide 4:

Now coming to the numbers. On a year -on-year basis, our revenue grew by 24% while EBITDA and net profit increased by 43% and 48% respectively. This happened because the margins have improved due to product mix as well

as operating leverage, battery electric vehicle revenue grew by 13% and the BEV revenue share was at 26%. Both these metrics should have been

higher, if not for the subsidy reduction impact on the EV Two- wheeler segment, which we believe should ease out going into the next few quarters.

Slide 7:

Now we've moved to an update on the biggest strategic priority which is electrification. Our BEV revenue continues to grow and we continue to build on our EV orderbook. In Q1, 3 programs have gone into production, two in the motor business and one in driveline. And this takes the number of programs which are active to 23.

We have also added four new EV programs and one new EV customer to the orderbook in the last quarter. One program is for EV differential gears for

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a North American customer and the remaining three program wins are substantial enough that we would like to elaborate upon them in the next slide.

Slide 8:

We wanted to emphasize these wins as they are meaningful for the future of both businesses, financially as well as directionally. The first one is a differential assembly program for a class five electric truck for a new North American customer. This customer is a new -age OEM of commercial vehicles. Last quarter if you recall, we had won our first-ever order for commercial vehicle differential assemblies, and by following up on that with the second order and that too with a new customer, we can see that the electric truck market, especially in North America is becoming a meaningful addition to our future revenue.

The second one is a large volume traction motor program that we have

won from an established Indian two -wheeler OEM who's an existing customer. This program is for their upcoming electric scooter model, which is expected to target the more let's say affordable market segment. This program is slated to become serial production in this financial year itself. And repeat business wins from the same customer are always special because if you win a business again for a new model that a customer is introducing, it proves our merit of being the first choice supplier or the first supplier. And it shows the faith the customer has in the quality and delivery of our product. The third new EV program win is an interesting one once again, it's a mid-drive traction motor as well as the motor controller for this. And this is for electric tractor application. Like the second program, this too comes from an existing customer where we currently supply motors for the electric three-wheelers. And apart from the obvious show of faith, this win is also important as it is the first traction motor order for tractors, and this goes to show our journey and the progress we are making on it.

Slide 9:

So two quarters ago, if you remember in Q3 of last year, we had presented to all of you this slide on what is our approach to electrification and how we intend to cover both passenger as well as commercial vehicle applications and all the segments of that. It gives us great pride in reporting that only in six months, we have secured new orders that enable us to address almost all the market segments in the driveline business, only one remains, 40-100 kilowatts in commercials. In the motor business, we continue our steady journey moving up on both the capability access of power as well as a voltage. When we did our first earnings call nearly two years ago, our drive line business used to cater only to passenger vehicles in the electric vehicle space. Our motor business on the other hand had barely begun in EV and we had a couple of EV programs contributing literally next to zero revenue.

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The progress we made in only two years is quite remarkable. I mean, sometimes even to ourselves. And I think this is this mindset and approach, one of continual addition of new products and new market segments has been and will remain the reason we grow much faster than our industry.

Slide 10:

This slide I think is a good visual summary of this section and it shows the reach and diversity of our electrification mission. This quarter, as you can see, we added one new customer in North America while adding two programs each in North America and India.

Slide 12:

This brings us to our net order book with the addition of 13 billion worth of new orders last quarter. At the end of Q1FY24, our net order book had expanded to 220 billion rupees. Two interesting things, the EV portion of this has now reached 78%, and if you notice the other side of it, which is non-EV, in that passenger vehicle is only 6%. So if we do believe that commercial vehicles and off-highway, are less, are going to electrify, let's say later, the business at risk is very, very low for us in the order book. And of course, in addition, to the four new EV programs that we discussed, we have also added 10 new programs for non-EV applications, out of which we would like to highlight one new win although it is non-EV.

Slide 13:

So we wanted to emphasize this win, as it is our first differential assembly program for recreational off-highway vehicles. This order is from a new global customer, and apart from signaling entry to get another new market, it is quite material from a revenue perspective as well. But most importantly, from a strategic perspective. This category of vehicles in our humble and limited opinion would be the least and last to be affected by electrification, which makes it a very good business development target for our

starter motor

business as well, and that's what we would hope that we would like to target this for that segment and try to get more traction here.

Slide 15:

Our fourth KRA is diversification, and on this slide, you can see that the trend

of increasing electrification and decreasing ICE dependence continues unhindered, and in the last two years, we've seen the ICE-dependent revenue shrink to only about 11%.

Slide 16:

Geographically the revenue mix is largely similar to the last financial year. North America remains steady at 43% of our revenue in Q1, which is quite robust growth because we have increased by 24% and to maintain that in such a large market means it's a very good time for North America. Second, after dropping to nearly 11% revenue share in Q1 last year, the European

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market has also recovered quite strongly, and it has come back to 23% of our revenue which suggests a return to I would say normal demand. Coming to product mix or vehicle segment mix, the most glaring change is the reduction in revenue share from traction motors for electric two -wheeler and three -wheeler segment. And this is due to the reasons I've already covered earlier. The other change would be the exceptional growth in the differential gears business this quarter and the lack of the similar rate of growth or relative growth in conventional starter business.

Having said this, we expect the traction motor business to gain relative revenue share this year and be the fastest-growing product segment for us, as there are several new programs that have either already begun or will begin in the next few months. So, with that, I turn to our Group CTO, Mr. Deshmukh, to update us on technology over to you, sir.

Kiran Deshmukh: Slide 17:

Thank you, Vivek. Good evening, ladies, and gentlemen.

Slide 18:

This is our technology roadmap that we share with you every quarter. This quarter, I would like to highlight some important products which are about to move from the white area to the blue zone which is a high -voltage traction motors and matching liquid cool inverters. We expect to commercialize these products in year 2025, thanks to our recently concluded partnership agreement with Equipmake of the UK.

Slide 19:

Equipmake's next -generation electric motors differ from the conventional permanent magnet machines due to their unique and patented spoke architecture. Here, the magnets are arranged like the spokes of a wheel, allowing the best use of the magnetic flux and achieving the highest torque density.

You need to use the most powerful magnets to get the most powerful dense electric motor. But those magnets don't like getting very hot so they must be kept cool. With a spoke architecture, we can have the cooling liquid very close to the base of the magnets, which is impossible in the conventional internal magnetic machines. As a result of which we can get very highly effective heat extraction. This efficient cooling system means we can run spoke motor harder and for longer. These motors are around half the size and about 80% of the mass of the equivalent conventional interior permanent magnetic motors. They are among the best in the world in power density.

Slide 20:

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Equipmake's very high torque, high power motors, high power density motors meet the needs of a growing electric bus and commercial vehicle market.

The technology has been tested, proven and Equipmake has delivered these motors to several customers worldwide. Our agreement with Equipmake covers the EV drive trains consisting of the inverters and the motors in the 100 kilowatts and 440 kilowatts, 100 to 440-kilowatt range for electric passenger cars, buses, commercial vehicles, and off-highway vehicles including tractors.

We will have the exclusive

rights to sell Equipmake's motors and inverters in the licensed territory which is India, Thailand, and select South Asian markets. We will manufacture these products in India and supply them obviously to our customers in licensed territory but also to Equipmake's other markets.

In other words, our partnership with Equipmake will help us add high-voltage traction motors and inverters to our product offerings.

With that, I hand over to Rohit to cover the financial update.

Rohit Nanda: Slide 21:

Thank you, Mr. Deshmukh, a very good day to you all. It's my pleasure to share the key highlights of our first quarter numbers.

Slide 22:

Our revenue during the quarter grew by 24% to 732 crore rupees. Our BEV revenue grew by 13% to 184 crores. And as Vivek has already mentioned, it was affected adversely by a loss of sales in India Electric Two-Wheeler and Three-Wheeler market due to reduction in FAME II subsidy. Non-BEV revenue grew by a robust 28% to 548 crore rupees. A growth of nearly two times the underlying growth in our key markets of North America, Europe, and India.

During the quarter, EBITDA grew by 43% to the highest-ever number of 203 crores. There was a recovery of about 3.6% in EBITDA margin to 27.8%.

Primarily due to better product mix and operating leverage. Our PAT grew by 48% to 112 crores reflecting the improvement in our EBITDA margin. PAT adjusted for exceptional expense on account of ongoing acquisition-related diligence work grew by 51% to 114 crores. Next one, please.

Slide 23:

Coming on to the key ratios which is the last slide in the presentation. Our value addition to employee cost was stable at 6.4 times this quarter. Our return ratios of capital employed and return on equity continued to be strong with some improvements. RoCE was at 31.4% and RoE was 27.1% due to high year-on-year growth in the profits. Our net debt to EBITDA continues to be below zero, as net debt number is negative. The working capital turnover ratio has further improved to 4.4 times due to higher last 12-month revenue and fixed asset turnover ratio was slightly lower at 3.8 times primarily due to new capitalization done during the quarter.

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With this, we have come to the end of the presentation and I'll now hand the proceedings back to the Nomura team for Q & A.

Moderator: Thank you very much. Now we are at the Q&A portion of the session. If you wish to raise a question, please use the raise hand function located at the bottom right of Webex page. We will unmute your line and prompt you to speak up or you can submit your question in the Q&A chat box addressing to all presenters, please be reminded to keep your questions to a minimum of two questions. If you have more questions, please return to the queue.

Thank you.

Okay, so we have a couple of participants who have used the raise hand, we will start off with Ms. Gunjan. One second, your line is unmute Ms. Gunjan, please go ahead. Ms. Gunjan Priyithani. Are you able to speak up? Ok. So, if you can't speak up, you can submit your question in the chat box. We will now go to the second participant, Mr. Jinesh Gandhi. Please go ahead with your two questions.

Jinesh Gandhi: Yeah. congrats for a very good set of numbers and a couple of questions from my side. One is, can you talk about drivers of gross margin improvement, in 1Q, we have seen a very sharp improvement in gross

margin, so, is it just the product mix or there are also additional benefits of commodity, which came in and similarly, other expenses have gone up quite substantially on Q oQ basis, so if you can clarify on these two P & L items and then have one more question on the business.

Rohit Nanda: So, Jinesh on the margin improvement side, there is no commodity benefit which is there in this quarter. So it's purely on account of improvement in the

product mix and operating leverage. Sorry, what was your second question?

Jinesh Gandhi: Other expenses have gone up on Q oQ basis. So, any one-offs there?

Rohit Nanda: No, there won't be a one-offs actually other expenses will also have manufacturing expenses which is also a function of change in the mix. There

are no exceptional expenses in this quarter. I mean, except for what is separately disclosed as exceptional expense, which is a small 3 cr.

Jinesh Gandhi : Sure

Vivek Vikram Singh: Just to help Jinesh understand in the driveline business raw material expenses are relatively lower but manufacturing expenses are much higher because there we start from steel and build everything in-house. In the motor business, raw material expenses are higher because there are also a lot of bought-out items in its assembly. The manufacturing expenses are relatively lower. So as the product mix shifts between motor and driveline, these numbers change, but there is nothing exceptional.

Jinesh Gandhi : Right, Right. Ok. Second question pertains to the order book which we have and as the revenue ramps up over the next 2 to 3 years, as this order book comes into P&L, what are the factors you're looking from a margin perspective in terms of push and pull, given that we are already at about

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27.5 - 28% margin. How do you see margin evolution based on the orderbook coming into the P&L over the next two to three years?

Vivek Vikram Singh: So, Jinesh the answer is the same as it has always been. I mean, this is our 9th earnings call and I think we've answered it nine times. We expect our margins to remain in the range of 25 to 27% over the medium term and it shouldn't change that much. And if you look at every year, yes, there could be

quarters where it could go very out of this range, but on an annual basis, it always remains in that and that is what we have seen for the last 15 years and that's where we expect it to remain also even going forward.

Jinesh Gandhi : Ok, I got it . A few more questions. I'll come back in queue. Thanks.

Vivek Vikram Singh: Thank you Jinesh.

Moderator: Let's go back to Ms. Gunjan Prithyani. Your line is unmute.

Gunjan Prithyani : Are you able to hear me now?

Moderator : Yes. Very good. Go ahead. Two questions.

Gunjan Prithyani : Ok, sorry about earlier I don't know what happened really. Thanks so much for taking my question and you know, really impressive wins this quarter.

Good to see the way the portfolio is expanding. I just wanted to get a bit more color on this Equipmake. You know, because this is an absolutely new product category. And what I really want to understand is, you know, what is this arrangement, particularly is it, you know, we going to be manufacturing for them in India? Is it sort of outsourcing and the business development that you sort of refer to in the release, that business development, you know, how big is the opportunity size? Because if I think about it, E-buses is something which is already seeing huge traction. So is that something that we can cater to or is my understanding correct on that front ? So maybe, you know, a little bit of color on that because I haven't heard much about it in terms of the arrangement as well as the economics.

Vivek Vikram Singh: Sure. So Gunjan as usual, you are more right than wrong, you're very close to the thing. India and Southeast Asia, Thailand these countries, and as you know, India is the second largest bus market in the world. This is where Sona Comstar takes the lead and does the business development , selling, etcetera , and Equipmake is paid a royalty, which is say X percent of the gross margin . When Equipmake does marketing in Europe, the US, UK and wins an order , that's where Sona Comstar's role will be to manufacture those motors for them.

The two motor categories

that were presented, one is very suitable for buses and that's , where if you saw the power density is almost twice the competing motors , that is for the bus category. The other one , which is more I would say suitable for cars , it is quite good and compares with the best, but it isn't so much relative outperformance . So, I would say bus is where the primary focus is if we get any other applications, of course , great, but that's the focus

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market. Mr. Deshmukh, Sat, if you can add anything more on the arrangement, it would be nice.

Kiran Deshmukh: So, like I said that the arrangement is exactly what Vivek mentioned, is that we will have the manufacturing facility in India. And since our market, India and the Southeast Asia is the largest, which is the licensed territory, so whatever we make here will be to serve that market. But Equipmake gets any business from outside this territory which is Europe, the UK, the US, etcetera, then we will be, it will be like subcontracting. So, they will use our facilities. Our facilities will be mainly set up for our market which is India, Thailand and Southeast Asia. So that's the arrangement.

Sat Mohan Gupta: Just to add to Mr. Deshmukh's comments, the APM 200 will also be a very good product for the LCV segment in India because that would be catering between 80 kilowatts to 150 kilowatts and it's a very, very light and it's very, very efficient motor design. So, LCV is the segment where we can use APM 200.

Vivek Vikram Singh: Correct. My bad, I forgot that one. Actually, electric CV market, which if you saw that strategic approach is the right next to where we reached this time. We genuinely believe that is a market that should electrify very fast and should electrify completely in India. And if the large LCV players, they seem to be fairly serious also, I think there's a good scope for that motor to succeed. Because compared to the competition that is there in that segment, this motor will perform quite well. And power density upon dollar is what we have to deliver to customers and that's our objective.

Gunjan Prithyani: Anything you would, you can put in terms of, you know, the opportunity size, I mean target I get is small commercial vehicles, e-buses in India. But if I have to think about the opportunity size in terms of, you know, what is really, you know, how much let me put it, what is the cost of you know, broad range if you can share and the E-buses that we see, you know, from STU orders, is that something which is also the relevant target market?

Vivek Vikram Singh: Yes. So the answer in a more prosaic sense is this that if you take the bus market and the LCV market, how much of that will electrify? That's a call you can take and then make that assumption. But the entire electric CV market, and entire electric bus market, and frankly, even the tractor market. Now, what percentage will electrify, let's say by 2030, by 2035 that we leave to you, we don't do that analysis as you know. And I think I explained to you before, if we think the market is large enough, and if we think we have a product that puts us in the best three or four in the world, we go for that market. Because if you have read Clayton Christensen's The Innovator's Dilemma, large companies often fail to address new and emerging markets when they rely too much on TAM and what is the market size. We try not to fail in that trap, whenever we think the market's opportunity is big enough for our scale and is interesting enough to do and we have the right product, we tend to go for it. Assumption on electrification is the only thing that would vary amongst different people who tried to size this market. But it is significant because even if you take 100 buses, right? And you calculate the motor

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inverter cost, it is actually a decent enough number for us to stake our claim there.

Gunjan Prithyani: OK, OK, Got it. I mean, I was trying to understand the value opportunity but maybe I'll, you know, I'll maybe take it later. Just extending this forward on the traction motor. Clearly, this is now, you know, like you called out it will be a big growth area. It goes beyond the E two-wheelers and three-wheelers. So, you know, if I have to think about the contribution that can come through from this sub-segment, is that something that you're, you can call out how big can this become in the next like three years or so, in terms of the contribution to the revenue?

Vivek Vikram Singh: Not really, no. So that I'll be completely honest, we don't know, we know it will be higher than what it is today. And that is good enough for us to continue. How fast depends on so many factors including government policy, government support, etcetera that we don't want to get into that bit. It's meaningful and it's a high growth rate and that's good enough for us to proceed.

Gunjan Prithyani : OK, just last question on the differential assembly. You know, how does the cost or the value differ from, you know, PV differential assembly to a CV different or truck differential assembly that you have been winning for the last two quarters ?

Vivek Vikram Singh: By a lot

Gunjan Prithyani : Any number?

Vivek Vikram Singh: It depends on the, from customer to customer, class three, class four, class five, class eight. I mean, it's , I can't really give it that straight answer but it is many times I think we gave the range last time that here we're talking about from 150 to 750 dollars per vehicle. So, 150 for the lower class trucks and 750 for the higher I would say class five, class six. So yeah, it's much higher than.

Gunjan Prithyani : All right . Thank you very much.

Moderator : Thank you. Just a reminder to all participants, please keep your question to 2 maximum, if you have any further questions, you can join back to queue, appreciate it. We'll now go to Rishi Vora, your line is unmute please go ahead with two questions.

Rishi Vora : NOVELIC acquisition, I think that acquisition has been delayed, so when should we expect that acquisition to go through? And also, if you could give some business updates about NOVELIC as well, how it has done over the last 1-2 quarters?

Vivek Vikram Singh: Hi Rishi, I thought you were asking about the Novelic transaction. I'll let Rohit answer this one.

Rohit Nanda : So, Rishi, it is indeed delayed. We are expecting to close this next month. That's the answer to your first question. And the second is a performance of

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Novelic. Is that the second question? So I would say this year it's been largely in line with the plan that they had shared with us initially. But for us, I mean, the real performance will start kicking in when we start consolidating and that's after closure of the transaction as you know.

Rishi Vora : Thanks for that. And just to follow up on Equipmake, Are we like, or when should we start expecting the company to manufacture this product?

Because Equipmake was already going to supply us one order, so when should we expect the manufacturing to start off the products? And have you also started discussing with the domestic OEMs? So any color on the product feedback or whatever you could share at this point in time would be helpful.

Vivek Vikram Singh : Thank you , Rishi. So, I'll invite Sat to shed more light on that.

Sat Mohan Gupta : So, Rishi, I mean, from the production point of view, we are targeting 2025 to start our commercial production. We are validating these products. These are already used products in the UK and other territories. So, we are working on to do the validation of these products and the technologies to suit the Indian condition

and the roads. So, we are targeting to complete that by this year and we will start working with OEMs post those validations. So, our plan is to launch sometime in 2025.

Rishi Vora : Understood and just last bit on Equipmake. How should we look at the margins of this product vis -a-vis our business margins, as we will be paying

royalty ? Some parts will also be more like we'll just be supplying motors to traction motors to Equipmake. Will it be lower than the business margins or like any sense around that?

Vivek Vikram Singh : Well, it will be lower than 27% for sure, how much lower even we will find out once we start doing it. Yes, there will be a royalty element. There will also in the space that we will be doing manufacturing and then some margin will be taken by Equipmake for doing the marketing etcetera there obviously, it will be lower. So, yeah , we expect it to be lower. How much lower, again, we don't know today.

Rishi Vora : Understood. Thank you.

Moderator : Thank you very much. We now move on to the next participant Amy n Pirani.

I think he is on mute, the next participant will be Arvind Shyama. The line is mute. We'll go on to the next participant, Basudeb Banerjee.

Basudeb Banerjee: Am I audible?

Moderator: Yes, go ahead.

Basudeb Banerjee : Yeah, a couple of questions. One is with respect to the last year those tie -ups

with C -Motive and IRP Nexus, Israel, those news came up. So any update on those tie-ups products when they are getting commercialized or business coming from those two tie-ups? That's the first question, sir.

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Vivek Vikram Singh : So, Basudeb I will answer that. And I think we mentioned it very clearly even in the earnings call at that time, those were product development partnerships. And if you were to look at the transcript, I think I had written that somebody had asked me what is the probability of success, and I said, between zero and 100 which is what it remains, see Equipmake is a commercial partner for a proven product, those three were to develop products when they do get developed, and product development is the thing that one can't predict from day one that this will happen and then it will happen at a cost that we can sell it at, and then the third, which is how many will we sell? I think that's too early. When, if any of those do get developed into commercially viable products, we will certainly inform everyone.

Basudeb Banerjee : Sure. Second thing sir, any update on PLI-related payment, etcetera ?

Vivek Vikram Singh: So, we are moving on our application. It has been and I'll choose my words very carefully. It has been a slow process. It isn't as simple as it appears, I think for the last year from what we know from people in ACMA, etcetera, no auto component company has been approved. So, we are working on our application and yeah, we will let you know when we know more. I mean, even if I feel bad, I wish I knew more but we don't.

Basudeb Banerjee : Sure, last if I can chip in, like in the initial comments, you said around 130 crore revenue was missed because of the FAME subsidy deduction. Am I right sir?

Vivek Vikram Singh : 100 to 120 is our estimate. See this quarter, we lost about 25 crore from what we had budgeted from our electric traction motor customers. So, we did an analysis of what we think will be the whole year's impact. And 100 is the best case according to us and 120 is the worst case. So that's what we are seeing.

Basudeb Banerjee : And that analysis was based on June retails or a more holistic picture because in July, despite that deduction in subsidy, retails have started to improve.

Vivek Vikram Singh : Yeah. So, I mean if it was first week of July, it would be far worse. So no, slightly more realism, after the first 15 days of July.

Basudeb Banerjee: Ok. Understood. Thank you very much.

Moderator

: We'll now go to the next participant.

Vivek Vikram Singh : Basudeb, I get what you're saying, we could be positively surprised but this is what it looked like on 15-16th July and that's where we kept it. Let's see what happens.

Basudeb Banerjee : Sure. Sure

Moderator : Thank you very much. We go to the next participant. Sonal Gupta and your lines are unmute, please go ahead. Hi Sonal, your lines are unmute, are you

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able to speak up? Yeah, I think we can't hear you. Would you like to submit your question in the Q and A chat box, please?

Vivek Vikram Singh : Is there a problem at our end or theirs? I mean, three or four people. think they're not being able to speak.

Sonal Gupta : Hi

Vivek Vikram Singh: Hi Sonal, Is that you?

Sonal Gupta : Yes, hi, sorry. I hope I'm clear now.

Vivek Vikram Singh: Yes, you are.

Sonal Gupta: Ok. Great. Thanks. Thanks a lot. Just a couple of questions. One, I mean on the conventional motor side, right, both the mild hybrid as well as the conventional electric starter motors. We are seeing a very lot of quarterly volatility. So just trying to understand what is happening there. Is it because of customer production issues or what is driving this quarterly volatility?

Vivek Vikram Singh: Sorry, I didn't get that.

Sonal Gupta: Sorry, I'll repeat it again. I don't know if you, so just on the conventional motors, I was just trying to understand there's a lot of quarterly volatility in terms of the revenues. So just trying to understand what is the reason for that. And how do you see this segment? Is this more like a flattish segment or what's happening there?

Vivek Vikram Singh: Yes. So I'll let Sat answer it. But I mean, look, if you were to look at the long term, starter motors as a product would decline to zero, right? Now is that date in 2032, 2033 or is it 2038? We don't know yet. So, we prepare for the worst case in that scenario. Only starter motors for, I would say off-highway, and maybe some segment of commercial vehicles might survive. Commercial vehicle we are not there, off-highway we want to get into but not in the tractor segment, and more construction equipment or recreational vehicle segments, we'll see that. But long term it is going to decline, in the short term, yes, there has been volatility because this business has been focused mostly on North America and Europe, right, very few little bit sales we do in India. And yes, last five or six quarters because of supply chain risk, the Russia-Ukraine situation, there has been a lot of fluctuation in those two markets. Apart from that, nothing exceptional has actually happened. And if you look at absolute revenue from three years ago to now, it might not actually be very different. So, it is a long-term downward trending product. It hasn't shown up yet but it will at some point.

Sonal Gupta: Got it. So I know, I understand there's a lot of shift like in Europe, more than 20% BEVs are there. So now, so just trying, I mean, so are we actively seeking new business in these areas or we are sort of completely focusing on the traction motor for EV side?

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Vivek Vikram Singh: I'd say both Sonal. So, while it is a market that eventually is going to decline and traction motors is the future. If one looks at it, in three years out the traction motors will be a larger business for us than starter motors already. There is still focus on trying to find niches in which starter motors will remain. There is very little focus on trying to maximize within segments we know we are not going to be in. So I think I mentioned that recreational vehicle category, similar categories, if we find we will keep trying to make that investment last as long as possible for us.

Sonal Gupta: Got it. and just my second question

was on the orderbook size, on the new order wins that we are giving. I mean, like, how do you, is this based on customer projection volumes? How, how does this work? I mean, like, how do you estimate that? I mean, because why I'm asking is that you're signing up these new-age OEMs who do not have a very long history, right? So.

Vivek Vikram Singh: Always tricky, always tricky when you deal with the customers who you don't have a history of, you know, their forecast accuracy. So I will let Sat answer it more because, from my side, I think just being very conservative, that's just the safest way to do these things. Rest Sat will add.

Sat Mohan Gupta: Yeah, generally, I mean, it's based on what the customer has projected or based on the pricing, agreed with the customers, but we take a little bit of conservative view when we put it in our order book. So, but the data we get is from the customer and on which base we have taken the pricing.

Moderator: Thank you very much. We'll go now to Hitesh Goel, please go ahead with your question.

Hitesh Goel: Yeah. Yeah, hi, thank you. So, my question, first is on the, you know, Europe part, can you give us some sense on the BEV parts / BEV revenue actually, how much is Europe in this right now because, you know, there is, you said that one customer program is ramped up and six is yet to come through. So, I just wanted to get the Europe revenue in the BEV revenues.

Vivek Vikram Singh: Hi Hitesh, this will require some work at our end. I don't think we have that ready because we don't segment it internally also with that many cuts, I mean, when we do it, even internally, we have the geography and then divide it by categories. So India PV, India off-highway, India CV, Europe PV, CV, off-highway, this is how we do it. We don't sub-segment into battery electric or not. So we'll have to kind of get back to you on this.

Hitesh Goel: No problem, now because I was asking because it's an important part from

ramp -up phase for the electric programs, right? So I was just trying to understand.

Vivek Vikram Singh : So, there is a program that has started and that has picked up quite well actually. So, but I won't know the exact percentage.

Hitesh Goel: OK. and my second question is on the BEV. Can you give us, what is the electric motor revenue out of that? Just to get a sense. that how ...

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Vivek Vikram Singh: That we gave 2.5% was this quarter, last quarter it was 4%. So that if you go to the product mix. Yeah. So, in this, we give this one. Yeah, that slide. So, you can see traction motors 2.5%, this used to be 4%, traction motor is all BEV only.

Hitesh Goel : Ok. Ok. Sorry, sorry, I missed that. Thanks, Vivek, and all the best.

Vivek Vikram Singh : Thank you, Hitesh.

Moderator: Thank you very much. We'll go to Chirag, your lines are unmute, please go ahead.

Chirag Shah: Hello now am I audible?

Vivek Vikram Singh: Yes, you know there is a bit of an echo, but you are audible.

Chirag Shah: There's some issue. Sorry for this, I don't know why this echo. So quickly, two questions. One, can you indicate something on your cross-selling opportunities, so can you talk a little bit about it? And secondly, coming back to Equipmake, what was the driver of this arrangement? Was it a product gap that you are looking at in your portfolio or something else? And how should we look at the further product opportunities?

Vivek Vikram Singh: Sure. So, the second one I'll take up first, and then Mr. Deshmukh can add on it. It was a product/ capability gap because if we look at the bus market, not only is the power much higher, it is also the voltage is also much higher of the system. As you know, we have been progressing quite well organically on our own path, but to get there would have taken a fair bit of time and we would have missed the

first wave. If you miss the first wave, you only come in the second wave as the second supplier, second suppliers traditionally compete only on costs, right? You have to be better cost. So we didn't want to take that role. Hence to accelerate that, that is the biggest driver, but I'll let Sat and Mr. Deshmukh add to that.

Mr. Deshmukh: Yes So, one, of course, is that the electrification we have seen that it's happened first in two-wheelers, three-wheelers. The next electrification is going to happen in buses and commercial vehicles. So that market segment quite clearly needs to be addressed. And we didn't have the technology for these high-voltage applications. And as Vivek just now mentioned, to get there internally would take time and we may miss the bus, right? So that's why we were looking at partners who could offer products in that market. With Equipmake two distinct advantages. One is that this particular patented design, which is spoke design, makes these motors extremely compact. So, as you have seen, especially for the bus application, they are almost two times in terms of power density, so, much compact and much less weight, so, easy to package. And so therefore, that is a unique thing that we are in a position to offer with these motors.

Second is of course, as I earlier mentioned, it's the high voltage and bus application. These motors have been used. They have been proven, they've

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been running for several years now in the UK, in London. So, there is a proof. It's a product which is already proven. So, these were the two things which drove us to get to have this partnership with Equipmake. Sat maybe you want to add something.

Sat Mohan Gupta : No, sir. I think you have covered it pretty well, sir. Thanks.

Vivek Vikram Singh: What was the first question that Chirag you've asked? Chirag, you'll have to help us out here.

Chirag Shah : Hello? Am I Audible?

Vivek Vikram Singh : Yes

Chirag Shah : Yeah, sorry for this. So, the first question was about cross-sell opportunities.

You have been looking at that since last 2-3 years and now that the basket is widened for you, you had the product basket and hopefully, you had more on that. So, are there increasing interactions and acceptance, and are you able to leverage your this because when we look at your revenue growth, we are given the strong growth that we are seeing, you have been seeing even in the past, you know, so as an outsider I'm not able to figure out whether the growth is driven by single product businesses or more of a cross-sell driven businesses. So where are we on that journey? And just before you answer that, just a clarification on the earlier question, Are you looking at acquiring Equipment kind of businesses if you get the opportunity or you are, you are happy with this kind of arrangement? You don't want to go for acquisitions.

Vivek Vikram Singh : Yes. Sure. So, I'll answer the first one. I mean cross-sell, I don't know if it is a word in our business, every product has to win on its own merit, it doesn't matter, this is one company, so there is no, I mean, I'm not sure what that means. Are there places where we supply motor products as well as driveline products to the same vehicle? Yes, there are actually quite a few of those already. But it doesn't actually matter because when you are speaking to the team of one product who has to select one product or one engineering team, they only care about that. It isn't like, see this would work if you're selling something which is a commodity product or a commodity service in which what you're trying to piggyback is on a relationship that I have a relationship and let me sell more. What we do is highly engineered and customized products which stand on their own merit and there isn't like if I'm going to discuss, let's say a final

drive differential assembly with a customer, they are not going to discuss their traction motor with me in that meeting. So, in the same customer do we have it, yes, but both teams have independence and both teams do their own selling. Growth has been good because of that. Because relationship-dependent growth will always have a finite shelf life. If your product is better and it offers better economic value, it should be selected and it should win on its own merit. That's the way we run our business.

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On the second one, on Equipmake or acquisitions in general, yes, we would also, I mean, we would be open to acquisitions in general. However, the acquisition threshold for a company to qualify is a far more stringent threshold, than a collaboration. Because not just the company has to be very good technically, for us to have a collaboration, for us to actually acquire it, it has to be not just good technically, it has to be also amazing commercially, which means it can deliver growth while delivering very high returns. That's not usual. And we want both. We don't want just one of two, which is why we are fairly I'd say selective in our acquisitions. I don't know if that's answered, but that's I am just trying to share how we think about this.

Chirag Shah : No, no, it fairly answers. It very well answers it. So, thank you very much, and all the best.

Vivek Vikram Singh : Thank you, Chirag.

Moderator: Thank you! We'll now go next to the next participant Prateek Poddar. Ok, please go ahead.

Prateek Poddar : Hello, am I audible?

Vivek Vikram Singh : Yes.

Prateek Poddar : Yeah, I just wanted to ask about the two new products or three new products which you have added to your basket, right? The liquid cool inverter, high voltage inverter. Maybe you could just talk a bit about the size of opportunities like applications in which they would be implemented.

Vivek Vikram Singh : So, Prateek those products are a result of the Equipmake partnership.

Prateek Poddar : Oh, ok

Vivek Vikram Singh : Yeah. So, this is what we are getting from this partnership is the technological capability to build.

Prateek Poddar : Got it. Thanks, really helpful. Thanks.

Vivek Vikram Singh : Thank you.

Moderator: Thank you so much. We will now go to the next participant, Siddhartha Bera, Sid, please go ahead with your question.

Siddhartha Bera : Thanks for the opportunity. Sir, my first question is basically on this power source neutral segment. If you see in terms of share and even in terms of absolute revenues, I think it has grown quite well. I would assume predominantly maybe because of the gear export business. So, can you just help us understand about what is happening here? How much is in order book or how much growth or which customers are driving this?

Vivek Vikram Singh : It's a good question Siddhartha as usual. It is driven by North American customers in general and you're right it's a differential gear segment and North American customers have been driving this more than any other

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geography, but it is literally everyone in North America. If you look at it, everyone, it's quite well spread but it is North American passenger vehicle segment that's driving this growth.

Siddhartha Bera : OK, any particular I mean a market share, would you have an analysis about how much would you have in that region? And based on the orders I mean, how should we expect that it can go up just to understand the growth potential?

Vivek Vikram Singh : Last we looked at it was in calendar year 22. And I think if we looked at it because see we do this once a year, right, this market share analysis that we get Ricardo to carry out for us. In 22 I think of North American market, we were early double digits as market share. I think th

ere is a lot of room to grow there, a lot. So yeah, that is one of, I would say one of the tailwinds that we anticipate in the next 2 to 3 years. It should grow quite strong.

Siddhartha Bera : OK, got it, and the value of these products can range between what number like you have said for the year, can you just guide us about this product, how, what is the value generally it ranges between?

Vivek Vikram Singh : So, Siddhartha the differential gear pricing is so, it depends so much on the size and the vehicle category and the torque that it has to deliver. I think

once I mentioned that the lowest price gear we have ever made is 45 rupees

and the highest at 4,500 rupees. So, there is, that's why I think Gunjan also

asked me, what is the value, the thing is, the values are very divergent depending on what size of vehicle. Because if you take an 800 cc, small

commercial vehicle and you take an 18 wheel truck, it'll be very different

and that's why it's very hard. I can give you average, but the average will

hide more than it will show. But value in North America in general is higher

Siddhartha because it tends towards bigger SUVs and pickup trucks, etcetera, larger the vehicle and the larger the weight of the vehicle and

higher the acceleration, the higher would be the torque and hence the

higher the value of the differential system.

Siddhartha Bera : Ok, sir. Ok, thanks a lot, sir for that.

Moderator : We will now go to the next participant. Garvit Goel. Garvit please go ahead.

Garvit Goel : Am I audible?

Vivek Vikram Singh : Yes, Garvit you are.

Garvit Goel : Good evening, sir. Congratulations for a good set of numbers. So, my

questions have already been answered, but the thing is you mentioned that several programs that are likely to enter into production in the next few

months. And in your presentation also two programs likely to commence

from a quarter four 24 onwards. So, sir what percentage of order book is likely

to be executed in the next 3 to 4 years sir?

Vivek Vikram Singh : Tough one. I again, I don't think we analyze these things that way, but I would say the order book is always heavier to the front and in the middle, than the

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back. So, if I were to take the first, let's say, five years, which is what you actually wrote in the Q & A box, how much of it will come in the next five years I would say, and Pratik and Amit help me out here, I'd say 65%. Two-third, one-third; first half two-third, second half one-third.

Pratik Sachan : So, the first half is close to 60%.

Vivek Vikram Singh : OK. I wasn't that off right. And Pratik is the man who has all the excel sheets and all the data. So, he knows more than me.

Garvit Goel : So, that's all from my side. So, thank you , and congratulations.

Vivek Vikram Singh : Thank you very much Garvit for your question.

Moderator: Thank you very much. We'll go now to Dhaval Shah. Your lines are unmuted . Please go ahead.

Vivek Vikram Singh : Yes, Dhaval we can hear you

Dhaval Shah : Yeah, just one very small question. The PCB assembly project which you've announced? So, was this outsourced before or, is it more of a backward integration strategy for us?

Vivek Vikram Singh : It was outsourced also because we didn't have enough production of motor controllers as when motor controller production increases , we want to control every step of the manufacturing. If you've been looking at how we operate, even in both businesses , we like to keep everything in-house . We believe that it gives us far greater control of the technology and the final output. And that's why we want to keep it, it is a fairly integral part of it. I mean, if you're getting into power electronics, the board is important, and we want to do , and more and more of these controlled opportunities are coming. So, we want to have our own assembly line.

Sat Mohan Gupta : Sat you want to add to the rationale?

Sat Mohan Gupta : No, I think this is a strategy and we are on the right path.

Dhaval Shah : OK, that was the only question. Thank you, very much and good luck .

Moderator: Now I will hand over to Kapil. Kapil, would you like to go ahead with your question?

Kapil Singh : Yeah. So, Vivek just one question, you know, if you can comment on you know, the customer concentration that you have, you know, where are we today on that? and specifically on EVs, I know you don't comment on customers, but just your general thought on how do you see this, you know, diversifying because we have not seen so much success of a lot of players with products, right? So, in which , at least in which geographies do you see other players succeeding beyond your top customers?

Vivek Vikram Singh : See it's a fair question. And I think, let me address it because quite often people think the concentration, customer concentration is much higher than it is because we don't comment on it. It is , actually I would say, one of

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the best in this industry. There is no customer greater than 20% for us. Not even a single one. Even in EV, I would say the high, biggest customer is, I don't know the exact one, but between 70 to 75% not more. That's why, yes, it is true that one person being 75% of EV revenue is very high. But that is for this quarter when a lot of our two-wheeler revenue went away. Over time, this will start coming down. Our top five, I think I mentioned it in the shareholder letter this time that this is a constant thing that we keep looking

at. I think it's about, it's less than 60% top five, it's fairly healthy. And if you look at it now, let's just do an equivalence. No company can be in a world different from the industry itself. Let's look at the automotive industry, let's say Volkswagen, Toyota, Hyundai -Kia, Renault -Nissan , and Stellantis, these five, how much of the world market do the top five automakers control. It will be greater than our top five customer concentration. The reality is, and we, this is one of the things that I have seen that when you're in a public market, people compare you even to industries that you're not in. And it doesn't

really reflect that reality. We are in an industry that is heavily concentrated at the top. The top five automakers are any, I think 60% top 10 or 80%. We are less than 80% for top 10 and you know, less than 60% for top five. So, if you're doing better than your industry, you're ok. Customer concentration is not that big an issue, but yes, we actively monitor this. This is something that is a KPI for us that we always keep looking at. In EV I think there will be a lot more people doing well. One of the things that's not let us proceed on this was also our product offerings. As we add more products that can address more market segments, I think this diversification will increase. But yeah, it is not the problem that it is the number of customers. We actually have a lot of

number of customers. What we can't solve for is making or helping our customers sell more vehicles. That's something they have to do on their own. And that's basically where our limitation lies.

Kapil Singh : Sure. and just one more question just, just so that we understand how you

know, you are positioning the growth for the company you mentioned about

KPI. So I'm just wanting to hear what are the KPIs for the management, you

know, just some broad top 2 -3 sort of things that you are very focused on.

Vivek Vikram Singh : Sure, I think we disclosed them. My contract, by the way, can be found on

MCA. We are a very public and transparent company. The first KPI is EBIT for

the company. We look at new order intake very, very seriously because we

are a growth company. To deliver that growth new order intake becomes a

very important metric, a

is important as the current year's profitability or if not

more. Third is EV order intake specifically and not just as a subset. So if you

do that, you actually score on two KPIs. Fourth would be around technology

and progress on our technology roadmap. Every year, we choose a number

that these many products we must deliver. Safety is we are in manufacturing after all, this is one of those KPIs where the

target is always zero, you can only

underperform on that KPI but that is important because if we don't put our

people first to make the workplace safe, we fail it, that is our first charge here

as managers, is to ensure that the working environment is safe for our people.

There are others that go once they go below me, there are lots of them on

quality, on delivery, on cost. So yeah, I mean I think when we passed the

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resolution and Rohit you can help me out here for the ESOP program, we did

put out a lot of the management KPIs right, along with that document?

Rohit Nanda: Yes we did

Vivek Vikram Singh : Yeah, so that

Rohit Nanda: We have an explanatory statement actually.

Vivek Vikram Singh : Yeah, that may have more exhaustive ones.

Kapil Singh : Ok, thank you so much, the entire team from Sona Comstar, that was the last question we had , and Vivek I'll

hand it over to you, in case you have any

closing remarks.

Vivek Vikram Singh : Nothing, just thank you. Thank you , everyone, for coming here. Your

questions obviously make us better at running our business. We hope we have been able to answer all questions. There are

some questions we can't

answer because either we don't think that way and hence have never

actually tried to answer those questions or because we don't know. And we

will try to do better if it's a second category. If it's the first category, hopefully ,

we can continue being ourselves and not being driven by external questions

alone. So yeah, that's it. Thank you for attending and have a great day.

Kapil Singh : Thank you everyone for joining this call. Deanna, we can close the call now.

Have a good day.

Moderator: Thank you again to all participants. Thank you for joining today's group

conference call and you may drop off the line. Have a good evening.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has

been edited for clarity. The Company takes no responsibility for such errors, although an

effort has been made to ensure a high level of accuracy .

Call: Nov 2023

Date: 1st November, 2023

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on 30th September, 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Wednesday, 25th October, 2023 on the financial result of the Company for the quarter and half year ended on 30th September, 2023. The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination. Thanking you,
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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q2 FY24 Earnings Conference Call Transcript
October 25, 2023

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Welcome everyone. Ladies and gentlemen, good day, and welcome to the Q2 & H1 FY24 earnings group conference call. Please note that all participant lines are in the listen-only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward-looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer-related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura. Kapil, please go ahead. Thank you very much.

Kapil Singh : Slide 3:

Good day, everyone. To take us through the Q2 FY24 and to answer your questions, we have the management team of Sona Comstar. Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Pratik Sachan, DGM - Corporate Strategy and Investor Relations. I will now hand over the call to Vivek for his opening remarks and presentation. Over to you, Vivek.

Vivek Vikram Singh: Thank you, Kapil. Welcome, everyone, to the next call of what has once

again been our highest -ever quarterly revenue, EBITDA, and net profit. But before discussing our results further, I wanted to share an important strategic update. We've made a significant change to our vision statement, and this expanded ambition will now start reflecting in all our decisions going forward. This begins with our product and technology roadmap.

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Slide 4:

Our vision is to become one of the world's most respected and valuable mobility technology companies for our customers, employees, and shareholders. We believe mobility is a higher level of abstraction, which includes not just automotive, which is where we mostly play today, but all vehicles or devices that help transport humans and goods from one point to another. This expanded scope and expanded ambit demonstrate our growing ambitions and desire to use our technical prowess in either product or application adjacency. I will encourage all of you to look at our product slides, which are in the appendix of this presentation. That should give you a detailed mapping of our products across automotive and non -automotive segments as it stands today. And, hopefully, we can keep adding to this mapping as we move along.

Slide 5:

As I mentioned, in line with this change of vision, we have completely revamped and redone our product and technology roadmap. This has taken months of effort, and what we've tried to do is, in addition to the electrification mega -trend we've been addressing for a bit , we are now developing products and thought processes to capture opportunities in the other three areas of the epic future as well, which is personalized, intelligent, and connected. We've further added products that we intend to develop for the wider mobility landscape beyond automotive .

This is easily the most extensive and elaborate product portfolio rejig we have ever done in the history of our company . We've added seven new products to our roadmap this time, two each in the Driveline Business and the Motor Business, and three in the newly acquired sensors business . We've also transformed how we represent our roadmap. So, this diagram, I think, mirrors the reality of our product journey so far. Each product tree begins with one initial legacy product, which serves as the root for each of these business verticals, that's where we began . And from that root, have emerged live and evolving linear branches , which show how, by organically moving only one logical step at a time, we have branched out into creating so many new products. This also has helped us add optionality to create many more products because the product tree can keep branching forward or sideways at every node. And this creates even more possibilities and opportunities for us as a product -driven engineering company. This truly is the power of compounding of technology and knowledge and innumerable iterations at work .

Now, I'll invite our Group CTO, Mr. Deshmukh, to explain these changes better than I could and also the seven new exciting products in more detail. Over to you, sir.

Kiran Deshmukh: Thank you, Vivek, and a great day to all of you.

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Since this is the first time we are sharing the technology roadmap's new format, let me explain its structure to you.

As you would have noticed, we have revamped the roadmap that depicts the EPIC revolutions in four zones. The zones overlap, so although we've shown electric mobility in blue color , there are no fixed lines between the zones . The boundaries between them are indistinct and blurred .

Let me begin with the Driveline division and its legacy product, the net formed differential bevel gears . Several years ago, we moved up the value chain and developed the differential sub- assembly for our off-highway customers. Recognizing the unique strength of our forming technology and design capabilities, we developed the final drive differential assembly for electric passenger vehicles and began supplying them in 2018. This new

product opened up new opportunities for us in the EV space, and we developed three cutting-edge products: the spool gear, the electronic differential lock, and the epi

cycle gear train. We also moved further up the value chain from the final drive assembly and developed the intermediate gear and the rotor shaft. While the former branch shows how we went up the value chain in the drive train of the electric vehicles, another branch evolved from the straight bevel gears on the back of our technology, consolidating our knowledge and competencies in net-forming straight bevel gears, our R&D developed spiral bevel gears by extending those capabilities.

Let me move to the motor division's legacy product, the starter motor. This product knowledge and the manufacturing know-how of the starter motor led us to develop the drive motor for electric vehicles. The first drive motor we developed was the hub-wheel motor for electric two-wheelers. We then

developed the mid-mount drive motor and low-voltage inverter for high power two-wheelers and three-wheelers. We, after that, leveraged the strengths of the driveline and the motor divisions and developed the e-Axle for three-wheelers. The competencies that helped us develop the drive motor and the inverter that controls the motor, led us to develop a product for intelligent and personalized mobility: an integrated motor controller for active suspension.

This should explain how the evolution of new branches from a node of the tree has helped us create more unique, groundbreaking products for the market. All the products depicted in this chart, which are in blue colored circles, are the products that are commercialized. These are tested and validated products, most of which are being supplied in series production and some we will begin delivering soon for which there are commercial purchase orders.

The product roadmap tree is further extended to include our future products shown in white circles. These products are under development in our R&D centers in Gurugram and Chennai. In the earlier technology roadmap, we used to show them in a white semi-circle. You can see the logic of the new way of showing the roadmap: the chart clearly shows how the new products

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are related to the products we are already making and how they contribute to the EPIC revolution.

This quarter, we are adding seven new products to our roadmap.

Manufacturers of electric vehicles are always looking for ways of reducing the vehicle weight to extend the vehicle's range. We are developing a lightweight differential with fewer parts and special alloys that are lighter in weight without compromising performance and durability. Our R&D engineers in the Motor division are busy developing a compact, cost-effective inverter that is integrated with the motor, which takes less space and is easy to assemble on the vehicle. These efforts aim to make products that offer customers higher value and added convenience.

In alignment with our new vision focus on mobility in general, and not just auto, we are developing drive motors for non-automotive mobility solutions such as AGVs, bots, marine, etc. Taking our gear geometry and manufacturing competencies to the next level, we are developing very accurate, exceptionally precise, and highly efficient non-involute gears for industrial robots. These efforts will help us enter the non-automotive mobility sector.

As you know, we've added a third business vertical, the sensors and software.

Our core technology here is radar sensing and perception. Our competencies include semiconductor chip design, radar sensor design, signal processing, perception, and sensor fusion software. Our radar technology detects life presence, child presence, and seat occupancy through vital signs such as heart rate and respiration sensing. This technology will also be used for other applications, such as optimized deployment of airbags, driver monitoring, and gesture control human-machine interface.

ce.

The technology, when applied outside a vehicle, can carry out low-speed ADAS functions like autonomous parking, 360-degree short-range awareness, and pedestrian and bicycle detection. The core technology of radar sensing and perception also has other non-automotive use cases. It can detect motion and presence for home office and factory automation. It can monitor the safety of workers around moving automatic equipment, such as robots, and can help avoid collision while providing guidance functions for autonomous industrial vehicles.

The new restructured technology roadmap reflects our efforts in addressing the mega-trends of EPIC, leveraging the competencies built by us over the years. We will now use this framework to decide our way forward and communicate our intentions. With that, I'll hand it back to Vivek.

Vivek Vikram Singh : Slide 7:

Thank you, sir. Now, back to the usual format of reporting our numbers. This has, as I mentioned at the start, been our highest-ever quarterly revenue EBITDA and, most importantly, net profit. On a YoY basis, our revenue grew by 20%, while EBITDA grew by 35%, and net profit increased by 34%. Our

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margins have improved, primarily due to the product mix and also a little bit of operating leverage. BEV revenue grew by a solid 58% to an all-time high of 207 crores, and the BEV revenue share was at 27%.

Slide 8:

For H1, we continue to perform well on all three financial indicators: growth, margins, and returns. Our revenue, EBITDA, and PAT are up by 22%, 38%, and 40%, respectively. Interestingly, our net profit in the first half of FY24 is higher than the full year of FY21. We've achieved this in the last 2.5 years of being publicly listed, despite COVID, chip shortages, extreme inflation, high interest rates, geopolitical conflicts, and many more things that one could imagine. And, while this may be surprising for some of you who have not been following us that closely, we have more than doubled our revenues every three years since FY16, so FY19 over 16, FY20 over 17, FY21 over 18, and so forth. And this resolute performance, despite any external event, is because of our tremendous team. I'm the face of it, but it's the team that is behind us that helps us do this. And another thing I would add is the unrelenting focus on technology and innovation, and on what is next, what will we be solving for three years later, we try and do it today. I think that mindset is the reason.

Slide 11:

Moving on to our biggest strategic priority, electrification. Our BEV revenue continues to grow, and we continue to build on our EV book. In Q2, two programs have gone into production – both in the Driveline business, taking our active number of programs to 25, with 10 fully ramped up and 15 in the ramp-up stage.

We've also added two new EV programs in this quarter to our order book and one new EV customer. One program is from a new North American EV customer and another from an Indian OEM for traction motors for electric three-wheelers. We will elaborate up on both of these in the next slide.

Slide 12:

So first, the order we won from a new customer, this is a North American New Age OEM of high-end electric cars. We will supply what we are calling rotor-embedded differential sub-assemblies for the customer's high-performance electric vehicles. This drivetrain is extremely compact because the differential has been directly integrated inside the rotor of the motor. It was a complex problem statement to solve, but I'm immensely proud of our

engineering team for having solved it.

The second one is the traction motor program for electric three-wheelers that we have won from one of the largest OEMs in India. They are an existing customer for the Driveline business, and we are happy to now have them as customers for our

Motor business as well. This program is for the upcoming electric three-wheeler, and this win further reaffirms our leadership position in traction motors in the Indian market.

Both these programs, as you can see on your screen, should begin serial production in FY25.

Slide 13:

Now, this slide is, as always, a good visual summary of the reach and diversity of our electrification mission. This quarter, we added one new customer in North America while adding one program each in North America and India.

taking us to 48 EV programs across 28 unique customers

Slide 15:

Which brings us to our order book. With the addition of 6 billion worth of new orders at the end of Q2, our net order book has expanded to 221 billion, and the EV portion is 78% of that order book.

Slide 17:

Our fourth key result area (KRA) is diversification, and this trend of increasing electrification and decreasing ICE dependence continues unchecked. In the last two years, we've seen the ICE-dependent revenue frankly shrink to only about 11%.

Slide 18:

Graphically, the revenue mix is largely similar to the last financial year. North America remains the largest end market, contributing 40% to our revenue in H1. The European light vehicle market continues to recover strongly, which

has now contributed 23% to our revenue. India was our fastest-growing market last quarter, and its revenue share increased to 30% in the first half.

In the product mix, we've added a new segment, sensors and software. In the first week of September, we completed the NOVELIC acquisition, so we expect this segment's revenue share to increase rapidly over the medium term.

Last quarter, if you remember, I had said that traction motors would be our fastest-growing product segment despite the reduction and noise around the FAME subsidy, and I'm happy to report that the revenue share from traction motors for electric two and three-wheelers has doubled from 2.5% in Q1 to 5% in H1, which means that Q2 was obviously very, very good.

New programs have started and are ramping up, which was always going to be the case, and it has now started coming in. For those of you again, who have been following us, this at the time of our IPO was 0%. One thing I wanted to add before I hand it over to Rohit is that integrity is our first and primary core value. As some of you may have noticed, we always share even the smallest bit of negative news and risks upfront. We did that for the FAME subsidy impact last quarter; we did that with the UAW strike impact announcement we made last month. What we would urge and request is

that these announcements are received in the same spirit in which they are made.

Having said that, I turn this over to our Group CFO, Mr. Rohit Nanda, to update us on our financials. Over to you, Rohit.

Rohit Nanda: Thank you, Vivek. A very good day to you all. It's my pleasure to share our second-quarter and first-half results with you

Slide 20:

The second quarter was our best quarter yet, as we clocked our highest ever revenue, EBITDA and PAT at Rs. 791 crores, Rs. 223 crores and Rs. 124 crores, respectively. Our revenue grew by 20% year on year, whereas light vehicle sales in our key markets of North America, India and Europe grew by only 14%. Our BEV revenue grew by 58% to Rs. 207 crores and was 27% of our total sales. Against revenue growth of 20%, our EBITDA has grown by 35%, mainly on account of a better product mix. Our adjusted PAT grew by 39% to Rs. 128 crores, primarily due to higher EBITDA. The PAT adjustment here is for exceptional expenses that we've incurred for the NOVELIC acquisition. This quarter's consolidated results include NOVELIC's financials for one month only, as we completed the acquisition

of a 54% stake in NOVELIC towards the beginning of September.

Slide 21:

Coming to the first-half results, our H1 revenue was Rs. 1,523 crores, a growth of 22% against 15% growth in the underlying markets of North America, India, and Europe. Our BEV revenue grew by 33%, and it now constitutes 27% of total sales in the first half. Against 22% revenue growth, our EBITDA grew by 38% to Rs. 427 crores, mainly due to a better product mix. Our adjusted PAT grew by 44% to Rs. 242 crores; that's also mainly due to higher EBITDA. The adjustment to PAT here is related to exceptional expenses we've incurred for the NOVELIC acquisition.

Slide 22:

Moving on to our cash flows for the first half, during this period, we generated Rs. 300 crores of cash from operations, out of which we spent Rs. 141 crores for Capex and therefore, our free cash flow generation for this period was nearly Rs. 160 crores. The other large cash outflows during this period were primarily the NOVELIC consideration of about Rs. 210 crores and a dividend payment of Rs. 90 crore rupees.

Slide 23:

The last slide is on key ratios, and I'll only talk about the notable changes here. The first one pertains to our net debt to EBITDA ratio, which, as you would notice, has turned positive after the NOVELIC acquisition-related payment, although it continues to be extremely low. Besides this, we've seen an improvement in our return ratios compared to the last year.

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With this, we have come to the end of our Q2 earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much. Now, we will open the floor for the Q&A session. If you wish to raise a question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak up, or you can submit your question in the Q&A chat box addressing all panelists. Please be reminded to keep your questions to a maximum of two questions. If you have more questions, please return to the queue. Thank you.

Okay, we do receive a question coming from online. The first question is coming from Jinesh. Jinesh, your line is unmuted; please go ahead.

Jinesh Gandhi: Hi, congrats on the great performance. So, a couple of questions from my side. One is on NOVELIC. Given that now the acquisition is complete, can you give us an update on how business has progressed since we first talked about it and how their order book has shaped up over the last almost nine months since we acquired them, initially, we talked about it.

Vivek Vikram Singh: Yeah. Business is progressing well. I mean, it's been one month since we acquired it. Next quarter I would say, I know capital markets are not very long-term focused, but one month is too small to give you an update; when we reach the end of next quarter, when we will complete one full quarter, we will try and integrate with our orderbook and other reporting metrics.

Jinesh Gandhi: Ok. No, I was referring to when we originally announced the acquisition earlier during this calendar year vs. now; how it has progressed?

Vivek Vikram Singh: But even at that point, I doubt we would have shared order book or revenue.

Jinesh Gandhi: No, we had not. Nevertheless, we will wait for next quarter when the complete quarter is behind us. Secondly, on the impact of the strike of UAW in the US. Any sense on what percentage of our revenues are impacted by this strike in the US?

Vivek Vikram Singh: Hard to say, as you know, this isn't a general strike where all of the customer is impacted right? So, it's plant by plant and everyday it changes. So yesterday I think two more plants have been struck. So, I doubt even Ford and GM can answer this question as of today that what it will be. What it was for last quarter

is already reflected in our numbers. Let's see, I doubt that next quarter there will be too much discussion on this. Most likely, this strike should resolve itself by now. We did a little bit of reading, like I'm sure you would have done. The longest strike was 113 days 78 years ago, and the most recent one was 45 days. We are on day 40 of the strike. So, I would say we are closer to the end of the strike than the beginning. When we were at the

beginning, we did issue a statement and put it up on the exchange so that people would be aware. But till now, as you can see in the results, the impact is not very high. Yeah, we would have perhaps been over Rs. 800 crores, we're not, but that's okay. We can take it. And again, like I said about the

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long term versus short term, regardless of what happens, even if the strike goes on for another month, there may be some financial hit, but it will be just for this quarter. It is a very temporary thing to have. I mean, we are not spending that much time as a management team on this.

Jinesh Gandhi: Got it. And lastly, with respect to our EBITDA margin trajectory. So now we have crossed 28%. From current levels on structural parameters basis, what are the push and pull factors you are looking at from an EBITDA margin perspective? Thanks.

Vivek Vikram Singh: Yeah, Jinesh, on that, we will stick with the same answer I have given ever since we went public. We would like to remain in the range of 25 to 27% for the medium term. That's our target range. Anything more is great, but that's our target range.

Jinesh Gandhi: Okay, I got it. Thanks.

Moderator: Thank you, Jinesh. Next question is coming from Ms. Gunjan Prithyani. Your line is unmuted; please go ahead.

Gunjan Prithyani: Yeah, Hi. Thanks for taking my questions. I have two questions. Firstly, on the technology roadmap. Now the seven products, can you give us some sense on what are the sort of ongoing customer engagements as to how soon these products are due for commercialization? I am asking these questions because a lot of these, I assume, were inherently in work for a while, right? So, is it something that I look for in the next three to five years perspective or is it something which can convert in the next 12 to 18 months? So, a little bit more colour on the seven new products that have been added and where you feel most excited about.

Vivek Vikram Singh: Okay, again, an answer that's not going to make you happy, but you already know what the answer is. We have no way of actually knowing with certainty whether they will convert or not also. So, probability, as always, is between zero and hundred, and timelines could be as soon as the next few quarters to maybe never, and that's one of the things we always upfront about when we develop new products that there is no guarantee for success as you saw and you would have by now known us. Two and a half years ago, if you go to FY21, when we had only three products: DA, starters and differential gears, all other products combined were less than Rs. 50 crores. This year, in the first half, ten and a half percent that I shared in my presentation have come. So, about Rs. 160 crore in the first half itself, so if you analyze that Rs. 320 crore. So Rs. 50 crore has become 320 from other products. But at that point and you did ask me at the time of IPO, and I didn't know, and that's the truth that we don't really know which one will succeed and by how much and how soon. All we are trying to say is that this is our impact, and this is our intent, and three to five years is safe. If it is not developed and commercialized within three to five years, we will much earlier than that drop it and we will publicly announce that we are dropping it, and it won't happen. And about excited, I am excited about all of

them

frankly, otherwise we won't be doing them. In our strategy workshop, about

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40-50 new product areas are discussed by the teams, and they bring them up. My painful job is to say no to many of them. So these are the seven that made it. So these are the seven we are truly excited about. Light weight differential, if we can reduce the number of parts that go in a differential assembly, can be a game changer right? I mean, no part is a good part, is what is said, but obviously, then auto component guys will go out of business. So, less parts is a good part is what we're trying to do. Instead of having 10 to 12 moving parts, can we reduce it even more? That is very exciting. Very

excited about , I would say , the integrated motor controller. I think it's an idea that should have been done long ago. I don't know why nobody did it. That why don't we put the motor inverter everything into one body and sell it as one product? It just makes so much sense from a thermal management , from a space management , from lightweighting and everything perspective. Sensors, I think there is a great opportunity in the in -cabin, of course, we have discussed it, but in the short -range as well. So, all three, I would say . Robotics, I would say , is slightly earlier than the se three because they are closer to where we are. The other three are slightly further from where we are. I don't know if I helped you at all.

Gunjan Prithyani: No, at least giving me these three where you clearly see a big business case from an OEM perspective that helps. And I'm assuming, you mentioned during the integrated motor controller that the competitive landscape also here is not , you know, doing a product which is out there and competition is doing it in a big way. It's relatively niche, and that's what I understood from your comments.

Vivek Vikram Singh: Correct. That is the thing that it's an opportunity that we noticed, and if we can get it and get it with the customer, that would be cool .

Gunjan Prithyani: Okay, just the second question is on this revenue ramp- up that we've seen in this quarter on the BEVs. Is there a little bit more colour you can give us in respect of, whether is it coming from an existing OEM ramp- up or the new programs that have been commissioned in the last two quarters, including this one itself, like a bit more colour in the execution? Have we seen any new large BEV OEMs starting to kick in?

Vivek Vikram Singh: Rohit , you want to take this? I think only one traction motor program got ramped up. Apart from that, it's all the same program same customers .

Rohit Nanda : Correct. It's essentially because of one large program for traction motors that has ramped up during this quarter. So Q oQ is a growth of 12.5% actually, Gunjan .

Gunjan Prithyani : Ok. Got it. I will join back the queue. Thank you so much.

Moderator : Thank you so much , Gunjan. Just a quick reminder to the audience. If you wish to raise a question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak up , or you can submit your question in the Q&A chat box addressing

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to all panellists , Thank you. The next question is coming from Arvind. Arvind , your line is unmuted ; please go ahead.

Arvind Sharma : Hi, Good Evening . Thank you so much for taking the question. It's about Equipmake. Any details that you can share on any sort of order win or any clarity on the revenue stream ? I know it 's still far away , but anything that has happened in the quarter.

Vivek Vikram Singh : Yeah , Sure. So it is a licensing agreement , as you know , and Equipmake has been winning orders. I think they are a public company like us , so we have to be careful about

what they have disclosed and what not. But they have disclosed , I think, recently a win on motors from a North American off - highway customer. So that can be found out. But like I say , they have their own investor relations thing on their website . Details must be there. But on our end, there are two parts of that agreement that we have signed , one is we manufacturing motors for them , for their production , and we also developing and selling new in India and Southeast Asia. On that , I think we have given the timelines by that it can't be before 2025. Sat, you want to add anything to that ?

Sat Mohan Gupta : Yeah, Thanks , Vivek . Equipmake products will be launched sometime last quarter of CY25 or the first quarter of CY26 . And right now , as soon as the development is concerned, we are validating the design and the motors which suit the Indian conditions of our customer expectations. So, I mean , as far as the revenue for us is concerned, it will be in F Y26.

Arvind Sharma : Got it ; thank you for taking my questions . That's all from my side . Thank you.

Moderator : Thank you very much, management and Arvind . Next question is from Hitesh .

Your line is unmuted ; please go ahead.

Hitesh Goel : Congratulations on a very good set of results. My first question is

housekeeping. I just wanted to understand why the other expenses on a QoQ basis have come down, which has led to margin expansion on a QoQ basis. Can you explain that what is the reason? Rohit, if you can give some more colour?

Rohit Nanda : Sure. So Hitesh like I said this is primarily because of product mix. So, there are certain products, basically, there is an assembly part of the business. So when the revenue from the assembly part of the business goes up, then typically, the other expenses tend to go down, whereas material costs tend to go up. So it's primarily because of that.

Hitesh Goel : And any colour on PLI incentives? Have we started to get some colour from the government on PLI? Because some companies have started talking about it, so just want to get some colour?

Rohit Nanda : Yeah. So I mean, in a way, I'll say we are in touch, in the sense, we are going through the process that's been outlined by the government but we will let you know once we have all the approvals in place. So we have put in the application, and as you may know, there is a separate application for each

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of the products. So it's a slightly long-drawn process. So, I'll say we are in the queue, and once we have all the approvals in place we will inform you guys.

Vivek Vikram Singh: Hitesh, to add to that, we will talk about it once it's done as is our usual practice.

Hitesh : My final question is, you know, our team is also writing about EV adoption slowing down. It could be temporary because the prices of battery costs went up, and the production costs are also going up globally. So, anything on that front, although you are actually adding many customers and growing much faster. But any colour on that. What are you seeing on the EV side?

Vivek Vikram Singh: Fascinating question, actually. Hitesh, this is a much longer answer and a very long discussion. And I will draw reference to at least 20 other industries, and we tried to study what happens from single digit to 90% plus when technologies change in a 15-year period, and there always comes this point where it seems to stagnate just before it's coming to that 10 to 15% mark, every single time. And most often, or more often than not, it gets corrected in the next 18-24 months, and then it starts its upward journey again. So, it is a long discussion, and there are lots of factors at play here; geopolitics is certainly one of them. I mean, the post-COVID geopolitics shifting is one of the reasons this graph

is not an uninterrupted straight line at a 45-degree angle. Second is also the new social dynamics playing out, for example, with the UAW, etc. and the European Unions. So yeah, it's interesting times. A longer discussion. We are covered regardless because we always try and prepare for growth on our own steam, which means industry tailwinds shouldn't be your primary factor of growth, and we've succeeded more often than not again. But yeah, it is a very interesting discussion, and perhaps we'll get some time to have it. It is going through this thing because the battery cell cost is not going down. If you remember, in the solar industry, the exact same thing happened – solar panels. They went down almost like a straight line – the cost and then it almost straightened for a bit before starting to go down again. I think here also the move to a better, cheaper cell technology will be what will make these tassels go away, and again, that acceleration will start. And I think it will happen. And you need a period where it seems everything is against you for this to break out inventions to happen, and I think it will. Semisolid state, maybe some other chemistry, maybe instead of LFP, we pick another one from the first column of the periodic table because any of those elements could theoretically do the job, so maybe sodium, we don't know, but yeah, it will be interesting to see.

Hitesh Goel : Great, thanks, Vivek. And all the best.

Vivek Vikram Singh: Thanks, Hitesh.

Moderator: Thank you, management and thank you, Hitesh. Next question is from Nitij. Nitij, go on; your line is unmuted; go ahead.

Nitij Mangal : Hi, good evening and congratulations on a great quarter. Before I go ahead with my question, I just wanted to say that your new differential order wins seem quite commendable that you could fit a high -speed differential inside a moving rotor , which must be a very interest ing engineering challenge . I wanted to ask you a bit on the customer concentration, especially on the EV differential side. What would be the share of your top customer in that? How is it moving? How's that in the order book? And on that same note , you've done very well in North America in EV differentials ; how do you see the roadmap to replicate that in Europe ?

Vivek Vikram Singh: First of all, thank you. Engineer to engineer. But congratulations are not to me at all. This is to Vikram , and Mathew , and Narender and team . These are the guys who've done it. I've not done that much on this. It is a truly , truly, truly amazing drivetrain , and the more you study , the more you learn . And we learned a lot in this project . I think more than the commercial value of it, what is a real takeaway for us is that our ability to deliver to the most exacting and different standards of leading carmakers. That's the confidence that we are working with the best and doing the best thin gs. Coming to the concentration, I think we've already mentioned this before that there is no customer who is greater than 20% . In fact , it's slightly less only , and that's not for EV diff; it is for in general. So it's not that it's really worrisome. Europe , we should see a fair amount of growth , say 2025 onwards. We have two good programs launching with two big European OEMs , so we should have more geographic diversity in revenue share also coming in from 2025- 2026.

Moderator: Nitij, did that answer your question, please? Okay, moving on to the next question, it's from Garvit. Garvit, your line is unmuted ; please go ahead .

Garvit: Good evening to all. Thanks for the opportunity. Just two questions. One is on the Europe size, so based on the discussions that you people are having with the OEMs in Europe . So, how do you see the demand outlook there ? Like India is doing

well last time you mentioned , and we are seeing the numbers also , but what about the sentiments in Europe and are we seeing any kind of traction in terms of Europe plus one due to the rise in the energy prices in Europe ?

Vivek Vikram Singh: So thank you , first of all, Garvit. In Europe , our revenue share has increased this quarter . I think we are at 23% , so that shows that Europe is doing fairly well. If you remember, last year it has fallen quite a bit . Even during our discussions , as I just mentioned to Nitij , in 2025, we should see quite a lot of European DA business coming in. So it's decent. Europe plus one, this is the first time I'm hearing this phrase , so I've no idea on this one. Europe used to outsource to China , and some of that is shifting elsewhere. And when I say elsewhere, it doesn't necessarily mean that it's all coming to India , but it is moving away from China is something we are seeing as a trend

Garvit: Secondly, you talked about your vision like we are shifting from an automotive technology player to a mobility technology player , as you mentioned. So can you please put some colour like where we are going to,

like we want to be a technology partner or a component supplier to railways or aero OEMs like Boeing , etc. , or what is the exact perspective?

Vivek Vikram Singh: So, correctly understood , but why just railways and aero, why not drones, why not boats, why not marine, why not bots, so we are saying all of it. So you are right, but I'm saying add more . What it means is our ambition : see you start with a vision , and then from that vision comes all the decisions that you take on the activities that you would do . If you look at our revenue today , non -automotive, which I'll say off -highway vehicles, construction and farm equipment , etc., is 10%. We think there is a lot of scope for this 10% to grow and be much , much more , and there are many devices that may not have been invented yet, frankly , which will be transporting goods and human beings in 2035 . By changing our vision and our mindset , we are saying from now on, going forward , all of these industries are also our industries. They

are not just a division between us and them , auto vs non -auto. All of the mobility is now our scope , rather than being a subset of mobility, which was automotive. That's the point. So your understanding is correct that it could be railway, it could be aerospace , it could be space , it could be bicycles, and anything that moves human beings and/or goods is now in our scope . That's the point.

Garvit: Thank you very much, Sir. And all the best for the future.

Vivek Vikram Singh: Thank you, Garvit. Actually , I was trying to answer your question through the Q&A chatbox , but I couldn't because it is not allowing me to send the answer

Moderator: Thank you both. I believe Nitij has a follow -up question. Nitij, please go ahead.

Nitij: Thanks. When you talk about Europe scaling up from 2025 onwards , is there a good part of EV differentials or what kind of business is looking in that scale - up?

Vivek Vikram Singh: So Pratik, can you take us back to the slide, which has the visuals of the world map and programs ? So, Nitij, if you look at this , we have seven programs with five customers. Five of them are for Driveline. The two that are in motors are for plug -in hybrid motors ; those are already running. So all the new for now in the order book are coming from passenger vehicle electric driveline assembly as a product. So that's the answer.

Nitij: Thank you very much

Kapil Singh : We have a couple of questions from the chat box. One is – can you please give some colour on steel prices and its impact on profitability? In the last quarter , you mentioned that steel prices have come down lately . The prices of steel

alloys used in manufacturing and auto components haven't come down. So any colour on that ?

Vivek Vikram Singh: Sure, so Vikram is closest to that , so I will allow him to answer .

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Vikram Verma : I think steel prices are rather stable. The alloy surcharge keeps going up and down. That has also come down. But there is an other increase expected. So I think this keeps happening every quarter. So it's pretty difficult to tell what the future quarter is going to be.

Vivek Vikram Singh: Correct. Because when you talk to steel mill guys. They will always say we are expecting a price increase. If you talk to their customers , which are OEMs, they will say there is no chance of that. Because if they are not buying , prices won't go up. And then you have the whole geopolitical angle in China and all of this. So very hard to predict. But so far , for the last six months, they've

been fairly stable. Like Vikram rightly said, some of the things like moly and chrome, and you know, nickel, they keep going up and down. So the price can go up and down a little bit, but not too much, so it's reasonably stable.

Kapil Singh: Sure, there is one more question . Great pickup in the traction motor business, but if we see the BEV revenue excluding traction motors, the revenue has been flattish for the past few quarters. Is there any seasonality in the Driveline business, or is there something else we should be aware of?

Vivek Vikram Singh: There is no seasonality that I am aware of , at least . There shouldn't be. No. I think, a lot of times in these analyses , we overlook factors because we are assuming a very linear world. It isn't really. So , last quarter, traction motors were unnaturally depressed , and this quarter, they are high because there is also a bit of makeup . So again, a quarter is not a great ; I mean , it's not a big enough time period to make these comparisons, which is one of the reasons we do H1 and compare it with the whole year . That would be the better one , but yeah , if Driveline EV revenue is not going up, it would be because there is no new program , and no new customer has gone online in that quarter . You should not expect it too also to increase too much. While we have said that our BEV revenue on a year -on-year basis has grown by 58% . Flattish is not a word I would use. I don't know how to answer that. Actually , the problem becomes that we are comparing percentage share or proportionality in a very fast -growing company. So something that looks like even our starter motor business , by the way , seems like it has shrunk so much , but it hasn't shrunk . In the last two and a half years , in absolute terms , it has gone up. But because the rest of the business is growing so fast , that growth

of 20% looks very low in a business that is doubled. So again, what I would say to people trying to study and understand our business is, which is some thing we do internally, write down absolute numbers and look at them and also understand that things that are dependent and which is most of our growth is from new programs, they grow as a step function. So if you guys recall, when we listed, we used to be doing about 400- odd crore of revenue per quarter. Then we jumped, and we went to about 500, from there we went to 600, and then we went to 700 and now we finally come close to 800, but in the middle, there are two-three quarters following that quarter which are flat, and it grows again, but if you look at it year on year, I would say that the growth has been fairly decent.

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Moderator: Okay, thank you very much. The next question would be a follow-up question from Gunjan. Gunjan, your line is unmuted; please go ahead.

Gunjan: Hi, Thanks for taking my follow-up. I just wanted to quickly check

that this

market share that you annually share on differential gears and the starter motor business. Is there anything incremental that is worth flagging? Are we seeing improvement on the diff gear side, given that we were looking at Europe as a market? Anything on the starter motors? So, just directionally, how we are progressing on the market share gain that we were thinking about. Vivek Vikram Singh: It should have increased. How much? is a tough question to answer because we do this exercise once a year at the end of the calendar, so I'll ask you that question: how many vehicles were sold by 30th September in the world?

Roughly? So, Gunjan, I'm asking you because you would know better.

Gunjan: Sorry, you were asking me how many have been sold in the first half of the year

Vivek Vikram Singh: Not the first half, nine months have passed in the calendar.

Gunjan: Nine months should be about close to 62-63, roughly around 60 million or so.

Vivek Vikram Singh: 60 million light vehicles. Let's add a couple of millions of others and make it 63 multiplied by 5. And I'm doing completely back of the envelope. That will be 315 million bevel gears as a total world market for the first nine months.

Pratik, how many, or Vikram, if he remembers, how many gears have we produced in the first nine months and sold? That is the market share; I mean, I'm doing a very rough one just for you. But Pratik, how many? Do you know?

Pratik Sachan: Not exactly, but it may be somewhere around 34-35 million.

Vivek Vikram Singh: That's a little high for nine months.

Vikram Verma: It's around 3.75 million we are doing every month multiple by 9 months is 33.7 million, divided by 5, is 6.75 million vehicles. So if there are 60 million vehicles, then we are nearly 9-10%

Gunjan Prithyani: So it's roughly around 8.5% or so. So, on this calculation, it seems that you are gaining. The other question, a little broader one, I had on this order book of 221 billion that we have. Now you that there is a lot more granularity on this in terms of how this feat of new age, incumbents, what's running program, so I just wanted to get your perspective on, you know, when we look at the landscape that it's certainly been slower movement of some of the new age companies and all this debate, you know, Hitesh brought up that EV adoption seems to be, maybe not slowing down but it seems that it's not accelerating at the pace that we anticipated last year. So when you look at this composition, do you see that the risk from a conversion perspective, where you were looking at three years that we should be within 60-65% conversion, that probably gets pushed out because it's more slower on EVs

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and some new age companies seem to be struggling a bit in terms of the offtake in the market.

Vivek Vikram Singh: Yeah, that could be true, but fortunately, the new-age EV customers are not that many for us, and even in our traction motor business, most of our

revenue comes from legacy, solid balance sheet, solid credential OEMs . Similarly , for Driveline also there aren't that many. The percentage coming from new -age EVs is single digit at best , and it's not very high. That is not a risk. The risk would be that it could be slow , but I doubt , Gunjan , that the electrification of how many vehicles will happen by 2030 or 2035 would change. So it could be that we go slow in the middle , and then suddenly it picks up . So there could be periods like that , but the end result , I doubt , is going to change.

Gunjan Prithyani: Okay. All right. Thank you so much.

Vivek Vikram Singh: And also, just to give comfort to other people , if a lot of the slightly less certain prospects OEMs in EV, we don't add to our order book. We assign them a null value till we are certain that they will survive.

Gunjan Prithyan

i: Okay. All right. Thank you so much.

Vivek Vikram Singh: Thank you, Gunj an.

Moderator: Thank you , management. In the interest of time, I pass the line to Kapil now.

Kapil, please go ahead. Thank you.

Kapil Singh: Yeah, thanks. We have a couple of questions in the chat box. One of th em is: Can you recap the dollar Capex needed for every \$1 of revenue? What has been the trend historically versus the new order book? Basically, I'm trying to get a sense of how much Cap ex is required to service the order book you have.

Vivek Vikram Singh: I will let Rohit answer this.

Rohit Nanda: Historically, for every dollar, we've been able to generate \$2 of revenue when it comes to the driveline business. For the motor business, the ratio is more like 1:5 to 1:6, actually .

Kapil Singh: The last question in the chat box is, do suppliers to OEMs get a bigger advantage? One of the gear suppliers from Taiwan is opening a plant in New Mexico. Do we plan to do any production plant in North America?

Vivek Vikram Singh: It's kind of too specific. As you know, we have made it a policy that we do not talk about others. So , other s' plans are others' plans? I think it's on the exchange, right? We announced our Mexico subsidiary and investment a couple of months ago. So ye ah, we are in the process of setting up in Mexico. But that's got nothing to do with who else is doing what. We've tried for a long time to tell you that our way is fairly organic and driven by us. The race is long, and in the end, we are running against ourselves, and that's who we are trying to beat. Who else is doing what? Yes, we respect our competition,

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and competition is a fact of life. It's a way of life. It will keep coming, and it will come from very surprising places. So we don't take anyone lightly, but we can't let our locus of control be outside us. It cannot be driven by news and others' movements. We need to have our own plan, our own direction, and our own vision. And we are following that map. The time when it comes that it looks like we are slipping, of course, we will try and course correct. But so far, I think the results are also speaking that that is the right way.

Kapil Singh: Vivek, just one last question from my side. A very interesting discussion on product , EV evolution and penetration. One of the angles there is also that as a product undergoes improvement, these cycles come where some new innovation or product improvement happens, and that also leads to the next wave of adoption. And so, because you are seeing a lot of products from your lens, where are the major improvements that you're seeing coming through in the next 2 -3 years which could help consumers adopt more electric vehicles? You can talk across segments, across geographies, whatever you are seeing for the audience.

Vivek Vikram Singh: I think Hitesh, Gunjan, and you, all of you , are driving to the same point. I think there is going to be a significant innovation in electric vehicles and at a much lower cost, and it is the cost ; it is actually the price and the cost, the price to the consumer, and the cost to produce it. If we go about it doing it in the old way we were , it will not be feasible. And I th ink a lot of OEMs have now publicly come out and said that that way does not make us money. Retrofitting old vehicles with an electric powertrain is not going to be the way to success here. You have to think from zero, from first principles, and build vehicles that were born to be electric. I think the drivetrain, powertrain

components, and even things which were structural and not looked at so far are being looked at now, even chassis parts. How can you make them to make the cost lower and hence the price lower? I think within two years, there will be a lot more very affordable EVs out there. And this question may not be asked, the big on

e that is still unanswered perhaps. And again, all of you know this well is the battery part. Apart from that, I guarantee all the other costs will keep going down. I mean, in our own experience, Vikram, right, we've seen this. The same driveline is now 25 to 30% lower in price and cost to us to make than it used to be just in the last four years. If every supplier, the same thing is happening. So, the non-battery parts are going down in cost every time. And as economies of scale increase, unfortunately for low-volume players, these things never have an advantage. So why do you see the new-age guys struggling becomes a chicken and egg because they don't have the scale to either invest in mass manufacturing and newer manufacturing processes, which are low cost or with their supply chain partners working towards much lower cost products? So, the bigger guys have gotten bigger in this field. And if somebody else doesn't do those innovative things, the divide will keep increasing, in fact. And that's not great. Actually, I know that we benefit from that as well, but it's not great for the ecosystem. For EVs to reach 90% plus by 2035, it has to become a mass movement, and every OEM should become good at it. So again, a very interesting discussion. My firm belief is that it will become much more

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affordable, and that kind of thing will be only 2-2.5 years in the making, and it will come now.

Kapil: Sure, thanks. That was the last question. Ronald, can we close the call?

Moderator: All right. Thank you very much, management. Thank you to all the audience on the line. In the interest of time, we'll now conclude this call. If you have any follow-up questions, please feel free to email the Nomura sales rep or corporate access team. Thank you everyone for your time. You may drop off the call now. Thank you, management team.

Kapil: Thanks, management and thanks, team. Thanks for giving us the opportunity to host the call. And as always, it was a great discussion. Have a good evening, everyone. Thanks.

Vivek Vikram Singh: Thanks, Kapil. Thanks, Ronald. Thank you everyone for your valuable time and attention. Please let us know if there is any specific and actionable feedback, and we assure you that we will work on it and try to improve. See you all in the next quarter. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jan 2024

Date: 31st January, 2024

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and nine months ended on 31st December, 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Tuesday, 23rd January, 2024 on the financial result of the Company for the quarter and nine months ended on 31st December, 2023. The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination. Thanking you,
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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY24 Earnings Conference Call Transcript
January 23, 2024

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Welcome everyone. Ladies and gentlemen, good day, and welcome to the Q3 & 9M FY24 earnings group conference call. Please note that all participant lines are in the listen-only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward-looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer-related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura. Kapil, please go ahead.

Kapil Singh : Good day, everyone. To take us through the Q3 FY24 and to answer your questions, we have the management team of Sona Comstar. Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Pratik Sachan, GM - Corporate Strategy and Investor Relations. I will now hand over the call to Vivek for his opening remarks and presentation. Over to you, Vivek.

Vivek Vikram Singh: Thank you, Kapil, on behalf of Sona Comstar. I welcome all of you to the earnings call for what has been our best quarter ever in terms of EBITDA, net profit, BEV revenue, BEV revenue share as well as order book. But first, as is our policy when talking to our owners,

shareholders, we will begin with the challenges.

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So first, off highway market particularly in India has been weak and production declined further in the last quarter. Given our high market share in this segment, this has affected the sales of our differential gears and differential assemblies to this market.

Second, aggressive discounting by a few EV two-wheeler companies has temporarily disrupted the EV two-wheeler market and its market shares, which has affected some of our customers' sales, thereby impacting on the sales of our traction motors in Q3. We expect this to continue for a few months, but we believe it is unsustainable beyond that.

Third, the Red Sea crisis, while the current impact on our operations is negligible. If the crisis continues, we expect adverse effects due to the longer

shipping time, higher freight costs and increased inventories.

Fourth, we lost about ₹ 25 crore of revenue in October due to the UAW strike impact in the United States. However, the strike is now over, and this production loss will partly reverse in the current quarter.

The good news, as is usually the case, far outweighs the bad. So, in financial terms, we achieved our highest-ever EBITDA and net profit, despite marginally lower sequential revenue, we have also introduced a new product that should improve electric power trains for EV two-wheelers, and we will cover this in detail later.

As the calendar year has ended, we got new Ricardo estimates and as per them, we have increased our global market share in both differential gears as well as starter motors in 2023.

In terms of markets, the European light vehicle market has strongly recovered this year. 2023 was also positive on a YoY basis for the US market and things continue to look good in both of these markets. The Indian market has been mixed across the three segments that we serve and will likely remain volatile over the next few quarters.

On the ESG front, we continue to make progress on all our sustainability targets. And I'm very happy to report that we reduced the emissions intensity of our operations by 10% over last year.

Q3 of FY 24 was also one of our best quarters for business development. We won five new BEV programs, and we closed the last quarter with an all-time high net order book. Three of the new BEV programs won are for three innovative and unique powertrain solutions, which, more than anything, reaffirms our position as technology leaders in the products that we make. Lastly, from where we stand today, and what we see from where we are standing based on customer schedules and a strong order book, we are certain that electrification will continue to drive strong growth for us in the immediate, in the medium as well as the long term.

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Vivek Vikram Singh : Slide 5:

Now, coming to the numbers, revenue grew by 13% while EBITDA and net profit increased by 22% and 24%, respectively. This is because our margins improved due to operational efficiencies, better product mix and lower material costs. EBITDA margins have now been higher than our usual long-term range of 25 to 27% for the last five quarters running. So, I guess I must comment on this, and I have to add that we expect this to stay above 28% in the near term. Coming to BEV revenue, it grew by 28% in absolute terms to the highest that we've ever had 222 crore, while the BEV revenue share increased to an all-time high of 30%.

Slide 6:

Coming to the nine-month figures, we have increased our revenue, EBITDA, and PAT by 19%, 32% and 34%, respectively. As I mentioned before, since this is the end of the calendar year 2023, we got our global market shares calculated. Our starter motor market share improved from 4.1% to 4.2% as the Europe and the US markets, where we have higher market shares have grown faster than Asia. Our mar

ket share in differential gears has grown from 7.2% to 8.1% of the global volume .

Just to add some perspective here, this increases the equivalent of adding around one-third of the entire Indian car market to our market share in just 12 months.

Slide 9:

Now, our first strategic priority, electrification . In this our BEV revenue share has increased from 25% in the first nine months of FY23 to 28% for the first nine months of FY24. Our BEV revenue in rupee terms has grown by 31% to over ₹6.1 billion in the nine -month period. The growth in BEV revenue for us has been more than double the growth in non -BEV revenue, with EV traction motors and EV differential assemblies being the fastest growing product segments for us this year.

We continue to build on our EV order book and in Q3, we have added five new EV programs and two new EV customers. There are three new driveline

program additions, two are for existing customers in the North American BEV market which I'll elaborate upon in the next slide and one is for the domestic electric off- highway segment. There are also two new motor programs for us, both for electric two-wheeler makers in India and while one is a new customer, the other is an existing top- five e -Scooter maker.

Slide 10:

So yes, we want to highlight these three new EV events where we'll supply three of our new or recently developed products, which is always one of the

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most key criteria for us as we move along in our journey , that how many more branches can we open up into our revenue growth.

So, the first one on your left is the EV order we won from a new customer. It's an Indian legacy OEM of ICE and electric two -wheelers. We have developed a new product, an integrated motor controller for the customer's high - performance electric motorcycles. It's a unique design , and I'm very, very proud of our engineering team for having done that so quickly.

The second one is the spool gear. You may have heard about it in our earlier presentations as well for the electric SUV of a global OEM of electric vehicles. This is an existing customer; we will supply these spool gears for the three motor architectures of the customer 's most advanced and perhaps the highest -torque SUV. This win has come after a year of joint hard work between our customers and our engineering teams. And it will be one of the highest - torque products ever made for electric SUVs in the world. This program will begin serial production in the current quarter itself. So that's a plus.

The third is the EV order we won from another existing customer, North American New Age OEM of high -end electric cars. Last quarter , if you recall, we won the order to supply a rotor -embedded differential sub- assemblies for this customer. And now we've been awarded the Epicyclic Geartrain and Rotor Shafts as well. This win is kind of proof of how we are growing our content in a car by developing new products in adjacent areas of our focus area .

Now, these three wins also demonstrate our capabilities to offer solutions to customers for all types of BEV powertrains. I mean, if the customer is looking

to innovate and have a product -based differentiation, we are clearly the partner of choice for this, and this is the advantage that I think we've been talking about for a while that a technology led company like ours has over those companies who build to print for standard parts.

Slide 11:

With these new wins, we now have 53 EV programs across 30 unique customers. Exactly about a year ago, I think this number was 41 programs across 25 different customers, which means in the last year , we've added 12 new programs and five new customers.

Slide 13:

As I mentioned in my opening statement, Q3 was also one of our best quarters for business development. And on the back of the five new EV programs I mentioned and the seven new non -E

V programs, the net order book has increased by 9% over the previous quarter to reach an all -time high of ₹240 billion. The proportion of EVs in the order book has also grown to 79%.

Slide 15:

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With this I come to the fourth KRA, diversification. Now, the strong demand recovery in Europe in the first nine months means that the revenue share from hybrid and micro-hybrid has been higher than in previous years. This trend of increasing electrification and decreasing ICE dependence continues unabated, and this year, we've seen the ICE-dependent revenue shrink to only about 10%.

Slide 16:

Coming to geographies, North America remains our largest end market contributing to 39% of revenue. And this is despite the negative impact of the

UAW strike that I spoke about earlier, the European market was the fastest-growing market, attributing 25% to our revenue. India remains our second largest market, and its revenue shares remained stable at 29%.

In the product mix, the charts changed a little after the NOVELIC acquisition. We've added a new segment called Sensors and Software, which is small at

the moment; it's just about 1%. But we hope to add to this as we go along in our journey. The fastest growing segments in products for this year have been EV Traction Motors and EV Differential Assemblies, although Differential

Assemblies here seem to have come down by a percent. It is more the off-highway differential assembly business that has lagged, not the EV differential assembly. Differential gear, of course, has also grown quite strongly and this reflects in the changes in the product mix where you see that it's gone up from 32% to 33%.

In the end market or market segment mix. We've added a new segment, Semiconductors and Embedded software. This is to reflect the non-product

or the services revenue that we do in NOVELIC. The weakness that I mentioned in the off-highway demand has resulted in the share of non-automotive revenue declining from 12% last year to just 10% in the first nine months of this year.

Having covered this, I turn to our group CTO, Mr. Kiran Deshmukh, to update us on the technology front. Over to you Sir.

Kiran Deshmukh: Thank you, Vivek. Good evening, ladies, and gentlemen.

Slide 18:

We have been making the mid-mount drive motor and low-voltage inverters for two- and three-wheelers. It's two separate products so far. This quarter, we have added a new product to our product portfolio, which is an Integrated Motor Controller. With this development, we have come a step closer to developing an integrated drive unit, the e-Axle, that we show on our technology roadmap.

Slide 19:

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The integrated motor controller, distinct from a separate motor control and controller setup, has several key aspects. It offers our customers matchless advantages, and this slide shows some of them.

Number one compact design. The integrated unit combines both motor and controller into a single compact package, leading to a smaller overall footprint.

Two, simplified installation and maintenance. Because with integration, the complexities involved in connecting and configuring separate motor and controller units are significantly reduced. This simplification can lead to easier installation and maintenance since there are fewer connections and components to manage.

Three, improved efficiency and performance. Our integrated system is designed to optimize the interaction between the motor and the controller, leading to higher efficiency and better performance. This is due to the fact that the controller is finely tuned to the specific characteristics of the motor.

Four, reduced wiring and connectivity issues. Since the motor and controller

are contained within the same unit, the need for extensive wiring and

the

potential for connectivity issues is greatly reduced. This also enhances reliability and reduces electromagnetic interference, which is EMI issues.

Five, cost-effectiveness. Due to reduced installation time, lower maintenance cost and improved energy efficiency, the overall cost of ownership of the new product is much lower.

Six, customization and optimization. The integrated unit can be more easily customized and optimized for specific applications. We can design these units for a particular application of the OEM, ensuring that the motor and controller are perfectly matched for the requirement.

Next, aesthetic and space considerations. Our integrated unit has a more streamlined and aesthetically pleasing design. It's particularly advantageous in applications where space is at a premium since it occupies less room than a separate motor and controller.

Eight, thermal management. In our integrated unit, thermal management has been more efficiently addressed since the system is designed to handle the heat generated by both the motor and the controller in a unified manner.

Next, communication and diagnostics. Our integrated unit comes with advanced communication capabilities, allowing for better diagnostics and monitoring. This includes real-time feedback on performance, predictive maintenance, and more sophisticated control strategies.

Finally, ten, functional safety. This new product is a high-integrity system that meets rigorous safety standards and follows best practices in software development processes for the automotive industry. This ensures both

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functional safety and quality management in its design and implementation, making it reliable and suitable for critical applications.

So, in conclusion, our new integrated motor controller unit offers a compact, efficient, and easy-to-install solution with improved performance, safety and reduced wiring complexities compared to separate motor and controller systems.

On that note, I hand it over to Rohit to cover the financial update.

Rohit Nanda: Thanks, Mr. Deshmukh. A very good day to you all. It's my pleasure to share our third quarter and nine-month results for FY24 with you.

Slide 21:

In the third quarter of the year, our revenue grew to ₹777 crore, which is a year-on-year growth of 13%. Compared to this, the underlying industry growth was 11% in our key markets of North America, India, and Europe.

Our BEV revenue grew by 28% to ₹222 crore, and it constituted 30% of our overall sales for the quarter. In terms of EBITDA and PAT, it was yet again our best quarter at 227 crores of EBITDA and 133 crores of PAT, showing a growth of 22% and 24%, respectively.

Growth in EBITDA was higher than revenue growth, primarily due to better operational efficiency and lower input costs.

EBITDA adjusted for ESOP cost

under the newly approved ESOP scheme of 2023 comes to ₹233 crore, and

if we were to look at adjusted EBITDA growth, it was 25% year on year. Similarly adjusted PAT at 137 Crores is higher by 28% year on year, primarily due to higher EBITDA.

Slide 22:

Coming to the nine-month results on a year-to-date basis, our revenue for nine months grew by 19% to ₹2,300 crores against 14% growth in our key markets of North America, India, and Europe. Our BEV revenue grew by 31%, and it now constitutes 28% of total sales. Against 19% revenue growth, our EBITDA grew by 32% to 654 crores, and PAT grew by 34% to 369 crores. Growth in EBITDA was higher than revenue growth, primarily due to better product mix, operational efficiency, and lower input costs. EBITDA adjusted for ESOP costs, as I have just spoken about for the quarterly results, it grew by 33% to 661 crores.

Our PAT adjusted ESOP cost and exceptional expenses in the previous quarters grew by 37% to ₹380 crore, mainly due to growth in EBITDA margin

n.

The exceptional expenses were on account of the acquisition of NOVELIC .

Slide 23:

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Coming on to our key ratios, we have seen an improvement in our return ratios , primarily due to an improvement in our margins. Our working capital turnover ratio has also improved due to better efficiency in the working capital.

Our VA/Employee Cost and net debt to EBITDA ratios are largely similar to the March level. Whereas the fixed asset turnover ratio is slightly lower due to higher capitalization during the last nine months.

Slide 25:

This brings us to the last slide in our presentation, which is on ESG update. So, this is the first time we are providing you with an ESG update. So, we have recently published our second sustainability report , and it's available on our website. I would like to share the key ESG highlights for FY23 with you.

The first one being, we've been rated by Sustainalytics as a low ESG risk category with a score of 14.4, which puts us in the top 9% of more than 15,800 companies rated by them.

On the environment front, as Vivek mentioned earlier in his comments, we have improved our energy intensity per rupee of revenue by 10% and water intensity by 2 %. Our Gurgaon and Manesar plants have won silver medals in the India Green Manufacturing challenge this year.

Coming to the social aspects, we were certified as a Great Place To Work in 2023 for the first time. And in fact, we've been recertified in January of this year again as a great place to work with a higher rating than last year. As part of our social initiatives, we are also incubating startups innovating for sustainability in partnership with IIT Delhi and IIM Ahmedabad. To our other initiatives to provide sanitation and other facilities to school kids , we have positively impacted nearly 5000 student lives.

On the governance side, the highlights include winning the Golden Peacock Award for corporate governance in 2023. In terms of board structure, we are going beyond what's been mandated for us. So, we now have five independent directors and two women directors in an eight -member board. The promoter of the company holds the office of chairman in a non - executive capacity, which is also not so common in the Indian listed space. So, these were the key highlights on the ESG side. With this update, we have now come to the end of our Q3 earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much. We are now at the Q&A session. If you wish to raise the question, please use the raise hand function located at the bottom right of your Webex page. We will unmute your line and prompt you to speak or you may submit your questions via Q&A chat box addressing to all panelists. Please be reminded to keep your question to a maximum of two questions. If you have more questions, please return to the queue. Thank you. We will

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now go on to the first participant, Jay Kale . Your line is unmuted . Please go ahead with your two questions.

Jay Kale : Thanks for the opportunity and congrats for a decent set of margins. My first question was on your integrated motor controller. If you can little speak about how has been the journey in terms of the product approval? How much time does it take to get this kind of product approved? And what is the pathway to you know, you've spoken about this getting adopted in a premium motorcycle. What is the pathway to get adopted in the more of a mass market product going forward? and if you can answer this first question, I'll get back for the second.

Vivek Vikram Singh : Sure. Thank you, Jay. Mr. Deshmukh, I think you'll be best placed to take it. You or Sat could take this one. I just wanted to add as an aside that almost

30% margins are more than decent.

Jay Kale : No, absolutely. That's frankly excellent margins, it was an understatement, I agree.

Vivek Vikram Singh : Mr. Deshmukh Sir, you are to talk about the product development process and approval.

Kiran Deshmukh: Yeah, so this goes to, I mean in the automotive industry, there is a process of approvals, testing and validation by the customers. Typically, it takes its own time. But in this particular case, and today with the electric vehicles, this cycle time is much shorter, but still, this is a traditional two-wheeler manufacturer in India. So, it did take its own time, and this is a work which has been going on for the last almost three years that we started working on this. So, in terms of timeline, you can say this. But now having developed this product, we can quickly develop products for different applications, because this is a sort of

modular design that we have developed. Having said that, to address your second question about the mass manufacturing, again, it depends on the layout and the space constraints that the particular vehicle requires, typically mass produced, two wheelers have hub wheel motors. This particular application is for mid mount motors. So, there are certain differences between, for specifically applying this particular motor for a mass manufacturing. Mass manufactured 2 wheelers, will not be reality because the type of motor which is used there is quite different.

Vivek Vikram Singh : Adding to that, and I think Sat can add further, the same concept can be applied to a hub drive motor also. But you can understand that this has to be led by the customer's requirement and demand because when you're redoing the powertrain of a vehicle, you are in a sense, redesigning the whole vehicle itself. So, you have to start from scratch and then say, what would an ideal electric two-wheeler look like? And that's the stage at which we typically get involved. But Sat you can shed some light on the applicability of integrating motor controllers, not just for mid mount but for hub wheel as well.

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Sat Mohan Gupta : Yes, I mean, it opened up a lot of opportunities to read across some of the learning what we have on mid drive and integrated motor controllers on our motor technology. And so, it can be useful for motorcycles as well as scooter operations. And also on the timing, one point is, I mean it also depends how much validation and what's the development stage the OEM is and how much validation they would like to do before they go to SOP and based on our experience, I mean, that time is very, very different between OEMs and the amount of validation each and every OEM does to validate the product and it's not only the validation of the motor controller, it's the complete vehicle validation they do.

Vivek Vikram Singh : Jay, you have a second question as well?

Moderator : Jay, you have your second question? No, I think he is just muted himself. Kapil, Can I go to you, Kapil?

Kapil Singh : Yeah, sure. Thanks. So, I also wanted to check on this margin guidance. You know, we have changed the guidance or increased it to some extent from the earlier range of 25% -27% to 28%. If you could just talk us through the factors, why have we done this?

Vivek Vikram Singh : So as in all things, we go by data, five quarters, if your guidance is not true and if you are doing more than what you said, you should revise it upwards.

So that's the real reason. We don't see, so why we said 4 -5 quarters if you go back actually and read our transcript, I think about four quarters or five quarters ago, I said that I think it is going to stay above 27%. So that's kind of held true for four or five quarters. Most of it Kapil, is material price. So, we have seen enough of these cycles to know that when material prices, especially steel, copper, start going up, your revenue grow

s much faster than your profit.

And when the reverse happens, your profit grows much faster than your revenue, which is the natural cycle. So, it's more a percentage thing, and we don't see any indication of steel going up to where it was in 2021 etc. anytime soon, which is why for the near term, we will hold to it. If it changes, of course, we will also change. As they say, when intelligent people are presented with

new data, they change their opinion.

Kapil Singh : Sure. If you could also talk about, you know, the profitability profile of your business, the way things are shaping up. Is that also something that has contributed to this margin view? Because you know, we've heard some concerns that for example, some of the motor business could be less profitable. So, some of your thoughts on this would be helpful.

Vivek Vikram Singh : Yes. So obviously all products are not alike, all customers are not alike, and all markets are not alike. There are low margin products, there are low margin markets and then low margin customers. And it is a mix. As a management team, your job is to balance it and try to solve for absolute profit growth. The percentages frankly are an outcome and that's what eventually at the end of the quarter is what you realize that that's what it is and then you try to explain it. We don't try to set out to do that, the solution or what we are solving

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for in the equation is how can we sustainably grow our absolute profit at a rate that we want while not taking any decision that affects us in the long term, because all of these decisions have a bearing which is very large in the 4 to 5 year period. So that's the goal because see eventually, if you do discounting of price, you can do growth, you can optimize growth while sacrificing a little bit on margin, you can maximize margin by sacrificing growth. So, it is a balance that you have to play. I think we are fairly versed with it now and we continue to play that, these ups and downs in market segments will happen, they are out of our control. So, let's say like this quarter, I said that there are two weak ones, Electric two-wheeler market is a lower profit segment market and that our customer sales are lagging. So that is also a contributing factor.

Kapil Singh : Sure, and I had one more question on the bus opportunity. We have recently read a lot of news flow that the Indian government is quite keen to increase the EV bus adoption in India and there are, you know, various kinds of orders being discussed as the news flow. As far as you are concerned, you have a tie up with Equipmake for bus motors, right? So just in terms of how this opportunity is likely to evolve, what is your view? What kind of discussions are happening with OEM's if at all, just some views on that would be helpful.

Vivek Vikram Singh : Sure, so as you would have seen in our presentations also for the last three years, we've always maintained that the two segments that are likely to electrify fastest in India are electric three wheelers and electric bus. Just because of the way the industry is structured, it's an economic asset. And if you run it for more than five or six hours, the payback is far faster in an electric vehicle than an ICE vehicle. So just economically sensible to switch and we

believe in that opportunity. Electric three -wheeler , I would say we are moving very fast, and we've done very well. We already have a few orders. In bus, we had partnered with Equipmake to develop, test , validate and launch those products. We are still on that journey. We haven't reached that journey that we can go offer it to customers. Sat, you can add on where we are and when it is likely that we can start seeing some revenue from that segment.

Sat Mohan Gupta : Thanks, Vivek. As far as the bus motor and controllers are concerned, Equipmake design.

We are right now in the validation stage of those motors because we need to tune those motors for Indian conditions. And our launch is in the last quarter of calendar 2025 or the first quarter of calendar 2026. So that's what we are targeting to work on it.

Kapil Singh : Sure, I think there's a follow up question from Jay and then we can take some from the chat box as well.

Moderator : All right. Thank you, Jay. Thank you, Kapil. Jay, we are now going back to your second question.

Jay Kale : Sorry. I wasn't able to unmute earlier. So, my second question is regarding of course, you know, in an inflationary scenario you had mentioned about your top line getting benefited, but that was an empty sale kind of a thing. And

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now with the deflationary scenario, you know, we've had a 13% odd revenue

growth, how much of that would be because of that deflationary scenario. Or maybe if you can just split between volume and the reversal of that empty sale?

Vivek Vikram Singh : Oh, that's, that's hard to do. Because we don't do it. It has very little, see all analysis, especially for management, at least, has to have some purpose. If

an analysis does not lead to a specific or actionable output, it is not very meaningful. The fact that steel prices have gone down has led to, you know, price that was empty sales as you correctly said, how much we haven't really, I think, tried to figure out. Rohit you, you may have this answer. I certainly don't.

Rohit Nanda: For the quarter this impact was around 1% I would say.

Jay Kale : OK, understood. And just on your electric two-wheeler side, you mentioned about, you know, pricing pressures, sorry, volume pressures for some of your customers in the third quarter because of the pricing actions by many of the

competitors. How should one look at you know, the supplier profitability in that context going forward. I mean, you did mention about this continuing

for the next few months but then reversing, but is there an incremental pressure on the pricing of suppliers because of this so-called price war? and

in that context, with our cost structures and our efficiencies, does this also provide an opportunity of a little bit of you know, market share gains if at all

or consolidation of the traction motor market with more efficient suppliers getting larger share with better cost structures?

Vivek Vikram Singh : The very short answer is no because, Jay I think there's a lot of recency bias

in the way we analyze information. This thing that has happened is only about one and a half months and at max it will go on for three months. Sat, just told

you about how we develop a product with a new customer, took over three years to develop and launch it. These are longer items and in the automotive

industry, especially if you're doing critical items like the motor or any powertrain or the drivetrain part, you are playing what are essentially long -

term, long -term objectives with other long -term plans. These things don't happen in haste , no one is coming to us and talking about pricing for motor

etc. I think everybody knows that this is not sustainable, these actions and they will not be there for too long. Cash burn has never been a great strategy

for the automotive market. I mean, history is replete with examples of people who tried and failed at this. But yes, we will wait and see. So far it has affected

volumes for us but no other impact. Sat, you want to add to it, like what you've seen or heard? I don't think our customers have even brought this up

to be honest.

Sat Mohan Gupta : No, I mean, it's not a discussion actually, either with our customers or with our suppliers because I mean, most of us, are in the automotive business for so

long. So, we understand these ups and downs. it's very normal.

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Vivek Vikram Singh : Yeah, none of us actually in the industry, talk in quarters, right? We all talk in years and quite a lot of time is like 7 to 10 years is the conversation you have.

Because let's say you get a source on any project, the model will always run for 5 to 7 years and then you have to keep spares, etc. to supply the vehicle park. So, you are entering into almost a 10 to 15 year marriage type of situation with the customer. Thinking in quarters does not lend itself well to the way our industry is structured.

Jay Kale : Sure, great. This really helps. Thanks, and all the best.

Vivek Vikram Singh : Thank you, Jay.

Moderator : Yes. So, we're going on to the next participant. Her name is Gunjan Prithyani.

Gunjan, your line is unmuted, please go ahead with two questions.

Gunjan Prithyani: Trying to understand from the next 12 to 18 months perspective, this is there is this increasing, you know, narrative that EV at least excluding China seems to

be slowing down a bit, hybrid seem to be the new, you know, sort of increasing their share within the global, you know, in Europe or US. In that

context, you know, is it something that you can comment a bit on? You know, do you see a similar trend when you are having conversations that some of

these new EV models that we were hoping that would kick start the next 1 -2 years get pushed out, you know, what are we seeing on EV? And then, you

know, hybrid, are we seeing that in the motor part of the business? And also, if you can cover the India outlook, there's certainly been some moderation. So, I'm just trying to get some color from you across segments. You know, how are we approaching more from the next 1 to 2 years perspective?

Vivek Vikram Singh : Sure, Gunjan, thank you for the question. The EV slowdown seems to be clearly a case of narrative trumping data, but it's OK. I'll answer it. EV sales grew by 31% last year in the calendar, which is not slow. And the similar question I remember, we were asked at that time, we weren't public, so I was asked by my board in 2020 to 2019 was 40% or something, and then the year after that, it went up by 120%. So, in the longest journey, what at least from tracking this for the last eight years, what I've realized is, this is very linked with localized market dynamics of two things. One is government policy and the second is new model launches. So, if you were to look at those two things, one, let's say, first, let's start with the North American market, that's our largest EV market so we study that far more than any other. In that, on these two data points. The first one is the \$7,500 tax rebate that has come into effect from 1st January itself. And that is our point-of-sale rebate. So, it's not like a tax refund that you claim and get it later, you can get it immediately. So that should be a good push for EV. For plug in hybrid is \$3,750 half basic ally of that amount, both should do well. I don't think it is applicable or extended to other forms of hybrid vehicles. Second, on new model launches, we actually did look at the program launches of 24 and 25 across automakers. The number of EV I don't remember the exact number, but it's 70 to 75% of the new model launches are EV. So

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yeah, one, like I said, from where we stand and what we are seeing and what we are listening to our customers and looking at the schedules that we have already received for the next couple of quarters, we are certain that electrification will continue to drive, for us, the growth in the immediate, in the medium and the long term, for us that's pretty clear.

The second part of your question is actually far more hard to answer, which is the Indian market. It's quite mixed. So, I will take it in three segments, passenger vehicle, commercial vehicle as well as the off highway. So, passenger, I don't know, but it

looks decent, and I'll use Jay's word, decent.

It is a plus but plus not very much right, commercial vehicles are holding but our past experience and from what we sense, I think it is, it is going to decline in 2024. And then we come to the off highway which has already been weak for the last couple of quarters, and it is weakening further.

So that's the weakest of these segments, commercial vehicles, I mean, Gunjan, you've also been tracking this, election years just before election, it is always a bit of a tough quarter, when government spending etc. is highly linked to especially the bigger, bigger tippers and construction type of thing. So, we will see, India is looking in the three markets that we serve. the weaker of the three, the weakest of the three.

Gunjan Prithyani: What would be the best , North America?

Vivek Vikram Singh : North America is best in terms of value and volume for us. So yeah, that's the best. Europe's done a fair bit of recovery. But that's happened, some of that has played out last year, so Europe would be second and then I would say India.

Gunjan Prithyani: Ok, got it. No, this EV thing is good to hear from you, Because I mean, it's been something that we keep hearing that it's, you know, it's adoption incrementally is slowing down. Honestly, we are like far away from what's happening on the ground. So, you see the production schedules better than us, so good to hear that.

My second question is on the motor, you know, it clearly looks like you know, quite compact design. I'm just trying to understand, was it driven more from the perspective that we need to bring the cost down for the you know, for the electric two wheelers or this is, you know, is there any, from a performance perspective does it change anything? I'm trying to understand, you know, what led to this, you know, sort of redesigning of the motor powertrain. And if it is a cost reduction, can you share what sort of cost reduction it is versus

what we were doing earlier on the more high -performance motors.

Vivek Vikram Singh : Yeah, so Gunjan, this is a new customer and a new program for a new vehicle. So, there is no comparator to what other things we are doing. Cost is certainly better because you are packaging, instead of having two separate items, motor and motor controller, you put it in one. Mr Deshmukh covered a lot of advantages, but I would say if this has to be customer led,

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right? Because you are changing the way the motor will be placed and changing the way the entire vehicle's powertrain is designed and how it is going to interact with each other. There are many technical advantages. Technically, I would say so, yes, there are commercial advantages, but technically the advantages are far, far greater. The biggest one being thermal management. See if you have both motors and motor controllers, any power electronics item also has a heating issue and all of us have experienced that, right? Any electrical or electronic thing heats up, how quickly you draw out heat from any system is directly proportional to how efficient it is going to be, delta temperature upon delta time is basically how you improve efficiency in electromechanical systems. Now, this does that far more effectively because you have combined the thermal management into just one unit. That's a big one, second communication earlier, you had all these wires connecting a controller to the motor. Now it's in one.

So communication is far more compact, serviceability will be much better, lots of benefits, and in hindsight now that we've done it with our customer,

we realize that why didn't everybody think of it? Actually, this is one of those products that should have always been designed like this in one unit that it makes sense. But yeah, I hope other people will also kind of try and do this and at least for the newer models, y

ou can't do it in running models. It's much harder but with newer models, people should be ok at this.

Gunjan Prithyani: Ok. Got it. Just very last one, I'm slipping in, any update on PLI that you can share?

Vivek Vikram Singh : Our PLI internal champion is Rohit Nanda.

Rohit Nanda: So Gunjan, there is progress but nothing to report as of now. So, like everybody else, we are also in the queue. The approval process is on, that's all I can share with you right now.

Gunjan Prithyani: OK. Got it. Thank you so much.

Moderator : We will go to the next participant, Sabyasachi Mukherjee. Your line is unmuted, please go ahead with your two questions.

Sabyasachi: Thanks for the opportunity. Am I audible?

Vivek Vikram Singh : Yes Sabyasachi, you are.

Sabyasachi: Hi, So Vivek, first thing I wanted a clarification. I joined a bit late. Did I hear you correctly that there was a 25 crore revenue loss in October -23 that would get deferred to Q4?

Vivek Vikram Singh : Correct. But I said partially, let me, I think I said some of it shall partially reverse in this quarter.

Sabyasachi: Ok. Got it. Next would be, if I look at the, you know, the order book and the past order wins, many of the programs are scheduled to get, you know, into

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production in H2 and some of them in Q4 of FY24. and a large program of electronically locking differential for the electric SUV that we won in third quarter of last financial year that was I think supposed to get operational in H2. So how are we you know, in terms of readiness, are these on track getting into operation? So, just wanted an update from you.

Vivek Vikram Singh : Thanks, Sabyasachi, well, thank you for following so closely. But yes, all of them are on track. Actually, some of them are slightly ahead of track, which is obviously making Vikram's life a little hard. It is a lot of work. So, when a lot of new programs launches come at the same time, operationally, it becomes a lot of time from engineering teams, production teams. So yeah, we are

running six days, sometimes seven days, very little sleep, etc. But yeah, it's all good. It's all good. This is a good problem to have. That's good.

Sabyasachi: Great to hear. So probably a good reduction of your reply to that would be we should see a good ramp up in revenues from Q4 onwards. Is it a fair understanding?

Vivek Vikram Singh : You know, we don't give forward guidance, especially that near term. But also let me just put a caveat in these things, right, when a product launches and the ramp starts, if you're making 100 a week or 1000 a week, that 1st 100 or 1st 1000 will take far more energy than six months later when you're doing 10,000 a week. So, it has started, all of them are on track and they are on track as per customer production schedule is all I can say.

Sabyasachi: Got it. And lastly, you know, if I look at your breakup, of the EV programs that we are currently having 53 programs out of that 10 is fully ramped up, 15 is in the ramp up stage and, another 28, 5, of course, we have, we have got this quarter which is yet to be, you know, kind of get into production. So, you know, out of this, let's say, if I exclude the 10 programs which are already fully ramped up, we have around 43 programs in the next, let's say, 1 to 2 years. How are you, you know, foreseeing how many programs will probably get into a fully ramped up stage. any, any broad color on that would be helpful?

Vivek Vikram Singh : Yeah, most of them, most of them, very few are actually as long lead as the one that we won right now. Most of them should in calendar year 24 and 25, yeah, most will ramp up. Pratik, you want to add some better color?

Pratik Sachan : Yeah. Yeah, that's correct. So, most of them will ramp up in 24 and 25 and I think there are one or two programs which will ramp up later, maybe by 26.

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Sabyasachi: Got it, that's all from my side and, and all the best. Thank you.

Vivek Vikram Singh : Thank you, Sabyasachi, thank you for attending.

Kapil Singh : So, we have a few questions from the Q&A chat box. I think you referred to this one, but in case there is anything more to share, can you please talk about the impact on supplies due to geopolitical tensions around the Red Sea? Is there anything more to add to it?

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Vivek Vikram Singh : Not really? I mean, it's a little early. We are a management team that is fairly, fairly watchful and active. So, we have secured some of these things already because if you don't go on winter break and you're actually in office on 2nd January it's easier to get containers booked, etc. So, it's not much for now. But as I said, if it continues and it becomes like a problem for two months or something, then we can't even guess right now because we saw that happen in 2021. Because it doesn't go, there is no linear logic to it. It suddenly will start shooting up and then availability is not there because of that. If you add roots, yeah, the working capital costs will go up. Shipping time can even go up from 10 to 20 to 30 days. It's very unpredictable how it will all play out. The biggest impact would be our deliveries to Europe. But even for some of the ones that go into some of the North American, they use that route. So, it's hard to say it will be negative, which is why we brought it up and shared it as a challenge already if it continues. Right now, it's negligible as an impact.

Kapil Singh : Ok. Then there is one more question if you could share updates on the NOVELIC business as well as the product development update with Equipmake. I think Equipmake you already talked about.

Vivek Vikram Singh : Yeah, I think Equipmake we discussed even the timelines and NOVELIC it is going well. As all of you know, when you have a smaller company integrated into a large public listed company, there are a lot of different systems and processes and setups, quarterly audits that we are doing. So, we're doing three things.

One is to ensure that engineering services revenues continue to be stable or grow.

Third is, pivot this business into starting to make products and any of the product opportunities that we are chasing could be anywhere between half of their current annual revenues to 1.5 times annual revenue, even one project if you win.

So that is an endeavor that's also going on in parallel. And so, these three, yeah, all three are happening, early days, first quarter. A lot of growing up to

do in a lot of things ; and over time, I believe we will have some positives to share. But just the sheer opportunity size is so immense, I mean, the technology is so wonderful that anything you hit, I mean, if you look at the four or five big ones we are chasing, they are transformational at least for NOVELIC . I know in the overall scheme of things with Sona Comstar revenue, it might not be a big thing. But for NOVELIC , it will be a fairly large thing, anything that we will. So, it's all going, it's been four months since we've been doing this, and it is a wonderful learning experience for them also I hope, it has been wonderful for us at least.

Kapil Singh : And then one more question we have is on you know, we updated the vision statement in the recent quarter to valuable mobility companies. We detailed a lot of opportunities including aerospace, etc. Any homework we have

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already started? What percentage of revenues will we foresee that will come from this new area in say next 2 to 3 years?

Vivek Vikram Singh : Did we though? I don't think we detailed out, I mean, I have a very decent memory but yeah, we just said that mobility, it could mean anything that moves, the core though

It comes from just this simple, simple logic that anything that has motion or propulsion would need a motor and a gearbox, which are the two primary things we make. If it is an intelligent motion device, it would have also sensing as well as the intelligence to process it. So, sensors and software will be required. That is the reason and if you refer back and Pratik if you can go to that slide which has a product of market segment revenue, the mix.

So if you look at it, it already has, I mean, automotive traditionally, if you look at how ACMA or SIAM defines itself as passenger vehicle, commercial vehicle, two wheeler and three wheeler. That today is 89% of our revenue, currently, non-automotive , which is industrial, farm equipment, tractors and the services business is about 11% of our revenue. This will continue to grow. How fast, when will it become 20 -30? We can't say, it is an endeavor. We are

at a very early stage of it. We just changed it last quarter. As I mentioned before, this is not a company or a business that changes on a quarterly basis.

These are businesses that are run by long term people for long term objectives. So if you say that, oh, we have intention to get into aerospace,

unless you're an acquisitive company that just goes and buys another aerospace company or something, it's not going to happen immediately. It's a statement of intent. Anything that we do takes 3 to 4 years minimum. So again, if anybody's expectations are that things will overnight change, they

won't, this is slow, deliberate and very, very well thought out plans that will take years of effort and dedication to execute. We are seeing some early wins but for them to be meaningful enough to match our ambitions, they will always take time.

Kapil Singh : Sure Vivek, and one, just one last question from my side, I wanted, you talked about the outlook for India in terms of various segments, but I specifically

wanted to touch upon the electric vehicle outlook for domestic segments like passenger vehicles and three wheelers, you know, what kind of opportunities are coming up in those areas because you know, it's still a very, very small segment and new models we know will be coming up in 2024 and 2025. So how do you see that shaping up from a Sona Comstar point of view?

Vivek Vikram Singh : So, we fundamentally believe that the three -wheel er opportunity is almost absolute, like in four or five years, all of it will become electric and it is a decent value segment for us. We have, I think, three programs already. We want to be a meaningful player in the electric three -wheeler . We also think that in the electric light commercial vehicle segment, anything below four tons we believe should get electrified sooner rather than later. And in the next five years, we'll see a lot of action in it. Almost, most of our existing product R&D efforts in the motor area are directed towards that, because higher voltage and higher kilowatts , both endeavors are on and both of them

should find a very good and ready audience. The motor one obviously is a far higher voltage architecture for the bus so that I'll keep separate. But three wheelers' immediate and actionable and it is happening as we speak. So that's urgent.

Passenger car, it's still slow. I hope it takes off, but believe in genuinely that unless something fundamentally changes in battery tech and batteries become far, far less expensive, it is hard to go to double digit penetration anytime soon. Yes, by 2030 economies will scale, designing pure EV platforms will happen. But if you want it to happen fast in the next three years or so. Lot has to happen in battery tech. And the good news here is there is a lot happening in battery tech.

So, for those of you who follow battery technologies, I would recommend reading this if you can get your hands on the Berns

tein report on battery

strategy roadmap 2023. And you look at what people are doing in either electrolyte space where gelatinous or solid or lithium metal, LFP everybody knows about, and sodium ion, there is a huge opportunity that we could go even to 60 - 70 dollars per kilowatt. And that, that can change the game. I mean, if you have batteries that go down by 20 -30% which are 40 to 50% of the cost EV suddenly become cheaper than ICE. That tipping point when it will come is hard to predict as it is with any technology but will happen in the next 5 to 6 years.

That's our belief that we've been working on for almost eight years already. There is this thing we had presented, and Tony Siba I had done the study by

Rethink X Institute on how much time it takes for new technologies to overpower dominant technologies. And this study goes back to examples of 200 years ago. So, Anthracite coal versus bituminous coal, digital camera versus film, motor car versus horse. So many examples. Once any penetration of a new technology reaches 10%, it usually takes about 15 years from that

point for the dominant technology to get reduced to single digit. Now, that happened for EV, somewhere around 2021 that it crossed 10% for the first time. So, by our calculation, by 2036, EV will be 90% plus of the total market and in which I include, Gunjan's point plug in hybrid, as long as it has a motor and a battery and a charger for us, it is the same thing and the battery will be the biggest change in this. I know I'm taking a long time on this, but this is a subject I'm very passionate about. So, Thomas Edison, I don't know if you

know this Kapil, but in 1908 there were more electric cars in America than ICE cars, right? The electric car actually precedes gasoline or the internal

combustion engine. And Thomas Edison in his notebook had written : motors - easy to solve, running gears – solvable, control systems - can be done. And then he wrote battery and he put a question mark. For a very long time, almost 90 years, we could not figure out battery out, and this smartphone, this is actually the mother of the modern electric car. The lithium-ion battery made it possible for electric cars to be viable again. Now that is not stable, that is not the final form of the battery. We have already seen it come from \$200 plus to almost \$100 now. The day it goes below 100 and it goes to 70- 80. That's the day this paradigm will completely shift. I think it's near, there are lots

of companies doing interesting research, Quantum Escape, North Volt, CATL is doing a lot of good work in this field. So, follow that, again, we are also reading, this is not something we do ourselves. But this is the market we keenly study. At that point is when the Indian market turns because India will be a cost sensitive market in value terms, we are still only about 1% of the world auto market. If you take our passenger vehicle market. For that market to suddenly electrify, the cost has to be solved. It has not been solved yet. It is a very long-winded answer. But again, this is a subject that I've been studying for nine years, but this is what I do.

Kapil Singh : No, thanks. That was very insightful. Thank you so much to the team from Sona Comstar as usual, it's a pleasure to host you and to the investors we have come to the end of this call. Thank you, so much and good evening. Do you have any closing remarks Vivek?

Vivek Vikram Singh : No, thank you. Thank you as usual for those of you for making time. I know it's slightly late for some of you to have attended. But yeah, I hope we can continue doing well and thank you for attending.

Kapil Singh : Thanks, everyone. Have a good day. We can close the call.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company tak

es no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2024

Date: 7th May, 2024

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter financial year ended on 31st March, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Tuesday, 30th April, 2024 on the financial result of the Company for the quarter and financial year ended on 31st March, 2024. The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination. Thanking you,
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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q4 FY24 Earnings Conference Call Transcript
April 30, 2024

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Welcome everyone. Ladies and gentlemen, good day, and welcome to the Q4 & FY24 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward-looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer-related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Good day, everyone. To take us through the Q 4 FY24 and to answer your questions, we have the management team of Sona Comstar. Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Sat

Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate Strategy and Investor Relations. I will now hand over the call to Vivek for his opening remarks and presentation. Over to you, Vive k.

Vivek Vikram Singh: Thank you, Kapil and welcome to the next call of our best quarter ever in terms of revenue, EBITDA, net profit, BEV revenue and BEV revenue share. But we'll begin as we usually do with the challenges.

So first, off-highway market in India and the US have been weak and production declined further in the last quarter. Tractor sales in both of these markets in the last quarter were the lowest since Q1 CY20 or the COVID quarter. So given a high market share in this segment, this has affected the

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sales of our differential gears and differential assemblies to this particular segment.

Second, the electric two-wheeler market in India faces uncertainty regarding the FAME subsidies. This is impacting the sales of our traction motors. We expect this to continue for a few more months till there is some more policy certainty.

Third, the Red Sea crisis continues, and this combined with higher oil prices has led to a sharp increase in freight rates. It has impacted our margins last quarter and remains a continuing challenge at least for the near term.

Now the good news and as is usually the case, it far outweighs the bad. We achieved our highest ever revenue, EBITDA and net profit. BEV revenue, as has been the case, continues to drive our overall growth and its share in revenue increased to the highest ever at 32%. In terms of markets, Europe has strongly recovered and FY24 was also positive for the US and things continue to look good for both of these markets. The Indian market has been mixed and will likely remain volatile at least for the first half of this fiscal year. Given the strong growth in EV penetration and the decline in internal combustion engines in China, what we've decided is that we will repurpose our plant there in China, where we will stop making starter motors and focus on making other motors like traction motors and suspension motors.

Coming to NOVELIC, we are pivoting that business from being an engineering services led business to a product and semiconductor chip design business. To achieve this, we have allocated several billing or billable resources to R&D or to new product development projects for which we expect to generate revenue in the medium term. As a result, NOVELIC's profitability may be impacted over the next couple of quarters.

Now we are a product engineering company, so new product development is vital to our growth strategy. In FY25, we are also increasing our spending on

R&D by over 100 basis points. Our teams are working on several exciting high potential projects across the three business divisions, and we are certain that higher R&D spending is going to help in expediting all the existing projects and also allow our teams to work on additional new products.

Now, before we discuss our performance in detail, we have an important announcement to make: Our Group CTO, Mr. Kiran Deshmukh, turned 70

earlier this year and has informed us of his decision to retire. On our request, he has agreed to continue till 31st October and guide us through the transition period of succession. Mr. Deshmukh has been integral to our Sona family for nearly four decades now and he's been with Sona Comstar for the last eight of them. His impact on our technological advancements, on our quality focus and on our strategic direction is immeasurable to say the least.

As we bid farewell to Mr. Deshmukh, we are happy to announce the appointment of Mr. Praveen Chakrapani Rao as our new Group CTO. This will

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be effective from 1st November 2024. Praveen is currently the President and Head of the Motor Business R&D and has been groomed for the CTO role by Mr. Deshmukh himself for the last two years. Praveen has been associated with the company for 24 years and while stepping into Mr. Deshmukh's shoes is nearly impossible, we have every confidence in Praveen's ability to not just transition into this role but also put his own stamp on our technology road map.

Vivek Vikram Singh : Slide 5:

Now we proceed to more prosaic matters like numbers. So, in Q4, our revenue grew by 19% while the EBITDA and net profit increased by 23% and 24% respectively. Margins improved due to operational efficiencies and product mix, despite considerably higher freight costs. BEV revenue was the main driver which grew by 34%, in

absolute terms to the highest ever, 273

crores, while the BEV revenue share increased to an all-time high of 32%.

Slide 6:

For the full year, like we do every year, we would like to report our performance scorecard as managers to you on our five KRAs: Financials,

Electrification, Business Development, Diversification and New Product Development.

So, I'll start with the financials, where we continue to do well on all three indicators: growth, margins and returns. Our revenue, EBITDA and PAT are up by 19%, 30% and 31% respectively. Another year of strong operating performance also ensured that ROC E and ROE improved to 31% and 28.5% respectively. And one metric that we don't usually speak about much, but we have done very strongly on this, is our free cash flows, which Amit will talk about in his section in more detail.

Slide 7:

Now because our IPO was three years ago and three years also happens to be the period of our planning cycle, our product, and our business development cycle. So as stewards of this business, we'll be grateful if our shareholders better understand the nature of our business and our

management philosophy and see us in the same three-year cycles like we see ourselves in our business. So please indulge me in a thought experiment if you will.

So, imagine that you're a time traveler who met us during our IPO process and now has jumped three years forward in time to today. And you notice that we have more than doubled on most metrics that we spoke of then, as being important to us. Our revenue and EBITDA have doubled while PAT is 2.4 times higher. We have achieved this by doing both increasing our market

share in existing products and by adding new products consistently. Our battery electric vehicle revenue has grown by 4.3 times in absolute terms

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because we managed to treble the number of EV customers from 10 to 30 and EV programs have increased a remarkable 3.6 times from 15 to 54. What that means is while we were very concentrated on EV exposure to a few customers and programs, today our BEV exposure is truly diversified, a cross customers programs, products, and geographies. We also introduced eight new products in just these three years, which have added more than INR 100 billion to our net order book, which has grown to INR 226 billion from INR 140 billion at that time. What this shows is our effectiveness in not just making new products but getting them to commercial technology readiness and converting them to revenue.

Now because you are a time traveler and you only see these nice results, you'd be excused in thinking that the past three years have been extremely favorable for the industry and the company has faced zero concerns.

Slide 8:

But in reality, most of you are not time travelers and if you have observed us over the last three years, you would note that our growth has varied significantly from quarter to quarter. And we have achieved this performance despite facing multiple headwinds and multiple concerns.

Some of them were bigger and some of them were smaller.

We've seen concerns about the COVID pandemic. We've seen concerns about ship shortages, Russia-Ukraine conflict, the UAW strike, which all did affect us and were meaningful in that time, but they were all temporary and eventually they resolved over this time. Similarly, there are current concerns

such as the Red Sea crisis, uncertainty around FAME and the perceived, I would say a slowdown in EV demand, which will also likely only be resolved with time and us saying anything is not going to solve them.

Since our IPO, we've been also addressing questions on margin sustainability and rising competitive intensity, this has been one of the most often asked questions. And again, I'll say the same thing over the past 25 years since our inception, and even as a listed company for the past three years, we hav

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maintained an average EBITDA margin of over 26% consistently, while continually gaining market share in every product category against strong competition all over the world. And 25 years is a pretty long period to prove

a point. But I guess only time can tell whether we can maintain margins over the next 25 years as well. So, I guess this is a question that once again, only time will tell.

Some have expressed concern about the impact of Blackstone's exit and now since it has been over a year since their exit, I thought we should address it. Now, this is my 10th year with this amazing company and during these 10 years, we have provided healthy exits to three shareholders: Mitsubishi Materials, JM Private Equity and recently Blackstone. Now today we are responsible for delivering returns to our public shareholders who have joined us during or after the IPO. My duty as the CEO and the management team's

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duty in their roles is to ensure that the exit of any one shareholder does not impact the business or its prospects. And I think this culture of responsibility is perhaps our most enduring management ethos and one that is going to continue regardless of who owns the shares.

Slide 11:

Now, coming back to the standard format, our BEV revenue has increased from 26% in FY23 to 29% in FY24. In rupee terms it has grown 32% to over INR 8.8 billion in FY24. The growth in BEV revenue for us has been more than double the growth in non-BEV revenue. We also continue to build on our EV order book and in Q4, we added one new EV program of size which was to supply differential assemblies to an existing customer in North America.

Overall, in the year, we added 12 new EV programs and four new EV customers, which has further grown and diversified our EV order book. So, at the end of FY24 we have a total of 27 EV programs in production of which 11 are mature and have fully ramped up, and the other 16 are in various stages of ramping up. The remaining 27 programs are not yet in production and will start during this year or the following years.

Slide 13,14 :

Our next KRA, Business Development, we added INR 51 billion worth of new orders during the year. This came from 39 new programs and five new customers. As you can see from the chart this year's revenue growth came primarily via consumption of INR 40 billion of the order book. Hence, the net addition to the order book was INR 11 billion, which obviously neatly brings me to a net order book which at the end of FY24 stands at INR 22,600 crores or around \$2.7 billion. As visible here, almost all our sequential growth in this quarter came from the consumption of new orders, while the EV contribution to the order book remains high at 79%.

Slide 16:

On diversification, the trend of increasing electrification and decreasing ICE dependence continues as it has for a while. This year, we've seen the ICE dependent revenue shares shrink to only 10%. The strong demand recovery in Europe means that the revenue share from hybrid and micro-hybrid has been higher than the previous year and hybrid, we continue to do well as a company on hybrids too.

Slide 17:

Geographically, North America remains our largest end market, as it has for many years. This now contributes 40% to our revenue. Europe was our fastest growing market and now contributes 26% of our revenue and India remains the second largest market and revenue share is at 28%. The fastest growing product segments for us this year have been EV differential assemblies and

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EV traction motors followed by differential gears and this, as you can see, reflects in the change in the product mix. The weakness in off highway demand that I spoke about earlier has resulted in the share of non-automotive revenue declining from 12% last year to just 10% this year.

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With this, I come to the end of my part, and I invite our Group CTO, Mr. Deshmukh, to update us on technology. Over to you, sir.

Kiran Deshmukh: Thank you, Vivek. Good evening, ladies, and gentlemen.

Slide 19:

This slide shows our technology roadmap revamped this year to reflect our strategic intentions of addressing the E.P.I.C. revolution. This year we launched a breakthrough product and integrated motor controller that is compact, more -efficient and easy to install. It offers additional benefits such

as more efficient heat management, advanced communication capabilities and reduced winding and connectivity, wiring and connectivity issues.

This quarter, we have added the Steering Bevel Gear Box, encircled in a dotted white circle to our technology road map, as a product we intend to

commercialize. These Bevel gears are required for commercial vehicles where an intermediate shaft cannot directly connect the steering column to the steering gear, due to the constraints in the arrangement. Our high - precision Bevel gears and low friction torque of the gearbox, will provide exceptional steering accuracy, driver comfort , and ease of installation on the vehicle.

Together with these two new products, we have added eight groundbreaking products to our technology road map this year. They include robotic gears, lightweight differential assemblies, motors for non -auto applications, radars for zone monitoring, 360- degree short range applications and in-cabin sensing.

This year, we completed NOVELIC 's acquisition and launched our third business vertical, focusing on sensors and software. Our radar technology , capable of detecting life presence and optimizing safety applications , places us at the forefront of the E.P.I.C. revolution. This move has diversified our portfolio, emphasizing our commitment to advancing more intelligent, connected and personalized mobility.

Slide 20:

Friends, after serving the automotive industry for 49 years and a few months, I will superannuate on the 31st of October. While I prepare to end my tenure,

I feel a mix of nostalgia and gratitude for this challenging yet fulfilling journey. 38 years ago, when I joined the legendary Dr . Surinder Kapur to set up a

budding steering systems -making company, little did I imagine that the seeds of excellence we were sowing would grow into what is today a company

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that is helping define the future of mobility. This was possible only because of Dr. Kapur's vision, Mr. Sunjay Kapur's steadfast commitment to that vision and the team's tenacity, hard work and diligence.

Slide 21:

Kiran Deshmukh: As I say goodbye, I am happy to pass the baton to an able, competent and passionate person .

My successor, Praveen Chakrapani Rao, has over 30 years of experience in the automotive industry. He has held leadership positions in business development, product strategy, sales and marketing, product development, and engineering. He has worked with global product development teams and has led the setting up of our three assembly plants

outside India. He was responsible for building Sona Comstar's R&D into a 250 plus strong team delivering cutting -edge EV products to our discerning customers. I'm confident that Praveen will carry forward our legacy of innovation and leadership. Together, we will ensure a seamless transition, upholding our mission and vision for the future. With that introduction, I am pleased to present Mr. Praveen Chakrapani Rao to you.

Praveen C. Rao : Thank you, Mr. Deshmukh, for your encouragement, motivation, and guidance throughout these years. Good evening, ladies and gentlemen, it gives me immense pleasure to be here. I thank the management of Sona Comstar for considering me for this critical position and for giving me an enhanced R&D budget and a much bigger canvas of mobility. The mobility space is going through

a transformation with E.P.I.C. technologies defining the future. By embracing these technologies, we are at the forefront of shaping the next generation of automotive technology. This opportunity is indeed an honor to deliver on the vision of Sona Comstar. I look forward to working with Mr. Deshmukh in ensuring a seamless transition. With that, I hand it to Amit to cover the financial update. Thank you.

Amit Mishra : Thank you, Praveen. Very good day to you all. Rohit is on leave due to a family exigency. So, I will take you through our fourth quarter and full year's financials.

Slide 23:

In the fourth quarter, we clocked our highest ever revenue, EBITDA, and net profit. Our BEV revenue grew 34% to INR 273 crores and our BEV revenue share was 32%, highest ever for any quarter. Overall revenue growth of 19% was significantly higher than the underlying light vehicle sales growth in our key markets : India, US and Europe. EBITDA adjusted for ESOP of expenses grew 27% to INR 256 crores. The EBITDA margin improved about 180 basis points, primarily led by better product mix, operational efficiency gains and lower input costs. Similarly adjusted PAT was up 26% to INR 155 crores.

Slide 24:

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For the full year, our revenue grew 19% to INR 3,185 crores. Overall growth was more than double of the underlying volume growth in light vehicle sales in key markets. Our BEV revenue grew 32% to INR 886 crores and BEV revenue share improved to 29%. Adjusted for ease of expenditure of about INR 14.7 crores, our EBITDA grew 31% to INR 917 crores. The EBITDA margins expanded by 270 basis points over last year due to better product mix, operational efficiency gains and lower input cost. Profit after tax adjusted for ESOP expenses and other exceptional expenses grew 34% to INR 535 crores, again entirely led by higher operating profits.

Slide 25:

During the year, we generated cash from operations of about INR 693 crores and free cash flow of INR 374 crores. In his slides, Vivek presented our strong performance over the last three years on almost all of the financial metrics. But this is one metric where we have done even better than those; free cash flow, two years back was INR 100 crores, which doubled to INR 200 crores last year. And this year, we have improved it to INR 374 crores. This helped us meet our Capex spending of INR 319 crores, our investment in N OVELIC of INR 211 crores and dividend payout of INR 179 crores; all met through internal accruals.

Slide 26:

This brings us to a slide on key ratios, our value addition to employee cost, continues to be strong, about six times though it dipped slightly in last year due to higher ESOP expenses. Net debt to EBITDA continues to be negative.

Our working capital turnover has improved further to 4.6 times, fixed asset turnover, however, dropped to 3.6 times due to the full impact of Pune plant

capitalization. These combined with very strong profit growth have resulted in our return ratios; ROCE and ROE improving to 31% and 28.5% respectively.

With this, we have come to the end of our presentation, and I will now hand over proceedings back to the Nomura team for Q&A. Thank you.

Moderator: Thank you very much. We will now open the floor for the Q&A session. If you wish to raise a question, please use the raise hand function located on the bottom right of Webex page. We will unmute your line and inform you to speak. Or you may submit your question via the Q&A chat box, addressing to all panelists. Please be reminded to keep your question to a maximum of two questions. You have more questions we would appreciate if you could return to the queue. Thank you.

Jay Kale : Thank you . And congratulations for a great set of numbers in a challenging environment. You know, my first question, of course, you know, we've seen in the last three years, you have, yo

u know, kind of diversified your BEV customer base, and continuously adding new clients. Going forward, as we see, you know, a lot of the Chinese OEMs are trying to expand globally, of course, contingent to the political environment and probably thinking of putting up

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capacities also outside China. How are we looking at that client base? And are they open to suppliers like us if they put up factories outside of China because that could be, you know, a good leg of growth going forward.

Vivek Vikram Singh : Good question, Jay. So how does the BEV environment shape up, is actually the broader question I would say. I would think North America and India would continue to have local or global competitors, non-China OEMs. I think geopolitics is shaping up that there will be restrictions. Europe is the interesting one where I think Chinese EVs are making quite an impact right now. Although I hear that, as we speak, Brussels is thinking of putting a 50% tax on

Chinese EV imports into Europe. So, we don't really know how it will shape up.

So, this is what our strategy or plan is, it's very simple; try to get as many customers as possible. It doesn't matter where they make it, it doesn't matter what their nationality is. You try to get in and try to sell them as many of your products as you can. That's it. We try to keep it simple. We're not trying to worry about things we can't solve, or we don't really know about. We're not experts at these things. There is a different amount of receptivity to our products in different geographies. As you can tell, some of them have trade

barriers, some of them don't. We have the flexibility also to manufacture in different locations to cater to that. But we are on it. I can't say much more because you know, things will only time will tell, as I said in my thing how this stands out; but we will continue to diversify. In automotive in general, putting all your eggs with one customer is a sure-fire way to either lose growth or lose margins. That's literally guaranteed that one of the two will happen. We will not allow that to happen to us. Our top five from five years ago has changed so much and it will continue to evolve like this. So, I know I can't give too many specifics, but just this quarter's results should have shown you some of that already, that some of that has already happened, which is already in the numbers. But because we don't talk about specific customers, I can't really say more than that.

Jay Kale : Great, thanks and just one more question, you know, and of course, this would have been asked for, you know, quite a lot of times, but we've seen a lot of talk of you know, the EV penalty or EV slowdown globally, etc. Now, I understand, you know, you've spoken earlier that you know, these new technologies are supposed to be looked at from a long-term perspective, there comes a time of consolidation in terms of any new technology adoption and then eventually it moves ahead at faster pace. But just from the next 12 to 18 months perspective, the way we see your order book, are you seeing any delayed order ramp up because in the next 12 months, as per your order book, a lot of new programs are expected to start. So, you know, it's all contingent on the plans being on track. And if there are any customers who are delaying that, any flavor that you can throw on that.

Vivek Vikram Singh : So, 12 to 18 months, no real delays that we have heard of apart from a couple in the EV Two Wheelers Space, which is not a very large part of revenue, but those are the only areas and I guess that's more to do with policy uncertainty. In other things, while the media may talk about the EV slowdown, we have not seen any sign of that from you know, from our customers. Our customers

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are putting more and more

pressure on us to improve our NPD times actually.

So, it is the other way around. I would say, I mean, just the fact that we have closed our starter motor line in the China plant, and we are going away from it should tell you how the world is actually moving, not what they are saying but what they're actually doing. I think that's always true for anything. Look at what people do, not what they say, that kind of gives more clue of what is actually happening. Secondly on hybrid, yeah, because a lot of people don't get like some people are saying it's hybrid versus EV etcetera, etcetera. I don't think people understand the word hybrid because hybrid ranges from this end which is a completely ICE engine car with a small motor which does some help or engine assist to the extreme other end, which is basically an electric vehicle which has a small internal combustion engine to be used in emergencies. All of them can be called hybrids, right? And people are using that greyiness to obfuscate battles for the very short-term gains, I would say.

Now hybrid, if you ask me from a perspective of our company and a totally pure cynical commercial point of view, it would be this, a plug-in hybrid is

absolutely the best vehicle for us. We are able to sell our high torque

differential assemblies and they are usually four wheel driven, we are able to sell starter motors for the engines and we have a shop selling traction motors to that vehicle. That vehicle is potentially the highest revenue I can ever get. But when I answer you guys, I try to do it candidly as an engineer and as someone who has studied the automotive industry. So as a student, hybrid solutions in any industry do not last for too long. They are bridges to; one or the other technology will win, having two power trains and to develop two separate engineering systems and try to optimize for them both is quite inefficient and over time people will see that. You know, Kodak before it went down, launched a hybrid camera, it had both film and a screen, obviously, it didn't last too long. There are lessons from other industries also where hybrid solutions were proposed for some time, which is why we feel BEV will be the absolute future. Although if everything grows plug in hybrid, we will not complain from a financial perspective. So that's where we stand on the EV changes.

Jay Kale : Great, thanks for the detailed answer and congratulations Mr. Kiran Deshmukh, sir, and all the best for your future endeavors. And welcome Mr. Praveen Chakrapani. Thank you.

Vivek Vikram Singh : Thank you so much, Jay!

Kapil Singh : Hi Vivek, I had a question on the R&D spend that we talked about. Could you elaborate a bit, what was the R&D spend as a percentage of sales for FY24? And you know, what is the target there? And also, just in terms of your vision when you are increasing this, if you could share more details, what are you thinking about areas like semiconductor designs; in the medium term, what exactly are you thinking about? And what is the play for your company in this area?

Vivek Vikram Singh : Interesting. So, it's between, I think 2.5 to 3 is what we did this year around somewhere around 2.4 or 2.5%; which is slightly lower than we should be

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spending; a company of our nature. And here again and candidly reflect that, you know, the last year, our margins dipped and maybe, maybe we try to say that none of this gets to us, but maybe it did get to us subconsciously and our R&D budgets had shrunk a little bit, obviously, with our improved margin, we saw what is the root cause and we realized that is not the way, if we have to continue building a company for the long term. So, I think we are looking at 3.2 or 3.3 this year or 3.4, it's 1% above. I wish Rohit was here. Otherwise, I would have put it to him. He's had a family issue so he's not a

ble

to answer that. But areas, so obviously, the same philosophy that we have that most of R&D, I'd say it's a 70-20-10 thing; that 70% will be for existing product areas and adjacencies. So, adjacencies around the Driveline products and motor products, 70% goes there. 20% is for absolutely new areas and 10% is for what we call, well, moon shots, those we don't talk about because the probability of their success is usually lower. But I can talk about the 20%, so you have identified it right; Semiconductors is a big area. And again, we are not looking at high Capex items like fabs or you know, those kinds of investment. We are looking at what we are good at. We are an engineering company; we will do engineering related things. So, can we do more in chip design? Can we do more in doing various kinds of signal processing because we already have NOVELIC, so radar chips gather a lot of intelligence, and they only have to process it and on that processing, compute some results. Now, as you would know that a lot of the functions today do not actually reside on the wafer. A lot of it is given just by the software. How much of a role can we play on the software that enables the chip? So those are the areas that we are looking at; other areas as you can see in the white area of that, that drone motors, motors for eVTOL, a lot of those kinds of things. The future is going to be far more intelligent in every single component and system of the weight. And that intelligence will require logic circuits, it will require memory circuits and it will require decision making. What role can we play in that broadly is the theme which means, we obviously are doing a lot at NOVELIC and that's why we increased the R&D budget there. We are literally pulling people off revenue or billing projects

and putting them on things that will do things in the medium term. I'd say, 18 to 24 months, because as I've said many times, our job is to balance growth margin and return and not to max out on one or two on the cost of the other. And I think we have done fairly well on all financial metrics. It's time to reinvest back in the core. And even if it means that for some time you give up on some financial things, it's not like we'll suddenly start losing money, but it's just that, yeah, you were going to make a 29 or 30% EBITDA margin. Can we make 28 and invest that back into making a better future? That's the thought process.

Kapil Singh : Ok, great. Just if I can clarify, so would you also be looking at areas like AI, when you're talking of data processing that that is being collected by radars, etcetera.

Vivek Vikram Singh : You know, I'm so afraid of using buzzwords because sometimes the investment or community takes it and runs with it and then we get asked questions and oh,

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you didn't deliver. It's such a big word, Kapil. I mean, if you look at specific general intelligence, right? And the definition is so broad that people use it very loosely, again, just like I said, for hybrid. We are already using AI for a lot of our internal processes. We will also use some things in our products, but again, too early and I would refrain from using buzzwords because it can sometimes create false expectations. But just to answer yes, of course, there is no business that can be run without AI today. If you don't use AI in your business, most likely in 10 years, you will be run out of business by a competitor who used it well, it is a guaranteed thing, this outcome. So, all of us are, but again, we don't want to sound like sales and like, so we don't want to use it. Kapil Singh : Ok and just the second question, how are you thinking about growth for next year? Because you know, 80% of our order book is ultimately coming from EVs and there are concerns expressed by you know, various OEMs that the growth may be tepid or may not be there

in BEV. In fact, if you could also talk about the fact that this quarter as well, you know, we've delivered very strong growth in BEV revenues despite the global weakness we have seen. So just some thoughts on growth for next year or whatever you can share and also profitability.

Vivek Vikram Singh : So, you know, we don't give guidance, that's number one and number two, I did two whole slides to avoid just this. That, I don't know. I mean, look, we have always grown so much more than the industry. If we were either that large or, that fixed in our business model, our products were fixed, our customers were fixed then yeah, it's a very valid question. Let's say we have 65% of an industry or a market segment. Market share is 65%. We do only one product. 100% it is a valid question. After knowing us for 12 quarters, it really is not, you know that it's not, I mean, this quarter, we should have not grown at all by that logic, right? It is that we will continue to increase our market share.

We will continue to increase our share of wallet within our customers. We will also continue to keep making new products which will then sell. Like just, example, we talked about a new product, Mr. Deshmukh talked about it that has an \$800 million odd addressable market, just that one product. If we can get even 5% of it, that's \$40 million, that's 10% growth on our base, something that has got nothing to do with the industry. It has got nothing to do with what we are doing today. So, there are two aspects to managing a business, right?

Doing today better and doing new things. Now, doing today better, of course, it gets impacted by macro factors and industry factors. But doing new things is not. That's where we add value as a management team. Otherwise, you know, AI can run the company also. Industry goes down by five, you also go down by five. So I won't be that concerned, and again, like I said, I spent so much time trying to talk about management philosophy that it is if you look

at these three years, so many things went wrong, but it didn't really affect the end outcome that much. Yeah, maybe instead of 2X, we could have been 2.5X. It doesn't, it affects the magnitude but not the direction. The momentum may be a little slower, but it will eventually get there. And once again, I keep telling all of you guys in 2035/2036 most of the world will be battery electric. You can do whatever. It doesn't matter what happens in the middle. If you

know that outcome, like literally that time traveler analogy, you have come back from 36 and you're telling everyone what is going electric and people like no, no slowdown is happening, some guys are selling hybrid now. I mean, you have to take it with that seriousness that if you know something is inevitable in 11 to 12 years, and you still persist in believing things that last 6 to 12 months, that's not our way, at least.

Kapil Singh : Sure, thanks for that interesting answer. Deanna, we can continue.

Moderator : Thank you! We will now go to Jinesh Gandhi, your line is unmute. Please go ahead with your two questions.

Jinesh Gandhi : Hi, congrats team, so for delivering yet another strong performance. My first question pertains to how are your OEM customers now looking at their supply chain given that scale is slowly rising for the BEV side. Are they demanding more localized supply? In turn need to put the plant closer to the factory? That is question number one, question number two is on NOVELIC . So clearly this additional area of focus for NOVELIC is a step in the right direction from a long term perspective. But how is their sensor business shaping up? Given that itself was quite exciting in the overall scheme of things. So, are we seeing material accretion to their business or order book there? Any update on that? And lastly, if you can indicate what kind of investments

which will lead to do capex over the next couple of years. So those are the three questions and one clarification on what was the impact of freight on margins in this quarter?

Vivek Vikram Singh : That's a lot of questions with Jinesh. Ok, I don't know where I remember all of them. So, I'll start with the one I do remember. NOVELIC , we are seeing very good traction in the product side. That's why I mentioned both that, let's give it some time because like I said, we just pivoted now. We should see something good happening soon. I don't want to get jinxed by talking about it too early, but we should see something good happen soon on the product side. So that's on this part. What else did you say about freight, exact amount

I don't know, Rohit would have been able to answer it. Like I said, unfortunately, that is a family issue, he is not here. But it would be in a few basis points. Amit, would you know? Impact of freight, Amit?

Amit Mishra : Jinesh, I'll revert to you on this. I will try to revert before the end of the call.

Vivek Vikram Singh : On the other things on questions, I guess your question about localization was more driven by our, why we have set up the new Mexico plant because if that is the thing, I'll answer that. And Vikram is here, he can speak more. It is more an offensive strategy than a defensive strategy as will be the case with us most of the time. So, Vikram over to you, the question is and I'll frame it for you, why have we set up a plant in North America? Why Mexico?

Vikram Verma : There are, one is, as our customers expect near to them, but at the price of India, which is a challenge. While the customer also has a different challenge called USMCA compliant, which is, so for that reason, we are trying to work out a hybrid model to make Mexico as a point where it will be still

competitive. So that's how, why Mexico we have thought of and there are many customers in Mexico now and many other EV programs are coming up in Mexico itself.

Vivek Vikram Singh : So Jinesh this, to add to what Vikram said, this helps us in adding more customers who we would not have otherwise got, we're not shifting anything.

This is more to address a segment that may have gone untapped for us.

Otherwise not that many changes. I mean, yeah, there is a bit of a move away from the China movement, but that's been happening now for three years. So, it's not new really. I'm sure I missed a couple of your questions because now I've forgotten.

Vikram Verma : Investment in next 2 to 3 years, was one more question.

Vivek Vikram Singh : Capex for the next 2 to 3 years, let's say between INR 1,000 to 1,200 crores, I guess.

Vikram Verma : Yes, it will be that much in three years .

Amit Mishra : Jinesh, the impact of higher freight rate, this quarter was about 35 to 40 basis points in that range.

Moderator : Now we will move on to the next question. Coming from Gunjan, your line is unmute. Please go ahead.

Gunjan Prithyani : Hi Team, thanks for taking my questions. I just had a couple of follow ups.

Firstly, I'm not sure I missed the initial bit of the call. Can we just talk about the PLI certifications that we have received. Any, you know, any clarity in terms of what is the sort of incentive that we're expecting? And, you know, you did talk about, you know, reinvestment in the business to look at growth in, in the upcoming years. So, you know, how should we just think about this PLI incentives being reinvested in the business or does it add to the margin?

Some, some thoughts around that?

Vivek Vikram Singh : Hi Gunjan, first of all, on PLI, our answer is exactly the same for the last seven quarters. It will be the same now, we have no idea how much we will receive.

Nobody does . Because again, and I'll explain it. Nobody knows the denominator. We all know what is the first year and w

hat is the budget outlay

from the government? We don't know how many people will be certified and for what products and what will be the total application claims. We are expecting that there will be some kind of pro rata distribution. So, no, PLI is something that will be an added bonus, great when it comes. And when it comes actually is when we will recognize it as that. Again, our stance has never changed on it. We have got PLI certifications on two of our largest volume traction motors. So, most of our traction motors are covered, other

applications are in process. And also, Gunjan , even if you have not missed the initial part, we didn't talk about it. We don't talk about PLI, usually and we are not using PLI money touchwood, God's been kind, we have a decent cash flow of our own. We covered our cash flows in detail. We will manage

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every single investment that we have including, you know, investments in R&D through internal accruals. Last year, NOVELIC acquisition, Capex plus dividend , was all managed through internal accruals. That's our way, we don't really need that money for that investment.

Gunjan Prithyani : Ok, got it. My second question Vivek is on the non -BEV business, while BEV has been discussed a lot. I mean, 70% of our revenues are still coming from non -BEV being hybrids, power source neutral. Now, underlying markets here have certainly seen some slow down, right? I mean, India, in particular, has been, you know, both on commercial vehicles and tractors and even on the global production side, a lot of that recouping of loss of volumes is done. Now, it boils down to some low single digit growth on global production. So how should we think about the growth in the non -BEV revenues?

Vivek Vikram Singh : It's a good question Gunjan, I actually started with that in my, when I started my comments. So off highway in particular is looking not good at all. Last

quarter was the worst quarter since Q1 CY20, which had COVID by the way.

For US and India, this is not just one market, and this is also peculiar, usually off highway markets are very local and have nothing to do with any kind of structural thing. Right now, I'm seeing that even in Europe off highway is lower, but not as much as US and India; US and India are doing very badly. CV is also not doing well in India. So that's an India specific thing. Actually US PV, Europe PV, and India PV are the only three segments doing well, that too also

not blockbuster well, but they're doing well. That's what the industry status is.

So, yeah, some more time that we have to sail on our own steam or, you know, on our own motorboat . Industry is not really growing. Off highway, you guys also know better than I would say, I do. You, Kapil, you guys track it. I don't think the first half is looking good. I read your report so I'm sure that's what it's looking like to everyone.

Gunjan Prithyani : And anything you'd like to add on the Two- Wheeler electric business because

of course, there's a lot of subsidy uncertainty and you spoke about it in the initial remarks, but I mean, you engage with customers a lot, right? How should we think about the EV penetration now within two Wheelers, putting two facts together that you do have, you know, subsidies being rationalized.

But at the other end, there is also a lot of competitive intensity increasing. So, you know, what really happens in terms of, you know, your revenue ramp up

in that part of the business basis is your customer discussions.

Vivek Vikram Singh : So, I'd say, competitive intensity in the traction motor space has actually lessened a bit. Also, us getting PLI has put us in a different category, because even if that PLI incentive is not for, you know, someone who's not a customer obviously because that program can't be approved, but they know that we will get that. We are more

likely than party X let's say to get that because obviously our systems, processes, and our domestic value addition is very high. That's what PLI certification process is about. So yeah, I'd say competitive intensity for motors has gone down and a lot of non-serious players who just randomly came and spoke about traction motors have disappeared in the last few quarters. But the competitive positioning within

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the OEM space has gotten, I would say, it's a hard one, it's grey right now. It's very hard to say what is actual market share. There are some temporary aberrations, I would call them. There is a lot of discounting by a few players which has made it a little hard to figure out what is the medium-term actual market share of people. And I think that's the same sense that our customers also have. The wiser ones are saying, let some of this madness end and we will, we will not, you know, why do you burn cash, just for a 3-4 month period. FAME though is a big one and there Gunjan your guess is as good as mine, and I think even our customers don't do anymore. Of what is, what or even if there is a fame change and what does it include? Which segments? How much? How much per kilowatt? I don't think anybody has the answer to these questions.

Gunjan Prithyani : Ok, got it. Thank you so much. I'll join back to queue.

Vivek Vikram Singh : Thank you so much.

Moderator : We will go to the next person, Rahul Jindal. Rahul your line is unmute. Please go ahead.

Rahul Jindal : Sir, so this is Rahul Jindal from Samar Wealth. My first question is, could you update us on the progress and customer reception of the new integrated motor controller for electric motorcycles introduced last quarter.

Vivek Vikram Singh : Yeah, so that's for, I mean, we've already got the order and I think we disclosed the details of SOP on that thing. When the SOP happens, it will hit the market, so it's already approved and we already have a purchase order for it.

Rahul Jindal : Ok, and my second question is how has the company managed the supply chain challenges mentioned last quarter, especially those related to the Red Sea crisis and what impact have these had on operations?

Vivek Vikram Singh : I think Amit mentioned that we lost about 35 to 40 basis points of profit, which is ok. I think the more of it was the logistical and operational stuff because it's not just money, right? It's ensuring that you get the containers, ensuring that they reach on time. So, which has meant that for example, Vikram or Sat had to produce a lot in January to ensure that they reach because you know, you're now adding 10-15 days of shipping time. So suddenly inventories that looked adequate were low. So, it has obviously meant that it was an operationally challenging time. But once again, we have great operational leaders like Vikram and Sat, so, all in a day's work for them, I guess. Cost wise 35 to 40 basis point hit. But a lot of, I would say a lot of work, a lot of work. It has added a lot of work.

Rahul Jindal : Ok, so my last question is, you said that your order book at the end of quarter 4 of FY24 is 226 billion. And I wanted to know how much percentage in this is from EV? EV percentage?

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Vivek Vikram Singh : Right, so it's on the slide but it's 79%.

Rahul Jindal : Oh, ok sir. Thank you very much. This is from my side. Thank you, sir.

Vivek Vikram Singh : Thank you, Rahul.

Moderator : We will go next to Rishi Vora. Rishi, your line is unmute. Please go ahead.

Rishi Vora : Yeah , just one question from my end, we had announced the various partnerships with you know, on the motors with C -Motive, IRP, even Equipmake, Enedym So yeah, any update on, you know, whether we have been able to create any products, you know, for two wheelers or any

other

segments, any insights on that would be helpful.

Vivek Vikram Singh : Sure. So, C-Motive, as you know, was an investment, not a partnership for what I said is a Moonshot even at that time, that it was for electrostatic motor, which is a very different type, whatever progress has been, has been but not in areas of mobility. So it is what ever progress has been made, the product etcetera that is there. They're testing protos, but it is more suited to industrial applications. So that's where that one is good. Enedy m, Equipmake work is on, full well. Equipmake , if you recall, was more for bus motors. So the plan and I think we've answered that a couple of times that we don't expect anything, this year, this fiscal year also 2025. Because, you know, to go up to technology readiness level nine, which is to commercialize is when I think it's fair to give an update and which is likely when we'll give an update anytime. Enedy m, we have made good progress again and I would invite Mr. Deshmukh, you or Praveen, who should take this question? You want to take it? Or should we start throwing Praveen into the deep end?

Sat Mohan Gupta : Maybe I'll take it. Enedy m, I mean, right now we are working on two motors.

One of the motors is validated. So, one of the motors we have, we are in the process of validation. The performance parameter and the torque parameters are on expected lines. And we will start doing the vehicle level

validation in the next quarter or so. So, Enedy m is progressing very well. And we are hopeful that the technology would be a great success.

Vivek Vikram Singh : The one that is not doing so well, let me also be the bearer of bad news, is the IRP one. Because as you know, in our business, it is not just to get a product out and you know, get a press release of that, because we have to sell products. It has to not just deliver power density; it has to deliver very good power density per dollar , like it has to do well on that ratio. And I think commercial viability is where we have a problem. So, Sat or Mr. Deshmukh, if you'd like to add on that one.

Kiran Deshmukh : Yeah. So, IRP, the basic concept of a motor without a magnet, using an inductive method is excellent and the prototype has been made, it has been tested successfully. However, when we come to the cost of the BOM , it is far higher than expected and at that cost, it cannot become viable and

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therefore we are looking at ways of tackling that issue. So therefore, there is a big problem as far as, that technology development so far is concerned.

Sat Mohan Gupta : The good point is Enedy m gives us that option because Enedym also is a magnet less. So though, I mean, we have challenges on IRP, but Enedym is looking much, much better.

Kiran Deshmukh: So, when we started, this looking out for a solution of magnet -less motor, there were several technologies available and therefore we tied up with IRP for one type of technology and Enedym with another type of technology because when you do R&D, you're never sure about what will succeed and what will not succeed. And success means not only the particular idea working but also working efficiently and cost effectively.

Vivek Vikram Singh : So yeah Rishi, thank you for asking that question, it actually allowed us to give an update on all four, but you know, three of them C-Motive, Enedym and IRP were all to solve one problem which is to make a magnet -less motor. And frankly, I mean, we knew in our mind that only one of them was actually going to be the preferred one which would give us the highest power density upon dollar. So now we know that one of them is not commercially very viable. One of them is more suited to industrial applications, that low RPM, and Enedym is the one that we are pursuing most on and spending most time on. So, that's the summary.

Moderat

or : We now go to the next question, Sabyasachi Mukherjee. The line is unmute, please go ahead.

Sabyasachi : Sabyasachi here from Bajaj MF. So, a few questions from my side. One is, so this is probably in the last many quarters, first time that, you know, we haven't flagged any specific large order wins despite almost, you know, 12 billion of order inflow, anything you want to highlight . Or was it like, you know, very small, small order inflows this quarter?

Vivek Vikram Singh : No, we did actually, I did mention one large differential assembly order from an existing customer in North America. But I mentioned it in my commentary.

We didn't make a slide because also if you know end of year, we do the summary of all business development and we don't typically put a new one win, because you know, that's the time we do the annual year -round up also.

So, this has been the format for three years.

Sabyasachi : Sorry, so then I must have missed it. What is the kind of value that the order is having?

Vivek Vikram Singh : Fairly decent? I mean 12 billion is not just that one alone. So let me try to find that slide. Pratik, can you go to that slide? And then I'll remember the exact

numbers I had said. So, I think I talked about 12 new, so that is for the year 12 new EV programs. We added one new EV program this quarter, but we also added a lot of non -EV programs, right? Pratik, would you know the answer to this? This I didn't expect.

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Pratik Sachan : Yeah. So, this EV differential program will be between 9 to 10 billion.

Vivek Vikram Singh : Yeah. And the remaining three odd billion is from different non -EV programs. Correct?

Pratik Sachan : Correct.

Sabyasachi : Ok. Got it. And this is existing EV customers, you said?

Vivek Vikram Singh : Yes.

Sabyasachi : What would be the SOP?

Vivek Vikram Singh : SOP is in the future, it says in the future as in it may be, it won't be in the immediate 18 months. 26 probably. Yeah, that also, I don't know. Yeah, I mean, it's not absolutely clear.

Sabyasachi : Got it, I'll move to, you know, just a clarification from or confirmation from your side. So, a lot of the programs that we have won in the past were supposed to go live this quarter, almost four or five, maybe more than that. And, after listening to your commentary on the weakness on off highway and, the

subsidy uncertainty of electric two-wheeler market in India. There were, I think specific two programs where one was with Hub Wheel traction motor, electric two-wheeler , Indian OEM. And one was with, I think mid drive traction motor and control system for again, the off-highway India OEM, that were supposed to go live this quarter. Just wanted to know has there been any delays or, they have gone live?

Vivek Vikram Singh : So, one, my compliments for this, I'll say, you follow us pretty closely, at least I can say that. So, I did mention that one of them has, both of them actually, electric two-wheeler programs are the only ones seeing delays. And I think the delays are for two reasons. One, I would say extreme discounting at this moment makes it perhaps not the best time to launch any vehicle, because the pricing can then be disappointing. And if you're disappointed at the launch, that has a, that has a fairly bad knock on effect. And second is also the FAME rate , people are not certain what the fame subsidy eventually will be. Hence, they don't know how to price it. So , a couple of those are delayed. But again, even in this environment with off highway trucks actually dragging us back quite a bit we have managed to do fairly well because actually the driveline programs came in. And some of them did start and some of them have ramped up faster than we thought. So, three or four things about, but electric two wheelers, as I mentioned in the opening remarks, I think at least three

months, we would need any of us to know where, which direction we are heading .

Sabyasachi : Right, so I'm assuming that the other programs you know, might have compensated for the delays like you had, I think one spool gear for e -SUV that was supposed to commence and, and probably one for class four

electric CV, North American OEM, probably those have compensated. Is that a fair assumption?

Vivek Vikram Singh : I won't comment on specific programs, but it is a fair assumption that other programs have compensated. And I don't want to go to this specific one.

That's why I said some have ramped up more than we thought, some volumes have been higher than we had assumed in our order book, which is why conservative assumptions sometimes help you in situations like this.

Sabyasachi : Fair enough. And lastly, last quarter Q3, there was I believe a 25 crores kind of revenue loss because of the UAW strikes that was there in October. And

you mentioned some of it will probably you guys will be able to recoup, has there been any success on that?

Vivek Vikram Singh : Correct. So, I mean, even if you look through the numbers, the US market share is increasing, US passenger vehicles are increasing, you know, all of that

is because of that. So yeah, that's now moderated, I think inventory levels are back to normal for almost all customers. Because of that UAW thing, suddenly there was that gap and now it's come back to business usually.

Sabyasachi : Great, great to hear that. Thanks Vivek. That's all from my side.

Vivek Vikram Singh : No, no. Thank you Sabyasachi, for again following things so closely.

Moderator : Kapil, do you want to take over?

Kapil Singh : Yeah, I think from the chat box, most of the questions are answered. If not directly related, but still in case you want to mention something, please let us

know the impact of the new government EV import policy and anything you want to comment on this.

Vivek Vikram Singh : No, I don't want to.

Kapil Singh : All right. I think that's all.

Vivek Vikram Singh : We should leave the government to comment on government policy and not ask companies these questions.

Kapil Singh : Sure, sure. So that was the last question everyone. Thank you very much for joining this call. I thank the management of Sona Comstar for giving us this opportunity. And Deanna back to you.

Moderator : Thank you everyone for joining today's session. You may drop off the line. Have a good evening.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Jul 2024

Date: 30th July, 2024

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on 30th June, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Wednesday, 24th July, 2024 on the financial result of the Company for the quarter ended on 30th June, 2024.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination. Thanking you,

For Sona BLW Precision Forgings Limited

Ajay Pratap Singh

Vice President (Legal), Company Secretary and Compliance Officer

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SONA BLW Precision Forgings Ltd. (Sona Comstar)

Q1 FY25 Earnings Conference Call Transcript

July 24, 2024

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good Afternoon, Ladies and gentlemen . Thank you and welcome to the Sona Comstar's Q1 FY25 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your line s on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Good day, everyone. To take us through the Q 1 FY25 results , we have the management team of Sona Comstar. We have Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Kiran Deshmukh, Group CTO; and along with him Mr. Praveen Chakrapani Rao, who is the CTO designate, Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate Strategy and Investor Relations. Before I hand over the call to Vivek, I wish you a very happy birthday. And now I will pass this on to you for the opening remarks and also the presentation.

Vivek Vikram Singh: So, thank you Kapil for the birthday wishes. Yeah, I turned 45 today . When I

joined Sona, I was 35 years old, knew almost nothing about anything and now in my 10

th year at Sona, I'm still learning, still trying to get better at doing my job. So, with that being said, let me move on to doing my job and welcome all of you to the earnings call of what has once again been our

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highest ever quarterly revenue, EBITDA, BEV revenue , and BEV revenue share. But we'll begin as we always do with the challenges.

First, the off -highway market has been weak and this time, I want to highlight the US off -highway market which has actually been struggling for the last, I'll say 8 -9 quarters, straight. Production declined further last quarter and given our high market share in this space, this has affected the sales of our differential gears as well as differential assemblies , to this segment. Second, the Indian EV two- wheeler industry continues to face issues related to FAME subsidy and the subsequent fallout on demand . Quite frankly in our entire EV portfolio, the EV two -wheeler market remains the most disappointing one from a gap in projections and actual sales. On the cost side, the Red Sea crisis continues, which means that there is a further increase in freight rates as well as there are challenges on container availability, so this remains a continuing and ongoing challenge. But as usual, the good news outweighs the bad in a lot of ways.

In financial terms, we achieved the highest ever revenue and EBITDA. BEV revenue has continued, as I said repeatedly over the last four quarters, that

this is our growth driver, and we grew BEV revenue by a staggering 53% last quarter year on year and its share in revenue has increased to the highest level at 33%. We've also begun FY25 with the meaningful new wins in the electric vehicle segment which we'll talk about later. We w on our first order for an in- cabin sensing product , ACAM , which gives us the confidence that we are moving with agility on a long -term strategy of pivoting NOVELIC from an engineering services led business to a product and semiconductor chip design. This was the hypothesis with which we made this acquisition, and we

are very proud that in such little time we've been able to achieve that hypothesis. We've additionally made substantial progress on our technology

roadmap by winning customer orders for two new products. And we've also added a further two new produ cts to our development road map. And Mr. Deshmukh would cover that in a later slide.

Vivek Vikram Singh : Slide 5:

Coming to the numbers , on a YoY basis, our revenue grew by 22% while EBITDA and net profit increased by 23% and 27% respectively. Our margins have improved due to operating leverage, that's the core reason for the growth being higher than revenue growth. Once again, I would highlight that BEV revenue grew by 53% and the BEV revenue share has reached 33%.

Slide 8:

On our biggest strategic priority, electrification, our BEV revenue share has increased from 26% to 33% and BEV revenue in rupee terms has grown to over **■**2.8 billion. For us, the growth in BEV revenue has been five times the growth in non -BEV revenue and that should give a clear indication of where we are deriving this much higher than industry growth from.

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We continue to build on our EV order book. At the end of Q1, we have 27 EV programs in production, 12 of which are mature and completely ramped up and 15 are in various stages of ramping up. The remaining 28 programs are of course not yet in production and will start during this or the following years to come. We will elaborate on the new wins in the next slide.

Slide 9:

So, the first one is a Driveline program . This is for a class -5 electric truck for an existing North American customer. The customer is a new age OEM of commercial vehicles. Earlier if you recall, we had won the order to supply differential assemblies to this customer. And now and thanks to Vikram and his team's persistent efforts and having proven their skills, we have been awarded three more products within the same vehicle ; the intermediate gears, the input shafts and a new product for us as a

company - park gear .

This has increased our content value on this truck substantially and increased the order value by 170% or ₹6.8 billion.

The second one, although smaller, but one that gives us great pride. This is our very first product order in the sensors and software business. The order win is to supply ACAM or in-cabin sensors for electric passenger vehicles. It has come from a new customer, an Asia based new age OEM of electric passenger vehicles. As highlighted in the last quarter, I think I mentioned and spoke about it that we are pivoting NOVELIC from an engineering services led business to a product business. And this, this is quite special. We have long prided ourselves as being a company that can make an acquisition and make that company, whichever we acquire, much bigger, better, newer, more innovative than it used to be. Our ability to provide the freedom to innovate, our ability to provide the right capital and the right oversight, is something we take great pride on, and this proves that our NOVELIC acquisition hypothesis was correct. It gives us confidence that we are on the right strategic path and moving with great momentum.

Slide 10:

This slide is a good visual summary of the reach and diversity of our electrification mission. This quarter, we've added one new customer and one new program in Asia. And as you can see, I mean, this literally spans the whole world. Our EV exposure is truly diversified across customers, programs, products, and geographies. And this is the reason that despite some customers not doing well, our revenue growth from BEV was 53%.

Slide 12:

Coming to the next priority and our order book; so, our net order book, we have added ₹11 billion worth of new orders last quarter and at the end of Q1FY25, our net order book has expanded to ₹233 billion.

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The EV portion remains high at 79% of the order book, kind of indicating what our future would look like.

Slide 14:

On our fourth and a very important KRA for us, diversification, the trend of increasing electrification and decreasing ICE dependence continues unabated. And this quarter we have seen for the first time, the ICE dependent revenue shrink to single digits to merely 9%.

The demand slowdown in Europe has meant that the revenue share from hybrid and micro hybrid has been lower than in the previous year. And

because I invariably get asked this, I thought we'll preempt it; the question about BEV and hybrid. So here's a reminder that while 33% of our revenue comes from BEV; 21% is from hybrids and 37% from products that are power source agnostic. So, from a commercial and purely commercial perspective

today, our content value is highest actually in plug-in hybrids, followed by battery electric vehicles, followed by hybrids, followed by ICE because we sell our high torque differential assemblies and starter motors both to plug in hybrids. We also have the opportunity for hybrids to offer traction motor solutions for that vehicle.

However, when, I answer questions from the analyst community, and I talk about the future powertrain technology, I try to do it candidly and honestly as an engineer and as a student of the automotive. It isn't that when I answer, I only think of what is good for Sona Comstar, I think of what is the right answer and what is the truth that I want to share. So, here's our take on this, that

hybrid solutions in most industries do not last too long. They are bridges to one or the other technology and this is because having two separate power trains

and developing two separate engineering systems and trying to optimize for them both is by definition - inefficient. And over time, I think people will see that. There are lessons from many other industries like hybrid of digital and film cameras that Kodak launched; hybrid of tablets and e-readers; TV, and personal computers hybrid

; hybrid of analog and smart watches and many many more examples where hybrid products were introduced but faded over time. And this is why we believe that BEV will be the absolute future in 2035 and beyond.

Although again, if I'm just putting on my Sona Comstar hat, if the industry shifts entirely to plug in hybrids, we will not complain from a purely financial

perspective because like I said, that's where we make the most money.

Slide 15:

Moving on to the other revenue cuts, geographically North America remains our largest end market, contributing 43% of our revenue while India remains the second largest market with a revenue share of 28%. After a very strong, I would say, recovery last year, we are once again seeing a slowdown in demand in Europe. This quarter our fastest growing segments have been EV

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differential assemblies and EV traction motors and this, as you can see is reflected in the changes in the product mix. The continued weakness in off-highway demand in the US and India means that non-automotive revenue has declined to just 9%.

That's all from me and with this, I turn over to our Group CTO Mr. Deshmukh to update us on the technology roadmap. Over to you sir.

Kiran Deshmukh: Thank you, Vivek. Good evening, everyone.

Slide 17:

We share our technology road map during every investor call and most of you are now familiar with how we depict our approach to technology

development. We keep bringing new future products in this chart and mark them when they are commercialized. So, this quarter, I'm excited to share significant developments in our product portfolio that underscore our commitment to innovation and leadership in the EV market.

In this quarter, we successfully commercialized two groundbreaking products; the first is the park gear for a class 5 electric commercial vehicle, a product that stands out for its unique safety and reliability features. This product has been developed in collaboration with the new age, North

American OEM, specializing in electric commercial vehicles. Our park gear is designed to enhance the safety and reliability of commercial EVs, meeting stringent industry standards and addressing the specific needs of this burgeoning market.

The second product we brought to market is the in-cabin sensor for child presence detection, known as ACAM. This innovative solution is tailored for an electric passenger vehicle from an Asian new age OEM. The ACAM sensor is a critical safety feature designed to detect the presence of a child in the vehicle, preventing tragic accidents and ensuring peace of mind for car owners. Utilizing advanced radar technology, this system offers precise and reliable detection even under challenging conditions such as when a child is asleep, covered by a blanket or is in the seat well. This product aligns with our vision of integrating advanced safety features into modern electric vehicles.

Looking ahead, we have added two promising products to our technology roadmap. The first is an integrated motor controller for hub motors. This

integrated motor controller will offer superior performance and efficiency. As the demand for efficient and compact motor solutions grows. Combining the controller and motor into one unit can reduce weight, minimize wiring complexity and enhance overall system reliability. This may exist ideal for various EV applications, particularly in compact and lightweight electric vehicles.

The second future product is an integrated motor controller for high voltage systems. This product is designed to meet high voltage electric vehicles,

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increasing power and performance demands, providing enhanced control and efficiency; integrated controllers for high voltage systems streamline the powertrain architecture leading to improve thermal management and

reduce energy losses which translates to better vehicle range and performance.

These additions to our technology roadmap reflect our strategic focus on expanding our product portfolio and driving innovation in electric, personalized, intelligent and connected vehicles. We are confident that these developments will strengthen our market position and deliver

substantial value to our customers and stakeholders.

Thank you for your attention and I now hand it over to Rohit to cover the financial update.

Rohit Nanda : Thank you, Mr. Deshmukh. A very good day to you all. It's my pleasure to share our first quarter results for the financial year 2025.

Slide 19:

Our revenue for the first quarter was ■ 893 crores. It has grown by 22% year on year, while the underlying light vehicle market in our three largest markets of North America, India, and Europe grew only by 3%. Our BEV revenue has grown by 53% to ■ 283 crores, and it is now constituting 33% of our total revenue. Our reported EBITDA, grew by 23% year on year, while EBITDA adjusted for ease of cost grew by 27% to ■259 crores; adjusted EBITDA margin expanded by around 1.2% over the same quarter last year due to operating leverage and lower input costs. Our profit after tax adjusted for ESOP cost grew by 29% to ■148 crores, primarily due to higher operating profits.

Slide 20:

This brings us to the final slide on our key ratios. There are not many big changes here from March, our value addition to employee cost, the return on capital employed and return on equity ratios continue to remain strong. There is some improvement on the working capital turnover ratio, which has improved to 5.1 times and fixed asset turnover ratio which has improved to 3.8 times.

With this, we have come to the end of our first quarter's earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Okay , ladies and gentlemen, now we are at the Q&A portion of the presentation. A gentle reminder, if you have any questions, you can use the raise hand function. We will unmute your line or submit the question in the Q&A chat box.

Kapil Singh : Hi Vivek, by the time the question queue is building, there is a development of where the company has taken approval for fundraise. So, I would request you to also articulate what are the reasons for the same?

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Vivek Vikram Singh : Sure. Yes, so first thing, it's an enabling resolution. It allows us to raise up to ■2400 crores. So, I first wanted to put that out. Why, obviously it is fairly well known that for our usual organic expansion, we don't really need much external capital. So, this is because we are evaluating a few potential acquisitions as well as some strategic opportunities like JV 's collaboration, et cetera. And I mean, we've been working on many of these opportunities for, I would say the past 6 -7 months. And if most of these transactions and opportunities were to fructify, we would definitely need external capital. Given this scenario, we presented this, and the board has reviewed and approved the proposal to raise funds. I think the board has also constituted a board committee for this purpose. And like I said before, this approval is an enabling one which allows us to determine the equity and or any other permissible, I would say equity convertible, securities /instruments to fund these transactions when necessary. We cannot, frankly at this point, share any more details because as you would know, any of these transactions would have, you know, a fairly high degree of confidentiality attached to it. I just want to assure everyone that we will stay absolutely true to our vision as we have for all our lives and for three years, at least the public markets have seen us and whatever our targets are, they would be within the mobility space, and they would be in and

around our theme of EPIC mobility.

Kapil Singh : So, Vivek, can I also ask that since you are evaluating these opportunities, what will be the principle based on which these acquisitions will be done? So, for example, are you looking at, these would be more smaller tech kind of companies, or these are companies which are more like turnaround candidates? So just, you know, some thoughts on when you look at acquisition candidates, what is it that fits in your framework? What is the framework if you could just help us understand that.

Vivek Vikram Singh : We've done two acquisitions in the last decade; one is Comstar, and one is NOVELIC , that's pretty much it. In both cases, it was a buy versus build . We look at if we were to do it organically, most times, we are almost trying to do

that thing and we either realize that this is way beyond our current set of capabilities or it would take far too long and hence, it is much better to buy. We try to build as much as possible, but we buy in these cases. We are not turnaround people. We are humble enough to know that if someone's been running the business for decades, we are not some geniuses who would come and figure out how to run it better than them, we do not have the hubris to think of us like that. Most likely because we come in, we end up putting a lot more compliances, a lot more structure. We would tend to decrease margins initially and reposition for the long term. What we have been able to do both in Comstar and NOVELIC. And I think that would be the attempt with anything we acquire, that make it greater or better or faster than what it used to be. We can, Comstar is a great company but a great starter motor company, which we have been able to pivot into a far more future looking traction motor, suspension motor, inverter, controller, a lot more technology focused. Technology is the axis on which we tend to play. And that's, that's what we bring to the table I feel that we can get them access

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to the right capital, deploy capital well, we can get the focus back on technology we can take focus of that management team away from short term things, meeting targets. Because a lot of time top management gets bound by myopic KPI meeting objectives - this quarter, this year, what not, what do you need to do to bonus? Can you free them and give them enough capital and say the risk of failure, also, we will take. If you fail, it is our failure. If you succeed, it is your credit and then give them that kind of capital and freedom to fail. Give them the R&D budget, that's what we are good at and that's what we will continue to be good at. I don't think we can change so quickly. I mean, like I said, this is my 10th year, Mr. Deshmukh's fourth or fifth decade, Vikram's third or fourth decade. We've been here for a while. We have developed a culture. We have developed our value system. I don't think we can deviate from those things. So yeah, that's, I don't know if I answered it, but it is a very philosophical question. And unless we talk about each acquisition opportunity, it would be hard to give a specific general one. All of them will have something unique about it. And yeah, so small and big is not how we look at it traditionally.

Kapil Singh : Sure, thank you. That's helpful. Yeah, Deanna, I think we have the queue now. So please go ahead.

Moderator : Ok, thank you. The first question goes to Aditya, your line is unmuted, please go ahead with your two questions.

Aditya Jhawar : Thanks! Hi Vivek, can you hear me now? Thank you for the opportunity and congratulations on a good set of numbers. My first question is on PLI. So have we started accruing the PLI benefits? And since now we have a couple of products where we have certified, you know, certified for PLI and, what it appears that our customers are also, you know, certified for their

end

product. So I just wanted to understand what is the thought process here, that what quantum a supplier can claim and what quantum the customer can claim the PLI benefit.

Vivek Vikram Singh : Sure. So I'll let Rohit answer that. He knows far more than I do. In general, he knows far more than I do. But this subject he knows much, much more than I do. But we, we are a conservative company. We will not recognize revenue till it has come to us. We have made that clear, I think many times, that unless we receive the money, we have no idea what the quantum will be. We have been approved for four products already. The remaining products that are in the queue are also progressing. We will see when that happens. I don't think anybody is going to receive money this year, this financial year. So, it is next year that this question of revenue recognition and how will come up. But Rohit can elaborate.

Rohit Nanda : I think you have broadly answered the question. So yeah, so we're not recognizing it as of now. And the intention is that we recognize it from next year and the revenue certainty is there. So there are two parts to the revenue certainty. One is there are thresholds to be met in terms of capital investments, etc. And second is what's the quantum of benefit that we will

end up getting because that is the subject matter of the total claims under the policy. So it would be prudent to start recognizing it from the next financial year only.

Aditya Jhawar : That's helpful. Second question is on NOVELIC , congratulations on the order win, the first order win in NOVELIC . So looking ahead in the next 2 to 3 years, so clearly, you will see a lot of OEM in India, you know, launch the product which you know would have a requirement of radar based sensor. So, in your discussions with OEM, are you sensing that you are at an advanced stage and you know, certain discussions and OEMs are comfortable, you know, with our product proposition. And in case you know, you can give a number that you know from a percentage of revenue contribution. How do you think that will shape up in the next 3 to 4 years?

Vivek Vikram Singh : So, I'll take the second part first. Yeah, no numbers. You know, when I said that when we come in and acquire the company, this is the freedom we give them. The freedom from pressure of short -term targets and numbers. If you take that pressure off, you can do things in a much better way and do what you really intend to. I would say the first set of customers are likely to be more in Europe and US, India will be a little later. We want to do this, I mean, India; one, there is a high degree of cost sensitivity. Second, the more advanced use cases, let's say any technology like radar sensor may have seven or eight use cases that can be deployed. European or more high -end car makers would like you to do all of those 7 -8 while someone who wants to pay less and is more cost conscious would only want two or three use cases. So, you don't learn how to deploy all of them, and you want to learn the full range of your capabilities of your product. So, we are going to focus on Europe, Asia and the US before India, outside India. But no short -term targets, Aditya, because I think the potential, I think Jinesh had asked last to last time and I said it's so huge that each contract, even this one that you win is multiple times the annual revenue. One, every single one is like that; in these scenarios, instead of trying to be greedy or trying to figure out how much more, it is more important to make the product better and do as many things as possible. So, we'll continue on that path. But it is, it is very exciting. I mean, every opportunity that we're talking about is fairly large compared to what the business is, the size of the business.

Aditya Jhawar : Yeah, perfect. Final question, you know, your

commentary on Europe was slightly subdued and we're also hearing that there is some production disruption in OEMs because of excess rains and floods. So, are you seeing that OEMs looking for, you know, production cut? You know, as we progress in this coming quarter. Vivek Vikram Singh : I think we've maintained this for the entire period that we have been listed that we would like to give bad news first; bad news, take the elevator and Europe, we've been flagging it for a while. Yeah, it's again slowing down so that you are right. There are many things but the ones you talked about are more micro. I think it is in general, if it achieved a flat, it would be a good outcome.

Aditya Jhawar : Ok. Yeah, that's it from my side. All the best.

Vivek Vikram Singh : Thanks, Aditya.

Moderator : Thanks, Aditya. The next question goes to Jinesh Gandhi. Hi, your line is unmute.

Jinesh Gandhi : Hi, am I audible?

Vivek Vikram Singh : Yeah Jinesh, long life , I just mentioned you in the last comment.

Jinesh Gandhi : Yeah. Thanks. Hi Vivek, so a couple of questions, one is on the acquisition side and otherwise also, how do we think about the non-automotive space in terms of the opportunity and what we can do there? What are your thoughts on that?

Vivek Vikram Singh : As long as it's within mobility, and I have, when we changed our definition and our vision to mobility, I had explained mobility, but I'll do it again. Any device that moves passengers or goods from point A to point B for us is mobility. So, if it's a bicycle, it's a drone, it's a train, it's a bus, it's a tractor, car, two-wheeler , all of them are in mobility. We will not go outside our vision. Our vision says mobility technology, so we will remain within mobility. So yeah, as long as that, I mean that fits into non -automotive , actually, automotive also

people define slightly differently. A lot of analysts think automotive is only passenger car, even a n off highway vehicle like a tractor or an ATV will not be considered. So that's why we said mobility, that's the definition. That's the scope. We won't just pitch up and start making, you know, like smartphone parts or start an NBFC or something. So that's not going to happen. I mean, we're not random people, we are engineers, we are good at manufacturing. Our vision is fairly defined. It will be within moving.

Jinesh Gandhi : Ok. I mean, what I was trying to understand is railways, obviously you mentioned it will be but something on defense, on that side probably may not be a part of it.

Vivek Vikram Singh : No. Defense, no, not, not at all. I mean, that's a slightly ethical thing also. We do not want to make things, whose explicit purpose is to harm human beings.

So, defense is kind of out, especially making weapons, that's not what we were put on the planet for.

Jinesh Gandhi : Right. Right. And the second question again on the PLI side. So, while obviously we will only account for it when we get the cash. But based on our current revenues, say Q1 revenues, what percentage of revenues would be

eligible because some of the revenue is going to OEMs who also have PLI incentives , we won 't be eligible for that. So, would it be possible to say what percentage of revenues will be eligible for PLI today.

Vivek Vikram Singh : What is this about if it 's going to customer , we will not be eligible or whatever.

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Jinesh Gandhi : In the sense that a customer claiming PLI, so for example, say, someone like TVS who also is a PLI beneficiary and if your motors are used there, then you can't claim, if they claim, if they don't claim, then you can claim on that. So that's what the PLI document talks about. So that's and hence that question.

Vivek Vikram Singh : Here, I don't think it works exactly like that. If you're not makin

g something,

you can't claim PLI for it. Anyway Rohit, you can answer as to the percentage.

Rohit Nanda : Sure, so as of now the products that are approved are all in the two -wheeler , three -wheeler EV motor side. So, for now, that's the revenue that you should track on which the eligibility is there. So, there are still like a couple of more products to be approved in that segment. But largely as of now that's where the approval is and so that's the revenue on which will be eligible.

Jinesh Gandhi : Ok. And the large chunk will come from the differential assemblies which we export because that's also sensible, a bigger proportion of revenue today. Is that a fair statement?

Rohit Nanda : Whatever is approved is also sizable. And right now, I'm not talking about the products where we don't have the approval so far. So, the question is, I mean, I'm just trying to answer as it stands today. That's, that's a position as of today.

Jinesh Gandhi : Perfect. I got it. Great. Thanks, and all the best.

Moderator : Thank you so much. We move on to the next participant Gunjan Prithyani.

Your line is unmute. Please go ahead.

Gunjan Prithyani : Yeah, thanks. Thanks for taking my question. Just two questions from my side.

I'm just trying to get a better handle on how to think about growth, particularly from the comments that you made on the, on India, as well as Europe. That Europe is seeing some softness. India, also from a tractor and CV perspective, there is not much growth right now. So how should you know, if you can give a little bit of color, either geography wise or product wise, how to think about growth? And I'm not looking quarter to quarter more from the next 12 -18

months perspective. And you know, in just an extension to that on your order book, are we seeing any delays in the programs? Just because either the demand has been softer than what people were anticipating at the beginning of the year or because of, you know, some push out of EV programs that we continue to read in the press.

Vivek Vikram Singh : Yeah. So always be careful to apply your own wisdom to what you read in the press in general I would say that's true for almost everything you read. But let's start from the top, which is how to think about growth. If we were dependent only on underlying industry growth, we would have grown about 20% in the last three years. We have grown more than 100% , right? As I think we mentioned quite a few times, we grow because we add new programs, we add new customers, we add new products. It is not going to be aligned with the underlying industry. Every quarter, I start with the challenges, right?

Every quarter, I say at least two or three segments which are not growing. I

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mean by that logic, we should have been negative growth for the last 10 quarters, but we are not right because that is not how it works. Industry growth is something if it happens, it adds to whatever percentage you grow by. But if you keep adding new products, if you keep adding new customers within existing customers, if you keep increasing your share of wallet, you can continue to grow. I mean, automotive in 2019 was a 96 or 2018 was it 96 to 97 million vehicles were sold, 2018. We have not even crossed 90 after that in five years. Even in that scenario, if I look at our five-year growth we are like three times. So yes, it's a great perspective to have if you're tracking the industry. But if you're looking at individual companies, their growth will not be lockstep with those things. As far as I remember in the last three years, European passenger vehicle has been soft, in growth, off highway has been soft barring one year, which was, I think FY21 off highway has been soft. Commercial vehicles have not gone back to 2018 level. So again, I don't think there is a direct correlation and EV growth rate. I know last qua

ter also Gunjan, you asked me, oh, EV has slowed down last to last quarter, also you asked me last to last to last quarter asked me.

Gunjan Prithyani : No Vivek, I'm not getting to EV slow down. My question was actually on order book conversion. Honestly, I mean, I understand the business drivers well that you all have been delivering on content value, you all have been delivering on market share. So absolutely no question around that. What I was just trying to understand is there a delay in the order book conversion is all, is the simple thing that I'm trying to get a handle at.

Vivek Vikram Singh : Well, that was the second part. Second part is order book conversion which also, I answered two quarters back. Not really, we're not seeing any program delays to be honest, in the launches, the, there aren't that many happening around this time anywhere, which is the truth. But the reason we have grown 53% over last year is because some happened. So no, we're not seeing much delays, what we try and do each quarter, we let our numbers give the answers. And if something is growing by 53% then we are seeing, we are not seeing a slowdown. I mean, you should give the benefit of the doubt to the actual numbers rather than, what is read in the press. Also, I think we have a lot of local bias that if you read press in India, it will automatically talk more about India Automotive. India's automobile as the percentage of world EV is so small as to not matter, but we read a lot about it and hence our perceptions form, and they take far more weight than they should. And I think that that could be the root cause of that, I would say the difference. We are seeing some launch delays. As I mentioned in my opening comment, in the

EV two-wheelers space, which as I said has been fairly disappointing for the last two years. It is one of those sectors that has never truly taken off. And now and this is one of the things I've been thinking about a lot, at this price point, I mean, most of them have come very close to ICE, two-wheeler price point, even at this price point if we are not seeing that much demand, I think it's a demand issue and which means for us, we need to focus far more on three-wheeler electric, light commercial vehicles, electric buses, other electric vehicles for, at least for India. Outside India, I think it's fairly business as usual.

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Gunjan Prithyani : Ok, got it. My second question is on the two new products that, you know, you spoke about park gear and you know, integrated motor controller for the high powered vehicles. Now, on park gear, I mean, pardon me for the ignorance, but this is not, this is neutral to the power train, right? And what is the, you know, potential that we see from this segment? This is something which we've added in this quarter. So, if you can share a little bit more color around, you know, can this be cross sold to existing customers, anything that you can share on the potential or addressable market? And this integrated motor controller, has it got something to do with the Equipmake alliance that we had done, or this is completely different because I thought that was the arrangement for the high powered vehicles, right?

Vivek Vikram Singh : So good question. I'll invite Vikram to speak about the park gear and Sat to speak about the integrated motor controller separately because they're both separate products. But just before they speak, I think when we did that integrated dry motor controller, we realized that it's a great idea from a thermal management packaging, light weighting, cost - all perspectives. So why not replicate it in every type of motor? So why not in Hub wheel and also why not in high voltage, it doesn't have much to do with Equipmake. But let

Sat speak about that, but Vikram first

Vikram Verma : Regarding the park gear, it is only u

sed in the EV drive train. So, it's not like power source neutral or in ICE transmission, it is not used.

Vivek Vikram Singh : Vikram a question that we forgot for the customer.

Vikram Verma : What is that?

Vivek Vikram Singh : Can we sell to other customers?

Vikram Verma : Yeah, it is as I said, it is used in all the drive trains in the EV. So, this product can be sold to any, all the other EV players.

Gunjan Prithyani : And what would be the cost of this product, if that's possible to share a broad range?

Vikram Verma : No, again, it is different sizes applied at different points of the drive system.

So, it will vary quite dramatically how it is applied.

Vivek Vikram Singh : So Gunjan, it's different. If a class A truck has that, it will be like very, very high value. If a small electric car has it, it will be very low value. I think I tried to explain to someone else that our bevel gear for example, range in price from X rupees to 100X rupees actually. And the average will not give you any meaning because the range is very wide. It's the size of the drive train and

the torque. So, it's going to be a very wide range. Sat do you want to answer the integrated motor controller also?

Sat Mohan Gupta : Sure, sure Vivek, Thanks. Gunjan, the integrated motor controller, as Vivek said, I mean, we are looking at to incorporate the technology which we have already developed for the drive motors into the hub motors and take it further

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from our existing range, which is till 96 volts to 350 volts which would be good for three-wheeler applications, and the light commercial vehicles which is, in 1-to-1.5-ton capacity. As Mr. Deshmukh said, it gives a lot of benefit in terms of efficiencies and the performance. So, we are working in house on in house technology for smaller motors which could be in the range of 40 to 50 kilowatt from 96 volts to 350 volts. As far as the Equipmake is concerned, I mean, Equipmake is for the high kilowatt bigger motors and the voltage is about 350 volts. So, we are having that agreement to support the bigger applications. And I saw the question on when there was a question on, on the development status. Equipmake products' development is as per the plan, we, we are going ahead, and we will start approaching customers. So, there is no delay or there are no issues on the development plan for Equipmake.

Hope I answered your question, Gunjan.

Moderator : We now move on to the next investor Nitij Mangal. Hi Nitij, your line is unmute. Please go ahead.

Nitij Mangal: Yes. Thank you. Good evening. And thanks for taking my question. Vivek, can you talk a little bit more about NOVELIC. How do you see that company, let's say over the next 3 to 5 years. What are the key competitive advantages there? And let's say even when you talk about this in-cabin sensor order

they've got, I mean, is that because the technology is different? Is it because I don't know, maybe they can do it at a better cost. So how, how are you trying to position NOVELIC over the next 3-5 years? And what is the kind of play area for them?

Vivek Vikram Singh : Thanks, Nitij. Good question. So, I'll start with what we desire or what we hope. We want to make NOVELIC one of the world's most respected and valued sensing companies. So, for now, the focus may be only on millimeter wave radar sensing, but we want to do much more than that. We want to integrate radar with camera to provide a truly integrated solution. ACAM is one of our first areas because in-cabin is a new need in Europe. The NCAP thing has been delayed by a year. So, it's a little slower than it would have been, but it will come in every vehicle. And it is not, Nitij, as I keep saying, whenever we meet that in our industry, it is not just good enough to be better as a product,

you have to be better and more economic, you have

to do both, which is

what we're trying to solve. That if you can put one radar sensor, let's say behind the mirror and that replaces four or five weight sensors that measure detection or if someone sat down or not, it takes away wire harnesses, it takes

away the need for other sensors that detect if people are there or not. So, it should actually be net positive for the OEM. That's, that's one of the ways to sell that you not only provide more application cases, but you also provide it at a much better cost than what it used to be. We are looking at adding more use cases like intrusion alert, proximity alert to the same sensor. So that's

on the ACAM side. Second, it is also that we're trying to make it a truly mobility company, which would mean even in industrial areas where there are robots, for safety reasons, for lifts, anything that moves. If it has some intelligence, it needs to sense its environment, it needs to sense objects around it and we have a place and we want to be able, I mean, the reason we gave them so

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much, why are we doing primary funding is this, that make the best talent available to them that they can explore many, many more use cases to take their great technology and make something out of it.

The third area is on the semiconductor chip design which is currently only a small business. It's only about 20% of the revenue of NOVELIC, it's in a

separate, it's housed in a separate subsidiary. We want to make it much bigger, I think a lot more and it is with your background. You would know,

although you would have been happier if you'd stayed on with Nvidia, don't you think now? But a lot is moving on to the software from the chip. So the chip used to do the heavy lifting, most of the circuits did the heavy lifting of the logic. Now, a lot of it is actually shifting on to the software enabled that

chip. And that's where I think a lot of people like NOVELIC and NOVELIC's origin by the way from IC. It's a Novel IC, novel integrated circuit, that's how the name came into being. We see a lot of potential there. We are investing

in it. We are adding a lot of talent. Let's see. Hopefully we'll have something, something to report from that segment too.

Nitij Mangal: Ok, great. Thanks for that. Fairly detailed answer. I have one follow up on that.

So, I mean, I would imagine I mean, NOVELIC, will not be doing chip manufacturing, of course, right? So, at some stage, do you, I mean, is there a competition, let's say, if I assume you'll still get chip manufactured from the likes of Infineon and all, right, and those are the companies which are also some of the largest automotive chip suppliers, right? And they would want to

also offer such solutions, I think Infineon used NOVELIC design based solutions earlier. So, is there a competition for NOVELIC from who, from companies NOVELIC will be buying chips? Just one more on that, three years, five years old, how much, how big can you think NOVELIC can be as a part of Sona's revenues? Thank you so much.

Vivek Vikram Singh: I would clarify that, I don't think we'll be in competition. I think you know, we don't name customers, but all our chip customers will come to lean upon us

far more as the weight shifts from chip fabrication to the software part. And we want to be that trusted supplier. This industry is very fast evolving, this is a new kind of supply that wasn't really required earlier. The chip makers had all of it and these guys were very small. I think out of the total value of the chip, there will be a far more share of specialist software and chip design people.

I think that industry is yet to come into its own fully, but it will. They have even like a jigsaw puzzle, that they take broken chips, not like full wafers and try to use them as if it's one chip, thanks to the overarching software architecture.

So there is a lot

more that's happening these days, and I don't think it's competition. I think it's a collaboration. There will be more, I think it's happening in the EV sector also. A lot of people who used to be competitors are customers slash competitors slash suppliers, a lot of these lines I think are merging. So, we will see what percentage we don't know. We hope it is a significant one. We know it will be, we are confident that in five years, we won't be talking in percentages, we will be talking about how many times have we grown by and hopefully that will, that will then see you know how

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we have been able to execute on this hypothesis. Let's see, but it is an exciting part for business.

Nitij Mangal: Ok. Thanks Vivek, all the best.

Moderator : Thank you very much. We will go to Arvind Sharma. Arvind, please go ahead.

Arvind Sharma : Hi. Good evening. Thank you for taking my question. On the domestic e -Two Wheelers part, we see two things , e-two-wheeler is going smaller and yet the volume is not catching up. So where do you think the industry is heading on? And also, how does that impact your revenue slash profitability?

Vivek Vikram Singh : Profitability will increase. But I mean, they are not the most profitable segment of our revenue, to be honest. It is a great industry, from which we learn a lot because there is volume, you get to do many iterations of your motors, but it isn't the most profitable one. You can ask any supplier who supplies to Two-Wheeler people that's not a profit making segment. Revenue, it is 7% of our revenue. We will keep adding customers and share of wallet so we will keep growing it, but it isn't at least from what we see today. It doesn't look like it's going to be as big as I would have answered two years ago. Two years ago, I thought the EV two -wheeler space is going to be truly huge in this country. Although if you remember Arvind, when we presented on this in one of our earnings calls . And we said that we think e -three -wheeler followed by e -buses followed by EV two -wheeler followed by EV passenger car is the order we see electrification happening in India. The order remains the same but EV two-wheeler percentage I think should be revised downwards because it isn't growing and we are not also seeing much policy support, although you guys track this far more than I do. It is 7% of our revenues, so is obviously not where we spend most of our energies as a percentage of profit, it will be much lower. So there, there is that, like I said, we've learned a lot in the three years, we started with low power, low voltage, we have kept going up. And as Sat mentioned, we are now working on, 350 volt, 40 kilowatt types of solution. We will keep trying to get higher and higher on both voltage and power and try to get to the larger value segments for ourselves.

Arvind Sharma : Got it. Thanks, Vikram, for this. One more question on that again, domestic EV space in the passenger vehicle segment, like you said for you , PHEVs then BEVs, then hybrids. But now what we also see a lot, at least currently, the models are essentially very similar to their ICE counterparts when we shift to Born electric vehicles in India. Do you see content per vehicle increasing again?

Vivek Vikram Singh : Yeah, that's a short answer. Yes, with increasing torque, our value goes up. That's a very straight -line correlation.

Arvind Sharma : Got it, Thank you so much. Thanks!

Vivek Vikram Singh : Thanks, Arvind.

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Kapil Singh : So, we have a question in the chat box. This is regarding your EBITDA sequentially being more flattish, but sequentially if you look at the PAT , it is down. So, if you could just explain that.

Vivek Vikram Singh : Yeah, Rohit, this is for you.

Rohit Nanda : Sure, so typically, in the four

th quarter of the year, we have, you know, certain tax adjustments because of which tax was lower last quarter. You will see this trend in most of the earlier years. So last quarter, there are tax adjustments towards the end of the year. So last quarter tax was exceptionally lower actually.

Kapil Singh : Ok. So, tax rate, average tax rate for the year should be around 24 to 25%.

Rohit Nanda : Yeah, it should be between 24 to 25%.

Kapil Singh : Sure. Deanna that's all from the chatbox.

Moderator : Thank you very much, there are no other questions at the moment.

Kapil Singh : Great. So, we can conclude this call. On behalf of Nomura, I thank the management team of Sona Comstar for taking out time for this call and also all the investors for joining this call. Unless there are any closing comments from anyone, we can close the call.

Vivek Vikram Singh : No, thank you so much for everyone for attending, taking out your precious time and attending our call. Thank you!

Moderator : Thank you everyone for joining today's call. You may drop off the line. Good evening !

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Oct 2024

Date:

30th October, 2024

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and half year ended on 30th September, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Wednesday, 23rd October, 2024 on the financial result of the Company for the quarter and half year ended on 30th September, 2024.

The transcript will also be available on the website of the Company at

<https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you,

For Sona BLW Precision Forgings Limited

Ajay Pratap Singh

Group General Counsel, Company Secretary and Compliance Officer

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BSE Scrip Code: 543300 NSE Scrip: SONACOMS

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SONA BLW Precision Forgings Ltd. (Sona Comstar)

Q2 FY25 Earnings Conference Call Transcript

October 23, 2024

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good afternoon , Ladies and gentlemen . Thank you, and welcome to Sona Comstar's Q2 FY25 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward- looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Good day, everyone. To take us through the Q 2 FY25 results and to answer your questions , we have the management team of Sona Comstar with us . I will just introduce them quickly. We have Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Kiran Deshmukh, Group CTO; Mr. Praveen Chakrapani Rao, Group CTO designate, Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate Strategy and Investor Relations. Now , I hand over the call to Vivek for the opening remarks and the presentation , over to you.

Vivek Vikram Singh: Thank you, Kapil , and welcome everyone, to the earnings call of what is once again the highest -ever quarterly revenue, EBITDA, BEV revenue and BEV revenue share. But before we discuss the quarterly performance in detail, we have an important strategic announcement to share .

Slide 5:

As we continue to grow as a company and to keep expanding the canvas in which we paint, we need to look at different opportunities, and we need to expand our focus beyond the automotive sector to broader mobility areas if we are to achieve a long-term growth ambition and continue the growth momentum that we displayed for the entirety of our 25-year-old journey. And with this thought in mind, if you remember, about a year back or 12 months back, we had updated our vision statement to reflect this shift, and we had taken out auto and inserted mobility. And since then, in the last 12 months, we've been exploring various areas of mobility. While doing that, and as some of you may already know, we said this on multiple occasions, we have a few filters that we put in, regardless of whether it's an organic opportunity or an inorganic opportunity that we put in to evaluate.

The first is the products, are they expected to exist for at least the next 15 years or not? In this case, we are confident trains will have brakes for perhaps much longer than 15 years.

Second, we aim at sectors that are not only sizable but also fast-growing, because I think Bob Iger, it was said that do not be a trombone oil salesman because even if you are the best at it and the market leader in it, there is only a very small amount of trombone oil that so the market has to be large enough as well as fast-growing and whatever we acquire should have the ability to take market leadership in its product category. Escorts Kubota Limited Railway division is already the market leader in railway brakes in India and we believe with the right investment and the right focus, it has the capability to become one of the market leaders globally as well.

Third, it should further our long-standing strategic priority of diversification, whether it be in a market segment, in our customer mix or a product offering, which this obviously does.

Fourth and obviously very important from a shareholder's perspective, it should be a good financial investment. In the current case, we expect that

this acquisition would be earnings accretive from year one itself.

And lastly, but at least to the management team as a group, very importantly, it should be good for the world we live in and hence the

opportunities we explore must be in the cleaner part of the mobility. Now, railways is the most environmentally friendly mode of motorized transport available today. With this acquisition, Sona Comstar reaffirms our commitment to promoting green and clean mobility solutions.

Slide 6:

So, this is in a way some elements are repeated here, but I'd say that more than repeated is reemphasizing that the acquisition of the railway equipment division of EKL checks all our filters to screen new growth opportunities. The railway industry, and we will cover it a little bit, presents long-term growth opportunities. And with the railway equipment division business, we see

significant potential to broaden our product range by doing what we as a company have done best so far, which is incorporating advanced technology and engineering products.

Slide 7:

Now taking these things point by point Indian railways as some of you may already know, have the second largest railway network in Asia and the fourth largest, globally, the railway component market in India offers a significant opportunity to do various I'd say a long term growth factor and considerable and I will want to restate it to mark the emphasis into considerable entry barriers, especially in critical products like brakes. Why, if you look at the second half of this slide, this potential, if you look at the increasing investments and expanding the railway network and the various modernization initiatives of the railway, the total investment has grown at an annual

growth rate of

17% over the last 10 years. This is one of the highest investment categories that is there in India today. And despite it being a 200-year-old industry, even after all these years, it is amongst the most economical and environmentally friendly modes of transportation for a large population. We expect trains with brakes to exist for the next several decades if not more.

Slide 8:

Again, to reiterate that point, Indian railways have a fairly hard barrier to entry for component suppliers due to a very strict vendor approval process. And, this is especially true for critical components like brake systems. Escorts Kubota's Railway Equipment Division, or RED, has over 60 years of experience in the railway component industry and has been a long-term partner of Indian railways and major private railway OEMs. I think the revenue split is 50-50 broadly, and I would say it easily has one of the most extensive product portfolios among railway component suppliers in India. RED is a market leader in brake systems for various types of rolling stock. It is also one of the top suppliers of couplers, suspension systems and friction products. I think as we look at it even more importantly, it also has a robust pipeline of new products. This is where Sona Comstar ownership can make the greatest delta, and with the significant potential of growth, this business already has. I think if we accelerate new products to the R&D process, we can go the distance on this acquisition.

Slide 9:

Coming to the financials, RED has a fairly strong record of financial performance across all the three key areas that we consider important:

revenue growth, profitability and return ratios.

Last year, the business reported revenue of approximately 950 crores with an EBIT of 179 crores. Over the past five years, the company has had a CAGR of 19% in revenue and 18% in EBIT while consistently maintaining return ratios above 35%.

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Slide 10:

This, of course, as I said, is very important to us because, as a management team, we believe that any product we make must benefit society and the world. This acquisition aligns with our goal of promoting clean mobility. I mean, if you live in Delhi NCR or anywhere in North India, you will understand and appreciate the criticality of this goal as most of the management team of this company lives here, this is an important thing. Railways are among the most green and clean modes of motorized transport today. And if you look at the bottom half of this chart. It includes Metrorail, electric buses, national rail, electric cars and plug-in hybrid vehicles. As you know, we offer multiple products for electric cars in both BEVs as well PHEVs. And we are also developing powertrains for electric buses. By acquiring RED, we are entering the railways as well and this rapidly growing railway component market should help us contribute more to greener mobility solutions.

Slide 11:

And coming to the terms, we will acquire the RED business at an enterprise value of INR 16 billion or 1600 crore. After closing, we expect the transition to be EPS accretive for us from the first year itself. Our strategy for this business will be similar to the approach we have taken with the Comstar acquisition in 2019 and NOVELIC acquisition in 2023. We believe very deeply in empowering the management of the businesses we acquire, we actually spend a lot of time evaluating the management of the business we acquire and only if they are capable, do we take that leap and by empowering them and providing them with the capital to invest in growth and R & D as well as fostering a culture where they have the freedom to take risk and learn from failure and I think that's the kind of M&A that we do. With Comstar, I mean, if you take it as an example, it was a 100% starter motor business focused on ICE, but

the same team under Sat's leadership and Pravin's been a large part of it, it has pivoted to a large EV motor and inverter business as well. We are doing something very similar to transformation and development where we're trying to shift from a service-led business model to a product-driven. We intend to do something very similar from a strategy perspective with RED. Empower the management team to invest in R & D and develop more and more innovative products for our customers because what this opportunity gives us is also a channel into expanding an existing business with an Indian railway or the private OEM supplying to India. Yes, it is an asset purchase and not a share purchase. And that I think there will be more to that we can take up in Q & A.

Slide 13:

Now coming to the well, at least for this quarter, slightly more mundane aspect. The regular performance update on our business.

In financial terms, as I said, we achieved the highest -ever revenue and EBITDA. Our revenue grew by 17% on a year -on-year basis. While EBITDA and

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net profit increased by 14 and 16% respectively, net profit would have also been our highest ever . However, it was adversely impacted by exceptional expenses of about 83 million or 8.3 crore related to acquisition -related expenses, which Rohit will explain later. And also, in a lighter way, I wanted to add that 12 months into the EV slowdown narrative, our overall growth continues to be driven by BEV revenue. It has grown a staggering 53% last quarter and its share and revenue has increased to the highest ever at 36% , which goes to show that sometimes narrative does strike data, but numbers are numbers, and they should be given precedence , at least in our opinion.

Slide 14:

First half, we continue to do well on all the three financial indicators. Our revenue, EBITDA and PAT are up 19%, 19% and 21% respectively. We have had a decline in return on equity and RoCE that is due to the recent capital raise of 2,400 crores to the QIP that we did last month. We expect the return ratios to improve as we deploy and invest the cash to various growth initiatives of the company.

Slide 17:

Now, moving to the update on our strategic priorities that we do every quarter. The first one, most importantly, electrification ; our BEV revenue share

has increased from 27% in H1 last year to 35%, and BEV revenue in rupee terms has grown by 53% to 6 billion rupees. For us, the growth in BEV revenue has, in fact, been seven times the growth in non -BEV revenue. The order book we continue to build on our EV order book . We now have 56 EV programs across 32 customers. 27 of them are in production currently . 13 are mature or completely ramped up at peak volume, and 14 are still in the ramp- up phase. The remaining 29 programs are still not in production and should start during this or the following year.

Slide 19:

Which brings me to our net order book. We have consumed 14 billion last quarter which is the reason why we have grown so much in the last quarter. We also have won business worth 12 billion and added that as an addition. So, at the end of Q2FY25 , the net order book stands at ■231 billion rupees, with the EV portion remaining quite high and 78% of the net order book. Quite interestingly, this is the first quarter in which we also won some CNG starter

business and this I just wanted to mention because we do get questions on alternative fuel sometimes. So, the answer is this : irrespective if it is either way the motor or the engine, whatever powers it, it won't matter ; that business will still come. So just re -emphasizing that alternate, or hybrid powertrains do not really have any impact on our business.

Slide 21:

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Diversification, which has always been an important KRA, increasing electrificatio

n and decreasing ICE dependence continues unabated. In the first half, we saw BEV revenue share increase to 35 and ICE -dependent revenue shrink to only 9%. The Europe demand slowdown has meant that the revenue share from hybrid and micro -hybrid vehicles has been lower than the previous year.

Slide 22:

Now, moving to the other revenue cuts. If you look at it geographically, North America remains our largest end market, contributing 44% and, frankly, the most stable from a demand perspective as well. While India remains the second largest market with a revenue share of 28%. I mean, after a strong recovery last year, we have seen a slowdown in demand in Europe. That is why the 26% has shrunk to 22%. By product , if I come to our fastest growing

product segments, have been EV differential assemblies and EV traction motors; this you can see reflected in the product mix as well. Another thing which is notable is the weakness in commercial vehicle demand, especially in India, although it is everywhere, but it is even more acute in India, which has resulted in a share of revenue from the segment going from 14% to 10% in the first half. This is quite a decline. Now, the non-automotive revenue, as you can see on the screen, has also declined; first half of H1 last year, this was 12%, and this year, it's 9%. This is due to the weakness in the off-highway segment once again in both the U.S. and India. With this, I turn to our group CTO Mr. Deshmukh to update this and update us on the technology section for his last time. Over to You Sir!

Kiran Deshmukh: Thank you. Vivek! Good evening, everyone. On an earnings call, this is my last address as the company's group CTO. After nearly five decades in the automotive industry and four decades with the Sona Group, I will retire on

October 31st. As I conclude my journey, I'm filled with nostalgia and gratitude. I joined Dr. Srinender Kapoor 38 years ago to help build a fledgling steering systems company. We have since grown into one of India's top automotive technology firms supplying critical systems to leading OEMs

worldwide. This journey required us to unlearn traditions, embrace innovation, experiment even with failures and cultivate passionate individuals. Together, we overcame challenges and celebrated milestones all driven by our commitment to innovation. This farewell marks not just my retirement but a celebration of our collective success. I'm pleased to pass the baton to my successor, Pravin Chakrapani Rao. With over 30 years of experience, he has held leadership positions across diverse functions, contributed to global product development and played a crucial role in expanding our R&D team. I'm confident we will continue our legacy of innovation and leadership. Given that Pravin will now lead our technology march, it is most appropriate for him to explain this slide. Over to you Pravin!

Praveen Rao: Thank you! Mr. Deshmukh, I'm happy to present the technology update this quarter.

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Slide 24:

Thank you! Mr. Deshmukh, I'm happy to present the technology update this quarter. Sona Comstar has achieved a significant milestone with ASPICE level -2 certification being awarded for its advanced active suspension system product. This affirms our commitment to delivering high-quality, reliable and innovative systems and software solutions to the mobility space. ASPICE framework is globally recognized as a standard for assessing software development processes. Efficiently implementing ASPICE leads to better process and product quality. The standard helps to improve cooperation among complex supply chains and between globally distributed development and engineering centres. This capability strengthens our current position in the market and opens up additional opportunities for business with global OEMs. I now hand over to Rohit to cover the financial update. Thank you.

Rohit Nanda : Thank you! Pravin, a very good day to you all. It's my pleasure to share our second quarter and first-half results for FY25 with you all.

Slide 26:

First, we start with the second quarter results. We've had a good quarter with a year-on-year revenue growth of 17% to 925 crore rupees. In comparison to our growth, the underlying light vehicle market in North America, Europe and India, being the largest 3 markets for us, declined by actually 2%. Our BEV revenue grew by 53% to 317 crores and now it constitutes 36% of our revenue in this quarter. Our EBITDA grew by 14% to 255 crore rupees. However, adjusted for the higher ease of cost in this quarter, the actual growth was 18%. Adjusted EBITDA margin improved by about 20 basis points on a year-on-year basis. Our profit after tax had an adjustment for exceptional expenses on account of certain potential inorganic opportunities. Compared like to like adjusted for these expenses, our PAT grew by 23% to 158 crore rupees compared to 129 crore last year. On the positive side, net finance income helped our adjusted PAT margin by about 80 basis points.

Slide 27:

We move to the first half financials then. During the first half, our revenue grew by 19% to 1818 crores. As compared to the underlying growth of 3% in our key markets of North America, Europe and India. Our BEV revenue grew by 53% to 600 crores being 35% of our total sales. Our EBITDA for the first half adjusted for higher ESOP cost grew by 22% to 523 crore rupees. Adjusted EBITDA margin expanded by 0.6% on account of operating leverage and lower material costs. Our PAT adjusted for exceptional expenses grew by 26% to 307 crore rupees, adjusted PAT margin was higher by about 80 basis points, mainly due to improved EBITDA margin and net finance costs.

Slide 28:

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This brings us to the cash flow for the first half. We've generated 467 crore rupees of cash from operations against an EBITDA of 506 crores in the first half. Our Capex spend was 224 crore rupees, and therefore, our free cash flow was 243 crores. Besides operations this quarter, we also had a net cash inflow of 2370 crores from the QIP done during September month. Temporary deployment of QIP proceeds besides surplus operating cash flow led to an increase in investments by 1890 crores, net loan repayments of 224 crores, dividend payout of 88 crores and there was an increase in the closing cash by about 385 crore rupees.

Slide 29:

This brings us to the last slide in the presentation, which is on the key ratios. The key highlights of this slide include further improvements in the working capital and fixed asset turnover ratios. Now close to five and four times

respectively. Our net debt to EBITDA is further negative due to the repayment of borrowings out of the QIP proceeds. Our return ratios have seen a dip in this quarter consequent to the QIP fundraise that we did last quarter. With this, we've come to the end of our second quarter and first-half earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much. Now we are at the Q&A session, we would like to open the floor for Q&A and if you wish to raise a question, please use the raise

hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak, or you can submit your questions via the Q&A chat box addressing to all panelists. Please be reminded to keep your question to a maximum of two questions. If you have more questions, you may return to the queue. Thank you. The first question we will open the line for Gunjan. Your line is unmute. Please go ahead with your two questions.

Gunjan Prithyani : Yeah. Hi. Thanks, team, for taking my questions. Congratulations for the closure of this deal. Good to see the business diversification continue. I have two qu

estions. Firstly, on this acquisition. I just wanted to hear a little bit more from you, you know, in terms of what happens to the management team. Is it the entire team coming along when you're buying this business? And more from your perspective, you know, what is the, I have heard that businesses that you pursue typically should have a right to win, right? So I'm just trying to understand when you look at this business. What is the biggest right to win here? And what does the competitive landscape sort of look like? positioning, I know they are the leader, but how are the business dynamics? is it about the product? Is it about cost? What is the edge that, this business has?

Vivek Vikram Singh : Thanks, Gunjan. I am very happy to get a non -EV question! Frankly, management is very, very important to us. That's one of the first things. The first question we ask ourselves is, see buying things, looking at financial metrics, we are not traders; we are a permanent group. It's easy, you can

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buy something. It may look good on finances. How will you run it? And then how will you grow it to become an institution on its own? You would need capable people. We don't believe we are some superhumans who can come into any business and, you know, make it great. We rely on people who have capability and drive and have had some constraints, maybe it is constraints on capital, maybe it's constraints on focus. Like in this case, it is a

great company that is part of, for that company, it is not a core business and hence, it may not have got the attention that if it got, it might prosper more. That's the thing. All the management team of the current railway equipment division of EKL is coming along and we would like to add more to the team, but everybody will be coming along.

The second part, the right to win, I think that question usually you know that line, I said that maybe before - 'pratyaksh ko pramaan ki avashyakta nahi hoti'. It means what is primal does not usually need evidence. If you have been the largest market share in any product category for decades, you would usually have something. But if you've been a market leader in a product category for some time, along with higher margins, kind of like the last point, there will 100% be some reason for that. It is a three-player market. So, Gunjan, brakes is a very critical thing. So, there are big global companies, one big European company, one big American company and this one Indian company; three of them compete. The product validation process is super strict, and the entry barriers are very high. So, these three compete amongst each other. Sometimes cost, sometimes technology, depends on

which generation of product you're in. Like in automotive, because if it's a product that's been seen for 20 years, then you have to be much better at process quality cost. If it's a product that is new then technology and how

much better you make it for the customer that comes in also, cost will always run. There is no, I don't think there is a single customer purchase decision in any category of any product where the price is no value, maybe apart from Giffen goods that we studied in economics. Everything else does have that thing. Did I miss any part or no?

Gunjan Prithyani : I think this is useful. I mean, the message that I get is still a very concentrated market, and it's basically just the validation from the government agencies, which is relationship over a period of time also matters a lot.

OK, the second question that I had was on the order book. Now, we continue to sort of see the ramp-up in the programs coming through on the full ramp-up line; typically, you've had these 29-28 programs which have won but not really translating into revenue. So, I just wanted to hear again from you, given that the entire set-up in autos with the slowdown is that,

should we continue

to still sort of work with the assumption that this book will translate into revenue three years out? Does that still, sort of hold true? Or should there be some change to the timelines there?

Vivek Vikram Singh : See, there isn't much that gives me any ground to change my view; there is, there are two programs that are delayed: one, a European program that's delayed by a year, and there is one Indian EV Two-Wheeler program that's

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already been delayed for six months. Apart from those two, I don't have any instances to say one way or the other and that, frankly, also could happen. I don't know if it's a powertrain link. Model launches getting delayed happens. It is more a factor of, I would say, overall economic situation or customer readiness levels. I don't know which one it is.

Gunjan Prithyani : But fair to say 231 billion or 230 billion over a span of 3 to 4 years should translate into revenues. You don't see a major risk?

Vivek Vikram Singh : So, I can tell you this: I don't think there is a single program there, and Pratik, you do confirm, started later than 2020, like at least the start of the session, fully ramped up or not, I don't know. I think there are some in there which are beginning FY27 calendar at 28 I doubt I would, you know.

Pratik Sachan : Yeah, yeah. So that's completely right. Most of the programs will start by FY27.

Vivek Vikram Singh : Correct, because Gunjan as you know, 24 months and beyond that is really, it will be exceptionally unusual.

Moderator : Thank you. We go to the second investor, Prateek Sen. Your line is unmute, please go ahead with your two questions.

Prateek Sen : Thank you for the opportunity. Sir, can you help me understand the domestic EV traction motors and controllers market? And how is this market evolving?

And what's our market share?

Vivek Vikram Singh : So, it has been our fastest-growing product category, I think, for the last three years. But that is because the waste was incredibly small, and this industry was growing quite fast till the first shock came when the first duty withdrawal

happened. if you remember May last year, then I think now again, we are where it's coming to a stable thing and all our growth comes from new programs starting. Actually, that's been true for most of the industries we operate. If you look at the underlying, Rohit does a good job each time each quarter he talks about that industry, underlying growth was like 2% -3% whatever and our growth was this much, we have always grown faster than that because we grow on the order of new orders, basically means either wallet share with an existing customer or you get more customers that increase markets. That is how we have grown. Right now, I don't think the EV two-wheeler industry is growing very fast now at this stage. Market share is very complicated because what is the denominator, EV two-wheeler plus EV three-wheeler plus EV four-wheeler or just EV two-wheeler so that it varies. And also, by the way, the complication is that it also varies from month to month; if you notice the EV two-wheeler sales number, the fluctuations are quite wide and depending on which OEM is doing better or worse. Our market share also fluctuates a lot every month but, Sat maybe you can answer this. We can do the denominator. How many would we be selling per month?

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Sat Mohan Gupta : Right now, we are selling around 20k per month.

Vivek Vikram Singh : Correct, So, on an average, Prateek, 20k per month. So, if you take and most of it is EV two-wheeler. So, if you take a two-wheeler market, I don't know exactly how many vehicles are for every month. But use that as the denominator because each one will have exactly one motor, none of them have two, you will get our market

share or get close to it. Did that help Prateek?

Prateek Sen : Yes, sir. That's very helpful. Thank you.

Moderator : We go to the next investor with a question. Rosen Lewis, your line is unmute.

Please go ahead with your two questions.

Ralson Lewis : With regards to your recent purchase of EKL's RED, right? So, I just wanted to understand, what is the kind of revenue that you anticipate it adding on to the overall the company's performance in the upcoming years. And secondly, what are the kind of competitors that you anticipate to be competing with alongside EKL in the braking system and the other businesses that EKL is involved in? That's all.

Vivek Vikram Singh : So, I will let Rohit or Amit Mishra to answer this. Also, in tribute to their role in this transaction. These two gentlemen led and closed the entire transaction. I did very light lifting. So, I'll let these two answer the question.

Rohit Nanda : Amit, are you taking this one? Ok. So, I think the last year revenue from this business was about 900 odd crores and their EBITDA margin is about 18%. So, that's where this business is currently.

Vivek Vikram Singh : So, is it EBIT or EBITDA?

Rohit Nanda : Yeah, sorry EBIT. And that's what they report. So correct. So that's where they are. That's the size of the business correctly.

Vivek Vikram Singh : We don't give future guidance for our business, neither will we give it for this business after acquiring it. So, we can only give historical numbers.

Rohit Nanda : Is there a follow-up question on this?

Moderator : Hey, Kapil, would you like to go ahead Kapil?

Kapil Singh : I just wanted to check if there is any follow-up question on this, or can I take questions from here?

Prateek Sen : Yeah, I just wanted to understand the flavor on the competition alongside EKL for the railway business in the business that EKL is involved in. Any competition that is involved against which you all would be working towards?

Vivek Vikram Singh : I think I did mention there are two other big competitors. One is the large US origin brake maker, and one is a large European brake maker. You know, we

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don't take names of other companies in our presentation. But it is a very clear market. In that case, the brake category that is. There are other products in which there are competitors, but that's on the slide. And second, listen, just to help and maybe we can go to that slide. Pratik, can you take us to the

financials slide, which would be no. 6 or 7 of the acquisition part and why we don't want to guide it?

So, if you look at it, this is a very, very high growth rate, right? Because this is the FY21 of 479 crores with this and now 950. Every year it won't be like this, there will be some years which will be not so fast. Like this year, there has been an election year. So it will not be the fastest. That's FY25 might have been most likely be flat. But by the time we get in, which will be by the time we'll take some time to close also. The fact that we don't know exactly when?

Only then does the journey begin for us to grow. The past? And what growth has been in the past is not necessarily a great guide for the future, but it does indicate that if investments into the railway sector, investments into building new tracks and new locomotives continue, the growth rate can be expected to be fairly high, how much that will be like I said, we don't guide because of the very simple reason. I don't think any of us, all of us exult in trying to find certainty in a world which is inherently uncertain in the future that is inherently

unknown. There is no way for us to know nine months later whenever the railway budget comes, what exactly will we respond to? So instead of trying to do that, we focus on trying to do what is in our control, trying to do the right things, trying to develop new prod

ucts, win new contracts, win new

businesses, work on cost, work on R&D and we will continue to do that as we have for the last 3.5 years that we've been public, you've been seeing us. That's exactly what we will do with this business. That's exactly what we do

with business. We will continue to do those things in that nature, guessing what will happen and trying to predict that and then share it with the world. I don't think that is something we have done, or we'll do.

Kapil Singh : I'll take a couple of questions from the chat box. So these questions are from Ayush. The first question is if the team can explain large with respect to

addition of orders through our order book also, are we seeing any delays in execution of others, especially concerning European geography?

Vivek Vikram Singh : I didn't quite understand the first part, but I can answer the second part. We have one ; I actually did answer that there is one European EV -related new

order whose SOP is delayed; apart from that, we have not seen any other delays outside India and one India EV 2-wheeler . I think I already answered that. The rest is a demand thing. Europe PV, India CV, US off highway - these three segments are seeing a fairly bad slowdown ; the good thing with diversified revenue streams like ours is that even in this environment, we can do good things. Yes, there will be quarters where the headwinds would be so high that you can't win. But these are the three that , for now, I can say are the most of them; the rest are flat, mostly flat. But was that the question? I didn't get the lag order.

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Kapil Singh : I mean, I've just read from the chat box so I'm not really sure what is being asked here. Maybe Ayush you can raise your hand or reach out directly.

Vivek Vikram Singh : Correct. Write down again in the box. And what is the meaning? Because see, you get a purchase order from purchase order to SOP bill always take between 18 to 24 months. Sometimes , it's faster if it's a running product and you're replacing someone, but that's not always usual, especially if you're a going to spec or black box type of company like we design the product. So

design process has a longer time or if it's a very new type of product, then sometimes it goes even beyond 24 months. That's the thing.

Kapil Singh : Ok. One more question was there from Ayush, the fairly new plant set up in Mexico. Can you talk about the capacity utilization of that plant? And how are the synergies which we are aiming to achieve in America market coming along since this acquisition?

Vivek Vikram Singh : Sorry, which acquisition?

Kapil Singh : I don't know, I think maybe this is just related to the plant in Mexico only

Vivek Vikram Singh : Ok. So, we have not acquired. So, capacity utilization, we have to put up the equipment first. Well, Vikram. When do we expect it to start production?

Vikram Verma : Q2 or Q3 of next year . So, October timeframe.

Vivek Vikram Singh : October 2025 and only a quarter after that would a capacity utilization number have any meaning.

Kapil Singh : And then one question is there from Mike . The EBITDA margin of the railway

business you are acquiring is lower than the company average. So should we expect it to converge up to the current company average over time?

Vivek Vikram Singh : I'll let Rohit answer that, but one we don't know the EBITDA margin because it's never been reported. But no, I doubt that I doubt it will converge up to the current company.

Rohit Nanda : Sorry. Kapil , could you please repeat the question?

Kapil Singh : Yeah, sure. So the question is EBITDA margin of the railway business you're acquiring is lower than the company average. So should we expect it to converge up to the current company average over time?

Rohit Nanda : I think this would be too premature, let's assume the current EBITDA margin

continues for now. Ok. But having said that , the PAT margin would be largely lying with our current PAT level, so at a PAT level, it should have a similar margin.

Kapil Singh : Ok. and then one question is there from the Narottam. I want to understand the rationale for Escorts to sell the business and were there other potential acquirers?

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Rohit Nanda : So, I guess that's for the Escorts to answer and not for us to answer. I guess their board meeting is coming up shortly. If Narottam can reserve this question for that meeting.

Vivek Vikram Singh : But all jokes aside, I think it would be there in the schedule. So, I'm pretty sure they would have put up on the exchanges this decision themselves. When there are two listed companies involved communication would be there. But I would say, or you know th at Escorts Kubota Limited is owned majority by

Kubota Japan, which is one of the largest farm equipment manufacturers in the world. For them, if you look at this railway equipment division as a

percentage of the global revenue, not just as a part of Escorts Kubota Limited, even as a part of Escorts Kubota Limited, I don't know, it's like 13 -14% of the revenue. But if you look at it in a global thing, it would be a very small part, maybe a percent, maybe less. It isn't their focus; it is something that is not aligned with the rest of their business. I think that's the reason. Anything more than that seriously also, not in a lighter way, I think you should address to Escorts Kubota Limited.

We estimate it to be between 18 to 20% EBIT right now; let's just do last year. So that's 179 upon 950, right? So that's 18.8%. So yeah, 20- 21% should be there. And those are the numbers Escort Kubota Limited has been reporting the railway division number as a segmental revenue, the revenue and EBIT and all of those numbers are there in the public disclosures every quarter part of the investor presentation. So, all of them can be easily found in the public domain.

Kapil Singh : OK. Vivek, I have actually one question for Mr. Deshmukh if he's there since it's the last time we are interacting with him, sir, on this public platform. So, I would like to know, in terms of you're leaving behind a legacy, right? So we just want to understand what, what do you think is the strength of Sona as far as the R&D process is concerned? the approach to R&D and what kind of processes have you built? So, that we or the company doesn't miss your presence as you move out.

Kiran Deshmukh: Firstly, I think one of the strengths of Sona Comstar has been R&D, it's a company built on technology, if you see the kind of financials that you're seeing purely because of the technology that it has and it owns. So this company doesn't depend on external help for technology. It is completely owned by itself and developed by itself. And this has happened over the last 25 years. So the processes for R&D, processes for developing new technology. And when we talk about R&D, it is not just about products but also about the processes. So both processes and products R&D go hand in hand , and the processes for developing the products and processes for developing the products are extremely well defined, and the company follows TQM practices. As I think everybody knows, in TQM practices, you have a process. It is a process- driven approach. So everything is, it doesn't depend upon the individual; it depends on what systems you have in place. So already very strong systems are in place. And therefore, when I leave, I

leave with the sense of satisfaction. And I have full confidence that the team

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under Vivek and Vikram and Sat and Darko will take this company to the next level.

Moderator : The next one, we will go to Mukesh Saraf. Mukesh, your line is

unmute. Please

go ahead with your two questions.

Mukesh Saraf : My question is firstly on the acquisition, just trying to understand the, one of the key strengths, is it? So, my question is, is pricing one of the key strengths of the Escorts Kubota braking systems? The reason I'm asking is that this is obviously competing with large European giants who have products and technologies throughout the world. And when I look at the margins of, say, one of those companies, it is upwards of 35% in India. So, I'm just trying to understand if pricing is basically localizing some of those technologies here and being able to supply it at a lower price. Is that one of the key strengths here for this braking business?

Rohit Nanda : So, Mukesh, the thing is that, based on our understanding of the market and their positioning, Vivek already mentioned that this is a market which is and especially if we look at brakes, which is their largest product. It's a market which has three players, and they have a large market share. So, it is both price and quality because eventually, all these orders, railway orders, are run through a tendering process. So, price cannot be the only criterion. And as you can imagine, brakes are a safety product. So this is, this is something on which railways or any company would not compromise just for cost reasons. So it has to be both, it has to be quality as well as cost.

Vivek Vikram Singh : In the general. I don't think there is any category anywhere in which you can be the largest market share by being cost alone. You have to be good and have a good cost. We've been in the auto business for long enough to do that. It is never price alone. You have to do two out of three, either best, cheapest or most convenient. You have to be at least two. If you are all three, you are god, but at least 2 out of 3.

Mukesh Saraf : Absolutely, Vivek. So the reason I asked this question is, are there cases where you have, you've probably seen in the past, that EKL's braking business has kind of brought in new technology, maybe even ahead of the European competitors? So that's the reason I asked the question. So have you also been, have this, has this also been technology?

Vivek Vikram Singh : True. True, true. So, Mukesh, yes, the answer to that is yes, we can't talk too much about it. As you know, it is an announcement with an intent to acquire till it's closed. We don't actually own the asset, right? So there are some things we can't disclose, but the answer to that is yes. However, there is a very, bizarre thing in railway, in the private space if you are first with the technology, actually, or first mover advantage that you get a lot of market and in railway actually because they always have to have multiple suppliers for each product, you have to actually wait for others to also come up with the technology only then. So it's slightly different from our area. but, the short answer is, have they been able to do it in the past? Yes, and can we do it in

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the other product categories also? The answer to that is also yes, and third, an unanswered part of your question is that when there are big global people. We love that and that is what we love doing. What do we do in differentials? We compete against big, big global companies. Motors, we compete against big global companies in life in general if you're an ambitious person who wants to achieve and create something of significance. Find people above you and compare yourself to people bigger

and better. Do not just compare yourself to the lowest of the low and be happy and satisfied fighting for that. Let's compete with better people. That's what we've done in every single business that we do. That's what we intend to do in this one.

Mukesh Saraf : Got it, got it. Thank you for that. And secondly, my question on the forgoing but

business is if there is any colour you can provide on one aspect that I was looking at, which is your nonferrous forging. So, you have mentioned that now for the last few quarters as future products. So, are there any updates that you can provide anything at all on non-ferrous? And the reason I'm also asking this is obviously now with the new business of railways, how is the top management's focus going to be shared across these business lines? So, yeah, this question.

Vivek Vikram Singh : So, the first part is easy. I won't even bother, because if there was an update we would have shared, you know, when an update has to be, that we have

won a purchase until then all updates are in a way meaningless to at least the shareholder community because we internally and I mean, you know, we track it on the entire technology readiness level. Each product from TRL1 to TRL7 is the progress that is all in-house. The TRL8 is when you get a customer order only then does the disclosure make sense. So when that happens, we will. Effort is relentless, result you know, sometimes even with best intention doesn't come. But when it does, of course, we will share. The second part which is top management bandwidth. I think I partially answered this question to Gunjan, which is why we like buying or acquiring businesses where there is already good management, we don't intend to do much. I mean, you look at our history, NOVELIC, you know, the entire team is there, right? I probably go there once every four or five months. Rohit spends some time with them, but mostly, we do it on phone calls. If it does require a very heavy involvement in us going and firefighting, we'd probably not do it. We hold management bandwidth and available time to be very sacred. In fact, we will even go to the extent of taking our most valuable, and we don't waste them lightly. So, we like getting businesses with great management teams and good leaders. I mean, look that business has gone from about 450 to 950 in 4 years. The guys are doing something right that this is a good team already. If it was a bad team, they wouldn't be able to grow it so fast and so well; they have added new products, they've introduced and are working on a new future pipeline. It's a good team.

Mukesh Saraf : Sure, understood. Thanks a lot for that.

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Moderator : Thank you very much. We shall move on to Nikhil, Nikhil your line is unmute, please go ahead with your question.

Nikhil Kale : Congrats to the team on the acquisition. Just had one question on some of these new products that you've spoken about for the railway business. Can you just throw some light on them? And I also wanted to understand in terms of, would you have to go through the entire approval cycle for these new products or would it be like a shorter gestation period to that extent, a quicker kind of commercialization?

Vivek Vikram Singh : Nikhil, short, I don't know, shorter than it would be if we were complete outsiders, but you still have to go through the process. Actually, you know, we tried looking at this organically as well before obviously acquiring because that's the first thing we do anything acquisition related - do make vs buy, and

say, can you make it? What you realize is the approval process if you want to go in as a non-empanelled is so long; it's like 5 to 6 years. So, if you're already empanelled and doing safety-critical products, the time is short, but it still will require the whole process and steps to be completed. So, it's relatively short.

Moderator : Hi, Nikhil. Do you have any follow-up questions?

Nikhil Kale : Yeah, thanks. Thanks for that. I just want to understand. So, for all the new products that you're kind of looking at HVAC and some of these other products that you kind of showed on the slide. The plan is to kind of do all the entire manufacturing

in-house or kind of show some of these components

and maybe become like a system supplier, or how are you looking at that?

Vivek Vikram Singh : That will depend from product to product, and frankly, it's likely early to be talking about future projects on the day of what, but it will depend again; these are obviously operational decisions, but let me just boil it down for you.

This is by the way in our regular business, whenever you get the purchase order for something even before that you would have submitted your entire costing to the customer, et cetera, in doing that you would have already developed and found a supplier, you would have already figured out what

you will produce and at what process times, etcetera. So it is different for everything. And you take that decision, what is the best for the end customer? From both a cost and quality perspective. Of course, if there is something that is strategic and can increase value in the long term, for example, software, we give an update on ASPICE like this time at level- 2. Why do we think software is so core that we keep most of it in -house and we have a dedicated team? And if you do find ASPICE level- 2 means we are actually getting certified for automotive software. I mean, four years ago, we didn't even have automotive, we are now competing with those companies in that domain because we think it's critical. So like that , there will be parts, even in hardware, where we say it is too critical to outsource, and there will be things we will outsource. Forget parts ; sometimes, it's also processes for the same part; there are multiple processes; some you keep in -house, and some you

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will outsource. Depends. I know it depends, is the least helpful answer. It genuinely is the answer. It depends .

Moderator : Thank you, Nikhil. Thank you so much. Thank you so much. We are now going down the list. Rohit Gupta, go ahead your lines are unmute. Please go ahead

with your questions. Hi Rohit, are you able to speak up? Seems like he is having some challenges. We shall go on to the next investor, Nitij Mangal. He has dropped. Let's go back and try Rohit. Are you able to speak up? Perhaps you can type your question in the chat box? Yeah. Ok. We move on to the next investor , Pradeep Jain. Pradeep, your line is unmute. Please go ahead.

Pradeep Jain : So, Vivek , I want to know about the CV traction motor factory. What is the status of that?

Vivek Vikram Singh : Thank you. So sorry, sorry, you have to repeat that.

Pradeep Jain : Yeah, CV traction Motors. We are establishing the works now. CV, traction motors.

Vivek Vikram Singh : So we currently don't have any CV, traction motors. Oh bus motors? Sat, you can update on the bus traction motor.

Sat Mohan Gupta : Pradeep. We are on track, I mean as we have promised in the previous investor calls also. we are on target , and we are just in the first calendar year, the first quarter of the calendar year 26. We are going ahead with the plan, so it's on track right now.

Pradeep Jain : Yeah. Ok. Thank you.

Kapil Singh : There are no further questions in the queue. I'll hand it back to the management in case there are any closing remarks .

Vivek Vikram Singh : Perfect, thank you Kapil. No, closing remarks. Yeah. Thank you, everyone for being here. Thank you for listening. Thank you for asking questions. Please ask us good questions. Makes us better. Keeps us on our toes. And wish everyone a great holiday season, Happy Diwali. See you next quarter. Bye.

Kapil Singh : Ladies and gentlemen, on behalf of Nomura, we thank you for joining this call and wishing you all a Happy Diwali as well. Deanna, we can close the call now.

Moderator : Thank you very much. Thank you everyone for joining today's call. Have a good evening. You may drop the line now.

Disclaimer : This is a transcription and may contain

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Call: Jan 2025

Date: 29th January , 2025

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and nine months ended on 31st December, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Thurs day, 23rd January , 2024 on the financial result s of the Company for the quarter and nine months ended on 3 1st December, 2024.

The transcript will also available on the website of the Company at <https://sona.comstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY2 5 Earnings Conference Call Transcript
January 23, 2025

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q3 FY25 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when aski ng a question.
Slide 2:

Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relatio nships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Thanks, Linda. Good day, everyone . To take us through the Q3 FY25 results and to answer your questions, we have the management team of Sona Comstar with us . I will just introduce them quickly. We have Mr. Vivek Vikram

Singh, MD & Group CEO; Mr. Praveen Chakrapani Rao, Group CTO; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Vikram Verma, CEO of Driveline Business; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, GM - Corporate Strategy and Investor Relations. Now , I hand over the call to Vivek for the opening remarks and the presentation , over to you.

Vivek Vikram Singh: Thank you, Kapil , and welcome everyone to the earnings call for Q3, which was a decent quarter despite us achieving our highest -ever net profit, highest -ever EV revenue and highest -ever EV revenue share. So as has always been our policy when talking to our owners - our shareholders, we will let the bad news take the escalator so we will begin with the challenges.

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First, demand in Europe continues to remain weak , and we do not anticipate any imminent reversal of these trends. Second, both the off- highway market in the US and the commercial vehicle market in India also continued to show weakness, resulting in a production decline last quarter; given our significant market share in both of these segments, sales of our differential gears and differential assemblies have been negatively impacted. We hope this trend at least can reverse in the coming quarters. Third, there was an inventory buildup in Nor th America at the customers' end during the first half of the year for multiple reasons, which has been followed by a fairly sharp reduction in inventory in the last couple of months and that has affected our performance this quarter.

Apart from these macro factors, one of our largest customers is transitioning a major model to an upgraded and redesigned version. Now , this change, although positive in the medium term, is expected to adversely affect our supplies to this customer in January and February. This is due to the typical cycle of reducing inventory of the outgoing model before gradually increasing production s harply for the new model. So, while we expect the supply schedules to normalize by March; 4 th quarter will likely be weak

because of these disruptions in the first two months.

But the good news is that the factors affecting our current sales performance are temporary in nature. And as I said to our team, if you are not losing share

of wallet with our customers and our customers are not losing market share, there is absolutely no reason to worry. And in fact, it is an opportunity for improving product design or increasing our share of wallet with that customer. We expect to regain the lost revenues of January and February within the next two quarters itself. We also continue strong progress on our strategic priority of electrification, achieving our highest -ever EV revenue and EV revenue share during this quarter.

Additionally, we won a new program to supply differential assemblies for one of our existing customers, new and first look fairly exciting EV models in India.

We also received a second product order in the sensors and software vertical and successfully com mercialized a new product - Zone Monitoring

Sensors. We've also made a significant technological breakthrough by developing a 180 -degree field of view device using short -range radar sensors. Which Praveen will talk about later. But in short, our journey of pivoting N OVELIC from a radar services business to a diversified sensor product company is going quite well.

We are pleased to announce that our board has approved an investment in ClearMotion Incorporated. This is a company that is truly revolutionizing the

in-cabin experience for passenger vehicles with its fully active suspension technology this is a game changer as we see it. This investment will further strengthen our partnership with ClearMotion benefiting us both as an investor

and as a supplier. We also continue to grow a share of business with existing customers and are adding new customers and new produc ts and we are

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very happy to report that we have further increased our global market share in both differential gears as well as starter motors in 2024.

Slide 5:

Now , coming to the numbers of the quarter, revenue grew by 12%, while EBITDA and net profit increased by 3% and 14%, respectively. Our margins declined compared to last year due to adverse product and geographic mix while still staying in a range of 27%. And amidst

what I'd call an inordinate

amount of media coverage and noise about an EV slowdown, our BEV revenue grew by an incredible 48% in absolute terms to the highest ever 329 crores, and our BEV revenue share has increased to an all-time high of 39%.

Sl

de 6:

Coming to the nine-month figures, we've increased our revenue, EBITDA and PAT by 17%, 13% and 19% respectively. And since this is the end of the calendar year, we got our global market shares calculated. Our starter market share has improved from 4.2% to 4.4%. As Europe and the US markets, where we have higher market shares, have grown faster than Asia. And coming to the bigger one, it is a matter of great pride, and I congratulate Vikram and his team that our global market share in differential gears has grown from 8.1% last year to 8.8% now. As some of you may remember, at the end of 2019, this market share was 4.5% and despite most automotive volume growth coming out of China, where we have a negligible share, well as of now, and several new competitors have emerged from India and China. Despite all this, we have nearly doubled our market share in these five years, and we intend to keep going from strength to strength and keep expanding this market share all over the world.

Slide 9:

Coming to electrification, our BEV revenue has increased from 28% in the first nine months of FY24 to 36% for nine months FY25. In revenue terms, this has grown by 52% to ₹9.3 billion. This growth, I mean, if you compare it with the non-BEV revenue growth is 10 times the BEV growth. This is because our EV traction motors and EV differential assemblies both have been the fastest growing segments for us this year. We also continue to build on our EV orderbook and in Q3, we've added one new EV program.

Slide 10:

So, this is a new EV order from an existing customer, an Indian legacy OEM, and we will be supplying the differential assemblies for their upcoming electric car models, which we feel should do well in the Indian market.

Slide 12:

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With this new win and the other new non-EV orders, our net order book has increased slightly over the previous quarter to 232 billion and the proportion of EVs in the order book stands at 76% at the end of Q3.

Slide 14:

With this, we come to our fourth KRA, diversification. The weak demand in Europe in the first nine months means that the revenue share from hybrid and micro-hybrid has been lower than in the previous year. The trend of increasing electrification and decreasing ice dependence continues unabated for us, and this year, we've seen the ice-dependent revenue shrink to less than 10%.

Slide 15:

Geographically, North America continues to be our largest end market at 43% and this is despite the negative impact of inventory reduction that I spoke about earlier. The European market has been impacted by weak demand and our revenue from this region has declined from 26% to 23%.

India remains our second largest market, and the revenue share also remains stable at 28%. In the market mix, it's fairly visible the weakness in commercial vehicle demand, which has resulted in our share of revenue declining from 14% to 10%, which is quite a shift in the first nine months. In the product mix, the fastest growing segments for us this year, as I already mentioned, have been EV traction motors and EV differential assemblies, followed by differential gears, which is reflected in the change in the product mix. We also made a small but exciting beginning with our advanced suspension motors starting serial production and becoming 0.2% of our nine-month revenue. Three years from now, we expect this product to be one of our leading revenue contributors.

Slide 17:

So, before this video is played, I want to say that there are only a few times in a career that one comes across truly game-changing technologies in companies that are run by passionate people and when we met ClearMotion four years ago, we knew this was one such company and we must work together to bring this product to the world. We must do everything we can to do this and get it done. And four years of engineering and development

work later, we are further cementing our relationship in them with us investing \$4 million in this current fundraising round. Pratik, if you could play the video, so people can get an idea of the product.

So, as you can see, the front car is the one that has the ClearMotion active suspension installed, while the second car does not. And you can see what happens to those Jenga blocks inside that vehicle. So, this is a technology that makes the in-cabin experience almost as if you were in a private jet. This

is because of the active valve that you can see on the lower left -hand side to which we are a significant contributor. So, in ClearMotion's current

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fundraising round, we are investing 4 million . Their fully active suspension technology , which is controlled by a BLDC motor and controller -based actuator, has a latency that is five times lower than any other currently available alternative in the suspension board, which to the non- technical ones means it is a five times faster response rate. This active suspension system is built on the software -centric electrohydraulic core, which is that Activevalve, which includes controlled software, a processor and an electric motor, all of which is supplied by Sona Comstar. This technology has been successfully commercialized and is already in production in China and is being supplied to the Nio ET9. Initially, the deployment is expected to be in the premium car segment, specifically the E segment and above, which represents, I would say, a total addressable market of nearly \$14 billion. We anticipate that this technology will progressively be deployed in higher and higher volume segments and as both a supplier and an investor in ClearMotion, we are fairly well positioned to benefit from t his change and development. So with this, I hand over the reins to our Group CTO, Praveen, to update us on our technology updates. Over to you, Praveen.

Praveen Rao : Thank you, Vivek. Good evening, ladies and gentlemen. I'm happy to take you through the third -quarter technology updates.

Slide 18:

What you see here is our technology roadmap. As mentioned by Vivek, we commercialized one product and added two new products, future products to our technology roadmap. If you look at the top right corner, the zone monitoring sensor, it is truly a revolutionary product that gets us firmly into the industrial segment. These sensors whose purpose is to alert and protect people operating in potentially unsafe or hazardous work environments. This could also be used in factory floors where people work in proximity with robots and AGVs. This product opens opportunities in the industrial domain where several use cases exist today. The use of this product will enhance existing safety measures like barriers or , in some cases, even replace them. The second product that I'm going to talk about is the limited -slip differential , which you see on the left side, or LSD for short. LSD has significant use cases in low traction surfaces, cornering and high torque situations. This product brings together our deep expertise in differential assembly while newly developed capabilities in clutches to offer the next -generation product to our customers . The third product is the gearbox for EVTOLs or Electric Vertical Takeoff and Landing. The market for EVTOLs is evolving globally and India is playing a very important role in building them with indigenous technologies and using the local ecosystem. Given that the EVTOLs transport people, the safety and reliability of every subsystem are critical. Therefore, EVTOLs are designed and tested in the most stringent conditions and certified by DGCA. Sona Comstar started working on the design and development of gearbox for EVTOLs with our expertise in gear technology, material science, thermal management and structural engineering. This product will enable Sona Comstar t

o play an active role in the future EVTOLs and drone space.

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Slide 19:

The next one is the point about the new product that is a 180-degree field of view short range sensors. NOVELIC acquisition brought us capability in the millimeter wave radar sensors, and we are proud to announce another major breakthrough with this product, the 180 -degree field of view short range sensors. The diagram indicates the use case where a typical passenger car would use four ultrasonic sensors when you do a reverse parking, this unique sensor, just one sensor will replace that, you don't need to drill holes in the bumper and you know, it performs much better function. It also has additional capabilities li ke kick-sensing tailgate or door protection. Additional

use cases are parking support and collision warning , which opens up use cases in affordable PVs as well as two -wheelers .

With this I hand over to Rohit for the financial portions. Thank you.

Rohit Nanda : Thank you, Praveen. A good day to you all. It's my pleasure to share our third quarter and nine -month results for FY25 with you.

Slide 21:

We'll start with the Q3 performance. D uring the quarter gone by, our aggregate revenue has grown by 12% to 868 crores ; in comparison with this, the underlying light vehicle market in North America, Europe and India, which are the three largest markets for us, grew only

by 1%. Our BEV revenue

continued to show solid growth; in this quarter, the growth was 48% in BEV revenue. It grew to 329 crores and constituted 39% of our Q3 sales. Our EBITDA adjusted for ESOP cost grew by 3% to 240 crores. EBITDA margin was lower by 2.3% compared to the same quarter last year and that's largely attributable to the change in product mix. A profit after tax should be seen after adjusting for exceptional expenses which were incurred on diligence work for certain inorganic opportunities. Compared like to like, our PAT grew by 17%, to 160 crores. The margin was higher by 60 basis points, thanks to the net finance income generated from investment of QIP proceeds.

Slide 22:

Moving on to the nine months performance, during the nine-month period, our revenue growth was 17%. The revenue number was 2,686 crores, compared to the underlying growth of only 2% in the key markets of North America, Europe and India. The BEV revenue growth for nine-month period was 52% and the number was 929 crores, and it was 36% of our total sales. EBITDA adjusted for the higher ESOP cost, grew by 15% to 763 crores. Our adjusted EBITDA margin is lower by 30 basis points compared to the nine-month period last year. And that's mainly on account of product mix, despite having a favorable operating leverage and lower input cost. Our profit after tax adjusted for exceptional expenses grew by 23% to 467 crores. Adjusted PAT margin was higher by about 70 basis points and that's mainly due to

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higher net finance income. The adjustment to profit after tax represents the cost incurred in relation to the diligence work for various acquisitions.

Slide 23:

This brings us to the last slide which is on the key ratios. I'll just talk about the key highlights here. So, on the improvement side of working capital and fixed asset turnovers have improved to 5.1 and 3.8 times respectively. Net Debt to EBITDA went further negative due to QIP fundraise in the earlier quarter and cash is needed for the quarter. Our return on capital employed and return on equity have seen a dip consequent to the QIP funds raised during the quarter but is expected to start improving once the funds are deployed and the new acquisition grows over the next few years. With this, we've come to the end of our Q3 earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: We will now open the floor for

the Q&A session. If you wish to raise the question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to up or you may also submit a question via Q&A chat box addressing to all panelists. Please be reminded to keep your questions for a maximum of two questions. If you have more questions, please return to the queue. Thank you.

Ok. We have the first question from Jay Kale. Hi Jay, your line is open. Please go ahead with your question.

Jay Kale: Congratulations for your investment in your technological advance customer like Clearmotion. My first question is basically, you know, Vivek, you mentioned that your BEV revenue growth of course, has been strong, but you also mentioned about inventory correction at your customer end. So are you seeing a case of a few BEV models of your customers are actually faring lower than even your customer's expectations and hence the transition of your stated order book to revenues could be lower than expected going forward.

And in the current context, do you still believe your revenues to double in a three years' time frame which historically has been your track record, of

course X of any acquisitions and the railway acquisition. How do you see that? That's my first question. I have a couple of more here. Oh, Vivek, your voice is not audible. Is it only me or for everyone?

Vivek Vikram Singh: Sorry, I was on mute. I said, yeah, that was many questions in one. So let me take them point by point. So yes, you're right that we have doubled every three years so far. But that does include inorganic. It doesn't, it's not exclusive because if you look at the history when we became Sona Comstar, we did acquire Comstar part of the business and that's how also some part of the growth comes from there as well. On your orderbook question, we don't see any major challenges because like I said, this is why the construct that we have is a net orderbook of 10 years. So even if a program gets delayed out, let's say by 6 months to nine months or even a year, the size of the orderbook does not change, the shape may change. And it is significant from a

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shareholder perspective that how soon does it translate into revenue but not the total quantum. To your point about BEV sales slowing, actually, that is one of the things that I found fairly puzzling. I think people are familiar with that line, I quote that line 'pratyaksh ko praman ki avashyakta nahi hoti', but this is one of those cases for five quarters where I have seen that "Pratyaksh hone ke bawajud praman ki avashyakta padti hai". Even after 52% growth, EV is

the part that gets the most questions. I think if you look at the data of EV sales even in India, by the way, or overall, it is far, far, far faster growing than the ice part. Actually, if I were to look at this quarter and say how much our EV revenue has grown and if I take out the EV growth, actually, we would have declined year on year because the ice part of it is actually what is under challenge. So, we don't, still don't see that much challenge. Yes, there are program delays, but they don't change the overall orderbook size. You had another couple of questions in there which I might not have answered. So which ones did I miss?

Jay Kale : No, I think largely you've, you've covered most of them. I just had one or two more. I just so you also did mention that of course, you're not supplying to

Chinese as much till now, right. So, if you could just, you know, elaborate on how you plan to diversify your customer base going forward. And also, you know, if I have to just pick up a, speak on the Chinese part, you know, it, it is

an interesting market, but at the same time, it's a very fragmented market and as management, when you choose OEMs within the Chinese OEMs, what is your kind of criteria or filtration? Because we've

seen many large OEMs also, there has been news flow of largely group backed OEMs coming under pressure or under trouble. So what is your criteria so that your orderbook, you know, is foolproof?

Vivek Vikram Singh : Sure. So first of all, I would like to humbly make this submission that we do not choose our customers. We are servants of our customers; our customers choose us. So we have no criteria for selecting our customers. We try to work with all customers who we think are wanting our products and see value in our product, that's how we look at the world. As suppliers, one should never get so arrogant to believe that we are in a position to choose customers. Customer is king in any business, and we never let ourselves forget that. Your point about the China market is actually very true, that not, it is immense, it is the largest car market in the world, right? Well, it is not that simple a market,

it has challenges in pockets, it has challenges in terms of fragmentation, in terms of supply chain distribution, it has geographic location challenges. So,

it is not a simple market. But then, you know, if we think of ourselves and hopefully, we are a good management team, we are entrusted to do the things that are difficult. So, we are actively looking at how to get into China, but anything that I can say will be premature at this stage. Let us have something concrete, and of course, the moment we do, we will share with everyone. We would, only thing I can share is, of course, we would like to be electric first as we are in every other market. And in China, it makes sense. If you look at, even our past strategy, we shut down our starter motor line 1.5 years ago in China to focus only on suspension motor s, right? Because we

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realize that, that market to have an ice product makes no sense. So that will be our playbook that EV makers will be of course, the one that we would desire more but open and happy to work with anybody who gives us the opportunity to work with them.

Jay Kale : Great, thanks. Thanks, and all the best. And I'll fall back on the queue.

Moderator : Thank you. And the next question comes from Jinesh Gandhi. Hi, Jinesh, your line is open, please go ahead.

Jinesh Gandhi : Yeah, so question on the same lines on China. So obviously that's the biggest market. But what are we doing to get a presence in that market and what it will take for us to win in that market?

Vivek Vikram Singh: So, same answer as I gave to Jay. A little premature because we have 6% of our revenue that comes from Asia, right now, it's quite small. We will, of course

it is on our radar. We are doing some things but let them come to fruition. No point talking prematurely.

The plan would be as you know, we have a motor plant there, from where we supply suspension motor products. The driveline product is where it's low

penetration, part of it is because of duties. There is a duty barrier between us and China, that China imposes import duties on our HS code, I think between 8 to 10%. For which some bits if you have to do, you have to do lowkey, so we have to figure that puzzle out, it's still not done, but it is on our radar. And whenever we have something that is concrete, we will announce it.

Jinesh Gandhi : Got it. And the second question pertains to our exposure to the US and the upcoming Mexico plant, given the changes which are happening in the US regime and the potential threat of tariffs. How are we seeing this risk in terms of 40% of our revenues are from the US and

the upcoming Mexico plant. Is there any rethink on the Mexico plant itself?

Vivek Vikram Singh: Yeah, I actually was surprised by this question from somebody else also recently. I don't think the auto component sector is as much at risk. I think if you look beyond the headlines and which we should right? Before making a blanket assumption, the imp

ort duty on auto compon ents imported from US and India is between 10 to 15% depending on which HS code. India duty to the US is about 2.5% . So, the entire difference, even if reciprocating tariffs were to be put, is between 5 to 10% depending on which category one is talking abo ut. Second and this is a far more logical one. If I believe that the president and his current administration view is to put America first and benefit America. The US automotive industry is fairly large and fairly important to the US economy. If they said that we will put duties on auto component imports from Mexico, China and India, I have no idea how they will make cars or then they'll live with cars that are, you know, 15 to 20% more expensive than they are. I frankly think that we are misreading the sit uation, it could be a great opportunity for India that with the dollar rupee decline currently, with the 5% drop recently, if you have to source, where would you source this

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from? Because making these parts in the US is not going to be possible. It will take far too long, and it will be far, far more expensive even with the duty thing. So, I think it's a far smaller risk for auto components. I think where all of this is stemmi ng from is the differential in duties between cars in India and US, that India imposes a 100% import duty on Auto, it is not the same for auto components. There is not that much of a duty difference. So that's my take on it. We don't think it's as big a ri sk as it's been made out. Mexico plant is starting with Mexico -to-Mexico sales to begin with. So, there is no rethink because though that's a local country to country thing which has no custom duty impact, etc.

Jinesh Gandhi : Got it, got it. And the last question pertains to our orderbook. So, what percentage of our orderbook would be from Europe in terms of European OEMs or sales to Europe?

Vivek Vikram Singh : Good question Jinesh. Yeah, because actually I know people ask us about the US, you know because Mr. Trump is in the headlines. Europe is the one that should be asked more, relatively small portion. I don't have the exact number, but a relatively small por tion is from Europe because as you might have noticed European OEMs have also not been giving out many new RFQ or purchase orders.

Jinesh Gandhi : Right. Right. And sorry, last clarification is, what is the stake in ClearMotion for this \$4 million investment?

Vivek Vikram Singh : So good question. And frankly, I should, we should have put it in our presentation itself. It will be when fully converted between 1.5 to 2% somewhere in that range. Rohit, would you like to clarify on this one?

Rohit Nanda : 1.6% .

Vivek Vikram Singh : Oh, Rohit obviously, as usual, is far more accurate than I am. 1.6%.

Moderator : Thank you. And the next question is from Gunj an. Hi Gunj an, your line is open. Please go ahead.

Gunjan Prithyani: Yeah, thanks team for taking my questions. I had two questions. Firstly, on the you know, on the outlook that you shared for Q4 that there'll be destocking in Jan and Feb, if I were to just like look beyond, fiscal 25 now, because you know, this is a desto cking, you know, leading to a refresh of cycle with the customer. How would you think about fiscal 26? And I'm presently looking to get your insights on, you know, on two parts one, the confidence on the conversion of programs that you s ee happening in fiscal 26. And secondly, you know what, you know, what does this refresh mean? Does it mean a substantial pick up in business from that customer going into fiscal 26, a bit more color on 26 revenue outlook.

Vivek Vikram Singh : Good question. Actually, in a way, it would mean some revenue shifting from Q4 FY25 to FY26, right? We, if we follow customer guidance, there should be

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increase in sales, bu

t for our purposes or budgeting purposes, we are assuming even if it is flat because of this quarter change and our financial year being different from calendar year, we should see higher revenue regardless even if sales remain the same of the refresh model, we should see increase.

Gunjan Prithyani: And anything on the conversions, Vivek, on the orderbook? What do you see? How is it shaping up?

Vivek Vikram Singh : Not bad. We're seeing some good convergence. Actually, some have started this quarter or are starting in March etc. A couple of large EV orders which are in the motor side, both the two large ones are both in India that are starting. There is one in North America that is starting, I would say at the end, near the end of the calendar year and one in driveline, which is also starting at the end of the calendar year. Apart from one, Gunjan, I think I spoke about it in a couple of quarters ago earnings call that one European EV OEM, whose order was supposed to convert in FY26, seems that it will convert now in FY27 to serial production, apart from that one instance, and there is one instance that I spoke about again, three quarters back, that was a Indian EV two wheeler, apart from those two particular orders, I don't know of anything else that has been delayed.

Gunjan Prithyani : Ok, got it. And I think, Vivek, you also referred to that suspension system getting into serial production, right? I mean, this was, if I recall, this was, you know, I think at least two years back when this was added to the orderbook, can you just refresh us, what is the potential annualized revenue that you know, that you're now looking at from this product line and have there been any progress in terms of, you know, new wins or, you know, how do you see that this product line shaping up going ahead?

Vivek Vikram Singh: So, good you brought that up, Gunjan. I think we put it in Q3 FY22, so it's been almost three years and it's a good thing that you asked and good also that shows how long our development cycles usually are. So, when we talk about something and when we talk about the future, we actually talk about a far longer term than a lot of other industries. So, it has started, I think at that time because it was three years out nobody gave it much importance, but for us, we have been working on it for three years, right? And now that it has started, we would not like to commit to annualized revenue right now because like I said, it just started with one model of one car maker, which I kind of have named. So, as it spreads to other customers, it could be very large. And I don't want to create false optimism by giving a number because the number, if you think about it, it's just like it is very, very big. So that's why I don't want to quote that number. I told you the total addressable market for ClearMotion itself is about \$14 billion, right? I won't go into our product costing, but we are a significant part of this BOM. And if we are a significant part of this BOM, a significant part of this number is our total revenue potential. How soon do we get to that? Of course, it will depend on how early people adopt it. I can share that, there has been one more OEM who has now nominated gear motion and they have a second customer and the pipeline as we know, and

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that's one of the advantages of being an investor. The pipeline has many, many more OEM conversations going on. It will be too again premature for me to talk about in the short term, that, what will it be in revenue in 2- 3 years? But I know that it will be a large part of our revenue in four or five years.

Gunjan Prithyani: Ok. All right. Just, if you can offer us an update on, you know, the railway transaction and I'll join back in the queue.

Vivek Vikram Singh: That, I will hand it over to my colleague, Rohit.

Rohit Nanda : So, that's progress

going well. We had earlier indicated a timeline of September end. It's still under discussion if all works out well, we may actually be able to close it sooner. But it's not a done deal yet. But, yeah, so we are progressing well, I would say.

Before we take up the next question, I would like to correct myself on the CMI question. There was a pre money post money issue. So, our equity stake will be about 1.5% and not 1.6%

Vivek Vikram Singh: Thanks Rohit.

Moderator : Next question is from Amyr Pirani, Amyr, your line is open. Please go ahead.

Amyr Pirani : Most of my questions have been answered, just a few clarifications. This, inventory stocking and de-stocking at one of your customers. Was it something unanticipated or is it generally how, you know, it normally works in your business or, or was it something which happened, you know, in a time

frame which you were not expecting?

Vivek Vikram Singh: So, I think one difference when I talked about inventory reductions in North America, that was a general comment for US carmakers and not particular customers. For the particular customer, it's not an inventory issue, so they're doing a model refresh. So, if you launch a new model, you will have to shut down making the old model, right? So, there is a two month, three month transition phase whenever a new model launch happens, which is major. Of course, this is a regular practice in auto, but the thing is we've not been listed long enough for it to have happened to us while being public because model launches are 5 to 7 years, you refresh. So it hasn't really happened since 2011-2012. So this is the first one. Second, it happens but if it happens to a customer who's a small part of your revenue, it is virtually negligible and not worth mentioning. But yeah, this happens to be a fairly large customer, which is why it is a smaller, sorry which is a bigger thing, sorry.

Amit Hiranandani: OK. Secondly, on the, you know, the US angle and the tariffs thing, thanks for the perspective that you gave on the difference between the fully built car and components on the tariff side. Coming back to the Mexico angle, you said that, you know, your sales are Mexico to Mexico, and you just forgive me for belaboring on that point, but your customer to whom you are supplying

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and with whom you will most likely ramp up. Is that customer mainly setting up their capacity for supplying to the US or is it also within Mexico?

Vivek Vikram Singh: So their factory is in Mexico. So if they export from there to all over Americas, but again, they, I don't think they can make any decision now, from that perspective. And again, I'm also, I know we have heard that the saber rattling, let it get implemented, you know, there is a, we have seen the same administration last time also and a lot of noise was made and it didn't get done really. So let's see, let's wait for it to happen before speculating. We are not very heavy capex people in general, as you know, we and I explain to you beforehand, for at least land and equipment, we always lease. It is machines which are fairly fungible to our production processes and can be shifted if that is what happens. So, although a relevant point, it does get taken up in our risk management committee as a proportion of our total investment and what is at risk? It is a fairly small proportion.

Amit Hiranandani: Ok. And just lastly, on the Chinese OEMs aspect, now obviously one aspect is going to China and supplying to Chinese OEMs from there, but Chinese OEMs, it looks like they are looking to become big in Europe and other parts of Asia as well. So is there an angle that you know, that your Europe revenue or you know, business can also be through these Chinese OEMs or do you think that you will have to start supplying to them in China to become relevant in other parts of the world?

Vivek Vikram

Singh : So excellent question, Amit, I mean, and this is something that internally also we have actually discussed, that which one comes first. So let's first take the problem in two separate ways. If not for this duty barrier, we would have had market share, fairly decent market share even in the Chinese market. But because of that, we have very little right. It's hard to come at a 10% price difference if you're not willing to sacrifice your own margins.

However, outside China, if you look at EV customers of ours, we are fairly competitive and almost always win against our Chinese peers for like-to-like products. This should mean, in just pure theory, similar, if the OEM was Chinese or European, if you're setting up a factory in Europe and sourcing locally, then the same thing should apply. But practically relationships and familiarity matters. And if you're doing a copy paste of your plant from China into Europe, maybe you want to replicate the same supply chain and not reinvent the wheel. So that's what I think is the point. It will not just be Europe, actually there are plants of Chinese OEMs coming up all over the place in Southeast Asia, South America. And we are seeing that the same kind of pattern is emerging, some OEMs do not go to a geography and figure out what is the best way to manufacture there. They are in a way replicating the Chinese plant and hence it may be or actually we think it may be a better strategy to get into China, get that familiarity and to then travel with them outside might be an easier way than to make your inroad through a foreign subsidiary of

the Chinese OEM. But yeah, I mean, we don't know if we're absolutely right or wrong on this one, but this is what we are seeing and we are trying both

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approaches. But I think the latter approach has a higher probability of success.

Amit Hiranandani: Ok, fair enough. Thanks for your thoughts!

Vivek Vikram Singh : But great question I have to add, that is a, I mean, this is something we've been deflecting now for a couple of years.

Moderator : Thank you and the next question is from Shruti. Shruti, your line is open. Please go ahead. Hi, Shruti? Your line is open, do you have questions for the management?

Shruti: My question was answered, thank you!

Kapil Singh : Linda, I'll take some questions from the question queue. So, one question, this is from Raghu, on the BEV traction motors, can you talk about the status of product readiness for 4-wheelers, and possible timelines for commercialization?

Vivek Vikram Singh : Sat, do you want to comment? I would say premature right now, is what I would say, but Sat, do you want to add?

Sat Mohan Gupta: I agree with you, Vivek. It's premature right now and we are still working on some of the designs and validations.

Kapil Singh : Then one question is, how do you see EV growth for CY 25 in major markets?

Vivek Vikram Singh : Oh, that's a very broad question. And I have to be a forecaster. Actually Kapil. I mean this, I thought analyst had to answer this, not people in the industry, we know our orderbook, we don't know industry, everybody. But I think this, so my guess is as good as anybody else's. But I think China will continue to electrify very strongly. The Chinese EV guys may just sweep and a lot of the legacy OEMs who are foreign, I think they will struggle a lot in China, especially the European OEMs. I think US, we don't expect a lot of EV volume growth. Europe, there should be EV penetration growth but then the total market also has to grow, hopefully that, there is some recovery. India should actually interestingly be one of the fastest growing EV markets in our view, one low base, two just the amazing range of new models that are being launched through this calendar year. I think there is going to be a very high EV uptake in India. Actually, the more and

more and this is obviously completely anecdotal, the more and more people I talk to, the, there is a strong preference to buy EVs and I think a lot of our OEMs in India have done a fantastic job of launching affordable electric vehicle models in the car space. Two wheeler space is doing fairly well. Three wheeler is coming to a stage where they don't even need any subsidy and they might just go 100% electric like very, very soon. Buses, light commercial vehicles, ditto the same logic. It's just becoming economically a better option. So India, China, Asia, in particular to electrify much faster, the US to be slow. Europe depends on the overall market, but penetration should continue to deepen.

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Kapil Singh : One more question is there, update on PLI.

Vivek Vikram Singh : Oh, ok, Rohit, can take that but we've got all the approvals on all our motor models. It is a more of accounting question, I think. Rohit?

Rohit Nanda : So, PLI, we've actually last time also updated, essentially the approvals and all are in place and the PLI disbursement for the current year will happen in the next financial year. So, so far it's not there in the PnL. We'll decide as to how we want to account for it depending upon the milestones and all. So yeah, so this is where we are. I don't think there is any major change from last time. Because now approvals and all are all out there in the public, you can actually find those approvals on the government website.

Kapil Singh : Will you consider accrual basis accounting, or this will be based on the cash?

Rohit Nanda : We are evaluating it. So, I mean, it's not a decided thing as yet, but this is something we are seriously evaluating. So we'll inform you know once the final decision on this is taken.

Vivek Vikram Singh : Yeah. So once again, Kapil, a good question and obviously, we know from

people such as yourself that there are companies in our industry, especially OEMs, who already started accounting for it, frankly from Q1 itself. We weren't sure and we have that debate, that one is accounting for accuracy. So that can only be achieved when 100% disbursement has happened and you receive money, right? But the second is to avoiding the lumpiness and giving, uncertainty and this quarter to quarter imbalance because it will only come once in every year. So we are debating, there are obviously pros and cons to both approaches. So we are discussing, we'll also have to discuss with our auditors on how because it is a new thing. I know a couple of people have been, I would say conservative, a couple of people have been not so conservative. So there are different approaches to how to recognize PLI revenue. But from the approval side, from the regulatory requirement side, from what we need to do in order to get it, all of that has been done, but that I thought was already public domain knowledge.

Kapil Singh : So, do we have a follow up Linda, can you check?

Vivek Vikram Singh : While you're doing follow up, there is a question in the Q&A queue from Asha about the software that goes into the component. I think we shared a while back that there are about 2 million lines of code that go into this on what we make for ClearMotion and it is in house. We have a software team, we have in Chennai, that is where it is done and we do not outsource anything core, there are repeatable things that you outsource to E R&D companies, but those are non-core and non-critical parts, but very little most of it we develop in house because it is application software, it controls the hardware that we make and hence we are the best place to write the controlling software for it. Yeah. So that was one question.

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Moderator : Hi, we have another question for Prateek Poddar. Hi Prateek, your line is open, please go ahead.

Prateek Po

ddar : Yeah, hi, thanks for the opportunity. So just two questions. One is while I understand you talked about model refresh and inventory destocking, typically at the production level that shouldn't happen. Right? I understand at the retail level. That was question number one. The second question was just to add on Jay's question.

Vivek Vikram Singh : Sorry, Prateek, I will answer this, otherwise I'll forget what your next question is. No, it will have a production thing, right? So let's say you are launching a new refresh model, won't you stop the production of the old model completely? It isn't a retail thing. It is actually far more from the production side. You have to stop the line of the running model and only start building the old one. But for that, in the selling side, you have to get rid of whatever is the existing inventory, and do not produce any of the old ones. While the new ones you introduce first in smaller quantities and then you ramp up, right. That's why that word ramp up of new model. That is, literally every time that is how it happens, actually, production has far more of that impact because you go to zero, you don't even like, go down, you go to zero for a limited period of time, let's say 45 days or something. And then you start building the new vehicle again.

Prateek Poddar : Fair enough to understand that this catch up of loss of production of 45 days should be covered in the next calendar. That's a fair understanding then?

Vivek Vikram Singh : Yeah, yeah, Prateek. I actually said that. In the first two quarters we should get it back, now exact month to month, you know, it gets harder. And we are trying to get this news, because it's negative, out before, otherwise this is just like it's just started so we don't even know when it goes, the curve goes back. But we have the schedules, as I said for March, so it is already coming back to normal in March. Now, how, so let's say it goes to zero, then it builds up to 20-40, then it will be months in which instead of doing 100% you will be doing 120 - 130%. But, from quarter, I can't.

Prateek Poddar : Surely. No, no, I'm not looking for that. The second question was just on Jay's follow up. I think you still are saying that with inorganic acquisitions, doubling of revenue in three years is possible despite, you know, we, I mean, there is a bleak outlook, at least on the, on the car industry side, right? So, that's a fair understanding?

Vivek Vikram Singh : It is, but you have to say not each point to point, but yeah, we finished our first one in FY24, first three years, so FY24 to FY27. Yes, obviously there can be 5% up down but that much, even we don't have, you know, foresight, but you know, far more than car everybody focuses because a car is the cooler

thing to talk about also in our industry. People should notice this commercial vehicle off highway is far more concerning actually right now.

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Moderator : Thank you and then the next question for Sachee . Sachee, your line is open, please go ahead.

Sachee : Hi, can you hear me? Ok, great. I'm so sorry to belabor this point on the demand for EV but just a couple of data points like the US has cut down some of these on EVs and in Europe, Chinese EV makers are eating European EV makers for lunch. In that context, why should we not expect some of the EV plants to basically shut down? Both from US OEMs and European OEMs. And why would that not be a risk to the orderbook?

Vivek Vikram Singh : Sorry, whose plants are shutting down?

Sachee : So given that in the US, the EV subsidies have now been basically, you know, removed. So some of the traditional OEMs that were, you know, that did have EV plants and EV programs in the US and in the European context, European OEMs are completely unable to compete with the pricing and features of Chinese OEMs. So why should we not expect

some of these EV programs to shut down in the medium term?

Vivek Vikram Singh : Yeah. I don't know whose EV programs are shutting down or not because, you know, again, I have very limited ability to read the future. But what I can tell you is what we are seeing and hearing from customers. We fortunately do not supply much to European EV makers in China. So yes, that is happening, but we don't have any exposure there. In the US and this is again completely speculative because we don't know what is actually going to happen. I think the pure EV makers will actually do quite well. However, the legacy guys who were starting new EV programs will probably suffer or get challenged. We are in most of the pure EV makers in the US, if not all. Anybody significant, we would be a part of and in the orderbook, there is not that many from legacy OEMs new programs to actually affect the overall trajectory. Yes, there could be a risk but it's not that major and Chinese OEMs like I said, we right now

have no exposure. It is, I would at least like to look at it as an opportunity to gain some market share to lose is not much because I know what you're talking about. But those European EV makers who are struggling in China or in Europe, we don't have that much share there. So not that much to lose.

Sachee : Understood. Have you, I mean, this probably, you know, illustrates my ignorance more than anything else but given that you have found a spot on the table with some of the legacy OEMs in the US or European OEMs have you been able to or is there a possibility to convert some of those relationships to supply to the ICE side as well?

Vivek Vikram Singh : So, Sachee, a good question, but actually, we were already there as supplies to the ICE models. So in fact, and I don't want to sound callous, but in a world where the legacy guys continue to make and sell a lot of ICE and the EV guys continue to make EV, that literally is the best possible outcome that I can hope for. Because in the ICE model, we have a much, much larger market share of the legacy guys. You know, our starter business is basically North America oriented, supplying to ICE models and hybrid models. So if they do

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well in that, we benefit a lot and let pure EV guys, we only supply EV products. They do well in EV, that's a great outcome. I don't know if this will play out exactly like it is. But if it does, we actually will, that is the best possible outcome of this entire debate.

Sachee : OK. And just one final point on Chinese OEMs where you have nothing to lose. But you know, you, there's an opportunity to gain market share. Are you outside of the duties because you mentioned there's a 10% that is a 10% differential, but you would be trying to gain market share there like, you know, or you would be trying to gain a new OEM or new EV OEM, if you see what I mean. Would you try to displace somebody from existing EV OEM or join hands with a new OEM? Where do you see that opportunity?

Vivek Vikram Singh : Without tipping our hands too much because you know, transcripts are read by all people, including our competitors. Of course, we as an ambitious company which likes and lives for growth, we'll try to get market share from everywhere we can. That includes China and that includes all the major carmakers in China. We will of course want it, how well can we execute on

it? Time will tell, and like I said, it's a little premature but we have to, it is just too large an opportunity to ignore. And we've been trying, let's see. So and that, that's about China. But if you also notice I think, you know, as well, we have not focused on the East at all right. In the last 10 years, which is the first decade of my stint here in this company, we have grown by focusing almost exclusively on the West and India. That's it. We did not actually even increase or do too many products apart from if you can call it EV two wheeler, three wheeler, traction motor that was specifically made for India. We have not been making products also which is towards the east, Japan, Korea, China. So Chinese, Japanese, Korean, all these 3 OEMs also we must target because we are getting down to that point. See when we started, we were at 2% -3% market share in each category. Even just by trying to focus on West, you can get it to a significant number. Today, we are 8.8% of the world. If we want to take it to 20% we can't do it by saying half the world we will not service. So yeah, there is a strategic shift in our focus that we will now not solely focus on West. We will do East plus West, we will focus on all of transport, which means India does come back into play as a fairly important market for us. The railways move was also part of this shift in thinking that if we have to grow and fulfill our ambitions, we cannot leave half the world unserved. We need to continue to build there too, so a slightly long winded answer. But I hope I can share how we are thinking.

Sachee : Yeah, this is very good and I think it's a great note, like 20% market share, if that's where your eyes are set, then I obviously wish you all the very best.

Kapil Singh : Vivek, I'll take the last question for the day. This is on the suspension motor that we have just about started building. If you could give some details about the IPR that we have developed for the suspension motor, as a layman, if you could explain what, what is the difficult part here. And then secondly, what would be our share of business when we supply to ClearMotion and can the

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order come faster? Because the first product always seems to take longer for the R&D.

Vivek Vikram Singh : So the third part, I'll answer, which is the more commercial part, of course, you need the first launch to happen as in any other industry when people see the product on the road. Like today, I could show you a video, right, that made life so much easier, in 2021 when I was trying to explain to the world what the product is, it was so hard. We had to actually make a wire frame animation to even illustrate and even that was lost. Most people thought it was something comparable to what German luxury carmakers had. And it is so different only when you see them side by side can you actually know that five times latency and what it means? So, yes, of course. Now the snowball effect starts and that's why I said three years is what we think it will take because whoever, now starts engaging the typical 32-month development cycle will follow. So, 3 -4 years that's a good time frame and there are of course confidentiality issues so we can't share too much about commercials and pricing and these things. But as I can say, we are a large proportion of the bomb here. You saw the product, you saw what we make, I mean, physically you can see it is a large part of it, right? Sat can though, I don't want to steal the limelight from Sat and Praveen, if they should talk about how difficult it was because not just is the part new, the equipment to make it also, in some cases didn't exist, we had to make the equipment also for making the part. So Sat and Praveen , have got this done. So let them talk about it.

Sat Mohan Gupta: So Kapil, I mean, from the product perspective, I mean, it is AUTOSAR compliant, which is the highest in the auto industry. It is FuSa SLC compliant.

The response time for this motor is less than a millisecond which Vivek talked about the latency. It's a very, very compact motor. I mean, with the copper content is very, very high in a very, very small size but was available to us to develop this motor. It's an integrated motor and controller. So you have one motor with a controller and inverter sitting on it. And as Vivek said, I mean, it's more than 2 million software lines there and

to make it AUTOSAR compliant, you need to be very, very sure that, I mean, both from the machine design, hardware design and software design, you have those provisions in, in the design itself to create a backup for any failures. It's a combination of a motor and the hydraulic module. So we haven't done as a group, we haven't done

this product and it's a very, very compact, very, very high, highly efficient, suitable for connected vehicles, electric vehicles. I mean, the current product is going on the electric vehicle and it's, you can use it for ICE vehicles, for hybrid vehicles and electric vehicles. So that's the advantage you have. I mean, it's you can use for any applications whether it's a four - wheeler , whether it's a sedan or whether it's SUV or M UV. So very, very compact and very highly efficient motor design, we have. Praveen, anything you would like to add.

Praveen Rao : I think you have covered all of the points. The few additional emphasis would be on being a very small package motor, the ability to handle high temperature, high pressure is all the more important and high vibration

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because the whole purpose of this product is to contract the vibration from the road. So the ability for this motor to sustain that high level, the vibration. So all of the IP relates to the a lot of development work, as Vivek said in the last many years. Of course, packaging it in a very tiny box to put it under the wheel, so that is the biggest challenge we had.

Kapil Singh: And on the share of business Vivek, can you comment on the share of ClearMotion?

Vivek Vikram Singh: Currently it's only us. It's, we developed it together. So yeah, as things grow and ClearMotion hopefully becomes a massive company. Who knows? But right now, it's just us.

Kapil Singh: Thank you all. It was the last question of the day. Thanks for joining this call and Vivek, I will pass it back to you in case you have some closing comments.

Vivek Vikram Singh: No, no. Thank you so much everyone for attending. I mean, as you know, we are a company that culturally puts bad news first and tries to get that. If it's good news, sometimes we go super conservative and keep it to ourselves till it's all done. But I hope we build a business that is also remembered for how we communicate, how transparently we act and how honest we are with our shareholders. So that is all. And yeah, thank you so much. See you next quarter.

Kapil Singh: Thanks to the team of Sona Comstar for joining this call. And Linda we can close the call.

Moderator : Thank you very much. Thank you everyone for joining today's call. Have a good evening. You may drop the line now.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2025

Date: 6th May, 2025

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter financial year ended on 31st March, 2025

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Wednesday, 30th April, 2025 on the financial result of the Company for the quarter and financial year ended on 31st March, 2025. The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination. Thanking you,
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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q4 FY25 Earnings Conference Call Transcript
April 30, 2025

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q4 FY25 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward- looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Thanks , Linda. Good day, everyone . To take us through the Q4 FY25 results and to answer your questions , we have the management team of Sona Comstar with us . I will just introduce them quickly. We have Mr. Vivek Vikram Singh, MD & Group CEO; Mr. Vikram Verma, CEO of Driveline Business; Mr. Sat Mohan Gupta, CEO of Motor Business; Mr. Praveen Chakrapani Rao, Group CTO; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head - Investor Relations; and Mr. Prat ik Sachan, from Corporate Strategy and Investor Relations Team. Now , I hand over the call to Vivek for the opening remarks and the presentation . Over to you , Vivek .

Vivek Vikram Singh: Thank you, Kapil , and welcome, everyone, to the earnings call for Q4, in

which we once again achieved our highest ever net profit, and this is despite the weakness in revenue. As we highlighted in the last call, one of our large customers transitioned a major model into an upgraded version in the last quarter. This change affected our supplies to this customer in Q4, and it did

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impact our revenue, particularly BEV revenue. The good news is that the new model production has been ramping up since March.

But now, as is always our policy when talking to our shareholders, we'll begin with the challenges.

So first, what's on top of mind for everyone, the tariffs announced by the U.S. administration, including on automobile and auto component imports, the details of which are obviously changing fairly dynamically. In our opinion, they will adversely impact the demand for cars and light trucks. Although we believe our competitive positioning will improve further if tariffs persist, because as a supplier to automakers globally, we may not be, we in fact are not immune to the demand and supply disruptions, but if you can look beyond the short term, I think there is also a lot of opportunity.

Second, global automotive production, and in this I include every market, may see disruptions due to supply chain complexities and high dependence on China, especially for rare earth materials.

In India, while we are working with the industry and the government and the Chinese Embassy to speed up the process of importing magnets from China, we're also evaluating alternate materials, including Ferrite, different grades of magnets, different technologies, as well as different supply sources. So to sum up, in a fairly confusing and uncertain time, we believe this trade war to be disruptive and adverse in the short term for the entire global auto industry.

However, in the medium to long term, we expect many opportunities to emerge from this chaos. We firmly believe that many weaker players may not survive this disruption. This should lead to further consolidation in the hands of companies with strong technology moats. Indian companies like ours that can provide world-class product performance and quality, and have robust margins and healthy cash balances, should emerge from this period much stronger than before. We've had this kind of disruption in COVID times also, and we enjoyed a period of very high growth and a lot of order book additions even in that time. And there is this ability, I think we have as a company, that when Brownian motion or random motion increases, we tend to benefit far more than our peers.

Now, as usual, we also have some good news. We ended this year with a few large order wins, which have taken our net order book to its highest ever.

And in the last week of March after the announcement of proposed auto tariffs, we received a large order for an upcoming new electric car in the

U.S. We also commercialized the new product, the steering bevel box which leverages on our strengths in forging and precision machining to develop the solution for a new application outside our traditional area of driveline.

We're also planning to enter a new area, which at this stage may be where EV was in 2016. So, as AI, 3D perception, and control technologies advance and compute costs keep going down, we expect a rapid adoption of

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humanoid robots over the next decade. These robots have potential applications in a lot of industries, services, as well as households, like all other mobility segments, motors, drives, gears, and reducers constitute more than 50% of the bill of materials for humanoids. So, we'll be leveraging our core capabilities to develop components for humanoid robots, which Praveen will explain later in more detail.

Slide 5:

Now, coming to the numbers, as we had explained last quarter, this was expected to be a weak quarter, and our revenue and EBITDA have declined by 2% and 5% respectively, because of that model transition at one of our larger customers that I spoke about. However, we did well on net profit, which increased 10% to our highest ever level of 164 Crores. Our BEV revenue, despite the drop in r

venue from a large EV customer, grew by 8% in absolute terms, and the BEV revenue share for this quarter was 35%.

Slide 6:

For the full year, like every year, we'd like to report our performance scorecard as managers to you on our 5 KRAs - financials, electrification,

business development, diversification, and new product development.

So I'll start with the financials. Our revenue, EBITDA, and PAT are up by 12%, 8%, and 16%, respectively, despite a lot of challenges this year. ROCE and ROE were around 18%, which is obviously lower than last year, but this is due to the capital raise or QIP that we did in September -24.

And on a side note, before we move forward. And please forgive me for a moment of self-indulgence, but I recently, in early April, completed 10 years

at Sona. When I joined Sona BLW, standalone revenue for FY15 and its net profit were around 346 crores and 29 crores, respectively. So, in my first decade here, we've seen the company grow 10 times in revenue and over 20 times in profit, which is only and only due to the great work done by Vikram,

Sat, Rohit, Balaji, Vaithy, and, you know, thousands of people who work in our team. I just want to express my deep gratitude to them for helping me have a fulfilling first 10 years, and as we look to 2035, I'm confident they'll help me deliver an even more amazing and transformative next decade.

Slide 9:

So strategic priorities, as you know, have been constant for the last 10 years, and you would have also seen us report on these 4 priorities each quarter. The first one of them is electrification. I'd say we remain as convinced as ever in its inevitability. There have been recent breakthroughs which may have been missed in all the noise around EVs. So, a couple of things worth noting are that the average battery charging speed has nearly doubled. And the fastest speeds have actually tripled in the last 5 years. If you look at BYD Super E platform, which has a charging speed of 1,000 kilowatt. It is possible to

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charge a battery for 400 kilometers of range in less than 5 minutes. These advancements in charging speed solve 3 critical challenges for EV adoption: affordability, range anxiety, and long charging times. At the same time, in a concurrent manner, battery pack prices have also been declining due to innovations in both battery chemistry as well as the economies of scale in manufacturing.

The global average battery pack price has decreased by 35% in the last 5 years and is expected to fall by a further 30% in the next 5 years. What that means is that faster charging times will allow the OEMs to use smaller battery packs in the cars. There is an example, the new S late that is being talked about. This is very similar to the trend seen in ICE cars in the 1970s and 1980s, when smaller engines and fuel tanks came about, and that actually increased the size of the car market by a lot. Now this trend, if you combine it with the decline in battery pack prices, what it eventually means is battery electric vehicles should achieve price parity in all the key markets, China, Europe and the US by 2030.

Slide 10:

Coming to our electrification performance, our BEV revenue has increased from 29% in FY 24 to 36% at the end of last year, and BEV revenue in rupee terms has grown by 38% to over 12.2 billion rupees in FY25. For us, the growth

in BEV revenue is actually more than 25 times the growth in non-BEV revenue.

We continue to build on our EV order book also. In Q4, we added a new EV program to supply driveline components to an existing customer in North

America. Overall, we added 4 new EV programs and 2 new EV customers during the year.

At the end of FY25, we have 31 EV programs in production, of which 15 are mature and completely ramped up, while 16 are in the ramp-up phase. The remaining 27 programs are not yet in production and will start

during this or the following years.

Slide 11:

We got a new EV order from an existing customer, like I mentioned. It's a North American OEM of EVs. We will supply the rotor-embedded differential sub-assembly as well as the epicyclic gear train for an upcoming electric SUV. We received this order in the last week of March, which was after the announcement of automotive tariffs in the US, which should also tell you a lot.

The supplies for this program are expected to start in the last quarter of FY26. We also commercialized a new product, which was in white in our tech road map, it has come into blue now, the steering bevel box which has applications in commercial vehicle steering systems. We received this order from an existing customer, a global OEM of commercial vehicles. The supplies for this program will also start in the current financial year itself.

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Slide 13:

Our next KRA, business development, we added 47 billion rupees worth of new orders during the year. This came from 37 new programs, which were won and 7 new customers, which were added. The year's revenue growth came primarily from the consumption of 31 billion rupees from the order book. Hence the net addition to the order book was 16 billion rupees.

Slide 14:

Which brings me neatly to a net order book which at the end of FY25 stands at 24.2 thousand crore rupees or \$2.8 billion. The EV contribution to this order book remains high. It's at 77%.

Slide 16:

With that, we come to a fourth KRA, diversification. The trend of increasing electrification and decreasing ICE dependence continues unabated. And this year, we've seen the ICE-dependent revenue share shrink to only 9% of our revenue. The slower demand in Europe obviously meant that the revenue share from hybrid and micro-hybrid vehicles has been lower than in the previous year.

Slide 17:

Geographically, pretty much similar to last year, North America was our largest end market, contributing 41%. However, if we factored in the railway

business that we announced the signing off on a pro forma basis, India is now the largest market with a revenue share of about 43%. Which will be followed by North America at 33%, Europe at 19%, and others at 5%.

The fastest-growing segments for us this year, from a product perspective, have been EV traction motors and EV differential assemblies. And this is reflected quite well in the product mix change. The weakness in commercial vehicles demand has resulted in the share of revenue from this segment declining from 14% last year to just 11% this year. And also, that you see if you look at it broadly, auto to non-auto today stands at 90% to 10%. But if you look at the pro forma basis, I think it's already 70%-30% as we stand today. With this, I turn to our group CTO, Praveen, to update us on technology. So, Praveen, over to you.

Praveen Rao: Slide 19:

Thank you, Vivek. Good evening, ladies and gentlemen. I'm very happy to present our latest technology roadmap and technology priorities. As you all know, our technology is at the core of what we do at Sona Comstar, and therefore, it's important to represent and communicate our evolving roadmap. So, in this representation, at the apex of this truncated pyramid is our strategic priority, that is EPIC Mobility - Electrified, Personalized, Intelligent, and Connected. As you would notice, we have expanded our market from

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automotive to drones, eVTOLs, AGVs, AMRs, industrial robots, and humanoids, which I will talk about.

The base of this pyramid is represented by our legacy products, shown in black. As the products scale the pyramid, they move from components to subassemblies to assemblies. In the process, continually adding value to the customer. The color representation, black, blue, white, indicates the journey from legacy to current to future products. As we continue to add new product lines, our goal is to play a larger role in the rapidly evolving EPIC mobility space, thereby growing our wallet share with the customers. An example here is the steering bevel box using our high precision bevel gears and low friction torque of the gearbox, providing exceptional steering

accuracy, driving comfort, and ease of installation on the vehicle. This map also represents our vision to evolve from a component supplier to a full system supplier, encompassing our growing capabilities in materials, system engineering, embedded software and hardware, and functional safety. This roadmap has intentional wide -open spaces, and these are to be filled up by new product lines , which will be part of our future communication.

Slide 20:

From Star Wars to CS 2025, the excitement around humanoids was palpable. Names like Optimus, Walker, Digit, Atlas have become part of common lingo

now. Humanoids in our day -to-day life is closer to reality than most people agree. From industrial and logistics to commercial applications and finally households , these all -pervasive humanoid robots are going to play a

dominant role in our very lifetime. One estimate puts the total of 10 million humanoids by 2035. It's a very important megatrend not to be missed. Sona

Comstar , with its strong capabilities in gears, sensors, motors, controllers, embedded hardware and software, is uniquely positioned to ride this wave. At the heart of these humanoids are actuators which control practically all

aspects of motion, linear and rotary. They also contribute to over 50% of the US\$ 35,000 to 50,000 bill of material cost. We have begun exploratory work in

components and systems that will get us into this field faster. We will also leverage our capabilities across our driveline, motor, and sensor divisions to offer integrated products like rotary linear actuators and vision systems. On that note, I will hand it over to Rohit to cover the financial update. Thank you.

Rohit Nanda : Thank you, Praveen.

A very good day to you all. It's my pleasure to share our 4th quarter and full year results for FY25 with you.

Slide 22:

First the 4th quarter results. This was a weaker quarter compared to the 4th quarter of last year. We've clocked a revenue of 868 crores, which is a drop

of 2% from Q4 of last year, whereas the underlying markets in North America, India, and Europe grew by 1%.

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Our BEV revenue grew by 8% to ₹294 crore , and it constituted 34% of our quarter's revenue. This quarter, we've also accounted for PLI income for the full year FY25, and going forward, we intend to do so on a quarterly basis.

Our EBITDA adjusted for ESOP costs for the quarter was 240 crores, which is a drop of 6% from the last year. Adjusted EBITDA margin was 27.6%, which is a drop of 1.3% compared to fourth quarter of last year, and it's primarily on account of change in the product mix. Our profit after tax , adjusted for ESOP

cost and exceptional expenses , was 170 crores, which is a growth of 10% over last year. Our PAT has grown despite lower EBITDA, and it was primarily because of the net interest income, which has come from the deployment of cash surplus and QIP proceeds.

Slide 23:

For the full financial year 2025, our revenue grew by 12% to 3,555 crores.

Compared to this, the underlying light vehicle sales in our key markets of North America, India, and Europe grew by only 2%. Our BEV revenue for the full year grew by 38% to ₹1,224 crore and BEV share of revenue increased to 36%. At the EBITDA level adjusted for ESOP costs, the growth was 9% to 1,003 crores. This is the first time we've crossed the landmark of more than 1,000

crores in EBITDA in one year. Our adjusted EBITDA margin was 28.2%, which is 60 basis points lower than the last year. While we had positive impact on the margin

from the lower input prices and operating leverage, this was more than offset by a change in the product mix. Our profit after tax , adjusted for ESOP cost and exceptional expenses, grew by 19% to ₹636 crore. Profit after tax growth was higher than EBITDA growth due to higher net finance income from cash surplus and QIP proceeds.

Slide 24:

This brings us to the cash flow slide, which we present every 6 months. So during the full year FY25, we've generated Rs. 775 crores of cash from operations, and we've deployed about Rs. 415 crores in Capex that has left us with Rs. 360 crores of free cash flows. We also raised QIP funds in

September of 2024, so net of expenses, that amount is 2,370 crores. Besides this, the bigger items were dividend distribution of 190 crores, which is a cash outflow.

There was a reduction in the borrowings by 220 crores, and we invested about 60 crores in NOVELIC and Clear Motion Inc. At the end of the year, we had cash and investments balance of about 2,673 crores. Part of these funds, as you may know, would be used for the acquisition of railway business from EK L.

Slide 25:

This brings us to the last slide. So, in terms of the key ratios, I'll just go through the highlights. Our valuation to employee cost ratio continues to be strong at 5.8 times. It's slightly lower compared to the last year because of higher

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ESOP cost. Net debt to EBITDA continues to be negative. Working capital turnover ratio has further improved to 5 times. On the other hand, fixed asset turnover ratio has declined to 3.4 times because we had a very high capitalization this year of around 400 crores. The operating results of this capitalization we'll see in the following years. Our return ratios have come down a bit compared to the last year. That's primarily because of the capital raise we did in the year.

With this, we've come to the end of our Q4 earnings presentation and I'll now hand the proceedings back to the Nomura team.

Moderator: Thank you so much. We will now open the floor for the Q&A session. If you wish to raise a question, use the raise hand function located at the bottom

right of Webex. We will unmute your line and prompt you to speak up. Or you may submit your questions via Q&A chat box addressing all panelists. Please be reminded to keep your questions to a maximum of 2 questions. If you have more questions, please return to the queue. Thank you.

Kapil Singh : Hi Vivek, while the question queue builds, I'll just take one question. I would say not only me but a lot of investors have also been worried about or wanting to know that from, you know, because there's been a lot of uncertainty relating to tariffs, how are the customers reacting to this? What are you seeing in, you know, not only in terms of schedules, but also in terms of their long-term thinking. Is there a need for you to evaluate setting up facilities outside India in the US?

Vivek Vikram Singh : You know, I know there is a lot of uncertainty, but as they say, risk can be modeled, uncertainty is not modellable. But very interesting is in the last 1.5 months or so since this started, I've had 20 times the calls from investors and journalists than I have from customers. Actually, apart from one customer, nobody has really called us. So it also shows, I'd say, how much short-term events impact what kind of thinking. Most of our customers have been with us for, you know, greater than a decade. You do not and cannot uproot or change supply chains as quickly as people assume, it takes years. But anyway, I'll try to answer or try to bring some certainty, although I mean, it's not like we have any better information than anybody else. Last night we also found out what everybody else found. But it is this. So if you look at the announcement, last night and the 85% of MRSP, so which means everybody in a way gets 3

.75% for next year and 2.5% for the year after that. For most of our customers, that's actually then we don't have much of an issue. Second, USMCA exemptions are also there in this circular. Net net we have 40% of our total revenue to US, in which we have identified 3% where there could be some risk of either revenue loss where they could look to somebody local, which somebody can come at a better price than us. That is the extent of the impact that we know of. Almost everything else seems to be, at least for the two-year period, nil to low risk. So that's the long and short of it. I actually believe this is a massive opportunity wave for people who know how to take this opportunity. Our competitors in both our major product categories tend to be from China. And in an event in which tariffs are imposed on every

country, it is basically then your relative pricing that comes into place. And then the gap has actually widened much more. So if you look at 2018 and the first tariff cycle in which China was tariffed at 10%, I think at that time, that gave us a huge window to increase our market shares in the US. This one is far bigger than that.

Second, they are also closing, I think, back doors, like Southeast Asia, Mexico, etc. where people could just reroute goods. I think those have also effectively been closed because now they're talking about US content. Almost, not almost, actually all the customers we have in the US are doing the final assembly there, so we are in fact fairly well positioned. There is one thing that everyone should keep in mind, as I started in my opening comments itself,

that regardless of where you are, who you supply to, so we may be relatively very well positioned, but there is going to be impact on demand. There is also going to be supply chain stuff, you have seen semiconductor chip shortage.

You don't have a thing like a 99% car, right? Even 1% is blocked in some country, that has a demand impact. That we can't really model right now because it's not really known. The tariffs actually haven't yet kicked in, so we don't know what we don't know, but we are fairly agile. Tactical agility is, I would say, one of our greater strengths as a company. So, yeah, I hope I've shed more light, but 3% of our total revenue is what we would say is that medium risk in the next 12 to 18 months.

Kapil Singh : Yeah, so just wanted to also hear your thoughts on, is there a need to set up manufacturing in the US or that is ruled out.

Vivek Vikram Singh : You know, it's a tough question to answer, but in this one month there have been 3 or 4 changes already. We will wait for the dust to settle before we make any committed investments anywhere, but as you well know, we have a plant in Mexico. We have a plant in the US. We are actually in the process of another plant in Mexico. And yeah, if really required, we can put up a final assembly plant in the US. It's not like it's something we can't do. We, it is not

something that will happen in the next 12 months, obviously it takes 12 to 18 months to do any of those, but we will wait for dust to settle more clarity to emerge around how this plays out. We have received zero requests from any customer to do anything.

Kapil Singh : Okay, I think the question is also built up, so I'll pass on to Linda to start taking the questions.

Vivek Vikram Singh : I know that you're utilizing your privilege of host by jumping the queue.

Moderator : Thank you. Okay. First question is from Gunjan. Hi Gunjan. Your line is open. Please go ahead.

Gunjan Prithyani : Hi, thanks team for taking my questions, just a couple of questions from my side. Firstly, could you clarify the PLI accrual for this quarter and full year, so that we can accordingly, look at the FY26 margin as well.

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Vivek Vikram S

ingh : Sure, PLI is always Rohit Nanda's subject, so I'll let him comment on this.

Rohit Nanda : So Gunjan, we would not be disclosing the PLI numbers separately because of customer confidentiality and commercial reasons we've decided not to disclose it separately, but we've recognized the full year, PLI income in the 4th quarter. So if, let's say if we have to take out the first 3 quarters impact, that would be about 19 crores.

Gunjan Prithyani : Okay, so first 3 quarter impact would be 19 crores, so I mean that only that, yeah...

Vivek Vikram Singh : So I will add to it Gunjan, so basically, look, 8 motors have received certification and approval. The capex, etc. for all of those have been done, and the approvals came at various dates. So, if you net off the expenses which are associated with getting said approvals and the audits done, that number is for the 3 quarters is around 19 crores.

Gunjan Prithyani : Okay, got it. And while we are at this, you know Vivek if you can also talk about the whole traction motor opportunity, you know, while there's a lot of uncertainty in the other parts like you mentioned that, you know, India, is going to be big with railways, traction motors. Could you just talk about, you know, some of these segments as well?

Vivek Vikram Singh : So yeah, I mean, India opportunity as you know, is actually you know better than me, what the India automotive segment and opportunities are. We continue to have fairly...

Gunjan Prithyani : No, I mean more from traction motor perspective

Vivek Vikram Singh : So traction motor right now we are in two -wheeler and three wheeler. Of course we want to expand to light commercial vehicles, buses, passenger cars, but that will happen in due course. Nothing. We foresee at least for this

year, it is growing quite rapidly on its own. We are developing high voltage traction motors because to approach the bigger weight segments or larger vehicle category at low voltage is not, not a sustainable way of doing it. So we want to get it first time right. So we want to go with high voltage. As you know from, well, grade 10 physics, power is voltage x current, so the higher the voltage, the lower the current, which means lower wires, lower wire harnessing, so lower the cost of doing that motor and inverter set. So that's where the efforts are right now.

Gunjan Prithyani : Okay and, you know, going to this humanoid opportunity that you talked about, is there any timelines to it? What stage of development we are at, and you know, if you could talk more in terms of, you know what is the competitive landscape here from my understanding a lot of this is China focused at the moment, so I'm just trying to understand, you know, how do we stand in terms of competitive positioning and what stage of product development we are at.

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Vivek Vikram Singh : So, excellent question, Gunjan. In a way, the answer to your question is also there in your question. Currently, this supply chain is pretty much dominated out of China. Now if you look at what is happening in the world, we are, it is not a tariff and everybody looking at one segment. It is actually a global trade reset pretty much. Now that supply chain has to shift. When that supply chain shifts, people who are capable and who have the competence to develop parts around gears, reducers and motors have a far higher likelihood of success. However, as you know, in any technology readiness level, even if you go to level 7, which means you have the prototype ready, it can be installed in a vehicle, if the customer doesn't give you an order, it doesn't mean anything. So we are at a certain technology readiness level, but success, as you know, in these things is binary. When we get an order, we will make that white circle blue, and we will tell you what we have won, but till you win, it means nothing. If you

have the greatest product in your lab and you can't sell a single unit, it doesn't have really any meaning, but we've been working on it for, let's say, almost a year now, so we are fairly confident, but commercial success is the only success that will matter and that remains as always binary.

Gunjan Prithyani : Okay. All right. I'll join back the queue.

Vivek Vikram Singh : Thank you, Gunjan.

Kapil Singh : Yeah, so Vivek we have a few questions from the question box. These are from Jinesh. So one is, how do you think about your ongoing investment in

Mexico for compliance with USMCA? Would this plant be more of an assembly plant with a large part of value -added in India, and what is your investment in Mexico plant?

Vivek Vikram Singh : Wow, a lot of questions rolled up into one question. So we are going ahead with phase one. It is currently in progress. Our first few customers are actually

Mexico companies producing there. So it isn't for USMCA, for us at least, if that customer re -exports to US, that would be their thing. The first customer is actually not in the HS codes in the auto tariffs. So, as you know, heavy trucks, off-highway vehicles, etc. not included in the auto tariffs. So that's the first set of customers. Investment, etc. Rohit, you can talk about.

Rohit Nanda : At this moment, we are looking to invest a number which is below \$10 million. That's the first stage.

Kapil Singh : Okay. The second question is, are we largely done with the inventory restocking at the key customer? By when do you expect normalized sourcing from the customer?

Vivek Vikram Singh : Good question, but a little early to tell, as, Jinesh, I mean Jinesh is fairly well studied on this subject, so he will know it's only been a month since the new model launched. So how much time it will take to go to ramp up and go back to what the earlier model run rate was, we don't know, a little early. I

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think we will know by the end of this quarter, by the end of June, that how much time will it take to get to the run rate of previous production.

Kapil Singh : And third question is, how should we think about margins? FY25 adjusted for 19 crores is around 25%. Should this be back to over 26% as the key customer production normalizes.

Vivek Vikram Singh : So two things there, One, 19 crores is just one thing that has been taken. There were also one-time cost this quarter which were fairly significant also, that we have not netted off. If we net that off, Rohit, that would be even a smaller number, right.

Rohit Nanda : Yes. Not disclosing that number, but the thing is that I hope you are adjusting 19 crores both from revenue and profit. So, the margin is actually more closer to 26% if you were to do that, anyway, and yes, there are a few one-time costs which are in the P&L done in this quarter.

Vivek Vikram Singh : So, how it will go forward will depend on how each different geography does. Again, we are only at the end of the first month, and tariffs still haven't kicked in the US, so we don't know what demand outlook will become. Second, railways, as you know, will start adding from 1st June. Now the moment you add an 18% EBITDA business to a 27% EBITDA business, obviously the numbers will not stack up to the same 25-26. So end of next quarter we will give you a range, but if you just do the math that you take 27% is what we did 27% x 80 and do 18 x 20, you will come to somewhere closer to between 24 to 25. So that's very logical and mathematics.

Kapil Singh : Okay, there are few more that have come in on the question box. This is from Ayan. Is there any impact of China's restriction on rare earth magnets on production of traction motors?

Vivek Vikram Singh : So I did cover that in the opening statement itself, but happy to do it again Ayan. We have inventory right now, so nothing yet. We are working

with our

suppliers to do get them the export licenses. So you can give more details on other efforts also we are trying to make.

Sat Mohan Gupta : We are also working on alternate raw material and the magnets both which are not having heavy earth. So, many front we are doing, I mean, we are working with the government officials, we are working with the suppliers, existing suppliers, new material, new grades, to ensure that's, I mean, we have the continuity of production in our lines.

Vivek Vikram Singh : Thanks, Sat, but just to give everybody context, magnetization can be also achieved with lower grade magnets. They can even be achieved by ferrite magnets, to be honest. It just makes the motor much heavier, so it's not very efficient. There are different grades. Some things, heavy rare earth may not be available, some are. So there could be compromise on the product bit that you let go of certain weight restrictions in which we are working with our customers. So this is not an unsolvable problem. It can have some short-term

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impact if we can solve it directly and get the supplies started in the next 4 or 5 weeks. The impact is pretty much nothing. If not, also we are working on, like I said, Plan B, Plan C, Plan D, all sorts of plans. We're also exploring other sources and other suppliers who are not in China.

Kapil Singh : Okay, then, another question we have from Rituraj. With respect to non-BEV business, our revenues have consistently declined for last 3 quarters on a YoY basis. Just wanted to understand the challenges the company is facing in this business. How do you expect this overall business to evolve in the next 18 to 24 months?

Vivek Vikram Singh : So non-BEV revenue, there is no challenge as such. Non-BEV revenue is basically starter motors, which, as you know, although a lot of people would tell you that EV is not growing and ICE is growing, ICE is actually declining, so starter motor revenue is on a natural decline path as EV penetration goes, starter motors will decline, especially the ones which are pure diesel and gasoline, which obviously we shared in our product distribution. In Driveline, it's actually not anything to do with our thing. We have a large market share. However, if the industry, the underlying industry does not grow, it is obviously challenging to grow when you already have high market shares, especially in India. It can be explained why last year was not so good for commercial

vehicles and, off highway vehicles, and hence that bit is there. But there's nothing, I'd say at the company level.

Kapil Singh : Okay. Then this question is from Kartik. Who do you think is likely to absorb the tariffs?

Vivek Vikram Singh : Okay, so as tariffs are taxes on whoever imports it, right. We mostly do either

Ex-works or DAP, so we are exporters. We are not the importers. So tariff is paid

by whoever imports it. Now 25% tariff is not something that can be absorbed

by anyone because nobody makes 25% net margin. Which is why eventually

the consumer, the end consumer pays for it in the form of higher end product

prices is what eventually happens. And again, there is no such thing as like

5% you take 5% I take. I saw some analyst who done a 25%, half the EBITDA

and say 12.5% one person will take 12.5 % other, which is the most simplistic

way to look at it and the perhaps the wrongest way to look at it. It is going to

be binary because what will happen when you have something that was,

let's say ₹100, now it became 125. You can either ask the person who was at

100, that, hey, my price has become 125 , You give me a 25% discount . To the

answer of that is, of course not. What do you do then is try to find someone

who is lower than 125, right. But if you have done this to every country in the

world, effectively the new price is 125. And hence either you find someone, in wh

ich case you will switch to the next guy, which is why I said that in 3% of

our total revenue there is medium risk, but the risk is not a margin dilution. It is

actually that that business might just disappear. They will give it to whoever,

even if it's 5% less, it will just go. So that's how it plays out in real life. There is no

distribution. Unfortunately, as has been observed over the last 100 years,

whenever tariffs have been done and tariffs have been done in many

countries. Eventually, the consumer pays is what the net conclusion is. One

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example very close to home is if you ever bought expensive cars in India. I

can guarantee you, BMW or BMW suppliers are not absorbing the tariff , you

are. So you buy a car at double the price of what it would cost in Germany

or UK because the Indian governments put those tariffs. Same thing. This is

where it plays out, but yeah, of course, what is the impact that because the

prices are high, far less numbers in volumes will be sold because the prices

have become higher and demand is not completely elastic. It is inelastic.

And how much inelasticity is there in the system, we will all together find out

over the next 6 to 9 months.

You know, I'm being asked all these economics questions. I took one elective

in my final year of engineering, and I had one semester in my business school,

and my total knowledge of economics is just that.

Moderator : Okay, the next question is from Ja y Kale. Hi Ja y, your line is open. Please go ahead.

Jay Kale : Good evening. So my first question is, we have seen some of your US

customers, you know, speak about past 2 -3 months refocusing on some of

their ICE projects given the you know, softness in EVs over there. So in that

context, are you seeing any green shoots for your traditional ICE business in

the coming years, which was expected to steadily decline?

Vivek Vikram Singh : Strangely, yes, so that's been one of the I'd say weird second order impact of

all of this which is going on, that we are now suddenly getting starter motor

RFQs which had kind of dried up, pretty much completely. Last couple of

years we were not getting a ny starter motor RFQs. We have suddenly have a

lot of starter motor RFQs. In fact, last quarter we won a couple of large starter

motor orders, so different and again excellent question Jai, because what

does it also speak because nobody will set up capacities, new capacities for

a declining product it would mean people who are relatively better positioned which means they are outside China and maybe outside Europe ,

which pretty much means you have to be in India or US , you will get a lot of

new orders, is what I think is a fairly visible second order impact.

Jay Kale : My second question is regarding your Clear Motion and your suspension motor. You had a order win and probably the supplies would have started.

Any conversations on this technology with other customers in advanced stages? How is this technology getting adopted by other customers, and we

had mentioned about very big TAM, how is that progress going on with new customers?

Vivek Vikram Singh : So, Sat do you want to update on the launch? This one is the one exception

we'll make because it is disclosed. And the customer, end customer is Nio , so

we can talk about that.

Sat Mohan Gupta : Yes Vivek, so CMI launch or the Nio launch happened, in the last quarter. The vehicle which is ET9 is doing pretty good. We are getting a good reviews from our customers as well as from CMI. So far it's looking very great, I would say

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and there is a lot of opportunities. We are in discussion with the customer on other vehicle applications. So it's a very nicely taken by the industry and it's doing a pretty good job, so.

Vivek Vikram Singh : Then Ja y, if you can get some videos or an

y feedback from the Shanghai

Auto Show, where this was displayed finally to the public in full, you'll see that it was quite well received.

Kapil Singh : Okay, Vivek, there are a few more questions in the queue. I'll just read those out. This one is from Ajay. Are there any plans to open offices or factories in China as they seem to be leading EV vehicles?

Vivek Vikram Singh : We have a plant in China, where we do these suspension motors, so we have a team there. So that's already there. Anything more, of course we are always exploring new opportunities, and I don't think if you want to succeed in automotive from a supply chain perspective or a market perspective, you can do it by ignoring China. I don't think ignoring China is a wise option. So we will continue to work. We are not political or ideological, we are a company. We will continue to work with our friends and customers in the US. We will continue to work with our friends and customers in China. And if there is opportunity, certainly . There is nothing concrete for a second plant, but if it happens, of course, we'll let you know.

Kapil Singh : Okay, and then there is a question from Ji nesh, a clarification: the one -time cost that is significant and not disclosed, is it related to acquisition of railways or something else?

Vivek Vikram Singh : Rohit, would you like to take that?

Rohit Nanda : So, acquisition -related costs anyway are separately disclosed so that we've shown as an adjustment to PAT. So, this is some other one -time cost.

Kapil Singh : And did you indicate adjusted margins would have been 27% without this cost?

Rohit Nanda : So I think Vivek has broadly answered this. I think, the thing is that like I said in my commentary also there is a change in the product mix also . This quarter

like we informed during our last quarter call also, because of certain model changes, there is one part of the business which was adversely impacted in this quarter. So suffice it to say I would add that basically the margins were lower in this quarter primarily because of the change in the product mix. So going forward, the margin obviously will be a function of how the product mix changes. I mean if it reverts back to the original product mix, yes, we revert back to the original, or earlier defined, you know, margin limits , which we say like 25 to 27% is the range which we give. So finally, that's the range it should be in. So we don't want to be pinned down to a specific number whether it is 27% or 28% or 25%.

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Kapil Singh : Okay, and then there is a question from Rishi. Sona was planning to develop a Magnetless motor. The constraints on rare earths pushed them to accelerate this development?

Vivek Vikram Singh : I would say yes, that would be the wise thing to do, that we should accelerate, there are limits. I think we have updated on this before that it wasn't reaching the required efficiency. The technology is very sound. The efficiency wasn't coming to that. But we will continue to work on that. It's

good to accelerate that for sure. That is on Magnetless, but as you also know, I think in 2021 itself, we had announced the development of a non -rare earth,

or rare earth free motors. Those we already have and as I mentioned that we can do them even as of today, but that requires a customer acceptance.

Like I said, it does increase the weight of the motor, so we need customer approvals for those. Maybe customers will have more urgency and hence they will approve . But net net, I have to say one conclusion we have to draw that if any material's supply can be used as a geo -strategic negotiating tool,

we must find ways to counter that threat in the future. So it's a good wake up call that anything from anyone that you depend on totally, you should not. It is a less dependable world now.

Kapil Singh : Sure, Vivek I had a couple

of questions on your products.

Vivek Vikram Singh : There's another question which is actually quite good from Shrivatsa . Let me just answer that because I can see the Q&A box. Does your software have adjacency for humanoid robots, because it is a really good one. See NOVELIC 's specialty is in radar sensors. So as of today, not really, because the first wave of humanoid robots that are being developed, we've explored this a great length by the way, are not going to be used in situations that are very hazardous. Radar comes into play when cameras are not enough, like you are going in rain, snow, where visibility can be restricted. Currently that is not the case, so there is limited applicability of radar, which is why motor and drive line is what we are focusing on. Also as a part of the bomb, it is just much, much bigger.

Kapil Singh : Okay, thanks. Actually that is what even I was going to ask. So then one more question is on the other new products. So what will be the content per vehicles for these products if you can give some indication, and would it be fair to say that one of the reasons that you have also won these orders despite the tariffs changes is because there is, there's no competition for this type of products.

Vivek Vikram Singh : Less competition. There is never no competition, by the way. Competition is what keeps you good. Competition directly causes excellence. A lack of competition is actually a very sad state to live in. So, there is limited competition on that scale of precision and a top delivery capability. And as Praveen very nicely depicted in the technology road map, the goal is to continue going from component to subsystem to system to ensure our customers get what they want, and their pain points are addressed. We really do not, I know it might sound ideological or philosophical, but what we're

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trying to do is solve the customer's pain and give them that solution. Rather than say this is the value per vehicle that is... The customer doesn't decide because of what we want, the customer needs to get ... so who do you put first? I know it's a philosophical point, but for us it's always going to be customer. What they want we should be able to do and give the best solution we can and not think of how much value do we get if your capabilities sets keep increasing and you solve bigger and bigger problem for your customer. The value you derive from that will obviously and naturally be higher and higher, so that's, our answer to this.

Kapil Singh : Any indication on the value per vehicle? For both of these actually.

Vivek Vikram Singh : No, there's no point. Why would I give out. I mean, you're asking me to give price while I'm saying it is competition sensitive, that'd be pretty self-goal type event.

Kapil Singh : Sure, I think we've run out of all the questions in the question queue. I do see one raised hand, so, Linda will you take that question from Jay?

Moderator : Yeah. Okay the next question from Jay. Hi Jay, your line is open. Please, please go ahead.

Jay Kale : Yeah, thanks for taking my question again, just one question, you know, now with EV two wheelers present in the market for quite some time, from an EV specific components like motors, you know, strategy of OEMs of insourcing versus outsourcing, probably now would have been more evolved. Are you seeing, you know, one way the OEMs are going that either, you know, incrementally they're thinking of more of insourcing or do you think that, most of the OEMs will continue to have outsourcing of EV specific components. Vivek Vikram Singh: I think there'll be a mix, as it has been in every component, Jay, over the years. Some will insource, some will outsource. Whoever is outsourcing at some point will think it is a great idea to insource and vice versa. The guys insourcing will realize that their

technology is falling behind. They will then move to outsourcing. This is a wave that's been going on in automotive for a very, very long time. You know, when we started making differential gears at that time also, most people used to make their own, even now a lot of OEMs

actually make their own. But there has been, most people shifted from make to buy, but there are people who are in the middle go back for some model they'll try to develop on their own, etc. so that continues. The total market is so big, which is the one good thing about working in a large industry that you will always have room to grow despite all of these ways.

Kapil Singh: Thank you team, I think we have run out of the questions, so I'll just pass it back to Vivek, for any choosing remarks.

Vivek Vikram Singh: No, nothing. Thank you so much for listening. I know uncertainty is a terrible feeling for most of you. Most of you might be feeling worried or not knowing what answers are. I think one comfort that we can give is, regardless of how

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much uncertainty there is, companies who do well are not the ones who sit in the middle of this fog and wait for this fog of uncertainty to pass, right. You have to try and move as close to the edge of the fog that whenever it starts dissipating, you're the first out. And we're fairly cognizant of that and try to move fast. So that's where we leave it. Amit is always there to answer your questions and please keep calling him. So that's all from us.

Kapil Singh: Ladies and gentlemen, on behalf of Nomura, I would like to thank you for joining this call and also thank the management of Sona Comstar for giving us the opportunity to host this one. Have a good day everyone.

Vivek Vikram Singh: Thank you, Kapil, thanks everyone, bye.

Moderator : Thank you everyone for your time. You may now drop off the line.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Aug 2025

Date: 9th August , 202 5

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter ended on 30th June , 2025

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Monday , 4th August , 202 5 on the financial result of the Company for the quarter ended on 30th June, 2025.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

Ajay Pratap Singh
Senior Vice President - Group General Counsel ,
Company Secretary and Compliance Officer

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q1 FY26 Earnings Conference Call Transcript
August 04, 20 25

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q1 FY26 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward- looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Thanks , Deanna. Good day , everyone. To take us through Q1 FY26 results

and to answer your questions, we have the management team of Sona Comstar led by Mr. Vivek Vikram Singh - MD and Group CEO, Mr. V. Vikram

Verma - Whole time Director and CEO, Driveline Business, Mr. Sat Mohan

Gupta - CEO, Motor Business, Mr. Rohit Nanda - Group CFO, Mr. Amit Mishra

- Head, Railway Business and Investor Relations and Mr. Pratik Sachan - GM, Corporate Strategy and Investor Relations. I'll pass it on to you, Vivek, for the opening remarks on the presentation.

Vivek Vikram Singh: Thank you, Kapil and welcome, everyone, to the earnings call for Q1. Before

we discuss business performance, as most of you would be aware, we've suffered a great loss last quarter. So, I request all of us to observe a minute of

silence in the memory of our late Chairman Emeritus, Sanjay Kapoor. Please join me in honoring his warmth, his friendship, his vision and his memory.

Slide 5:

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While Q1 was personally one of the worst quarters of my life, even from a business performance perspective, Q1 was undoubtedly our worst quarter since our IPO. This is mainly due to the convergence of 4 adverse but, in our view, at least temporary factors.

First, there was the change in the supply terms with the EV customer in Europe, which affected our revenues last quarter. The supply terms changed from Ex-works to deliver to the customer, which added 60 days of extra time in the recognition of revenue, because of which revenue recognition has shifted from Q1 to Q2. This delayed revenue recognition is neither a loss of revenue nor does it have any impact on cash flow.

Second, one of our large global customers has seen a sharp decline in sales due to a slowdown in their demand. This EV customer has planned specific initiatives, which hopefully will lead to an increase in sales volumes in the quarters to come.

Third, all of you would be aware that since 8th April, China has stopped the supply of heavy rare earth magnets to India. This shortage of magnets has affected the production of EV traction motors in India. However, we've started working with alternative motor architectures that do not use heavy rare earth magnets, and we are also expecting a resolution soon on the heavy rare earth front. Hopefully, this should improve the availability of these magnets, but notwithstanding, we will have production using light rare earth magnets.

Fourth, the uncertainties surrounding US tariffs, particularly the frequent changes in both the rates and the implementation dates during the last quarter, have led OEMs and tier 1 customers to slow down their procurement processes somewhat and maintain low inventory levels. This situation, according to us, is not sustainable and should reverse fairly quickly in the coming quarters. So far as we see, it has remained what it was. Auto and auto components have been 25% since early April, and that's where it is even today.

So, what has happened is the combination of the simultaneous convergence of all of these four factors in one go has significantly impacted our performance in the last quarter. In our view, all, maybe most, but hopefully all of them appear temporary in nature, and some of these issues have already started to reverse, and at the risk of sounding philosophical, I must

observe that no matter how dark the skies, there are always a few silver linings at any time. So, we've ended Q1 with our highest ever orderbook, including the highest ever net orderbook for the automotive business. Last quarter, we

received our single largest order in the past 2.5 years, and despite all the discussions around US tariffs and electric vehicles in North America, we've successfully secured this significant order from a legacy OEM for their coming

EV platform. We believe that this new EV platform is likely to be one of the most significant and successful EV launches in many years.

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We also completed the acquisition of the Railway business and successfully integrated it on June 1st. So, we have had, I would say, three weeks of

revenue from the railway business in the current quarter also. As you would have also seen in the news and our release, we have recently signed a term

sheet to form a joint venture with JNT in China to establish a local

manufacturing facility for driveline systems in China. I will explain our strategic rationale for this JV in the next slide.

Slide 6:

So, as you would have observed and I have also written in our annual report, over the past 10 years, we have been primarily focusing on expanding our presence as well as market share in the western markets, particularly focused on North America. Today, we are the largest supplier of EV differential assemblies in North America and rank a

mong the top suppliers in Europe as

well. Now, while we continue to grow our market share in the West, we are also seeking to enter and expand our presence in Asian markets. Asian markets account for nearly 60% of global automotive production, and the

fact that we have minimal market share there right now means there is a large area in which we could possibly expand. Our driveline manufacturing

JV in China is aligned with this new look east and look west strategy. China, as you all know, is the world's largest automotive market, especially for electric vehicles. In 2024, annual EV sales in China reached 11 million. This is two-thirds of the global EV sales, so two out of every three electric vehicles that are sold in the world are sold in the Chinese market. It is essential for any company aspiring to be a global EV supplier to participate in the Chinese market as well as this robust supply chain. Our joint venture partner, JNT,

operates a world-class foundry that utilizes patented technology to manufacture complex castings and moulds. JNT has a strong customer base that includes leading Chinese automotive OEMs as well as other global OEMs and tier one suppliers. Sona Comstar will hold a controlling stake of 60% in the

JV. Operations are said to commence in the second half of the current financial year to start fulfilling orders from both EV and Non-EV automotive customers.

Slide 7:

Coming to the numbers, on a year-on-year basis, our revenue was lower by 5%, while EBITDA and net profit were lower by 19% and 12% respectively. Our margins contracted quite a bit due to the adverse impact of operating leverage, as well as significantly adverse product mix. Like I said, we have also added Railways, where margins are lower. We also had acquisition-related expenses, which have impacted Net Profit by 69 million. So, if you were to take out that impact of that extra 7 crores, almost, the decline impact would have largely mirrored the drop in revenue and not been so out of line. BEV revenue declined by 25% and the BEV revenue share was at 28% and this is mostly because of the factors I already enumerated.

Slide 10:

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We move on to the update on our first strategic priority, which is electrification, as always. So, BEV revenue share has decreased from 33% in Q1 of last year to 28% and BEV revenue in rupee terms has declined by 25% to 2.1 billion rupees. This decline again, to repeat for those of you who may have joined late, was mainly due to the three reasons mentioned before out of the four, which is the change in supply terms with a EV customer in Europe, a shortage of rare earth magnets which is also as you all know all for EV traction motors and lower sales from one of our major EV customers. These issues seem to be temporary in nature, and we anticipate that most will be resolved in the coming quarters. We continue to build on our EV orderbook, and at the end of Q1, we have 31 EV programs in production, 15 of which have fully matured and have completely ramped up, and 16 are in the ramp-up phase. The remaining 29 programs out of the 60 you see on your screen are not yet in production and will start during this or the following years. We'll elaborate on our two new wins in the next slide.

Slide 11:

So, the first one, and this is fairly exciting for us, is the driveline program for electric passenger vehicles of an existing North American customer. This customer is a legacy OEM of passenger vehicles and electric vehicles. We will be supplying the differential assembly with the final drive gear for the customer's upcoming BEV platform from Q3 FY28. This is the largest single order win in 2.5 years and adds over 1,500 crores to our orderbook. We

believe this new EV platform is likely to be one of the most significant and successful EV launches in many years. The second one is the EV motor program.

This is for electric 3-wheelers of an existing Indian customer. The customer is a legacy OEM of ICE as well as electric 2 and 3-wheelers. This program has added 260 crores to the order book and is expected to start quite soon, actually in Q4 of the current financial year.

Slide 13:

This neatly brings me to our net order book, with the addition of 28 billion worth of new orders last quarter, at the end of Q1 FY26, our net order book has expanded to ₹262 billion. And the EV portion remains high at 75% of the order book. As I mentioned in my opening statement, this is our highest ever net order book, even after excluding orders from the railway business. The order book, just for full transparency, now includes customer orders from our railway business, which are obviously of much shorter duration and are expected to be executed mainly within the next 12 months.

Slide 15:

Moving on to our 4th KRA diversification. On powertrain diversification, we've taken a slightly backward step on BEV revenue. The share has decreased to 28%. The reasons have been discussed earlier. The ICE dependent revenue

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share remains low at 9%, and we expect the BEV share to improve in the next few quarters.

Slide 16:

In terms of revenue segment, we'll spend some time on this slide because there are quite a few changes which are also integral to our strategy for the next decade. By geography, now India has already become our largest end market, accounting for 37% of our total revenue. North America follows as our second largest market, contributing 34% and to add, I mean it's a small number, but if you look at how much it has jumped, the share of Asia, primarily driven by China, has increased to 8% from 6% last year.

This quarter, our fastest-growing product segment was suspension motors, and second, it was hybrid starter motors. The railway business, which is consolidated just for 1 month and actually 3 weeks to be more precise, from the terms of when we actually started registering sales, because the first week was a transition period. It has contributed 8% to our overall revenue. When we look at market sectors, the revenue share from non-automotive sectors has increased from 10% to 20% compared to the previous quarter. The off-highway market has been a bit of a bright spot, which is another silver lining, if I could say. It has grown strongly in both North America and India, and we are expecting this to continue.

We are expecting further diversification in our revenue mix starting from next quarter itself. The share from Asia, including India, obviously, will likely exceed 50% in the coming quarters, and we expect non-automotive revenue shares to also increase to over 25%.

Slide 18:

Usually, our group CTO, Praveen, takes this slide, but because he is travelling to the US, I will provide the technology update in his absence. I hope I will do a good enough job. I won't do it as good as Praveen, but I'll try to do a good job.

So, you know that in each call we present our technology roadmap, and many of you are now familiar with our approach to technology development. For those of you joining for the first time, the light blue part in the center is an apex of a pyramid, while the outlying parts are more the base of the pyramid and we try to work upwards from components to systems. That's the way we have structured this. The black circles, the products with the black circles, are our legacy products that we have inherited, or the company already had when we took over. The blue ones are the ones that have been subsequently added, while the white ones are those that we want to add in the future.

This quarter, we've included our railway business products in this roadmap. We are the market leader in railway braking systems in India and supply

16

complete systems for various rolling stock. This is shown in the black circle in the middle, to the lower left. Additionally, we also are one of the leading Indian suppliers of couplers, dampers, and friction products. Friction products are again related to braking, which are shown in blue circle. We are also in

the process of developing new products, including automatic plug door systems for metro and semi-high-speed trains. HVAC systems and electric

control panels, also for metro train sets. This is part of our deliberate strategy to our product diversification, add more revenue streams, and target the upcoming semi-high speed and high speed and metro trains, and in that sense move away only from having Indian railways as the customer.

From a product perspective, our strategy is not very different from what we have always done. It will be the same as what we have historically achieved in the driveline business since 2015, in the motor business since 2019 and in our sensor business since 2023, which is to transform the business from being primarily a single product business to a multi-product business. Those of you who read our annual report will realize that our analysis has shown us that that is the single biggest growth lever that has enabled us to grow our revenue by 10 times and profit by over 20 times in the last 10 years, because we are, and will always remain, a product engineering business at our core.

Hence, developing new products is the only way that we can continue to grow and continue on our exceptional journey that we've had so far.

Now I'll hand it over to Rohit to cover the financial update.

Rohit Nanda: Very good day to you all. It's my pleasure to share our first quarter results with you. So first we start with the financial summary.

Slide 20:

We clocked a revenue of 851 crores during the first quarter, which is lower by 5% than the comparable quarter last year. Lower revenue was largely attributable to 25% decline in BEV sales for the reasons which Vivek has

already spoken about. Our EBITDA for the quarter was 203 crores, which is lower by 19% compared to the same quarter last year. The EBITDA margin declined by 4.3%. That's a combination of adverse effects of operating leverage and adverse product mix. Our adjusted profit after tax was 132 crores, which was lower by 7% compared to the first quarter of last year.

There is a positive impact from net finance income in this quarter, which partially offsets the lower EBITDA and higher depreciation and amortization

costs during the quarter. The adjustment to PAT is close to 7 crores. That's basically the post-tax exceptional expenses that we have debited in the

P&L.

Slide 21:

This brings us to the final slide on our key ratios. Now there is quite a bit of change here, so all the ratios have the impact of the acquisition of the

Railway Business, and due to the different business dynamics compared to existing businesses, there are certain changes, but these are on the expected lines. I'll just explain a few cases here. So, working capital cycle, for example, working capital turnover has come down because the working capital cycle for the Railway Business is higher compared to other existing businesses. Similarly, the fixed asset turnover ratio also had an impact, which is because of the revaluation of Railway Business land as a part of the purchase price allocation, which is part of the acquisition accounting, that has caused the pull down in the fixed asset turnover ratio. Our VA over employee cost, still healthy at close to 5 times, had an adverse impact, mainly from change in sales mix and operating leverage. This also had a small degree of impact coming from the Railway Business integration because that's an assembly business with a higher material cost and therefore lower value addition. Our return ratio

os have largely been similar, in

a similar range as previously, whereas negative net debt has reduced largely

due to discharge of purchase consideration for the R railway B usiness.

This brings me to the end of the first quarter's earnings presentation. I'll now hand the proceedings back to the Nomura team.

Moderator: Thank you very much for your presentation . We are now at the Q&A portion of the session. Okay , we will go to the first question, raise hand from Aditya.

Hi Aditya.

Aditya Jhawar : Yes, hi, good evening. Thank you for the opportunity. My first question is on the tariff. So now there has been a few months to what has been the discussion with the customer in terms of, you know, our ability to pass on or absorb and how are we placed ver sus our peers, global as well as domestic and while related to this announcement, are we considering scaling up of our facility in Mexico and attached to that any differential in costing you can indicate on India versus Mexico, two question s I understand on tariffs but that would be the first question.

Vivek Vikram Singh : Sure, Aditya. So, tariffs for automotive and auto components have been 25% from I think 5th or 6th April itself. So, we've had a full quarter of it. We understand the impact better, but our assessment is the same as before. Mute your line , please . I think there's something in the background. Yeah, maybe you're watching television while asking a question. We have nothing actually further to add from what we said last quarter that we see 3 to 4% of revenue impact could be there possibly, but as you know well, you' ve covered our sector for long enough to know that it happens in 12 to 18 months, even if it does happen, so hasn't yet happened. The plans for Mexico have been the same as they were before because they were for specific parts, so if you know the entire PP AP process and the process to go from planning to SOP is one that takes a lot of time , so there are no other changes. This new tariff that was announced a few days ago is relevant , but relevant only to the categories of auto components that are not already covered in the sectoral tariff , because this is the reciprocal tariff. So that impact we will know when those customers reach out. So far as you know , and I think I really said that the

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importers pay tariffs, not the exporters , so if you are exporting, it's not on you. We haven't seen much change so far, how it is being absorbed is an answer better given by customers but I believe there has been a, there is a scheme for the next 2 years for automotive OEMs in the US that the gov ernment will support them in absorbing these extra costs. So , the same situation as when you asked me this question a quarter ago, not much has changed , actually.

Aditya Jhawar : Yeah , thank you for that. So the second question , Vivek, is on the China JV, so congratulations on the JV. So initially , will it be a situation where we will be exporting differential gears from India to China and then we will over a period of time , as the volume scales up, we will, you know, shift the manufacturing of the differential gears to China. Is that the thought process?

Vivek Vikram Singh : No, we will not manufacture the differential gears in China, so that is pretty certain. What we will start off with is supplying differential housings and other parts. We will , at the next phase, which is not yet part of the financial planning right now, but we will in the next phase export gears from here and assemble the final assembly there. If it does come with a final gear, we can do the final gear there, but differential g ears will not be produced , at least in the next few years that we can see anywhere outside India.

Aditya Jhawar : Okay , thank you. The final question, if I can squeeze in, any you know, sense you can give us on NOVELIC

business development in terms of any order wins, geographic color, OEM, EV versus ICE, any sense on NOVELIC ?

Vivek Vikram Singh : Sure. So, I think we updated a few quarters back. Next year, the sensor production will start actually, so the hardware parts will start rolling out , and there'll be the first product supply starting. We are well on track. The product line will be in Chennai. We have a new SMT line set up where I will actually invite you guys to come visit. It is genuinely, genuinely world -class; you should come visit. The program is actually an in-cabin sensing, so it's agnostic to powertrain because this is an interior system product for sensing, but the first customer indeed is an electric vehicle customer, but that is not to do with the nature of the product. It happens to be an EV customer.

Moderator : Thank you. As a reminder to all participants, please keep your questions to a

maximum of 2 questions. If you have any further questions, you can return to the queue later. I'll now go to the 2nd raised hand from Gunjan.

Gunjan Prithyani : Thank you, thank you for taking my questions and, deeply sorry for your loss , Vivek and lots of strength to the Sona family. From my side, I just wanted to hear from you on two things. I think both railways as well as the traction motor business. I think railways is now under your fold, so you know, it didn't really see much revenue growth last year, which is fiscal 25. If you can just sort of share a roadmap on how we should think about the growth of this business, both as you know, from Indian railways, as well as some of the new products that you, you know, you briefly touched upon. So what sort of growth we should be thinking from this business and secondly, again traction motor, you know, while you touched upon the shortages on the rare earth side, I mean,

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you also have won a new program there, right, which is a little perplexing to me because we've seen a lot of delays in new launches coming through on the e-scooter side, so you know, is it that we are seeing the resolution to rare earth that the new launches finally will start coming through in the second half of this fiscal so some color on how should we think about the business ramp up both on railways as well as traction motor.

Vivek Vikram Singh : Thank you, Gunjan and thank you for the condolences. Also, I think we take your question literally every quarter, so you don't need to thank me for that. I will answer the traction motor question first. So the rare earth magnet shortage is real. It is an issue because the existing motor architectures that we have been supplying were all using heavy rare earth magnets. Now the heavy rare earth magnets are NdFeB magnets, but with a decent amount of Dysprosium (Dy) and terbium (Tb) that makes them heavy rare earth. Neodymium is a light rare earth. Can you substitute a heavy rare earth magnet with light rare earth magnet and develop a new kind of motor? It is possible there are some efficiencies/cost tradeoffs, but with increasing copper content, increasing the size of the light rare earth magnets, it is achievable , especially if it's, I would say, less than 15 kilowatts, it is achievable technically. The problem with the disruption was because it was so sudden. To have a new motor developed, you have to test it, validate it, homologate it, and only then can you launch it in a vehicle. Which is why this has been time taking, but you'll be happy to know that in July , we are back to our run rate of where we were in April, pre this crisis. There are still some motors that are being, that are troublesome to me, like I said, anything above 10 – 15 kW, as the power increases, the physics problem becomes more fundamental in nature and hence impossible to solve, but it is being resolved because let's say a new launch, which is coming in 2

- 3 quarters will be actually done with those kind of motors, right? So that's one. Second, there are alternative suppliers of light rare earth magnets in other countries who have developed magnets which are not very far in strength from HRE magnets. So we have explored those too, and we are starting to get those from other countries.

Both of those tracks are on, so engineering solutions to a trade problem. But I will compliment Sat and his team on his agility in being able to solve it , and Sat, if you want to add some more color, please feel free.

Sat Mohan Gupta : No, Vivek, I think you covered very well. We are addressing all the possible solutions, working on design, HRE free magnets and different sources, so we are the only options available and we're exploring all those options and we're working on all those options.

Vivek Vikram Singh : Yeah , for the railway question, let me invite our new Railway Business CEO , Mr. Amit Mishra and kind of throw it to him rather than trying to answer it on his behalf, so Amit , over to you.

Amit Mishra : So in the Railway Business, as we have discussed earlier, we are market leaders in brake systems in India. Other product areas that we have are couplers and suspension systems. All of them are complex and technology - intensive products with strong entry barriers. So while we are starting with this

position, we have identified opportunities to add products within these three core segments as well. We can go further deep into these segments and add more products. At the same time, as Vivek explained in the Technology Roadmap, we are working on several new products as well, which are at different stages of development. So these products will come into production over the next few years. So we have a roadmap for the next 5 years where new brake systems as well as the new products that we are working on should come into revenue. In terms of end market, if you have tracked rolling stock production projections by the government, I think there is growth projected for the next few years, which should be a tailwind for the business. At the same time, we are actively working on increasing our presence in the metro segment and also in selected export markets. So yeah, we do expect the business to grow well over the next few years, but as you know, we don't give any further guidance in terms of revenue, etc., but we do expect growth given what we are doing on the products as well as tailwinds in the industry. Vivek Vikram Singh : Thank you, Amit. First earnings call question that Amit has answered. Congratulations.

Moderator : We'll go to the next raised hand, Aryn Pirani. Please go ahead with your two questions. Yeah. I think the audio connection, Aryn, can you hear us? Can you speak up?

Aryn Pirani: Yes, thank you. Thanks, thanks for that. Just, you know, just a clarification on the rare earth comment that you made. So, you mentioned that in July, you know, we are already back to the April level so are you saying that this is because of the, you know, the light rare earth magnet, because of that we have been able to do that or we have been able to figure out some solutions to the availability of the heavy rare magnets.

Vivek Vikram Singh : No, mostly it's light rare earth magnets and so we do not have any HRE magnets supply since 8 April. Zero.

Aryn Pirani : And again for the light rare magnet availability, are there risks to that also, or because it's quite commendable that you're already back to April levels, which is great, so, or now it's a steady state from here or even on the light rare earth magnets, there could be some challenges in the foreseeable future.

Vivek Vikram Singh : I hope not, man, but these days, you know, every day I think this is the last challenge that I'll have. Next day is a new one, so I hope they don't because the ban

is specifically for HRE magnets, because even the light rare earth magnets, the source is China, so I hope they don't now come after this. I hope they go the other way. I like, you know, start giving out export licenses for heavy rare earth magnets that will solve a lot, but there is a constraint. See, we are back also because we had new orders also. Bigger motors are still a challenge. It is only our fortune that most of our business is a two-wheeler, and even in two-wheelers, less than 5 kilowatt motors, which has been helpful. As you go up, it gets harder and harder. That's basically the situation.

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Aryn Pirani : Thank you, and just, on the China JV, so first of all, congratulations, you know, on that. Is there any broad idea that you can provide as to, you know, what is the order book, because obviously right now it's a JV you're just starting off, and you said that you'll be supplying EV and non-EV? I'm not sure if you can name the customer or customers, and I guess that would be difficult, but any broad sense of what the order book is, which is there that you've started supplying?

Vivek Vikram Singh : It's a good question. It's a brownfield. We wanted to move with agility. Agility, as you know, is one of our core values, which is perhaps the reason that in 3 months we've been able to come back and bounce back in EV traction motor production. So it would have taken a long time to do this greenfield. Second, China's supply chain, while it is one of the most diverse and widespread supply chains, is hard to navigate on your own, which is why you need a partner. So it serves both purposes. That's why we went into it. We have not yet started adding the order book, nor will we guide on it. I'll tell you the reason because right now it's a term sheet. Till we sign all the binding documents and all the stuff is done, we don't want to start adding to our order book. The day we do it, we will start adding.

Aryn Pirani : Understood. Okay, great. That's helpful. I'll come back in the queue.

Kapil Singh : There are some questions in the Q&A box, so I'll just take those , Vivek. So one question is from Dinesh. Can you talk about the driver of increasing revenue share from China?

Vivek Vikram Singh : Yeah, suspension motors, that was the fastest growing product, as you well know , there, that is literally the one product in which the customer is also publicly known, so that is the Chinese EV customer, Nio, and that's where the growth came from.

Kapil Singh : Vivek , on this if I may ask, how far are we from the peak revenues that we are projecting, and how is this ramping up?

Vivek Vikram Singh : Sat, do you want to take this?

Sat Mohan Gupta : We are still in a launch phase , Kapil, and we just launched the product. It's too early.

Vivek Vikram Singh : I think this quarter was literally the, or last March was the first, yes, so we are still in the early days. We will see.

Kapil Singh : The Second question is, can you talk about the potential revenues from the China investment, the China JV investment? Would the Chinese opt to end to end manufacturing, or would there be supplies from India? How would be the margin profile of this JV on full ramp up?

Vivek Vikram Singh : So we can't, as you well know, we just signed a term sheet, till an acquisition is complete, it's too premature to start talking about the revenue addition or orderbook, right? Like, if you realize railway order books, we announced it in

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September or October. We closed it now , and for the first time, we've added something to the order book because it's premature to do those things. We will once it is final and everything is done. The modality, I think I've already, when Aditya asked me, I think I explained that first, it will do mostly machined housings and some other parts. In the second phase, we will try to do full differential assembly, but I will invite Vikram if he wants to add anything non - number to this.

V Vikram Verma : No, I think you answered it with the very idea of getting a good casting supplier and one who has a good connection with customers already is where we targeted, and that's why this brownfield .

Vivek Vikram Singh : On the margin profile, it is not going to be the margin profile of our business. That, that I can guarantee you, China is a very, very competitive market. It will be lower, but it is a large market, and as you all know, we are not obsessed with margin as a percentage; absolute profit growth is what we want, and that's what we will change. For the largest EV market in the world, even if you get a small market share, it can be a significant one.

Kapil Singh : And one question is, you know, is our company participating in the development of humanoids by Tesla?

Vivek Vikram Singh : We never comment on customer -specific questions as usual.

Kapil Singh : Okay . Then some questions are answered , so I'll read just the part which is unanswered. Is the existing customer base part of the order book from the JV?

Vivek Vikram Singh : That's interesting. Yeah, I guess there will be some customers that would be our customers existing, but the orders would obviously be different because the product would be different , and the supply location would be different. Yeah, some customers will be common, but automotive, if you take all the OEMs and all the major driveline tier -1s, it's not that large a number ; you will always have the same customers everywhere. And all the large OEMs and all the large Tier -1s are already there in China.

Kapil Singh : Okay . Then the other question has come on Equipmake. Are we planning to start commercializing in 2025 as per plan, considering rare earth magnet capacity?

Vivek Vikram Singh : No, that big a motor without magnets, no chance. I mean, I was talking about 10 kilowatt, talking about 350 kilowatt without heavy rare earth, no, next to impossible to solve that problem.

Kapil Singh : Okay , I think NOVELIC we have answered, but anything on the order inflow that you want to mention here?

Vivek Vikram Singh : No. anything, I mean, there, of course, have been smaller order wins, but mostly in services or small POCs. Any large product win, we would obviously share in our earnings presentation.

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Kapil Singh : And then there's a question asking what will be your new EBIDTA and PAT margin guidance after incorporating the new divisions?

Vivek Vikram Singh : Good question. So, let's just do the math. Our range earlier was 25 to 27% was the range we've reiterated many times. How much as a percentage, Amit, would we expect the railway to be? Since you're the CEO, you should tell me.

Amit Mishra : So, if we look at last year, full year numbers, Railways would be about 18 to 20% of consolidated.

Vivek Vikram Singh : Good. So 20% is at 18% EBIDTA , and 80% is in the 25 to 27 range. So if you do the math , you will get your answer, which is 23.6% and 27 into 80 is. So 24.6.

So yeah, 24 to 25 or 23.5 to 25 will be the new EBIDTA rate , but it's just mathematically, just do the arithmetic, we'll get to the numbers.

Kapil Singh : Vivek , one question has come that could you provide some insight into the succession planning following the unfortunate passing away of Sanjay.

Vivek Vikram Singh : Whose succession planning, mine? What is the question towards because Sanjay was a non- executive chairman. He has already been succeeded by Jeff Overly, who is our lead independent director, so he is now the non- executive chairman. If it's about the management or executive role, I can answer because that is my purview. I don't choose board successors, so that's not a questi

on I can answer.

Kapil Singh : Sure. I think that's all the questions we had. The question is also on who is having the ownership of the company. That question has also come.

Vivek Vikram Singh : So, the ownership of the company as a publicly listed company, I think it should be clear that the public is the owner. 72% of the company is held by our public shareholders, various FIs, large domestic mutual funds, and a small bit even with retail shareholders. I don't know the exact percentage, but 5 to 6%. 28% is held by a promoter entity called Aureus Private Limited. That is a fact since our IPO , which has also not changed. Yeah, who owns Aureus,

according to the documents that have been filed with the exchanges, with the registrar of companies, it was held by RK Family Trust, of which there was

one single beneficiary, which was Sanjay Kapoor. We have not had any information after that from Aureus, but there was no direct shareholding of anybody else in the company from any promoter entity. If the person who is asking the question, these are all very well-disclosed numbers. You can go to ROC, or you can go to our website every single quarter, the company is legally obliged to disclose its official shareholding. It's called the beneficial position of ownership, as well as the ultimate beneficial owner. So that's what it is, and I think more than that , there is a far more sensationalism around it than it affects anything. But just for actual , genuine investors, this is the answer. Whoever controls the 28% doesn't really have that much. So let's say Aureus controls 28%, they can nominate , like any large shareholder can, a member to the board, the board , in its discretion , can choose to either reject or accept that nomination. If the nomination is accepted, then it has to be

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further ratified by public shareholders, and only if 50 % or more of the shareholders approve, could that person take that board seat, which is of an additional non -executive director. How one director's appointment out of a 9-member board with 6 independent directors makes a difference to the running of the company is very bizarre to me, but for some reason, the press of India thinks it is a very pertinent question to answer. I don't know how it affects the company's growth, the company's operations, or the management.

Kapil Singh : Thank you , Vivek. I have a few questions from my side as well. Firstly, on the EV industry globally and particularly in the US market, you know, we are seeing some pullback of subsidies and, you know, some changes in regulations as well. At the same time, you know, there are markets like China where probably there may not have been that much support, but still, you know, electrification is growing quite rapidly. So do you think, you know, that kind of move will come in markets like the US, Europe, and India, is there a line of sight now to that?

Vivek Vikram Singh : So, Kapil, good question. My opinion, as you know, has not changed for the last 10 years. I think electrification is inevitable. The pace and things in the

interim, where it kind of goes slow, are almost impossible to predict. There is a lot of policy play here. This is the same thing when it happened with renewable energy. Remember, it used to be a million dollars per megawatt

back in the day, and nobody would put up a solar farm, and it was only regulation that was pushing it. And then it changed as production increased, the cell cost came down. I'll take the same analogy, same analogy for cell phones also, by the way. When cellphones first came out, people were like, who will buy it, it's too expensive, batteries are too expensive, and it's almost always battery cells, which is the problem or the bottleneck of the whole growth area. I think battery prices will keep coming down. We are already at a stage where China has

overcapacity and will have no other option but to

start exporting this overcapacity into other markets, making batteries smaller.

The second trend that we are seeing is that battery packs themselves are becoming smaller. Actually, range anxiety is fading quite fast. I was having this, and this is anecdotal. I was having this conversation with a friend of mine

who just bought a battery electric car. So I asked him which model did you go for? He went for the lowest range model, and I asked him why. He said the lowest range is 400. When have I ever driven 400 kilometers in a day? I don't need it. I anyway put it to charge at night. If they made one with 250, I would go with that. This, if you were to take as analogous to the small engine revolution that came in the 1960s, 1970s with the Japanese cars, suddenly the auto market grew manyfold because people could buy much cheaper cars with much smaller engines when people realized everybody doesn't need a massive engine with 70 - 80 L in the tank at all times because you don't

actually use it. Asset utilization of passenger vehicles historically has been about 8 - 9%. As this trend increases and customer awareness increases, I

think EVs will become cheaper and cheaper to a point, and I think we covered it last quarter. They will be cheaper to manufacture, service, and

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support than ICE vehicles. At that point, economics will start playing its part, and then, subsidy, no subsidy, nothing will make any difference. China has already passed that point of no return. I think it's going to go 100% even. Europe will follow, and America will be last because of maybe 4 years of

policy, direction change, but it will inevitably come. I mean, the legacy OEM who's announced this and who's given us this award, if you read what they're saying, they're saying after 2028, 2029, they will do this, and it will be a pivotal moment for their entire company's history. Timing, like I said, may be slower, but the inevitability is undeniable. It is going to happen.

Kapil Singh : And what about the Indian market? What, what are you seeing there?

Vivek Vikram Singh : India's obviously going to be slower. Our views of, I mean, we've answered

this many times. We always believe three-wheelers, buses, 2 wheelers, followed by passenger cars. That's the order of electrification. There is a significant challenge because of the way our country is. Urban density is a challenge. Actually, we have a first-mile mobility problem, rather than a last-

mile mobility problem, and the first mile is actually the hardest to electrify. So

I would still say it would be the slowest, but I think all of us can say we are impressed by how fast two-wheeler, three-wheeler, and buses have grown.

Kapil Singh : And Vivek, the second question is we have quite, quite a bit of order being

for a very large percentage of the order book coming from electric vehicles.

Now, in between, we've had this problem, which seems to be resolving to a large extent. Do you see a much stronger launch pipeline happening in India? And even maybe the global market now disparity is coming maybe ex of US, but how do you see the launch pipeline?

Vivek Vikram Singh: I see the launch pipeline is pretty good. The magnet issue may delay it by 2 to 3 months in this calendar year, but in 2026, 27, and 28, these three years,

we have a lot of new launches in and not small ones, actually, all of them are massive ones. There will be a lot of small ones in the interim, but the big ones, they are over the next three years, there should be quite a few, which are genuinely that size, 200-300 crore per year type of sizes for each program.

There are quite a few of those coming in the next 3 years. Like I keep saying, the battery cost is going down every year, and the battery pack size constraints are going down. The problem was always on

ly solvable if you had

cars between \$20,000 \$25,000, which are required to make electrification

truly mass. China has been able to do it because of that price -point car.

Same thing will happen for the US and Europe. India, too, will follow. I mean ,

India again has that problem that they do not have enough inexpensive or economical battery -making capacity yet in India. I think that too will change.

Kapil Singh: So, and some of the major order ramp -ups this year, when do you see that, which quarter this year, you would start to see that happening?

Vivek Vikram Singh: I would say Q4 would be the one in which it will happen because a lot of them for this year were more around motors, where there is a month or two of delay already, now there may be a little bit more delay because of that.

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Kapil Singh: Sure, Vivek. That was the last question for today, given the time constraint. So , Deanna, I'll hand you back to close the call, please.

Moderator : Thank you very much, ladies and gentlemen, for joining today's Sona Comstar call. If you have any further questions, do feel free to reach out to Kapil Singh or the corporate management. Thank you and have a good day. You may drop off the line now.

Vivek Vikram Singh: Thanks, everyone. Thank you. Good evening.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Oct 2025

Date: 31st October, 2025

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and half year ended on 30th September, 2025

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Monday, 27

th October, 2025 on the financial result of the

Company for the quarter and half year ended on 30th September, 2025.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination. Thanking you,
For Sona BLW Precision Forgings Limited

Ajay Pratap Singh

Senior Vice President - Group General Counsel, Company Secretary and Compliance Officer

Enclosed as above; BSE Ltd.

Regd. Office: Floor - 25,

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BSE Scrip Code: 543300 NSE Scrip: SONACOMS

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SONA BLW Precision Forgings Ltd. (Sona Comstar)

Q2 FY26 Earnings Conference Call Transcript

October 27, 2025

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good afternoon , ladies and gentlemen . Thank you , and welcome to Sona Comstar's Q2 FY26 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Head of Consumer and Digital Commerce Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Kapil Singh : Thanks , Deanna. Good day , everyone. To take us through Q1 FY26 results and to answer your questions, we have the management team of Sona Comstar led by Mr. Vivek Vikram Singh - MD and Group CEO, Mr. V. Vikram Verma - Whole time Director and CEO, Driveline Business, Mr. Sat Mohan Gupta - CEO, Motor Business, Mr. Rohit Nanda - Group CFO, Mr. Amit Mishra - Head, Railway Business and Mr. Prat ik Sachan - GM, Corporate Strategy

and Investor Relations. I'll pass it on to you, Vivek, for the opening remarks on the presentation.

Vivek Vikram Singh: Thank you, Kapil

Slide 4:

Thank you, Kapil. And after 3 quarters, we are back to saying our favourite opening statement. So, welcome all of you to the earnings call for our best-

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ever quarter, where we have achieved our highest-ever quarterly revenue, EBITDA, and net profit.

Now long-term shareholders will know about us, and we keep writing about it in the annual report. We as a company aspire to become one day anti-fragile. What that exactly means is that we don't want to be a company that's just resilient in the face of external shocks, but we want to become someone who gains from disorder. Our performance in this quarter underscores, I would say, the first part of the anti-fragility hypothesis. And if you remember, 6 months ago in our Q4 FY25 earnings call, I said that we expect many opportunities to emerge from the current global disorder. We believed that many weaker players may not survive this disorder, while strong companies with technology moats and bulletproof financial foundations like ours would consolidate and grow over the medium term. I think we are already halfway there. In the past 6 months, 3 of our direct competitors in Europe have filed for insolvency proceedings. This has resulted in an unprecedented increase in inquiries from European customers to us. Hopefully, in the next few quarters to come, we can win significant new orders from Europe, add them to our order book, and hence in some way prove the second part of that anti-fragility hypothesis, which is that we have built a company that gains whenever large disorders happen in the ecosystem.

Now, as our policy has always been, when talking to our owners, shareholders, we will begin with the challenges. First, one of our global customers continues to face demand challenges, and this is particularly in the sales of one specific model, which has seen a significant drop. This has had a noticeable effect on our EV revenue in both the second quarter as well as the first half of the year. Second, since 8th April, it has been widely reported that China has stopped supplying heavy rare-earth magnets. This shortage has impacted the production of EV traction motors for us in Q1. In response, what we did was we shifted to alternative motor designs that do not rely on heavy rare-earth magnets. So now we also manufacture our motors using light rare-earth magnets, and in this quarter, we have also successfully developed, tested, and validated a rare-earth-free Ferrite Assisted Synchronous Reluctance Motor for electric three-wheelers and light commercial vehicles.

Third, again, in the news a lot, but uncertainties regarding the USA and the tariffs, they continue to persist during the 2nd quarter. However, I would like to add that the recent decision by the US administration to extend tariff relief on vehicles assembled in the US for 5 years should benefit our US customers, who are predominantly assembling their vehicles locally within the US. Coming now to the good news, and the good news is that despite all of these challenges, we have achieved our highest-ever revenue, EBITDA and net profit numbers in the quarter.

There is more good news. We have won our first order for our new driveline plant in Mexico to supply differential assemblies to an OEM in the US. This order

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win is meaningful given the current uncertainties regarding tariffs and trade policies. We have also been nominated for two more programs for our motors and motor controllers for the predictive active suspension systems. One nomination is from an existing customer, an Asian EV OEM, and the second is from a European OEM of luxury performance cars. These nominations are significant, as they show that our innovative suspension system has begun to gain wider acceptance within just months of its first commercial launch, which is very encouraging when you make a new product for the first time.

Additionally, we have collaborated with N eura Robotics of Germany to jointly deve

lop advanced components and technologies with a focus on industrializing robots, cobots, and humanoids in India as well as other markets. In terms of end markets, I'll keep it short. The growth has primarily been from trains, tractors, and traction motors. So, the railway segment, the off -highway segment, and electric two -wheelers, these are where we see growth. The other ones are flattish to moderate growth.

Slide 5:

Now shifting to our performance in the last quarter, in financial terms, our revenue grew by 24% year on year. While EBITDA and net profit increased by 13% and 20% respectively, we have also managed to come back to our 25% EBITDA and are nearly there on 15% PAT numbers.

And at the cost of being blamed for self -indulgence or even worse self -praise, I would like to say that it is quite remarkable to see this resilience in action, especially when the odds were so spectacularly stacked against us in every single market, every single macro. I think we've not only persevered, we have come out stronger than we have ever been before. Now, many companies are good at navigating calm waters, but I think it's commendable that our team can sail through even stormy and choppy seas. And I could not be more proud er of our business leaders and our entire team for making this possible.

Moving on to the not-so-good part, BEV revenue has declined by 17% in the last quarter. The revenue share because of this has fallen to 32%. Now, this decline is not a reflection of the general industry trends. It is primarily due to one customer, and a large part of it is linked to actually a single model decline for us. In response to this, we have undertaken a review of our entire order book and corrected it to reflect the true picture. And I'll provide more details on this when we come to that slide lat er.

Slide 6:

So, despite a pretty stellar Q2, if I say so myself, our financial performance in the first half of the year has still been modest due to the exceptionally weak Q1. Our revenue and PAT are up by 10% and 4% respectively, while EBITDA is actually lower by 3%. ROE and ROC E have declined to 13% and 16%

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respectively , and this is because of the equity capital issue that we did in September 2024, and the full -year effect has come into the denominator now. We expect the return ratios to start improving gradually as we invest the cash that we have in various growth initiatives that we have outlined.

Slide 9:

Now we move to an update on our first strategic priority, which is electrification. Our BEV revenue share has declined from 35% in H1 of last year to 30%. BEV revenue in rupee terms has also decreased by 21% to ■4.75 billion. As I mentioned before, this decline is primarily due to a single customer and is largely linked to a single model. We continue to build on our EV order book. We now have 62 EV programs across 32 customers, 33 of these programs are in producti on. 19 are fully matured and completely ramp ed up , and 14 are still in the ramp -up phase, and the remaining 29 are not yet in production and will start during this or the following years.

Slide 10:

Now, as we previously told you, the first car model with Clear Motion's fully active suspension system was launched earlier this year. Clear Motion 's innovative suspension technology is controlled by Sona Comstar's BLDC motor and motor controller -based actuator. As we anticipated from the very beginning, I'd say, this technology is now finding deployment across more models.

We've been nominated for two more programs to supply these suspension systems. One nomination is from an existing customer, an Asian EV OEM. And the second is from a new customer for us, a European OEM of luxury performance cars. These nominations, while not very big in size, are proof that the innovation and the technology that we've deployed in these suspension

systems has begun to win acceptance, and within months of its first commercial launch, these two nominations have an order value of, as you can see on the screen, about ₹8.2 billion in the lifetime, and they're expected both to start production in Q2 of FY 27.

Slide 12:

This brings me to our net order book, and as a matter of prudence, we have reviewed all the programs in our order book and proactively removed all those with low visibility of future production volumes. This we've done in order to present an accurate picture of the order book to the outside world as well as for our own planning purposes. The consumption of ₹36 billion includes the residual value of all the programs that have been removed from the order book. Now we've also had fresh additions of ₹10 billion worth of new orders. So, with that, netting that off, our net order book now stands at ₹236 billion, and the EV share continues to remain high at 70% of this order book. The current order book also includes the railway business. It has orders worth ₹13 billion, which are obviously of shorter duration because it is a different nature

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of the industry, and they are expected to be executed mainly within the next 12 months.

Slide 13:

As I mentioned earlier, we've secured our first program for the new driveline plant in Mexico, from where we will supply differential assemblies to a recreational vehicle OEM in the US. This program has added 2.6 billion to our order book with production expected to start in the second quarter of FY 28. This is a second order from this customer, which obviously shows confidence of the customer in us, but it's very significant, given the current geopolitical and trade environment, and shows that we were right in opening or launching our Mexico plant last year when we did so.

Slide 15:

Our fourth priority is diversification, and this quarter we really wanted to highlight how over the last couple of years we have actively diversified across our revenue mix, be it geography, product, market segment, as well as customer base. We have, as some of you would know, consistently held the view that global light vehicle sales are unlikely to grow very significantly in the medium term. Therefore, as a major global player in our product segments with high growth aspirations, we are hyper-aware that we need to diversify into alternative modes of mobility, as well as the urgency to expand our product range and our global market footprint. So, not either or, this is an all three at once situation.

Now with 70% of our revenue coming from export markets, we have obviously been working to reduce the potential risk posed by the changing geopolitical dynamics. This is the reason why we expanded into the railway segment, and this is why we have been focusing on expanding our presence in the east, which obviously includes India. These shifts are not only giving us new growth opportunities, but they also position us for success when the environment is so chaotic and rapidly evolving.

Today, geographically, India is our largest end market in H1. It accounts for 45% of our revenue for the first half. North America has become our second largest market, contributing 30%, and significantly, and for us it's quite a shift. For the first time since we went public, we've achieved higher revenue from the eastern markets than we do from the West.

I'd like to add that after careful consideration, we have decided to put a proposed joint venture with JNT in China in abeyance. This decision is based mostly on geopolitical factors and the need to prioritize other active capital allocation decisions. We remain in touch with JNT, and hopefully, we'll do some other things together, but for now, the joint venture is in abeyance till things change.

Now moving to p

roducts, our fastest growing product segments this quarter has been EV traction motors, where we've overcome, I'd say, almost insurmountable seeming difficulties to deliver our motors, manufacture them using alternate technologies and design s. And, of course, the railway brake systems. This, of course, reflects in the product mix, which has changed quite a lot.

Even when you come to market segment, revenue share from non - automotive sectors has gone from 10% to 29% in H1 of this year. The off - highway market has also been a very bright spot for us, especially in the Indian context.

Slide 16:

We're always in pursuit of risk optimization , through diversification in our customer mix as well. And this we wanted to share with you for this time because there has been a lot of change that has happened over the last 2.5 to 3.5 years. So, if you look at this thing, there is so much diversification and so much growth in the customer base. In Q2, the top 5 customers contribute 51% of total revenue. This is down from 62% , 3.5 years ago in FY22. Additionally, the contribution from our top 10 customers has been reduced to 72% from 80%. And the biggest points to note are th ese: our largest customer, plus 2 of the top 5 customers and 3 of the top 10 customers , were not even present in our customer base in FY22. The largest customer today was not there. 2 in the top 5, and 3 of the top 10 are actually customers we have added in this duration and grown our business with them to get them into the top 10. This shows the success of our ability to continually add new customers at scale and to diversify with agility. We've do ubled our revenue run rate since FY22, mind you, so this is in a much larger pie. And this is despite our largest EV customer, their contribution to our revenue declining from 23% in FY22 to a mere 6% now. Despite this large change, we have managed to deliver, I would say, fairly strong growth.

With this, I turn to our group CTO, Praveen, to update us on technology. So over to you, Praveen.

Praveen Rao : Thank you, Vivek. Good evening, everyone .

Slide 18:

We are progressing very well on our technology roadmap. As you all might know, we recently signed an MOU with Neura Robotics of Germany. Neura is a pioneer in the field of cognitive robotics. This strategic collaboration aims to jointly develop advanced te chnologies, components, and sub - assemblies, as well as industrialization of robots and humanoids for India and mutually agreed markets. With this strong foray into robots and humanoid space, several of our products listed on our technology roadmap that you see will now transition from pure concept to prototype testing and development phase.

Slide 19:

We are also pleased to inform that we have successfully developed and tested rare -earth -free traction motors. These ferrite -assisted motors are based on synchronous reluctance technology. For both mid -drive and hub motors, as the name suggests, these motors do not use rare earth magnets and therefore are not dependent on China raw mater ials and manufacturing. The performance of these motors has been tested in the lab, in actual road conditions, and found comparable to existing technology.

We plan to offer these products to OEMs of electric 2 -wheelers, 3 -wheelers, and light commercial vehicles. An important innovation introduced in this product will also remove the last bit of rare earth magnet, which is part of the rotor position sensor. The sensor , based on the induction principle with copper coils, delivers the same performance and can be applied across other motor technologies.

Slide 20:

The shift is vividly captured in these pictures, showing the impact CO₂ and other harmful emissions from IC engines have on plants and life in general to moderate effect from rare-earth technologies to a complete green technology like r

are -earth-free magnet motor technology with minimum impact on the environment. In summary, as technology shifts from IC engines to EV and we continue to be challenged by uncertainties in the global supply chain, Sona Comstar will play a pivotal role in rapidly developing cleaner and greener technologies.

With this, I now hand over to Rohit to cover the financial update.

Rohit Nanda : Very good evening to you all. It's my pleasure to share our second quarter and half yearly results FY 2026 .

Slide 22:

We clocked a revenue of Our revenue for the quarter grew by 24% to the highest ever number of **₹1,144 Crores**. It includes the first full year quarter of railway business revenue after we completed the acquisition on 1st of June. Our BEV revenue declined by 17% and constituted 32% of our automotive revenue. Our EBITDA has grown by 13% in the same period to **₹289 crore**. EBITDA margin is lower by 2.3% compared to the same quarter last year, and that's primarily due to product mix and operational leverage. Our profit after tax grew by 20% to **₹173 crore** and margin was lower by 0.6% due to transmission of lower bidder margin through PAT.

Slide 23:

Moving on to the first half results. For the first half, our revenue has grown by 10% to **₹1,994 crore**. Our BEV revenue declined by 21% and was about 30% of our automotive revenue. Our EBITDA declined by 3% year on year to **₹492**

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crores as margin was lower by 3.2%, primarily on account of operating leverage and product mix. Our profit after tax grew by 4% to **₹298 crore** and margin was lower by 1.1% due to transmission of lower EBITDA margin, although there was a higher net interest income.

Slide 24:

Coming onto the cash flows, we generated **₹340 crores** as cash from operations in the first half of the year and spent about **₹198 crores** on CAPEX. Besides this, in the first half, we also saw major cash outflows on account of railway business acquisition and last tranche payment of NOVELIC acquisition, aggregating to nearly **₹1,700 crore**. There was a dividend distribution of **₹100 crores**, and there was a purchase of land for the railway business, future expansion - **₹110 crores**. Uh, this has left us with close to **₹1,000 crores** of cash at the end of the first half.

Slide 25:

This brings us to the last slide in the presentation, which is on the key ratios. I had explained in the last quarter also when we first time consolidated one-month railway numbers that there has been a change in some of the ratios like value addition to employee costs, working capital, and fixed asset turnover ratios due to the addition of railway business, as this newly acquired business has a different cost structure, working capital terms and for the same business, there's been purchase of additional land. All of these things have affected these three ratios. Apart from this, return on capital employed and return on equity have dipped because of the capital raise that we did last year, which is now fully reflected in the denominators of these ratios. We expect these ratios to improve in the quarters and years ahead. On the negative net debt issue, the negative net debt has come down because we've discharged the purchase consideration of railway business, because of which negative net debt, that negative number has reduced.

With this, we've come to the end of our second quarter's earnings presentation, and I'll now hand the proceedings back to the Nomura team for Q&A.

Moderator: Thank you very much for the presentation. We now open the floor to the Q&A session. If you wish to raise a question, please use the raise hand button located at the bottom right of the Webex page. We will unmute your line

and prompt you to speak, or you may submit your questions via Q&A chat box, addressing all panelists. Please be reminded to keep your questions to a maximum of two questions. If you

have more questions, please return to the queue. Thank you. The first question goes to Amyr. Your line is unmuted. Please go ahead.

Amyr Pirani : Congratulations on the business improvement. Two questions. First of all, you mentioned something around, you know, some of your peers, direct

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competitors in Europe, you know, are facing financial difficulties, and you have seen an improvement in inquiries. So, these players were currently supplying to some of your potential customers from Europe, and it is now possible that these customers may want to look out for sourcing from India. Is that how we should understand it?

Vivek Vikram Singh : Yes. But that's a very short answer, so I'll elaborate. You are right. So, I anticipated that this would happen, as you know, with the thin margins they have, and Europe's been affected also by the loss of the export opportunity in the US, so they double whammed in this space. So they're not just in financial difficulties. I think 3 of them have filed for insolvency proceedings. One is now the court has adjudicated that it should be liquidated. The other one is also heading that way. Third one, we don't know. But when so much uncertainty arises in the supply chain, let's say one of our suppliers filed for insolvency, I would be on top of that and telling our procurement team to diversify away immediately and get me somebody who can do those parts as soon as possible. And these all three are driveline players. So, they are all either differential assembly or differential gear makers. And there aren't that many to begin with, so there aren't that many choices. So yeah, that's why the inquiries and that's why the urgency.

Amyr Pirani : Ok, that's, that's helpful. And, secondly, on the you know, on the JV abeyance in China. So, you know, maybe slightly, you know, something that we have been discussing for a while, the opportunity from Chinese OEMs is something that we haven't been able to tap in yet. And this was supposed to be a starting point for doing something. So, are we still doing other things? Is there something that, you know, you can share as to how we could address this large opportunity of Chinese EV OEMs?

Vivek Vikram Singh : Yeah, so this one, as you know, I have to be very careful in answering for a variety of reasons, but for now, I think the opportunity in China, we will pursue with very high degree of caution. What we can do with our existing plant in China, we will continue to address, as you know, we have a plant there. What we can export from here to China, we'll continue to do. But obviously, if things change, there are certain factors, the lead indicators, if they could change, yes, I think there is a business rationale to do it again. That's why our engagement with JNT is still strong. We will pick it up where we left off, but some things on the ground have to change before that.

Moderator : Thank you. The next question goes to Gunjan. Hi, Ms. Gunjan, your line is unmuted. Please go ahead.

Gunjan Prithyani : Ok, good to have the business come back. Honestly, it's good to see the growth coming back in the business and, you know, best wishes that, you know, we get back to our earlier growth trajectory. I had two questions. Firstly, you know, Vivek, you always bring up the headwinds right up front. So, I also wanted to sort of hear your thoughts on two specific issues that we see cropping up. One is this whole Nexperia chips issue, how big, you know, you are picking up that as a risk to the LCV production and the aluminum plant

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fire that has happened at the Novelis plant. I mean, I am just trying to get a guess, you know, get some sense from you. Are these risks from the next 3 to

6 months' perspective for our customers?
Vivek Vikram Singh : So, excellent question

, Gunjan, because these are both risks that have suddenly cropped up recently and did not affect us in the last quarter. We are still evaluating now. The Nexperia one is limited because, as you know, European customers' exposure, especially in the passenger vehicle segment, where this is there, is lower for us. Nexperia chips are used widely, but Europe seems to be far more affected than other geographies. We also in-house use some Nexperia chips, so our purchase team has been on it. However, the larger issue, as you know, always is if our customers cannot resource; whatever we can do at our end does not really help because a 99% car has no value. Every part should be there. So, we are monitoring it. For us, I would say it is not that big a risk because of the way we are exposed to and the kind of customers we're exposed to. Let's see. The Novelis Fire, of course, does have an impact on one of our larger customers. So, Sat, if you want to answer that one.

Sat Mohan Gupta : Novelis Fire is impacting the F-series truck for Ford Motor Company. There is definitely the production level that has gone down for all the models. We are primarily supplying for a series, which is a diesel series, and it's 250, 350, and F 650. So there is some impact, but it's not a major impact, what we are seeing. So the releases from the customer are very, it's not drastically, it came down, so there is some impact, but it's not a major impact.

Vivek Vikram Singh : Yeah, so good that both of these are low risk for us, given our exposure to what kind of customers, what kind of models, etc., but we are monitoring them actively. Are there any second-order effects of these? We can't tell so far, but we are on it.

Gunjan Prithyani : Ok, got it. And the second question is on the suspension system. You know, if you can just share a little bit more on how we should see this business revenue building up, you know, from one customer to now being nominated to a couple of more customers, and also just a clarification, why do you call it nomination and not an order when I mean. Is there something that I should be reading into the nomenclature?

Vivek Vikram Singh : Ok, because ClearMotion is our customer, and this is an order that ClearMotion has received, so the quantity has increased, hence that term, because it is not a direct order to us, right? ClearMotion has to supply. We supply to ClearMotion. So that's the nomenclature, not much to differentiate between direct and indirect. I think that revenue buildup will still take time. When you introduce a brand-new product that changes how old technology works, right? You have early adopters, you have one guy who actually sticks their neck out, develops it to ClearMotion. We have been working on this for 4 years, and the customer who did it first, Nio. Then it starts with other people, after it is commercially launched, only then can they actually try to replicate. So, it's heartening that we have one more from Nio itself and then one new

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customer. But it will be gradual, and it will take time to go from that upper end niche EV vehicles to a more mass thing. It all changes when the first large volume customer comes, so it's kind of binary Gunjan, you know, when anybody who makes more than 1 or 2 million cars picks it up, that's when it genuinely starts taking off. So we don't know is what we can say at this point, but the day that happens, that's when the takeoff is almost vertical.

Kapil Singh : Got quite a few questions in the chat box. So I'll just read out some of those. Firstly, it's from Jinesh. He's asking about the Mexico plant. What is the visibility for ramp up of this plant? Do you plan to shift some programs from India to Mexico? And what is the revenue potential from this plant?

Vivek Vikram Singh : So, it is Vikram's baby, so let him answer

. He started this plant, and rightfully, the success of that plant should be answered by him. So, Vikram, over to you.
V Vikram Verma : Well, when we started, it was for a large OEM customer, originally; that was how it was perceived, conceived, that project. Then we shifted some business because the customer wanted it. This is again the recreational

vehicle which Vivek spoke about. So we are in the present stage of productionizing those, which is the business transferred from here. But, however, Mexico in itself is able to win business, and this is again coming from the same customer, but we see traction of many customers in North America and Mexico that they would like to develop from that plant. So that plant has a lot of potential to expand. We can't tell it as of now because as the equations keep changing. There, we will see. How it grows.

Vivek Vikram Singh : But I'll add to what Vikram said, Jinesh, to your question. It's a good one. If you remember when we actually announced the inauguration of this plant, I think it was April, May last year, we had actually said that this is not a defensive move against any trade realignment. This is an offensive move because each business unit or each plant that we set up, we like for it to be entrepreneurial and start building business, getting profits and earning revenue on its own. Their business development has to build the business for them, and it's not just a shifting thing. Shifting things around. I mean, sometimes it can be necessitated by external conditions, but that is not an ideal way to start a new investment because you have basically taken something from somewhere where your return was decent and put it somewhere else to justify the capex invested in the other place. I don't think there is currently any plan to shift anything. Equations, as you know, on the final tariff outcome, what will be USMCA, will USMCA be respected? All those things are still unclear. But it is a good optionality to have this. What I keep saying is that if at low cost you can build an option that, if a really bad scenario emerges, can you shift in a pitch? Yes, we can. So that option we'll retake, but that's not the primary objective. The primary objective is for this to be a revenue and business generating unit of its own.

Kapil Singh : Ok. Another question is updates on NOVELIC product commercialization, and new product pipeline and roadmap for railways.

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Vivek Vikram Singh : Sure. So NOVELIC, as you know, we have won an order. I think productionization should start in a couple of quarters that we will start to supply. So productionization, if any investor wants to visit us in our new SMT line in Chennai, we'll be very happy to show them how the production is happening. But the SOP of the customer has to start for serial production to start. New product pipeline and roadmap for railways, I will like for the new Head of Railway Business, Amit Mishra to answer. Amit, over to you.

Amit Mishra : Hi everyone. So on the railway, we spoke last quarter as well. So now we have spent about 5 months in the business. We are very optimistic about the potential that the business presents from a medium-term perspective. As of now, we are working on meeting the demand, as you can see from the order book as well, there is order book, which is higher than what the business run rate is. So we have to scale up to meet the demand, which is, which is quite strong. Over the medium term, we have to add new products. We are working on our existing product, adding new varieties of brakes, couplers, suspension, and then we have identified new areas where we'll enter from the next 3 to 5 year perspective. So we do see a strong growth potential and we have mapped out the new products, which will be a key driver of growth over the next 5 years.

Vivek Vikram Singh : And again,

just to add to what Amit said, this is our, for the lack of a better word, playbook. Whenever we do an acquisition, if we don't bring value in building it into something more than it was, then why have we purchased it? So that's exactly the same thing we did with the motor business when we did Comstar. It was a single-product company making starter motors. Today, as you know, it makes starter motors, it is the largest traction motor maker in India, it makes suspension motors, it makes controllers. So take a single product with this and try to make it multi-product, because that is all that we know. That is all that is there in our DNA. We are engineers who like to build new things.

Same thing we want to do in railways. It's early days. It's just been 4 months actually of full ownership. We are working on some products, and once

again, welcome to visit us in Faridabad , where we can show you our R&D facility and where we are actually in active development of at least 3 products. Some of them are finding good traction with our final customer, Indian Railways. Some of them have also got development orders, so it's going well, but that is the path regardless of what we do. In NOVELIC too, we bought services business , which we are pivoting into a product business. It is what we know how to do. It is in our nature, and that is what we will continue to do.

Moderator : Hi, now move on to our next investor, Jayesh Sundar. Hi, Mr. Sundar, your line is unmuted. Please go ahead.

Jayesh Sundar : Good evening. Just continuing on the railway, you know, as you stated, 13 billion worth of orders are in hand. You know, the question is more a little longer term. I understand, you know, you completely stated that new

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products also we are trying because you have a very large market share in brakes for Indian Railways. How much, you know, because you are enhancing your capacity as well there. So , can you talk about a little bit more on the potential here, because why I'm asking you this because this year also on the overall mix railway will look pretty decent, but next two years if, if growth is so strong and you are enhancing capacity as well, railway will also start growing at a very much faster pace. That's what I was able to understand from what Amit and you were articulating. So can you shed some light on, you know, both with respect to potential and even profitability, you know, because I remember when at the time of the acquisition, we were very clear that time that there's a lot of inefficiencies at the plant , and you know, there's a lot of scope for improvement in margins that can happen. So, if you can throw some light on that, that's my first question. And second.

Vivek Vikram Singh : Let me answer this one because the question is very long. I'll forget the question itself. So all the things you stated are correct. There are some low - hanging fruit in terms of the ability to improve margins. We are working on those. There is a larger opportunity to improve cash conversion cycles because I wouldn't call it inefficiencies, but the way automotive works and the way railways production works are different. We are trying to bring that rigor , that TQM approach, that theory of constraints type reviews so that we can improve every week a little better than we were before. And there are enough areas that there is , I mean, there is enough juice left that we can squeeze out of this on the margin front. Growth should be robust. I think this is some of the constraints for achieving this growth are 100% in our country. And actually, that's a really heartening thing because in a lot of the other verticals we are, mostly we are affected by macros that we can just sit and worry about , but can do nothing about. I can't go sell cars on behalf of my customer. I can't change global trade policies. But h

ere, demand's not as big a constraint as it is in other spaces. I would say I'm immensely impressed by the Indian Railways, the Railways Board, the RDSO teams, and their ability to grasp the advantages of new products, new technologies, and to give you opportunities to work with them, but we don't want to say too much too early. It's just four months since we owned it, but fingers crossed, to such wood, whatever the other superstitions are there, but it looks really, really good. But Amit can add more because he is there every day, so he knows more than me.

Amit Mishra : Vivek covered most of the things. Most of the things in terms of products . Yes, today, a large part of our revenue comes from brakes , but we do have good market share even in couplers and suspension also, we may be the largest player in the country. So, we have other products. There are other products which are under development. It's being tested, put into trains for testing, and there is a cycle that it will be tested for 12 months . If it passes the test, then you get approval to supply in higher volumes. Then there are products which are slightly early in terms of development, which we expect to come in the next 3 years. So at this point, we have very clear timeline set. And the way different products are positioned for commercialization, I think we should

deliver good growth over the next 5 years if we are successful in delivering or developing and getting approval for the new products. So it will be driven by new products, and we have a very good pipeline of products, both in our core segments of brakes as well as in the other segments that I talked about.

Jayesh Sundar : Ok. My second question is on the overall profitability because you stated in your opening remarks that one of your largest EV customers, which was 23%, came down below 7%. EV revenues in the first half declined very, you know, the percentage came down drastically. Despite that, your overall profitability margins are very steady. I mean, I can't compare you with any other company because you are still, I think, the highest profitable margin company in the country with respect to autos, but that is still very steady, at 25% plus. How one should think about these, these profitability aspects, despite facing so much pressure on the revenue side, on your largest customer side, you know, we haven't seen the deterioration which could be a 10% margin company or a 12% margin company could have faced. So if you can articulate a little bit on that, that would be very helpful. That's my last question.

Vivek Vikram Singh : Sure, so pressure is a privilege, man. Like, pressure is only on people who are capable, and you expect things from them, right? If there are low expectations or low capability, there is very low pressure, and you can live a more peaceful life. So it takes a lot of doing. So if you see a duck in a pond, it seems as if it's gliding effortlessly, same margins all the time, but, you know, it's paddling furiously under the surface. There is a lot of work that goes into it. In every single process, there is some room to improve. Even after 25 years of doing the same thing over and over again, we are finding new areas where we can lower costs. Prices, you can't really manage, right? Prices are set by your competitors. What you can do is manage your house better. And that is a continual process. Every week, every day, every year, you have to keep getting better. I would share one example. Actually, Vikram, you should share about the die life improvement and how it has resulted in just the cost going down for all our years.

Vikram Verma : Well, we have been using a particular process technology for many years. And it had certain die life, and however, we said, ok, this is unacceptable, as of now, maybe acceptable quality, but we wanted to go

2 steps above the quality in a gear is defined by certain ISO standards or DIN standards. We wanted to up our quality standard by 2, and for that, you are required to change processes. So while the straight method is, you make it at much colder temperature, the accuracy is improved. However, it is detrimental to both machine size, the machine size goes up and the die life reduces. However, we have to find a way that both things are achievable. So I think that it took last 6 months or more than a year actually to collecting various data because the forging is not so straightforward like machining. There are 100 more parameters which affect the life and the quality. So the team is always on to improve quality. And improving the die life by which the cost comes down. So that's the DNA of what we do. So that every year we have something.

Vivek Vikram Singh : So that's one example. Same thing I'll say in motors. Can you use less material, less process time to make the same product? And that's a challenge we pose to ourselves in every single aspect of what we do. And if you do follow it, you can maintain over the longer term, but yes, there is a lot of pressure. You know, our higher margin markets are declining because of the entire situation that we have. But again, if the core fundamental technology with which you make your products, all the processes, all the knowledge of the material is

with you. You can keep working on each of those elements for constant improvement, which is what we try to do. Can you change the metallurgy? Can you change materials? This drive or this zeal to improve is why we are able to. I mean, 8th April, heavy rare earths got banned. We shifted to light within 3 months. Now lights may have a problem. We have shifted to ferrite. So it is basically that zeal that if you know how to do every step of it yourself, you can move much faster, and we know that there are pressures as a company, that there are market pressures, which means we will focus more inwards on cost improvement activities. And cost improvement doesn't mean, you know, the normal consultant way of saying, fire people, shut down plant, those kinds of things. It comes from improving how you make everything that you make every day. Use less material, use less time, use less machines. So that's, I guess, a very long answer. And a philosophical one, to probably a more financial question.

Kapil Singh : Thanks. I'll take a few questions, Vivek, from the chat box. So first is, can you elaborate on the composition of this order book? What is the current status and ramp-up timeline for EV programs? And how much of these will go into production in FY26 and FY27?

Vivek Vikram Singh : Yeah, I think the breakup is there on the slide. We can go back to the slide, Pratik, I think we gave the breakup pretty transparently. Yeah, this is the breakup. EV, within EV, how much is passenger vehicle, How much is two-wheeler, three-wheeler, CV, off high way, customers and programs. All of that is actually in this chart. We do not give future guidance. And if I tell you how much of these programs are going into FY26, it literally means I'm telling you how FY26 ends and FY27 ends. So we don't do that for a lot of reasons. Second, very short-term questions are not good either for people who are looking to invest for the long term or for companies who are looking to build businesses over the long term. I mean, all of us have been here for a decade plus, right, who run the company. Vikram has been here for much longer. We can't be allowed to think only in terms of what goes into order next quarter, or FY26 has only two quarters left. So, I apologize, but this is not a question I think should be asked of any company that is looking to grow a business and build a business and probably make an institution, for the longer term.

Kapil Singh : Ok. Then another question is, revenue ex of Railway Business has moved to 5% growth YoY as compared to a 10% drop last quarter. This has been driven by traction motors and other segments. Others is now 9% of enlarged revenue base versus 5% Q over Q. What does this include?

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Vivek Vikram Singh : Others is all the other products that are not here because railways also, as you know, has some other products apart from the three main ones. Motors also, there are other products apart from the three main ones. In drivelines specifically, there are now many types of gears and driveline parts that we can't classify technically as differential gears or differential assembly. I think, I think, if you go back to that slide, I can illustrate better. Yeah, the product mix slide? So it's not like this number was small, ever, but we are increasing as the pressure comes on traditional product because if your existing customers don't sell enough vehicles, you have to start also making new things for either existing customers or new customers. So that is, others of all the divisions, put together, I would not have the exact breakup of that others with me right now. But anything that is beyond the eight main product categories is in that. We have, I think, about 20 products, so 12 will be in that.

Kapil Singh : Ok, one more question is, if we are deducting 2,600 crores from order book due to low visibility, then we may also debit some orders quantity in future also.

Vivek Vikram Singh : Of course. The future is always unknowable, but we have done a review. This, I think, one needs to do every 3 years or so. But can it happen after 3 years again? Sure, it can. For the first 10 years of my career, almost never we had the opportunity to correct or, any reason to correct because almost always things used to happen in automotive is fairly predictable. This last few months, and some of those models have been exceptional events, which is why we

have done it. But can something like this happen in the future? Of course, there is literally no guarantee of nothing adverse ever happening in the future. So it can, of course.

Kapil Singh : Thanks. Would it be possible to share some color on the nature of acquisition opportunities that are being pursued actively by the company?

Vivek Vikram Singh : No. It's as you know, I don't even think it's allowed. It is UPSI and all that, so I don't think I can talk about it. What we can say is the general nature that it will be in the mobility segment. It will follow the four guidelines that we always do. It should be something, anything that we try to acquire, should have visibility that that product will be in a mobility device for at least 15 years. That is all we can try to estimate the future for. Second, filter, which is that whatever we do, we should have the ability to have market leadership in, which means top 5 in the world, hopefully, or if not, whichever product category we are going for in that absolute leadership like Brakes says we are leaders in India, maybe perhaps top 5 in the world too, but I, I cannot say with full confidence. We'll have to get the data for that. Third, It should make good money for us. So we have financial thresholds, also of expected return, expected margin. There is a curve on which it should fall. And last, it should be something that is good for humanity. So, something that has no other purpose than, well, have negative impact on humanity. We will not pursue so highly polluting processes and industries, weapons, these are things we do not foresee us ever looking at. So that same criteria we will use, but exact opportunities, I don't think we should share.

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Kapil Singh : Vivek, there's a question on hybrids with many OEMs in India and globally talking ab

out hybrids. Why is the company not talking about hybrid motors it used to show?

Vivek Vikram Singh : So we are, I mean, it's in our mix. Hybrid is one of our bigger mixes. Hybrid's good for us, I think. I saw this question a couple of weeks, a couple of quarters back also, someone asked us, actually, in a plug-in hybrid, our value content per vehicle is the highest. We, we would be very happy if more hybrids come into place. IC is where we make less money. Hybrid is actually most because it also has a starter as well as a traction motor, and the differential assembly is primed to the highest torque drivetrain. So it will be more primed towards the electric side of it. But it is a decent part of our revenue even now. Again, Pratik, you'll have to go to the Power mix chart. I think it's in the appendix. I think it'd be, I think, 2nd or 3rd slide in the appendix. Oh, there this time. Oh, Ok, I think we moved it to the appendix because there was usually nothing to report, but I think we missed it. But, can you just share with the people on the call what it is, the hybrid share.

Pratik Sachan : Yeah, just. I'll take a second. I'll get back.

Vivek Vikram Singh : Sure, but it will be robust. There's not much change in it. Uh, it might have grown actually.

Kapil Singh : Ok, Vivek, there's a question on the margins with regard to margins. They are on a downward trajectory. Want to understand what is the baseline to expect with impetus on growing India and the Eastern markets. Are they on a downward trajectory though?

Vivek Vikram Singh : Are they on a downward trajectory though? I think, I think they're on an upward trajectory, but Ok, I think this is a question that, see, when you take, this is just a mathematical thing. This is the first quarter with railway integration. If you take a 26-27% EBITDA business, and that is 80% of revenue, and you add 20% of a EBITDA business, which is 20% of revenue, the margins will go down, in percentage terms. So we have added a full quarter of the railway business which is obviously lower margin. So the margin profile will shift downward. I think the question, the more likely question should have been, how is it still above 25% rather than how is it on a downward trend, because it isn't. I think last quarter, I had said, I had answered this question that where do you expect it to be? And I think I'd said in the range of 23 to 25. And in just this quarter, we've actually done higher than that. But I would say that is the range, 24-25%, and that is our target. Even when we listed, we used to say

that between 25 to 27 is our target. Post this acquisition, I'd say between 24 to 26 is what we try to do.

Kapil Singh : Ok. There, there's a set of questions which talks about the ownership of jointly developed technologies with external partners. How is the ownership determined and what are the explicit criteria to allocate patent rights? And how are joint innovations managed to ensure fair and clear intellectual property protection on both sides? And I think there's a related question for

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it's for other mobility offerings like suspension systems, powertrains, creating tangible cross-platform benefits for performance automation and product adaptability. So, basically, how will the company leverage the technical expertise it has gained from its robotics partnerships?

Vivek Vikram Singh : We don't have any JV partnerships, so I was struggling to figure out how to answer it because I don't think any of the partnerships, the two we did with Enedym or Equipmake have been commercialized, so there is no aspect of sharing of the technology or what revenue accrues where. Most of the products we do, or almost all that what we do is basically in-house technology only. With Neura, that is something to be still worked out. There is a concept of background and foreground I

P that both sides keep the

background IP or the core process with which we develop their part of it. And then the foreground IP, the application of what you have developed belongs either to the customer or to one of you, depending on who is the prime agent and prime buyer, so it is very well articulated right at the start, and mostly these are things covered in the partnership agreements. So whenever we do sign binding contracts, this will be part of it. This is one of the, I would say main areas of discussion and negotiation: who does what, who takes credit for what, who gets the IP rights for what, and then how is the revenue attributed to each party. And obviously, in a good partnership, we try to do it in a fair and equitable manner. So we try to do it for all. Right now, I don't think we have much of those kind of cases.

Moderator : Thank you so much. Now we take the last question.

Pratik Sachan : The answer to that hybrid question, basically we have 24% revenue share of automotive products from hybrids.

Vivek Vikram Singh: So, thank you. And Pratik, just keep that slide in the appendix, in general, because I know it doesn't change that much quarter on quarter, but if you keep it in the appendix, I think people can see exactly what the split is in power trends.

Moderator : Yeah, so now, we will take the last questions. Hi, Jay. Hi your mic is unmuted. Please go ahead. Thank you.

Jay Kale : So my first question is on the suspension motor business. You know, there is a significant amount of time available over there and it's heartening to see new business wins from new customers but if you can just speak a little bit about whether there are any conversations with ICE customers. You've mentioned about auto wins with electric PVs, but are, are ICE customers also actively looking at it?

Vivek Vikram Singh : Excellent question, Jay. Actually, suspension has nothing to do with the powertrain, right? So, both kinds of customers are engaged. However, what is happening is most people's new launches, which are coming, let's say one year later or two years later, happen to be EV because even now, I think there's this, there's a B of A mobility newsletter that comes out. So I saw the

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August numbers. EV growth was still pretty high. I think it was 38%. Europe is again going quite fast towards electrification. So what is happening is that if you want to integrate a new suspension in a vehicle platform, you would not like to do it on an existing thing because you don't want to change the

assembly stations, etc. So you would want to do it in a new model. And new models are invariably electric for a lot of people, which is the reason. So it's not like we're not engaged with ICE customers. The orders or inquiries we get are for EV, but it has zero bearing on the nature of the product.

Jay Kale : The second question is on, on the Humanoid Robots. Of course, it's still a nascent industry and the supply chain is still getting developed. There will always be a time of a J-curve, hitting in your planning and discussions with your customers. When do you see that J-curve hitting and maybe in 5 years down the line, how big an opportunity do you see in terms of the contribution of this business to your revenues?

Vivek Vikram Singh : So Jay, I, I would say let's broaden the definition just to humanoid. Humanoid is the shiny, human-looking face of the robotics movement, but the real volumes are in cobots and industrial robots. By cobots, I mean cognitive robots like robots assisting people in surgeries, people on floors, so many areas. That number is actually much higher. So if you just look at TAM, that number, if you look at a five-year horizon, will be much higher. If you look at a fifteen-year horizon is when humanoid TAM exceeds probably even those ones. For us, it's both because almost every

thing that we do, we do motors,

we do gears, and we do sensors. Together they form the core of almost every joint and joint in movement, basically how many degrees of movement and how many can you enable intelligently. That's a lot more in humanoids, so the number increases, but it is applicable for all robotic categories. I would still say, I don't think one should try to, whenever an investor is looking to make a business case, add too much of it in 3 to 4 years. It will take a lot. I mean, if you just go by my own lived example of 2016, we started investing and doing things with EV drivetrains. We really made money five years later in 2021 for the first time, and even then it wasn't much. Now is when we really make money. So first 3-4 years, you'll make almost nothing. Suspension motor, another example. In 2021, we started developing first samples, etc. In 25, we started making decent money, but in 28-30 is when you make really big money. That starts becoming a category in your pie chart instead of just going and sitting in others. It actually becomes something. So, 0 to 5 to get to good or some revenue, and 5 to 10 to go to massive revenue. That's usually the scale.

I believe humanoids plus cobots as an industry in 2040 might be bigger than the entire automotive sector put together. So, it is an opportunity. I'm fortunately 46, so I have at least 15 years, so I can see that thing happening. And it's great that you can see 2 new industries and technologies pan out in your lifetime. So that's the goal, but if anybody, and especially the people who asked me about what does FY26 look like, the second quarter look like, Yeah, do not build it in your business case for the next quarters or next 2 or 3 years. It is not going to mean anything. It's an investment in learning. It's an

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investment in capability building. And it's an investment, hopefully, that builds us a much, much brighter future.

Jay Kale : Got it, and just one last question, you know, it's heartening to see your ferrite-assisted synchronous reluctance motor development, but just curious, you know, of course, there would be certain inherent advantages of rare earth, I mean, the heavy rare earth metals developed motors. So are there limitations of ferrite-assisted synchronous motors behind us, or we are still in the development curve? Because if it was so easy, it could have, should have been developed earlier as well, right? So there would definitely be some disadvantages of these kind of motors which there will be a development curve.

Vivek Vikram Singh : So Jay, and I, because I know you and I know how closely you track us, we launched this first in 2022. That was the first time. We didn't find much customer traction because when an easier alternative is available, even if you make something innovative, people don't switch to it. There is an inherent disadvantage that the weight is higher, not by much, but the weight is higher. There are some other things, Sat or Praveen, actually, you can speak about

it. But in those intervening 3.5 years, we have improved a lot more. And at that time, I think we were not using synchronous reluctance. We were using some other technology, but using ferrite magnet. But Praveen or Sat, whoever wants to take this can talk about this more.

Praveen Rao : Thanks, Vivek. So, in general, you're right, the rare earth magnets have a higher power density, and therefore, it can give you torque density as well. But when we look at ferrite, it has an inherent advantage in that the temperature-related degradation is not there, like you see in the rare earth magnet motors. So, that advantage we have been able to leverage to take care of the power density and therefore the disadvantage in terms of weight increase, which Vivek talked about. So barring that, you know, overall weight increase, we have been able to more or less compensate the disadvantage

that we would have moving from PMSM with the rare earth to a ferrite assisted synchronous machine. So overall, you know, in most applications, you can offer this as a comparable product, and therefore, it can be a good replacement. So that's a short answer, but, we are working with all the applications right from as we mentioned three wheeler, LCV, two wheeler, and, you know, all the segments. So we will have to work towards achieving a good balance between packaging weight, um, the specific requirements in terms of torque and power.

Vivek Vikram Singh : I think that Praveen forgot to mention because he is obviously concerned about customers who listen to this, that the cost is lower. And, that Jay accounts for a lot. Its lower cost can make up for a lot of things.

Jay Kale : Great, great. Thanks, thanks and all the best for yourselves.

Praveen Rao : Thank you. Thanks, Jay.

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Moderator : In the interest of time, we will conclude the call now. If you have any further questions, please feel free to email your nominal sales rep or corporate access. Thank you once again everyone for your time. You may drop off the line now. Thank you so much. Thank you. Thank you. Thank you. Everyone. Yeah. Have a good evening. Bye.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jan 2026

Date: 31st January , 2026

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and nine months ended on 31st December , 2025.

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Friday, 23th January, 2026 on the financial result of the Company for the quarter and nine months ended on 31st December , 2025.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q3 FY26 Earnings Conference Call Transcript
January 23, 2026

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Good day, ladies and gentlemen . Welcome to Sona Comstar's Q3 FY26 earnings group conference call. Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking question.

Slide 2:

Some of the statements by the management team in today's conference call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer -related questions or confirming or denying any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your questions.

Now, I'll hand over the floor to Mr. Kapil Singh, Deputy Head of Research, India, and Lead Autos Analyst at Nomura . Kapil, please go ahead.

Slide 3:

Kapil Singh : Good evening , everyone. Thank you for joining this call for Q3FY26 results of

Sona Comstar. Today, we have, the entire management team represented by, Mr. Vivek Vikram Singh - MD and Group CEO, Mr. Vikram Verma - CEO of Driveline Business, Mr. Sat Mohan Gupta - CEO of Motor Business, Mr. Praveen Rao - Group CTO, Mr. Rohit Nanda - Group CFO, Mr. Amit Mishra - Head Railway Business, Mr. Pratik Sachan - Head Strategy and M&A, and Mr. Ankit Agrawal from the Investors relations team. Vivek, I will hand over the call to you for opening remarks and the presentation .

Slide 4:

Vivek Vikram Singh: Thank you, Kapil, and Happy Basant Panchami and welcome everyone to the earning call of Q3. This has been our best quarter ever across all financial metrics, and proud to report that we have for the first time crossed 1,200 Crore in quarterly revenue and 300 Crore in quarterly EBITDA, and this is the

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first time we have achieved this milestone. But as has always been our policy when talking to our shareholders, we'll begin with the challenges.

So first, China's restrictions on the supply of heavy rare earth magnets to India continues. In response, we have shifted to alternative motor designs that do not use heavy rare earth magnets. We are now manufacturing motors for electric two-wheelers and three-wheelers using light rare earth magnets, and this business has continued to grow very strongly for us. Secondly, uncertainties around US tariffs persisted, during the quarter. However, on a positive note, the US administration has extended the tariff relief related to USMCA content for 5 years, to medium and heavy duty vehicles as well. This was previously only confined to light vehicles, so we believe that this should

further moderate the impact of tariffs on exporters.

Now coming to the good news, which, as is usually the case, far outweighs the bad. So first, business recovery has been very sharp and well ahead of our own expectations, frankly. Just two quarters ago, I had called Q1 as our worst quarter since IPO, and today we are delivering our best quarter and meaningfully best quarter. So Q3 is our highest revenue, highest absolute EBITDA, and highest adjusted PAT, excluding the one-time labor code-related costs that we have taken in our books this quarter. Secondly, amongst all doom and gloom about EV, EV revenues increased materially, this quarter. This was the 2nd best quarter ever by both BEV revenue and BEV revenue share. This is especially noteworthy in a quarter when North America EV volumes saw big declines sequentially as well as year on year. Third, while the market remains focused on global volatility and potential demand disruption, our order pipeline tells us a very different story.

Our current RFQ pipeline is the strongest in the history of the company, and almost 3 times compared to the same time last year. What it means is the pace of new inquiries is the highest we have ever seen since COVID. This reinforces the hypothesis, that I laid out last quarter of anti-fragility, that we have built a business that tends to emerge stronger from these periods of disorder. We saw this during COVID, and we see signs of that happening

again this time around. Fourth, slightly philosophical point, but scale usually creates, or at least suppose to create strength. But what it often does is that it creates a rigidity in businesses. And scale companies with dominant

product lines, catering to large geographies, usually find it really hard to pivot. I mean, to pivot in a short time is hard by itself. It is even harder to do so while maintaining growth, and it is the hardest to pivot while maintaining both growth and margins .

And over the last 9 months, we have done exactly that. North America, which was the largest market in FY25, has nearly halved for us. While India has doubled in our revenue mix, and we have achieved this without sacrificing growth or margins, and I'm exceptionally proud of our management team that has pivoted hard at scale and did it without that much pain. Lastly, R&D is, of course, one of our clearest priorities. And since acquiring the railway business, we have re-engineered its R&D roadmap. We have strengthened

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the R&D team, and I like to use the word embedded Sona's R&D first culture into the business. And in a really short span of time, we've already added a new product, Air Springs, to our product roadmap. Which, in a commercial way will be, I'd say it will quadruple the addressable market for us in

suspension systems. This is obviously for rolling stock in India. Even beyond railways, we commissioned a new product in our motor division, the Hydraulic Motor Controller. We did this during this quarter.

ter.

Slide 5:

Next, coming to our performance, in the last quarter, in financial terms, our revenue grew by 39%, year on year, while EBITDA, and adjusted net profit, increased by 30% and 20% respectively.

And I'll pause here, to personally thank Vikram, Sat, Amit, and Rohit and their teams, for this performance. I mean, at a time when many of the global auto component industry peers and bigger companies are talking about weak demand and margin compression, delivering strong growth while sustaining margin at 25% level is a commendable achievement, at least I believe that. Now moving to BEVs, this was a very strong quarter for EV business. BEV revenues grew 21%, quarter on quarter. And the mix has expanded to 38% in Q3 from 32% in Q2. This was our second highest level till date. And the key thing to note is that this came despite a very sharp decline in the North America EV market. Volumes in the North America EV market fell 45% quarter on quarter. Even on a year-on-year basis, our BEV revenues have largely held up. I know this is 3% down. This is despite North America, which is the second largest EV market, the volumes declined sharply, 36% year on year. So this speaks about the strength of our execution and the diversification of our EV model, that map, which is now in the appendix on how many programs across how many geographies and how many customers. That diversification is what helps us maintain this rate.

Slide 6:

Coming to nine months, despite the painful, painful low of Quarter 1, we are increasing sequentially, and our financial results for the 1st 9 months of FY 26 have also strengthened compared to H1. For 9 months, revenue growth is at 19%, while EBITDA and PAT have increased by 8% and 9% year on year respectively. Most importantly, margins have remained robust at almost a 25% level. As this quarter also marks the end of the calendar year, we have, as is our practice, reviewed our global market shares, and despite the ongoing shifts in trade dynamics, tariff-related uncertainties, we broadly held on to our market share in both differential gears and starter motors. While maintaining margins in our core business. The marginal movement at a global level was largely mix driven, as the incremental light vehicle production growth in CY25 was actually disproportionately led by China, where obviously we have minimal presence.

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If we were to exclude China, we've actually gained market share in differential gears for CY 25 for the rest of the world. Especially Europe, and I would say even North America, let's see how things develop, but in my view, we have the potential to increase this market share quite robustly in the next few years from what we are seeing in our RFQ pipeline and the market in general, given competitors and their financial situation right now.

Slide 9:

So now moving to our first strategic priority, which is Electrification. Our BEV revenue share continues to improve to 33% in the nine-month period. This was 30% in H1. Although, on a year-on-year basis, it has declined modestly, because of the weak Q1 and the last quarterly call, I think I've mentioned that there is one model that has really hurt us in this space. That said, we continue to add new EV customers and new EV programs for our existing EV customers.

So during this quarter, we added two new orders, one from an existing customer for a new variant of electric scooters, two-wheelers. And another from a new customer for the hydraulic motor controller, which was developed this quarter. Praveen will discuss this in more detail in his presentation. So now we have 64 programs in EV across 33 customers. Of these, 33 programs are in production, while the remaining 31 are yet to enter production.

Slide 11:

This brings me to our net order book. The order book remained broadly stable

sequentially, as new order

er wins were offset by order consumption. Q3

generally is a little sluggish for purchase order awards because as you know, from 15th December to 15th January, most of the Western world is not really actively engaged at work, so less opportunities to convert RFQs to POs. And although we did not announce any large orders this quarter, engagement from European OEMs and Tier-1s has picked up meaningfully. Like I mentioned, I think in the last quarterly call, as well as the one before that, our European competitors, quite a few of them are facing significant financial difficulties. And a large part of the increase in our BD pipeline, almost 1/3rd of that I shared in my opening remarks, 1/3rd of that comes from Europe customers now. To sum it up, at the end of Q3 FY26, our net order book stands at ₹235 billion and the EV portion remains high at 71% of the order book.

Slide 13:

Our 4th strategic priority is Diversification. And this is an area where we've seen tangible progress. Profitable pivots, as I mentioned, at scale are very rare in the auto industry. And we are executing one at pace without compromising growth or margins. Diversification, those of you who've watched us since our IPO has always been a core pillar of our anti-fragility strategy, and it's clearly visible across geography, products, market

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segments, as well as customers. There is a, I'd say, common perception, widely held by analysts, that a higher India mix basically means very high margin dilution. Our Q3 results will, I hope at least clearly challenge this view. The share of our India business has increased to 55% in Q3. Even as consolidated margins continue to remain at the 25% mark. When I wrote about a new "Look East" view in our annual report, it wasn't just words that I was trying to take off the time and try to do because the US tariffs were there. We had taken actions, and the result of the action is visible in just three quarters. So if you look at our geographic mix today, it has broadened quite meaningfully. Eastern markets today can account for 58% of total revenues. This was 33% last year. So this kind of reinforces our belief that in the world that we live in today, diversification, revenue growth, and margin resilience can co-exist if there is a management team that can execute this with competence.

If you look at the market segment front as well, diversification has accelerated quite strongly. The share of non-automotive revenues from 9% in FY25 today is 31% in the first nine months of this year. Off highway has been a bright spot, I must add, with robust growth across all geographies, tractors have done fairly well. Coming to the product side, our fastest growing segment this quarter were EV traction motors and railway brake systems. This you can see in the product mix change. We also saw strong growth in the others category. This includes a range of emerging products such as steering bevel box, intermediate gears, epicyclic gear trains, input rotor shafts, and many, many other motor and railway products. And this category is expected to keep growing as we add new products in this category like hydraulic motor controllers that we've added this quarter. So that's all for me. And now I turn to our Group CTO, Praveen, to update us on technology. So over to you, Praveen.

Slide 15:

Praveen Rao: Thank you, Vivek. Good evening, ladies and gentlemen. What you see in front of you is a familiar road map, but ever growing and getting busy. As a technology-focused organization, we at Sona Comstar continue to strengthen our roadmap with new and exciting products. Our goal in this process continues to be to increase content per vehicle as we graduate from pure components to subsystems to eventually complete systems. So this quarter we are very happy to report the addition of two new products to our roadmap.

The first

one, which you see on the left in the dotted circle, is the air springs for railway coaches. These air springs have become an important part of modern railway coaches. They provide enhanced passenger comfort and

ride quality through superior cushioning. The addition of this product opens opportunities in a growing segment of high-speed trains, including Rajdhani, Shatabdi, Vande Bharat, and Amrit Bharat. The addition of these air springs

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also makes Sona Comstar, a comprehensive suspension system provider to the railways.

The 2nd product which you see on the right-side top is the integrated hydraulic motor and controller for farm equipment. This compact motor with integrated electronics operates the hydraulic pump, which aids in lifting farm equipment, as well as in steering, braking, and other auxiliary functions. This product will enhance our offering to the farm sector, where we already provide the traction motor and controller to leading OEMs. Next, please.

Slide 16:

The recent government notification on implementation of ADAS systems for M2, M3, N2, and N3 class of vehicles, or commonly known as medium and heavy commercial vehicles, assume significance for Sona Comstar. The graphic captures our foray into both in-cabin and exterior ADAS solutions. As you're aware, our sensors and software vertical, NOVELIC, is pioneer in the field of millimeter wave radar solutions, and we have set up a state of the art production facility in Chennai for an already awarded business. This in-cabin radar product has been further augmented with a vision system to address the mandates covered under DDAWS as you see on the slide as per AIS 184 regulation. This integrated offering will make a comprehensive solution in the domain of driver monitoring systems to the OEMs.

On the right, what you see is our unique 180-degree field of view exterior radar solutions. And they provide an opportunity for OEMs to replace up to 12 traditional ultrasonic sensors and 4 corner radars, with our just 4 radar sensors. While addressing all the mandates under the new regulations, including Blind Spot Information Systems, Moving Off Information Systems, AEBS and LDWS, Sona Comstar will continue to leverage these breakthrough products to play a meaningful role in the growing ADAS market in India.

Thank you and over to you Rohit

Slide 18:

Rohit Nanda : Thank you, Praveen. A very good day to you all. It's my pleasure to share our third quarter and nine-month results for the financial year 2026 with you.

The quarter gone by has been the best quarter for the company, wherein for the very first time we've clocked revenue in excess of 1,200 crores and EBITDA in excess of 300 crores. Our revenue for the quarter was 1,209 crores, which is a 39% growth over the same quarter last year. BEV revenue was 320 crores which is 38% of our automotive revenue and is lower by 3% year on year. EBITDA for the quarter was 305 crores, which is a growth of 30% over the same quarter last year. Our EBITDA margin was 25.2% for the quarter.

Compared to the same quarter last year, it is lower by 1.8%, mainly because of change in the product mix. At profit after tax level, as you all know, there are new labour codes which have been notified by the government and are

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effective from 21st November 2025. Our profit after tax for this quarter had a one-time impact of ₹30 crore from these newly introduced labor codes, mainly on account of additional gratuity provision and to a small extent because of additional leave encashment provision.

Once we adjust our

profit after tax for this exceptional cost, our PAT was 181 crores, which is a growth of 20% over the third quarter of last year. Our adjusted PAT margin was lower by 2.5% because of lower EBITDA margin and lower net financial income,

despite lower depreciation costs as a percentage of revenue.

Slide 19:

Coming to the nine-month results. Next slide, please. Our revenue for the nine-month period aggregated 3,203 crores, which is a growth of 19% over the same period last year. BEV revenue was 795 crores, which is 33% of our automotive revenue and is lowered by 14% year on year. Nine-month EBITDA

was 796 crores, which is a growth of 8% over the last year, and EBITDA margin was 24.9%, which is lower by about 2.7% compared to the same period last year, mainly because of change in the product mix. Adjusted for the one-time impact of the new labor code which I just spoke about, profit after tax for the nine months has grown by 9% and stands at 478 cr. Our PAT margin is lower by 1.4% due to lower EBITDA margin, despite lower depreciation cost.

Slide 20:

This brings us to the last slide, which is on key ratios. As I have explained in the last quarter also, different cost and working capital structure of the railway business is flowing through our key ratios that you see on the screen for the current financial year, like value addition to employee cost and turnover ratios in the current year when compared to the earlier years. But compared to what we reported last quarter, there are no material changes because last quarter itself had the impact of railway business already included. However, our return on equity ratio has slightly improved from the last quarter

as deployment of capital in the railway business starts to bring in an incremental positive impact compared to the finance income which it has substituted in the P&L account.

In the end, there's an additional piece of information that I'm glad to share with you, which is that we have received our first year PLI benefit from the government during the month of January. So that completes our first cycle of PLI income booking and conversion of it into cash flow. With this, we have come to the end of our earnings presentation, and I'll now hand the proceedings back to the Nomura team.

Moderator: We will now open the floor for the Q&A session. If you wish to raise a question, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak, or you may submit your question via Q&A chat box, addressing all panelists. Please remember to keep your question to a maximum of 2 questions. If you have more

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questions, please return to the queue. Thank you. We have a question from Aryn Pirani. Aryn, please go ahead.

Kapil Singh : I think Sneha, we are not able to see him. By the time we figure this out, if you don't mind, I'll ask a question, by the time we get the queue in order. Vivek, you know, you have consolidated the railway business during the year, and, some of the investors were trying to assess the performance of the business, excluding the railway business as well. So how should we think about this? What is the right framework according to you to evaluate this?

Vivek Vikram Singh : It's a relevant question. Perhaps even an important one. But, and I hate to disagree, but I usually don't disagree with you, but I have to on this point. So

we don't think excluding railways or any business that is a BU now is a way to assess management or company performance. I mean, Acquiring the railway business was a strategic capital allocation decision. And the key test for us is quite simple, right? That whether it has added to EPS or has it not. I mean, if you look at it fundamentally, the two biggest roles of any management team has and across businesses, right, is generating cash and then deploying that cash. If the cash deployed returns higher money than simply holding it or returning it to shareholders, then the management has done their job well. And there are only 2 things you can control while making these d

ecisions, the timing of the capital deployment, in this case, an acquisition, and the price paid for it. So, let me try and illustrate. Pratik, can

you go to the appendix and put that chart which shows our 25-year growth journey. Yeah, this one. Okay. So there are 2 years, right, that we've done meaningful acquisitions of size . The motor business, which we acquired in FY20, that's on your slide there, and the railway business in FY26. If we had not taken those decisions, today, we would be a driveline company only in perhaps half the size of what we are today. And even more importantly, if you look at those years, those years were also the ones where our growth would have been lower or even far lower than our average growth rate. So both times we were able to time the acquisitions right for cash flows to flow in at the right time. And add to the business, and both times, we were able to do it at a price that made it return accretive . I mean, you and everybody on this call would know the statistic of how many acquisitions succeed versus

how many failed. If you look at what we have done and what has happened in subsequent years, so the flip in growth after FY20 came because of that acquisition, and then both engines started firing. The goal is that once you develop a flywheel that generates a good amount of cash flow, that you're confident can stably and sustainably keep throwing up cash, you take that extra cash and deploy it, ideally, in another flywheel, not just a plug-in place, something that just adds a gap, something that becomes another flywheel and then generates or throws up even more cash flow, and you keep building on that. So now, after 7 months, I can proudly say that all 3 businesses of ours are long-term sustainable cash flow machines that will keep adding to our cash file. So, yeah, in summary, so what matters to us, at least as a management team with a 15-year outlook, is whether capital has been deployed at the right price and the right time, in a way that improves both

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earnings quality as well as earnings stability, rather than how growth appears on ex-railway or ex-motor basis. And not to forget, I mean, railway also adds meaningful diversification beyond automotive. This is fully aligned with our long-term strategy, and often repeated stated goals. And, I mean, going

forward, very, very high probability that we will add another BU. We are keeping our powder dry and with a strong balance sheet and I don't know, 1,000 or 1,100 crores of cash sitting with us. We are likely to continue deploying capital prudently, wherever we feel that there is clear earnings accretion and strategic fit. So, 10 years later, when you look back at us, how will you judge that? What should I exclude and what should I include? We are an evolving company. We are a growing company. We will keep becoming something else from what we are today.

Kapil Singh : Fair enough. Thank you. Just one, last question from my side is on the new products that we have showcased, more on the, ADAS opportunity. Could

you elaborate a little bit on this? Are we going to supply only the radars, or are we going to be system integrators? And what is the value proposition that we offer? Is there a competitive advantage here compared to what is available in the market today? Just trying to get a sense of what could be the TAM.

Vivek Vikram Singh : TAM's pretty big, but we will focus only on the radar module. I'll be honest, we can either be Tier-1 to other large system integrators who are bigger Tier-1s or supply directly to OEMs who are willing to integrate the radar modules themselves. Praveen can talk about the cost as well as the technical advantages. Praveen?

Praveen Rao: Yeah. So, thank you, Vivek. So, both, in-cabin as well as exterior Kapil, you know, if you have that, slide pulled up, Pratik, so there are several advantages

of our in-cabin, as you see on the left portion of this slide. So, these are all our, let's say unique selling points, and it is basically, one product which can do all of these functions. Now, the ADAS regulation mandates a few of these functions today. For example, occupant detection or child present detection or driver monitoring systems, but the product that we are offering to the OEM can do several other things, right several other value-added features. So this is something which we are, pitching to the OEM. The other thing is we are perhaps one of the early ones to set up a facility in India for the radar product, right? if you look at where others are today. So that is something which is exciting because we will be launching production with our first product pretty soon, which means we'll be able to have the opportunity to support all the OEM programs anytime FY27 onwards. So that's a great situation to be in on the in-cabin. Exterior, with all the mandates that are coming up, we have a product which, as I said, can replace ultrasonics and corner radars, so that's a huge advantage in money terms, you know, it's almost like half of what they would be spending today to have this ultrasonic and the radars. So it is definitely a big advantage and we are pitching to OEMs, you know, as, both a technical advantage as well as from a cost point of view. And now with the production facility being there, you know, we are ready to support. So all in all, I think it is very timely with the regulation, coming in, pitching in, you

know, I mean, calendar year 27 is when at different points in time for existing as well as new vehicles, it will be mandated and we are ready to support.

Moderator : We have a question from Gunjan Prithyani. Gunjan, you can go ahead.

Gunjan Prithyani: Thanks for taking my question. Good to see, growth coming back after a really tough couple of quarters. I was just looking for, two inputs. Firstly, I think the traction motor, really solid growth. When I look at it, from an industry level,

of course, EV adoption in two-wheelers isn't growing as much. So I just wanted to hear your thoughts on the growth that we are seeing, is it market share gains in the industry? And if you can sort of give us a little bit of color on how the market share stands, like you share for other segments as well, and how big is this three-wheeler opportunity? Has it started to also add in meaningfully? So, a bit more color on how we think about the growth outlook on the traction motors.

Vivek Vikram Singh : Gunjan doesn't need to thank us for taking a question. We are here for just one express purpose to answer all your questions. So, we are at your behest, so there is no need for thanks.

EV penetration as a percentage of two-wheelers may not have changed meaningfully, but our new programs have started kicking in. We are also expanding the share of wallet with existing customers. So the point that we made, that our agility in shifting from heavy rare earth to heavy rare earth-free magnets, that actually helped quite a lot. And I don't want to belabor the point, but this is what I keep saying, that capable people with a strong engineering background in these periods of supply chain or disruption are usually the one to gain share of wallet and market share. But market share calculation within, is harder to give you as a percentage. That's why basically, at the end of year, we'll just see how many electric vehicles are produced. We see how many motors we made, and because only one motor goes in each vehicle, you can just do that division. It's fairly easy. What is hard to quantify is how much of it is still being supplied by China. Some people let you

know that they are buying from China. Some people don't tell you that they're actually buying from China. So that is the hard part. But I would say

comfortably, we would be the largest, in this space, even if you take other vehicle categories. Three-wheelers' opportunity is big and it's actually growing, one of the fastest, and hopefully in the next couple of quarters, you will see the growth being even more solid. What, because the value is also much higher, right? As the power and voltage go up, the value goes up nonlinearly, actually, it goes up much harder. Because of which, I would say for the next 5 years also, I would expect traction motors and controllers to be our highest growth segment, by far, I think. Gunjan Prithyani: OK, got it. I think the value opportunity, I assumed is yet to kick in, from the three-wheeler piece.

Vivek Vikram Singh : Some have already started, this quarter some more programs will start, so it is coming in faster than anticipated. And obviously, the big boy piece, which is

the four-wheeler bit, is something that we are working on, and hopefully, we can share something in the times to come. But yeah, it's closer than one expected. Well, that's a really big segment because even if you take a small number of vehicles, and I know that for some reason we say BEV is the only one which has a traction motor. All plug-in hybrids also have traction motors. If you add that total volume and combine, multiply that by the value of the motor and controller, the addressable market is humongous. Even a small portion is a big and meaningful thing for us.

Gunjan: What would be the value if you were to sort of share a range for the four-wheeler?

Vivek Vikram Singh : Can't yeah, because then people can read this and then negotiate against me.

Gunjan: Ok, got it. The second one, I wanted to go back to the comments that you made that, you know, there is a surge in inquiries, almost similar to the supply chain disruption when we saw post-COVID. Can you talk about what sort of inquiries that you're seeing? Is it supply chain diversification? Is it, you know, just the product capabilities, you know, getting more stronger within Indian

suppliers? And on the same lines, the whole Europe, opportunity that you spoke about in the last conference call, at what stage are we on that business?

Vivek Vikram Singh : Ok, so I'll take it one at a time. So this auto supply chain is global by nature, right, that customers are spread across the world and even within customers.

So we, let's say we say X customer is a North American manufacturer, they would most likely have manufacturing in Europe, etc. as well. The supply chain is also similarly distributed all over the world. When we say that European suppliers are facing financial difficulties, it is not just the European plants. It will also be the US plants and other plants. And I would say about, and this is primarily, by the way, driveline business, I would say is where we are

seeing this the most. I will come to starters after this. In the driveline, what we're seeing is that about 400 million to 500 million euros worth of revenue companies might just fold, and all that they do will have to be redistributed across the supply chain. Well, this kind of event happens, the most likely people to inherit this business or get this business resourced, are, well, China and India, and for political or whatever reasons, for North America, that choice will not be China. So it then becomes India or finds another supplier who is strong within the continental United States or within Europe for European OEMs. It is hard to do that. So this is basically redrawing of supply chain maps itself. It is one of the bigger moves. I mean, you know, remember there was a time in 22, 23, you used to ask me about China plus one and all. At that time, even, and I think it'll be in one of our transcripts that I said this is not, it is not as real as people claim it to be, because there wasn't really an imperative

to do so. Now there is a financial imperative to do so, so there is a hardcore urgency behind this. And as far as conversion goes, some may have already converted in the 15 days that have passed in January, but they can convert today, they can convert tomorrow because almost all of them

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are what we call stage 3 or stage 4 of our pipeline. Which is the phase in which you have demonstrated the product, you have developed the product, and now samples are approved. Now you're basically negotiating commercials. So that's where a lot of this is right now.

For starters, what we are seeing is interesting that the motor market, as you know, there are 5 or 6 large, large global players. Some of them are looking at vacating the starter motor field. So here, the opposite of the electrification thing is happening, that suddenly, a lot of people do not want to make starter motors are really big guys. They may look to shut plants, and that capacity would have to shift somewhere. So that's where the inquiries are coming from, that people who were getting it from one of our bigger competitors, we are probably 6 or 7 in the world in starters, so one of the top 3-4, and they have to now resource. There is no real move towards India. It is a move to competent global suppliers who are already proven at global scale, because we have in the past done those parts, done those assemblies. So the customers are well aware that, you know, we can do it. You would rather, when you're in an urgent situation to resource, you would want to go with a tried and tested person. So that's where it is today.

Moderator : Thank you. Please be reminded to keep your questions to a maximum of 2 questions. If you have more questions, please return to queue. Now we will take the next question from Nitin Arora. Nitin, you can go ahead.

Nitin Arora : Vivek just first continuing this question what Gunjan asked, and giving the way your confidence right now and has been in the last two quarters about this

opportunity, how do you think about, you know, profitability of this opportunity? My question is, you know, we used to be a very when North America used to be very big, we were like 27% margin company. I mean, I'm not saying that today you are not a very big margin company. The question is that. How do you think about this profitability movement happens when these orders also starts coming to you? Because I'm assuming if the way I'm reading your commentary, nobody will come for one or two orders if it's a supply chain thing. He will obviously will try to scale, vendors and, you know, auto ancillaries like you for the longer run. So how do you think about profitability on that, on that account? And second, I know India is becoming big for you now, and I need your outlook, more on, one aspect which is

commercial vehicle, which is a lot of noise in the last 2 -3 quarters, and, we as an analyst always think that, you know, eventually the fundamentals should prevail, you know, the fleet size is pretty aging, growth should come back,

but it has always been a false start. But this time it's almost like a 3rd month where the industry is growing in almost 20%+. Just need your outlook on that as you are also a supplier there. So just these two questions.

Vivek Vikram Singh : I'll cover both. CV, obviously, we have a good insight because we are. I don't know what word to use, but we are like above 80- 85% of CV industries are our differential gears. So, we see that very quickly, and you're right, it is always wise to wait for 3 months before you take any judgment call on whether a CV cycle started or not. We have seen 5 false starts in the last 5 years. I hope

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this one sticks. I actually was thinking that the GST cuts would be the best for the CV industry, and when immediately it did not mat

erialize, I was slightly

confused because usually we pride ourselves on getting these calls right. I

think it will. So in India has done well because of traction motors, as Gunjan pointed out, trucks, as you pointed out, tractors, and train brakes. So all 4 T's, so the 4 Ts have done well for us and I think all four are going to continue for some time. From a purely the trends we have seen in the past of vendors CV cycle go up, down, tractor cycle, all of them seem to be in favor of that hypothesis. On the first one, the margin front, same answer I'll give that I gave to you when you asked me this question in, I think it was April, May 2021 before our IPO. It doesn't really matter what new business we add, subtract. At that time, I used to say our range of EBIT DA will always be between 25 to 27. After we acquired the railway business, as you know, it has significantly lower margin than our average. I said it will be between 24 to 26. I don't think it will

change, man. Like this is, also understand that these are the projects we are talking about, if I take their total value. It may be the inquiries we have in the

pipeline it may be 2 to 3 times our revenue size. We can't possibly do all of

them. So we will, of course, try to be prudent about it and choose the opportunities that are more commercial vehicles, more bigger vehicles, SUVs,

pickup trucks where torque is high, and value addition naturally is high and gross margin is high, and hence our EBIT DA margins are high. So we will continue to be that way because there is an element of choice also here, right, that if it is a really low margin, only volume increasing opportunity, we don't do those things. It is very easy for us to have today, at the end of the year, obviously, to have been 6,000 crore company with the same EBIT DA. But those empty growth type of programs, we will almost always reject unless there is a high strategic reason to do it that because of doing that, we get something else which is meaningful. Otherwise, we don't. And most of these opportunities that are coming, maybe actually, most of them that I can remember, at least are higher margin than what we do today.

On the India piece, I think, going forward, hopefully the EU -India FTA should happen going forward. I'm also keeping our fingers crossed for an India -US trade deal happening. If those two do happen, I think this pendulum will swing back and then the West portion of our revenue will also go up. We do not seek that India should become 80%, because what is the meaning of diversification then? So we would want to keep a healthy mix, and we do see that North America and Europe will increase in the times to come. Have I

answered your questions Nitin or not?

Nitin Arora : Yeah, thank you, Vivek, and all the best to you and, and the team.

Vivek Vikram Singh : Thank you Nitin.

Kapil Singh : Vivek, I'll take Amyn's question. He's not able to connect. Can you comment on how we should think about the recurring impact of labor codes on employee costs going forward? Probably this is for Rohit.

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Rohit Nanda : Yeah, so, see, our current estimate is it should be around 4 crores a year. I mean, why I say this is because, you know, the rules and all are yet to be notified, so our understanding of this will improve as we go along, as would

be the case for everyone, but should be ballpark around 4 crore per annum.

Kapil Singh : Ok, Rohit, while we have you, there are a few questions from Raghu as well, which are on the financials. So just let me run through one by one. There is an improvement in gross margins Q oQ. What has led to this increase?

Rohit Nanda: So Q on Q, it has to be product mix only.

Vivek Vikram Singh : Yeah, it will be product mix . So if you have more products that are assembled in nature, I would say versus if the driveline grows. No, Driveline will ha

ve more,

right? Ones you make from component will have higher gross margin, and the ones you assemble will have lower gross margin. So that's just a mixed thing.

Kapil Singh: I think the second question we have covered on recurring impact of employee expenses from Q4, he specifically asked from Q4.

Rohit Nanda: Yeah, so, Ok, I mean, if it has to be that specific, 4 crores per annum will mean 1 crore a quarter.

Kapil Singh: Yes, are there discussions with Europe OEMs at an advanced stage for orders relating to driveline parts due to bankruptcy of three competitors?

Rohit Nanda: I thought Vivek already covered it, no.

Vivek Vikram Singh : Yeah, yes, and I think I'm now reading those questions. So there's one question on the exact PLI amount, and Rohit, please do not answer that.

Kapil Singh: Would total railway revenue be 357 cr ores this quarter?

Vivek Vikram Singh : So we don't report segment wise or BU wise revenue. I think we are trying to

take this, like I explained at length to you, Kapil, we are trying to take this thing away from this, I'd say almost Excel sheet -oriented approach that what ro w is what . Our job is not to help build better models. Our job is to run a business.

These 3 things are product lines. Our job is to ensure that on a consolidated level, we as a company continue to do well. What contributes, what is an internal MIS metric? It is not for outside. We give a fair amount of color on which product, etc. has given what I think that is enough. We have always been very transparent on that. We have not ever changed or gone back on how much we report, but more than that, sometimes becomes analysis for no real outcome.

Kapil Singh: Okay. And what is the potential of a hydraulic motor controller?

Vivek Vikram Singh : Yeah, Praveen. If you'd like to answer that one.

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Praveen Rao: So, as I opened up on the hydraulic motor controller, so it has wide applications in the farm sector, and as you would know, in farm sector, you have a lot of agricultural implements which are used for towing, plowing, sowing, and many things like, PTO ope ration, so, all of that actually run on hydraulics in most cases. So, to run the hydraulic pump, you need a hydraulic motor, right? And that's what we are launched. So, application is wide, widespread, in the farm sector. We have just begun with one progra m, but the opportunity is, you know, immense, and especially with electrification happening in, tractor segment, it is, only bound to grow.

Kapil Singh: So, Sneha, back to you.

Vivek Vikram Singh : There's another interesting question that I noticed because I read the Q&A thing. Someone asked about differential assembly revenue. Why has it grown sharply on a Q on Q basis?

One of our customers, our oldest EV customer, has had some differential assembly revenue recovery, I will say and then some other customers also, their programs, especially in Europe, actually, EV growth in Europe has been fairly decent for us. So, EV plug -in hybrid, so differential assemblies has grown because of that reason. And the person who noted it, I have to compliment him. This is absolutely the correct analysis that for 3 conse cutive quarters, we saw a decline in those volumes. So we were very happy that this quarter finally started inching back up.

Moderator : We have next question from Rishi Vora. Rishi, you can go ahead.

Rishi Vora : Vivek , my first question is on the couple of partnerships which we announced, right, Enedym, C -Motive, Equipmake. Can you just give us any update on all these partnerships in terms of product development? And just one clarification, when you talked about, four -wheeler, traction motor, we are working on it. Is it for cars or is it for, you know, other commercial vehicle segments? Just a clarification on that.

Vivek Vikram Singh : So we are workin

g on it doesn't mean we have a purchase order yet, otherwise we would have put that out. We are working. For all segments, whatever they may be for 4 wheels and above. Hopefully, in 6 -7 months time, we will have a meaningful update for you.

Rishi: Sure, because in the past, I remember you had said that passenger vehicle is not a segment which you are focusing on because the competitive intensity over there is on the higher side. So is there a change in thought process in that segment, at least in terms of product development?

Vivek Vikram Singh : Oh no, what I'd said, and I'll clarify, was exactly this, that we will start with 2 wheelers, then move on to 3 wheelers, and then the toughest to compete is in 4 wheelers. So we will go to it in the end when we are certain of the capability of our product, the advantages we bring to the customer, and only then would it make sense. If we are not able to do it ourselves, we'll, of

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course, figure out a way to collaborate, partner, do something, but it is a segment that we will come to in the end, and this is something I had said in I think 21 or 22 calendar, when we had shown the map that we eventually want to address every single market segment, but this will be our order of progress. As you know, since then, we have done quite well. I hope our numbers speak for themselves. We are perhaps the largest, if not the largest, we will surely be one of the, at least the 2nd largest in volume terms. I doubt if we're not the largest in 2-wheelers. In 3-wheelers, we have made a meaningful dent. So it is time, and we have worked enough that we keep aspiring upwards.

On your second question, again, these are partnerships that were formed in 21 and 22. Not that much. These were, and now with the hindsight advantage, I think in public markets, purely R&D types of partnerships should not be announced, because people ask questions, as if they'll be commercial opportunities. We were trying to explore, so I'll tell you all three. All three were trying to develop rare earth free motors. I will let Praveen and

Sat talk about where we are with each other then, but it is not something that can happen instantly. For 200+ years, motors have been made using magnets. To challenge that, you need breakthrough innovation and almost

inventive leap. And that does take a much longer time frame. We continue to work with, I think, Equipmake, Enedym as well as C-Motive. We continue to monitor it, but Sat and Praveen can guide more on where we are, with those.

Sat Mohan Gupta : Thanks, Vivek. On Equipmake and Enedym, I mean we are working with both the companies and both the partners. We are trying to see that how we can perfect the application requirement, into these technologies. So right now, it's in validations and trying to address some of the concerns of the current application requirement on C-Motive, maybe Praveen can help on.

Praveen Rao: Yes, Thanks Sat. So, C-Motive, as we informed, earlier, it's a kind of a moonshot technology. It's what's called electrostatic motors. So, their primary applications were industrial, basically to replace, let's say, conveyors or

electric fans with this kind of motor. The automotive was a challenge to be handled later because automotive talks about reliability, safety, form factor, packaging and other things. So they are currently in the state of, you know working towards industrial applications, and I believe once they address that challenge, we can then move to automotive because our requirements, as I said, NVH and safety are still quite strong. So I think that is for the future, but

for now, I think they still have work to do before we get to automotive.

Vivek Vikram Singh : But, Rishi, good of you to remember that old things.

Rishi Vora : Yeah, thanks, team, for the answer. And, one last question for Rohit. If you could

do, just refresh on the commodity contracts because aluminum and copper prices have gone up sharply. So is it a pass-through in all our subsegments, or like just, what are the broader contractual terms for the commodities?

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Rohit Nanda: So, steel is a pass-through for driveline business, for motor business, copper and aluminum is a pass-through. Steel is not a pass through in all the

contracts. It's only a pass through in some of the contracts. So, that's how it will stack up.

Vivek Vikram Singh : So, while we did not mention anything on commodities, just for knowledge that we have achieved these margins and held on to them despite actually a quite sharp increase in commodity prices. Which although it does not affect absolute EBIT DA it does affect the EBIT DA margin because it gets added in numerator and denominator if you pass through also. So, whilst, mostly we pass through, but numerically, it always depresses margin. It has happened to us in FY22. If you remember, that was the first time our margin s fell below 25%. When we go above 26 or 27%, that happens when commodity prices cool off quite a bit, and then numerically or mathematically, the margin goes up.

Kapil Singh: Vivek, there are a few questions in the question queue, so let me just, read out, some of those. One was on, how is the situation on rare earth supply panning out?

Vivek Vikram Singh : I think I addressed that in my opening comment, no supply from China on heavy rare earth magnets. We are still restricted as a country.

Kapil Singh: There were some questions on, earlier, some question marks on, light rare earths as well. Is that fine, or is there any risk there as well?

Vivek Vikram Singh : It's fine so far. Don't scare people.

Kapil Singh: On the differential assembly, there was a follow -up. Is the EV plug -in hybrid a new program or ramp up of existing programs?

Vivek Vikram Singh : Ramp up of existing programs. There has been no material big program that has started. Any program that started recently would be small ones. Pratik, you can correct me if I'm wrong.

Pratik Sachan : Yeah, that's correct. It's an already existing program getting ramped up .

Kapil Singh: I think there are a few questions which are along the lines that macro, do you see macroeconomic policies worldwide conducive for EVs? Most of our orderbook is from EVs. Do you see a risk there, because of the policy changes?

Vivek Vikram Singh : The policy changes that were to happen have happened. I mean, like when people say when the worst has happened, you can actually breathe a sigh of relief because you're already through it. So, all EV subsidies or credits that were being given in the US have been scrapped already. This, so this performance is despite, all of that. I did mention in my opening statement that 45% negative growth sequentially for the North America EV market. So

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this is despite all that. Europe, but if you actually go and study, and I think, BofA team takes out this mobility newsletter, which is pretty good in which they track market by market EV sales. So if you add B EV plus plug -in hybrid, which is basically our segment, you'll see pretty decent performance in Europe, because now what is happening is that as battery prices continue to come down, economically, the EV is making more sense. And once the world has seen th at happening in China, they realized that even without any incentives, the EV is the better way to go. I think you will see that, at least in India and Europe, you will see a very, very high tailwind for EV and actually, most of you, I think, already concur from what I read. I don't read many of our c ompany coverage reports, but when you guys publish the auto sector report, I do read it. I think you will also concur that the tailwind is ver

y strong

for Europe and India now in EV.

Kapil Singh: Sure, and then there's a question on what's the status of products proposed to be developed under the Neura robotics MOU? What is the ballpark TAM you're looking for in robotics and humanoids as this is a very nascent stage?

Vivek Vikram Singh : Correct. I did address that last time also. Do not ask for 5 years. Now, we are much wiser after being public for 5 years. Please do not ask. This is something we are doing. I had explained to the length that 0 to 5 years, you spend money, but don't make money. 5 years, you start making some money, 5 to 10, you make money, right? When we announced our suspension motor, we were met with a lot of skepticism and scoffing in 21. Until 24, it was right. We did not make even a single dollar. 25 when we made the first dollar 26 will be when we'll make millions, and hopefully 28, 29 is when we go into tens and hundreds of millions. That is how it scales. When differential assembly for EVs

2016 to 2019, we made no money. 2019 onwards, we started making some money, and then it became tens of millions of dollars post that. This is the usual product development cycle. So if this is for making decisions on the near term basis, please do not consider it at all. Indulge us that these are something that we are passionate about and like to talk about, but this is not for today. This is for the company 5 years later. We make 15 -year plans. We don't do this for the short term, and we never will.

Kapil Singh: Okay. One question is on the rare earth free motors. How do they compare in terms of usage or output to rare earth motors, and then some comparison with, where, heavy rare earth or light rare earth which are less efficient, some color on that as well.

Vivek Vikram Singh : It's a good question. Sat, would you like to answer it? Actually, let's do it in three ways. What is heavy rare earth , heavy rare earth free or light rare earth and Ferrite ? What are the three differences? I think Sat can answer this well because he has been telling this to customers and the government for a while.

Sat Mohan Gupta : Between heavy rare earth and light rare earth, the difference is not major. It impacts two things. One is the performance, which is in terms of the efficiency of the machine and the thermal handling of the system or the machine, you

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can say. So between HRE and LRE, I mean, we work on different parameters, to meet the application requirements. So we work on copper, we work on the size of the motors, internal size of the motor. And try to see that, I mean, there is not a big change between HRE and LRE application requirement. When it comes to ferrite. Ferrite is more thermal -friendly, but, as far as the power of ferrite is concerned, it's lower than HRE and LRE. In that case the efficiency factor comes down drastically, and even after working on the design with more copper and other components. Still, it lacks and it increases the weight of the vehicle. So, the good fit, I mean, what we have seen and what we have done is to replace HRE with LRE, which is without impacting the, application and the customer requirements but Ferrite is a good option, to manage the supply chain more effectively, but it comes with a little bit of challenge on efficiency as well as the weight. I hope I answered.

Vivek Vikram Singh : Yeah, So net net, two -wheeler, three -wheeler, if you engineer the product well and make some changes to the motor topology, design, other materials, you can using LRE magnets, get to the same application. So there is no, no OEM or none of our customers at least will compromise on product quality. So we will get to the same product quality by a few changes, and the ability to change fast, does help you, as I answered to Gunjan, increased share of wallet and market share when these changes are happening. Ka

pil Singh: Then there's a question on, what are the tariffs for Sona in the US and EU? Who is paying the tariffs?

Vivek Vikram Singh : I'm not gonna answer this question, otherwise, you know, somebody big might get very, very unhappy. Very, very fundamentally, the tariff is paid by an importer, not by an exporter, because that is how tariffs work, that if you import something, you have to pay a tax that is what it is. Apart from that, I think it's well known. It's not like Sona has some special arrangement, with any country or government. Everybody has the exact same tariff rates if they're from a certain country, or if their products fall under a certain HS code. So, it is defined by HSN codes, and you pay that tariff accordingly.

Kapil Singh: Then one question is regarding the strong RFQ pipeline, how long does it take for the order book to translate to revenue?

Vivek Vikram Singh : Good question.

Kapil Singh: Question should be how long does it take to first translate to the order book?

Vivek Vikram Singh : Yeah, I think the first part is the one that once you get a purchase order, anywhere between 12 to 18 months is what it takes for revenue to flow and sometimes even longer, it can even go up to 24 to 30 months. Depends on how early that OEM has moved. What we're talking about are also special situations in which it is what is called a running change, that you have a supplier and you're switching midstream. Those typically are shorter time cycles. So, the answer is, very sadly, that it depends. It depends from program

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to program, context to context, as swiftly as 8 -9 months, and as long as 30 months, from start to revenue.

Kapil Singh: And one question on financials is employee cost has increased 14% QoQ. Can you indicate the reason for the increase and whether further increase is expected in the near term?

Rohit Nanda: No, so we don't expect an increase in the near term. I mean, of course, some part of the employee cost is also linked to the revenue. But the staff cost, there's an annual increment cycle which we have, which is from October to October and that's the reason why you see an increase in the employee cost here. So in the near term, it should not go up.

Kapil Singh: With this, I think I've covered all, all the questions in the queue. Sneha, back to you.

Moderator : Thanks everyone. Due to time constraint, we have to conclude this call now.

If you have any further follow -up questions, please feel free to email your

Nomura sales representative or corporate access team. Thank you everyone for your time. You may now drop off the call .

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2026

Date: 6th May , 2026

Subject: - Transcript of Investor Call pertaining to Financial Results for quarter and financial year ended on 31st March , 2026 .

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Investor Call held on Thursday , 30th April , 2026 on the financial result of the Company for the quarter and financial year ended on 31st March , 2026.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you,
For Sona BLW Precision Forgings Limited

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q4 FY26 Earnings Conference Call Transcript
April 30, 2026

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Ladies and gentlemen, good day and welcome to the Sona Comstar Q4FY26 earnings group conference call.

Please note that all participant lines are in the listen -only mode. There will be an opportunity to ask questions after the presentation concludes. This call is being recorded. We request that you keep your lines muted except when asking a question.

Some of the statements by the management team during today's call may be forward -looking in nature and we request you to refer to the disclaimer in the earnings presentation for details. The management will not be taking any customer -related questions or confirm or deny any customer names or relationships due to confidentiality reasons. Please refrain from naming any customer in your question.

I will now hand over the floor to Mr. Kapil Singh (Deputy Head of Research India & Lead Auto Analyst) at Nomura. Kapil, please go ahead. Thank you.

Kapil Singh : Thank s, Sneha. Good day, everyone.

Once again, it's my pleasure to host the management team from Sona BLW.

We have with us Mr. Vivek Vikram Singh, MD and Group CEO; Mr. Vikram Verma, CEO – Driveline Business; Mr. Sat Mohan Gupta, CEO – Motor Business;

Mr. Praveen Rao, Group CTO; Mr. Rohit Nanda, Group CFO; Mr. Amit Mishra, Head – Railway Business; Mr. Ankit Agrawal,

Head – Investor Relations; and

Mr. Pratik Sachan, Head – Strategy and M&A.

I will now hand over the call to Mr. Vivek Vikram Singh for his opening remarks and presentation. Vivek, over to you.

Vivek Vikram Singh: Thank you, Kapil, and welcome everyone.

Q4 was the best ever quarter across the board. The quarter saw us hitting our highest ever revenue, highest ever EBITDA, PAT, BEV revenue, as well as BEV revenue share in the history of the company. But as always in our policy, when talking to our shareholders, we'll begin with the challenges.

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First, inflation has hit the industry pretty hard. Over the last 5 months, all major commodities for us, steel, aluminum, copper, have continued to move up.

This has been further amplified by a sharp increase in freight, packaging, and energy prices. Frankly, almost everything linked to petrochemicals has become more expensive. And while a large part of this commodity inflation is pass through, 1) some parts are not passed through, and 2) there is always a lag and that lag along with the arithmetic impact on both revenue and cost, will put pressure on our margins, which we expect to continue seeing in the foreseeable future.

The second headwind, if you will, is the increase in minimum wages, which was announced by the Haryana government effective 1st April 2026. This will have some cascading impact on our labor cost. However, we are working to mitigate it through productivity improvement, through tighter control in headcount addition, and better workload management.

Since we are a high growth company, we believe we have some levels to observe part of this impact over time because whenever we add manpower, we can be more prudent in having less manpower growth as compared to the revenue or production growth.

Lastly, gas availability has been a challenge, as all of you would know. We have partially mitigated this by shifting part of our gas requirement to electric

heating, by optimizing gas flows and modifying certain processes. These initiatives have helped us to reduce our gas requirement by nearly 20% at the company level. And the key point to note is that despite this constraint, we did not have any production loss at all so far.

Now coming to the good news, which is, as is usually the case, it far outweighs the bad news.

So first, electrification is clearly back in focus. War, of course, is always, always deeply tragic, and there is no positive way to look at the human cost of war.

But one evident outcome is the renewed urgency towards energy security and electrification. We have started seeing this in the data as well. So in March, BEV sales grew by nearly 45% year on year in the EU. In India, electric cars and two-wheelers grew 65% and 45%, respectively year on year, in March. And both are trending above 50% in April as well. So we think it's a sustained trend of electrification growth across the board. Even North America saw its best monthly BEV run rate in March, ever since the US subsidy cuts for EV, which has been a setback for that subset of the industry. So all in all, after a period of weak EV sentiment, the EV narrative is shifting again, and as all of you would know, we are fairly well positioned to gain from this. Secondly, our antifragility thesis has started playing out. We've always believed that we've built a business that tends to emerge stronger from periods of disorder. And Q4 is evidence of that thesis. We won 4 new driveline orders. This is significant for two reasons. First, we've won 3 driveline orders from European OEMs in a single quarter. This is the highest we've ever done

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in a single quarter from Europe. Frankly, this is the first EV order win from Europe in almost 4 years. This gives us confidence that the current global reset in supply chains can open meaningful opportunities for us and have market share gains in Europe, which are meaningful for us. Also, order wins were not limited to BEVs. One of the four orders this quarter was for a hybrid platform, which reinforces our views that hybrids are an opportunity and not a risk. So whichever path electrification takes in whichever geography, we have the capability to participate and to win.

Third, we are entering FY27 with the strongest balance sheet we've ever had. We closed the year with nearly 1,270 crores of cash, and our cash generation

r

remains strong. Our FCFO upon EBITDA remains at a high level. And this financial strength gives us valuable optionality – optionality to invest, optionality to grow at a time when others may be constrained. In a volatile world, I mean, this is what makes our business more anti-fragile.

Fourth, now, this has always been a strategic priority ever since our IPO, but I want to press upon diversification. So this quarter, if you saw North America PV sales were clearly weak while Europe had the best quarter in 4 years.

Now, because we are meaningful players in both, the net effect was in a way mitigated because of this. In fact, the difference between North

America car sales and European car sales was one of the narrowest differences I have seen apart from the COVID and semiconductor crisis here.

But what I have to comment on and what truly stood out was India – passenger vehicles, commercial vehicles, and electric two-wheelers all hit their best ever quarter in Q4, and India's share in our mix has now crossed 50% for the full year. And this goes to show that our geographic diversification is working, and weakness in one market does not materially affect the overall growth trajectory for the business.

Lastly, we are making strong and consistent progress in R & D for our newly acquired railway business. This quarter we received approvals to supply two new products – electric panels and HVAC systems. So in a short span of almost 10 months, we've expanded our railway product offerings beyond safety critical brake systems and couplers. Now it includes products that enhance passenger comfort and not just safety. We supplied the first batch of electric panels for locomotive applications, and we will start supplying HVAC systems this quarter. So new product development remains a foundational growth driver across all of our businesses.

Slide 5:

Now I go to our financial performance in the last quarter. Our revenue grew by a fairly strong 47% year on year, while EBITDA and net profit increased by 32% and 17% respectively. Here I want to reiterate that our business recovery has been fairly robust and well, to be candid, it's well ahead of our own expectations. If you'd met me at the end of June and asked me if this is a quarter that we will have in Q4, I think I would have been very happy and would have thought you of being more optimistic than I am. So I want to

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thank my entire team. All of them have done very well to enable us to bounce back so quickly.

I'll also touch upon BEVs. This was our best ever quarter for both BEV revenue, as well as for BEV revenue share, which has reached 39%. BEV revenues grew 22% year on year, and this is despite EV sales in the US declining by 28% year on year in Q4. The mix, as I said, is the highest ever at 39%. And this, this kind of goes to show EV business is not overly dependent on any one market, any one category, or any one customer, and that is what we have been trying to build. Yes, there will be years and quarters in which you will have blips and setbacks, but overall the strategy is working and working well.

Slide 6:

For the full year, I'll say this was a tough year. There's no way we would have wanted to end up here if you'd have asked me 15 months back. But if you see how demoralizing the lows of Q1 were for us, professionally, to the loss of Sunjay in Q1, the US tariffs, the magnet ban that happened in Q1, and an increasingly challenging and volatile geopolitical environment. I'd say we as a team have had to endure and overcome a lot, both personally and professionally. And yet we have delivered 26% revenue growth, 13.5% of EBITDA growth, and 11% PAT growth. With sequential improvement across all metrics. I think it's fairly reinforcing of the belief I have in our business and in our teams. And despite consolidating the lower margin Railway Business, or ha

ving a high growth from the lower margin Traction Motor business, we have still managed to end FY26 with a full year EBITDA margin of 24.7%.

Slide 9:

I'll come to electrification, The message is simple – momentum is back and

it's strengthening every quarter. While full year BEV revenue declined marginally, that is due to that extremely weak quarter 1 that we had. Since then, they have improved consistently, and we've ended Q4 with the highest ever BEV revenue. The revenue share has also followed a very similar trend. We also continue to add to our EV order book. We've added 3 new EV programs and 1 new hybrid program. And importantly, we also added 2 new EV customers in Q4. So at the end of FY26, we have 67 EV programs across 35 customers. 37 of them are already in production, and 30 are yet to enter production, which gives us a healthy pipeline for future growth.

Slide 1 0:

Now, let me spend a minute on the new wind because they're directionally important. The amounts may not be very large, but directionally, they're a very good signal.

First, we added a new European customer for differential gears for their EV program in North America. Second, we won an order for EV differential

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assemblies, from a luxury PV OEM in Europe. Third, we received a new order from an existing European OEM. This is for hybrid differential assemblies. And fourthly, here we supply to a tier 1, where this EV differential assemblies program is in India, which will supply to both Indian and European OEMs. It's a shared program, and both of them are existing customers of Sona Comstar. Now these wins matter, I would say beyond the numbers because they show that our business development efforts are bearing fruit, especially in Europe, and across powertrains, EVs and hybrids, and across geographies, Europe, North America, India. And this is exactly the kind of diversified growth platform that we've been trying to build for the last decade.

Slide 1 2:

So this is obviously our scorecard at the end of the year on how we have done in business development. If you remember, in Q2, we had done a significant correction to the order book because of one particular model. Despite that, we have ended FY26 with fairly similar last year levels, and this is despite the growth we've achieved during the year.

During the year, we won 31 new programs and added 3 new customers, which, of course, validates our relevance in the broader automotive as well as the EV ecosystem.

Slide 1 3:

Coming to the order book, I've covered the EV programs already, and I also wanted to highlight the non-EV wins because there were quite a few. So in Q4, we won 7 Non-EV differential gear programs, and all of them from existing customers, which totaled ₹ 3 billion addition to the orderbook. The remaining order wins came from either segments like starter motors and railways. Basically, the order momentum is broad-based. It is across powertrains, across geographies, and across customer types. So at the end of Q4 FY26, our net order book stands at 237 billion, with EVs accounting for 70% of the orderbook.

Slide 1 5:

Moving to a fourth priority, which is diversification. And we made, I'd say meaningful progress here. When I wrote about the Look East strategy in the annual report, it wasn't just words or a long-term theme that would play out over years. It was a statement of deliberate effort to broaden our focus as well as footprint in new geographies, and you can see that the results are

already visible. Eastern markets contribute 60% of revenues in Q4 compared to 40% in the same quarter last year. This also proves that we can diversify without compromising on growth or margins.

And the same trend is visible on the product side. So one takeaway that I will give you, last year, our top 4 products contributed 86% of our revenue. This

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year, the same 86% of revenues is actually spread across top eight products, so double the number of products to consume the same percentage of

revenue, which means the revenue base is becoming broader and less dependent on a few products. If you look at the product growth story, it was fairly encouraging. Sequentially, the fastest growth came from traction and suspension motors, followed by differential assemblies and differential gears. And it's always good to see our newer products getting scale, but it's very heartening to see our old horses, our legacy products, which are differential gears and differential assemblies, continuing to keep growing and keeping pace with our new products.

The market segment analysis is broadly the same as that at the end of nine months.

So with this, I'll turn to our group CTO Praveen, to update us on the technology roadmap. Over to you, Praveen.

Praveen Rao: Thank you, Vivek. Welcome, everyone.

Slide 17:

The year began with a significant enhancement to our product portfolio with the addition of railway products to the roadmap. This also marked a significant step in our journey to diversify from pure automotive space to being a player in the wider, fast-growing mobility space.

It has also added capability in domains such as brakes, suspensions, couplers, and railway electronic systems. Our foray into other mobility domains was further strengthened with an MoU with the Neura robotics of Germany. This has truly opened opportunities in the space of cognitive robotics, AMRs, and humanoids. On ADAS front, we are progressing well on industrializing our first ever in-cabin radar solution for our passenger car application. Likewise, we are in the advanced stage of development of exterior radar solutions that can support Indian commercial vehicles in meeting the upcoming ADAS regulations.

We continue to commercialize new products. The latest addition in the 4th quarter being electric control panel and HVAC systems for railways. Both these products demonstrate our strong capability in design, development, and commercializing complex electronics, electromechanical, and electropneumatic systems. Including the hydraulic motor controller that we announced earlier, this year we commercialized 3 new products.

In summary, we at Sona Costar continue to innovate, strengthen our roadmap, align with rapidly changing market conditions and continue to

provide value to customers, be it components, subsystems, or full systems.

With this, I turn to our group CFO Rohit to update us on financials. Over to you, Rohit.

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Rohit Nanda: Thank you, Praveen. A very good day to you all. It's my pleasure to present our fourth quarter and full year results for the financial year 26 to you.

Slide 19:

Our revenue for the quarter was 1,272 crores, which is a 47% growth over the same quarter last year. BEV revenue was 359 crores, which is 22% growth over fourth quarter, and it was 39% of our automotive revenue.

EBITDA for the quarter was 311 crores, which is a growth of 32%. The EBITDA margin was 24.4%, which is lower by 2.7% compared to the same quarter last

year. In this, there is a base effect of 1.9% due to fully PLI income accrued in the fourth quarter. Balance 0.8% impact is due to product mix and commodity price inflation.

Profit after tax was 192 crores, which is a growth of 17% over last year. PAT margin was 14.7%, which is lower by 4.1% compared to last year. Of this 4.1%, nearly half was due to lower EBITDA. There was a 3.4% effect, because of lower net finance income due to deployment of funds in railway business during the year. And then there was a net positive impact from lower depreciation and higher tax, close to about 1.3%.

Slide 20:

Coming to the full year performance, our full year revenue was 4,475 crores, which is

a 26% growth over FY 25. BEV revenue was 1,154 crores, which was 35% of our automotive revenue, but it was lower by 6% compared to the previous year.

EBITDA for the year was 1,107 crores, which is a 13% growth. Margin was 24.7%, which is lower by 2.7% compared to the same period last year, and

that's mainly on account of change in product mix and then to some extent, higher fixed costs.

Profit after tax for the year had a one-time impact of 30 crores after tax from the new labor code. Adjusted for this one-time exceptional cost, our PAT was higher by 11% at 670 crores. Adjusted PAT margin is lower by 2.2%. That's mainly due to lower EBITDA margin and lower net finance income.

Slide 21:

Coming to the cash flows, during the year, we generated 659 crores of cash from operations. Net of capex spend of 369 crores, we generated 290 crores as free cash flows. Apart from these other major cash movements include nearly 1,800 crores of aggregate amount which we used for purchase of railway business, additional land that we purchased for about 110 crores, and there was a payment for the last tranche of acquisition of Novellic shareholding.

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Besides this, we distributed about 200 crores as dividend to the shareholders. And we added some short-term borrowings of about 226 crores and 86 crores of interest income. These were positive cash inflows. As a result of all these items, we ended the year with cash and investments of 1,269 crores.

Slide 22:

This brings us to the last slide on the key ratios. As I had explained in the last two quarters also, the newly purchased railway business has a different cost structure, and even the working capital cycle is also structured differently. This has flown through some of our key ratios in this year, and, that is why you see a dip in some of the ratios, namely value addition over employee cost and working capital turnover ratios.

In case of return on capital employed, this has come down mainly due to the fresh equity which we raised in September of 2024. We expect it to start improving over the medium term as only part of the capital has been deployed so far. In case of return on equity, it has already started to improve if you compare it with the previous two quarters, as the deployment of capital in the railway business continues to bring an incremental positive impact over finance income which is substituted in the P&L account. Fixed asset to turnover ratio has dropped this year to 2.9. That's primarily because of the new capitalization and purchase of land that we've done this year. However, we expect it to also start improving as the new CAPEX done in this year will start to generate revenue in the following financial year.

That would be all from me. So we have come to the end of our earnings presentation. I'll now hand over the floor back to the Nomura team.

Moderator : We will now open the floor for Q&A session. If you wish to raise questions, please use the raise hand function located at the bottom right of the Webex page. We will unmute your line and prompt you to speak, or you may submit your questions via Q&A chatbox addressing all panelists. Please be reminded to keep your questions to a maximum of 2 questions. If you have more questions, please return to the queue. Thank you. We have a question from Jay Kale. Jay, you can go ahead. Jay, you can go ahead, please. We will move on to the next question from Aditya Jhawar.

Aditya Jhawar : Good Evening everyone. Thanks for the opportunity. A couple of questions from my side. In the previous call, we talked about the bankruptcy of some of the peers in Europe, and we understood that the largest company was acquired by somebody. If you can throw some light on that, how are we seeing the situation? Is there any opportunity that we are seeing from the remaining two companies? That is my first question.

st question.

Vivek Vikram Singh : Yeah, so that some of that has already started flowing in. You saw some of the new wins. The other one, which is the 3rd asset which has been acquired by somebody, obviously we can't comment on that and how they will do in

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the future is up to them. Our conversations will be with the customers directly and whatever opportunities come, we will keep reporting, as and when we win. But overall, I don't think it is a material change in the opportunity set that

Europe presents for us. I think it'll still be a fairly a good place to win a lot of business over the next 12 months or so.

Aditya Jhawar : Oh, that's, uh, that's good to know. The second question is on Novellic. We understand that they are setting up, you know, manufacturing in Tamil Nadu. So, how is, you know, progress, in terms of engagement with customers? Any sense you can give of what could be the potential kit value? And in the past, you had indicated that you'll be also, you know, interacting, you know, targeting US and Europe initially with Novellic. So, you know, which geographies are we targeting, any update on that?

Vivek Vikram Singh : Sure. So, on the manufacturing and production thing, I can have Sat answer that. On the overall opportunities, Europe continues to look good because next year is when in-cabin safety has to be part of getting the NCAP certification. So it was moved by a year. So what would have been great if it was 2026, now that's moved to 27. So that's on plan. What they're doing in India, Sat, if you are there, you can fill Aditya on.

Sat Mohan Gupta : Yeah, Aditya, I mean, for Novellic India, we have set up the entity in India and we have started the launch process for one of the customers. The SOP is going to be end of this year. The lines are already set up, because it's a sensor assembly unit. So we have an SMT line in-house and we'll be using that SMT line.

Aditya Jhawar : Any sense on, you know, kit value or the quantum, I mean, just ballpark, how should we think about the ramp up?

Vivek Vikram Singh : As you know, we don't use the phrase kit value because to be honest, I don't understand it. I don't understand what it is there. I mean, we supply a sensor, that is the part, second, giving away pricing information is a competitive disadvantage.

Aditya Jhawar : Fair enough. Fair enough.

Vivek Vikram Singh : And before you go, for all those on the call, I think Aditya in Investec has launched a pretty good initiative. So if you have children between the ages of 12 to 18, he's organizing a trip to China to see the automotive ecosystems, see robotics. If you have the time, please do take them. I think children of India needs to look at what's going on in the rest of the world because we do need technology in this country.

Aditya Jhawar : Yeah, thank you. Thank you so much. All the best.

Moderator : Yeah, the next question is from uh Vijay Pandy. Vijay you can go ahead. I think he got disconnected, so we will take the next question from Amyn Pirani. Amyn you can go ahead.

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Amyn Pirani : Hi, sorry, am I audible because I had some issues. OK, yeah, thanks for the opportunity. Actually, my question is something that we had discussed, you know, a few quarters back, while in Europe the EV, you know, penetration continues to rise, I think part of the EV opportunity, I think you will agree, is also a Chinese OEM opportunity because the Chinese are gaining market share in Europe. So, while we're winning orders from the European OEMs and which is obviously, you know, great, any updated thoughts on how we approach the China opportunity, not just in China, but even outside of China, which is becoming bigger and, and more important for the Chinese OEMs themselves.

Vivek Vikram Singh : It's a good question, Amyn. It

is a question that we frequently ask ourselves.

The only way to grow will be for now, with the customer. So if you do know we supply to one large, Chinese EV customer. So we are in the parts that obviously they sell domestically, but also the ones they export. What is a constraint right now is that unless they move production entirely to either Europe or North America, they will continue to rely on the Chinese supply chain and that is much harder to get into. So let's see how it evolves, so if you go back into history and look at the 70s model when Japan was just exporting their cars, what is happening today with China has happened before. Japan did that the first time and then because of the geopolitical reasons, protectionist policies, they had to shift production to the countries in which they were selling. Only then did opportunities for local suppliers actually come about. So it will take a bit of time. So the surest ways to get in, in the China for China supply chain for the current model over time, as these guys set up in

Europe or the US, then we will be competitive because of duty reasons. In the China for China supply chain, it is harder to do right now.

Amyr Pirani : OK, thanks for that. And, any update on how is the tariff situation now because obviously there was a deal and then there was a Supreme Court

decision and now all of this is happening. So, what is the latest on what is the tariff, if at all, and have things changed, improved, remained the same, you know, any, any update on that?

Vivek Vikram Singh : You know, this is a question a lot of people will not know the answer to. But

Section 232, which covers a large part of what we export, continues to

remain the same. The Supreme Court ruling did not have a bearing on

Section 232 because that's under another National Emergency Act which the

Supreme Court did not actually pass any judgment on. The remainder has obviously become easier, and the tariffs have become lower because the

country's tariffs are kind of gone. But that again, if my answer, I mean, is the same I gave in Q1 of last year, which is tariffs are paid by importers and not by exporters.

So, importers have to figure out what that tariff is, and if the Section 232 tariffs are 25% for everybody, which is what the case is. Then you are not worse off or better than before. As long as our pricing or tariffs are lesser than China, it is a good thing. Second, there is a 5 year, I think almost, concession given to

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OEMs with a certain percentage of domestic value addition in the US to claim back the tariff impacts. So you would be more or less covered within that.

It is the end of the year and our revenue hasn't materially come down from the US at all, nor have margins. I know there were a couple of analysts who wrote that our EBITDA will drop from 25 % to 12.5%, etc. etc. on 8th April. But as most things hastily done are, it was a half-baked and uninformed analysis. It doesn't work that way. Things are usually binary decisions. They either happen or not. Now that the whole year is gone, you can see what the real impact is.

The secondary impact that I alluded to one year back, that it will have an impact on demand. Because it is, after all, inflationary in nature, right? All tariffs are inflationary. Prices go up, demand will go down, and you can see the SAR that they talk about, full year car sale number is between, now 16 to 16.5 million ; one million cars have been lost due to this inflationary impact. And that unfortunately, everybody who supplies to that market will suffer from it.

Amyr Pirani : Yeah, yeah. Understood.

Moderator : We have the next question from Jay Kale.

Jay Kale : Am I audible? Yeah, thank you. Thanks for taking my question. so my first question is regarding the BEV commentary. You know, 3-4 months back, we had seen major global OEMs taking

g huge write-downs on their global EV

investments. and then, of course, in the last 2-3 months, we've seen, in a new,

revival of this category. You as a supplier, you know, what are your mitigation strategies given that you know, even today, global OEMs are talking of

monitoring the situation based on the West Asian crisis to really go all out and

say that this is a sustained demand momentum coming back. So, you know,

when the customers are not able to project long term trends, you as suppliers,

how would you allocate capital to these businesses and mitigate either not underinvesting or overinvesting in this category, well, you know, going ahead.

Vivek Vikram Singh : So Jay, one fundamental, I would say, input is this that write-downs, which are

balance sheet write-downs of prior investments, have really no bearing on

suppliers. Because if you have invested something in R&D or Capex, and now

you're taking a write-off, how will that impact the number of parts you have

bought from us or not? Does it affect demand if a model is discontinued? Of

course, it does. Last year, we saw the full impact of that, right? We lost 300

crore from one customer alone. And that can happen, but does it happen

frequently? Not really.

Second is, what is the level of abstraction you're at? So if you apply the same

product you produce, you supply to multiple customers, you are far more de-

risk if you do it across geographies also, your de-risking is even higher. But I, I

don't even think, I mean, two quarters back when the pessimism was at the

peak would be the right time to ask this question. Now Jay, the tide is shifting,

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very fast and in the opposite direction, I would say. I don't think there is much concern we have.

But on your second question in capital allocation. As much as you can try to invest in fungible capex, that same capex can be used for producing parts for another customer. This is a problem that happens when lines or investments are so specific that they can only be used for one model of one carmaker. Those are the ones where capital allocation becomes very, very tricky. So if you put capacity, like we have, for example, for traction motors, we have a million electric motor capacity overall. More or less that with a little bit of tweaks, you can use it across customers. So as long as overall electrification continues to progress, that decision will bear fruit. And that is

why one fungibility of Capex, second, diversification of customer and program base. These are the two things one can do as a supplier.

Moderator : The next question is from Nitin Arora. Nitin, you can go ahead.

Nitin Arora : Thank you for taking my question. The first question is on, a product of, what we have is suspension motors. If you can talk about that, how is that progressing, with respect to specific, I think China launch was there and how big, you know, you're looking to cross-sell, let's say, in this reset, which you talked about in Europe or in any other areas, how big opportunity this can become to you. That's my first question. And second, on the Railway Business,

how are we looking at growth next year, you know, if you can talk about that.

Vivek Vikram Singh : Sure. So, first question, I would let Sat answer, but my one -liner is suspension motor is going to be the fastest growing business by far. I mean, triple -digit growth is not really common. So it has also got the advantage of a small base, but it will be very, very good because the customer we supply to their model has had an amazing launch and the product, performance and the product acceptance is genuinely overwhelmingly good, but Sat over to you on suspension motors.

Sat Mohan Gupta : Sure, Vivek. I mean, we launched the suspension motor last year and though, I mean, it was on, on one of the models of the customer during the year, the

v

vehicle has done very well. And, so the customer has now launched their other premium model, and the volumes are going very good, and the product is perceived, both in China and the rest of the world, with a very good quality ratings and also with the performance of the motor and the

complete system. So, the opportunity is high. I mean, we are looking at a very high volume, as Vivek said, I mean, 3 to 4 times growth compared to last year.

The acceptance of the product, in China market as well as, it's being perceived in the European market also. So, our end customer is working with other OEMs in Europe, and it is wide acceptability in the automotive sector.

Vivek Vikram Singh : Yeah, so Nitin, hard to say because it's so high that it's hard to put a number on it. It could be a very big material part of our revenue. I mean, this year, at the end of this year, it'll still be single digit.

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Next year, maybe it even touches double digits, that's, that's the amount of growth you can have in that product. But it depends a lot on where the next customer is, and the ability of our customer, Clear Motion, to win the next customer. And on railways, obviously, Amit will answer that question.

Amit Mishra : Hi Nitin, you know, we don't give guidance on growth, for, say, year by year, so. I will look at more like the next 3 to 5 years where we see growth coming from railways. There are multiple levers.

First is, even today there is more demand than what we are servicing. So first is by improving our own process improvement, working with the supply chain, we can do more than what we are doing.

Second, there are gaps, white spaces, even in our existing products. So we talk about brakes, couplers, suspension, but even there, there are white spaces. We are not covering every subsegment and every part of these systems. So, we are working on them. We don't call them a new product

when we talk about new products, but we are working on variants to cover new types of rolling stocks where we are not present today. I think that will be the second major driver. So in the next 3 years, I think these two, I think will be the major drivers when we're looking at 3 to 5 years. There are new products which are also, we are bringing them to the market. We are getting approval this quarter. We announced HVAC and electric panels. There are other products where we are developing and we believe those products will become significant drivers in 3 to 5 years. So for the next 5 years, I think these are what we have identified as growth opportunities. One, to improve supplies, improve capacities at our end. Second is, filling white space within brakes, couplers, and suspension. And then the new products, I think they will become significant drivers in 3 years' time. But overall, we are confident about good, healthy growth over the next 5 years in the railway business based on products which are already under development and not counting any other products that we may add in future.

Vivek Vikram Singh : Thanks, Amit. Nitin anything else?

Nitin Arora : Thank you. Thank you, team. Thanks a lot, team, for the answers. Thanks a lot.

Moderator : The next question is from Gunjan. Gunjan, please go ahead.

Gunjan Prithyani : Just a quick follow-up from my side. I think just continuing on the railways question that Nitin asked. Amit, can you quantify the market size of some of these new products that you mentioned, added in this quarter as well as the last quarter, I think electric control panel, HVAC, etc. Any idea on the market sizing for these products?

Amit Mishra : Yes, see, HVAC, and electric panels both are large segments or large markets. HVAC is about between 2,000 to 2,500 crore market size, and

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electric panel is also about 1,500 crore. So in the con

text of the size of our

railway business, these are two large segments. But then this is covering all types of rolling stock. So both electric panels and HVAC have applications from locomotives, passenger coaches, train sets as well as in the metro.

Today, we have made a start. We have entered these segments.

In electric panels, it will take us 12 to 15 months to cover all types of rolling stock because our development is more advanced. In HVAC, it will take at least 3 years for us to cover all types of rolling stock, especially in the segments where we want to play, because the approval cycles are very long, field trials are much longer there.

So, yeah, the market opportunity is very large, but it takes about 18 months to 3 years between two products to cover the entire range of rolling stocks.

And that's why in the answer to the question that was asked by Nitin, I said, new products will become a meaningful driver from 3rd year onwards. In the next 2 years, there will be more operational improvement as well as our existing products where we are trying to fill some white spaces.

Gunjan Prithyani : OK, got it. useful. And, just the second question, you know, is on the commodity impact that we saw in this quarter, about 80 basis points. Is it more

to do with the lag in the pass through to the customer, and we should see this normalizing, or is you know, how do we think about it, or is it, you know, the,

some of the commodities are elevated like energy costs, etc. have also gone up. Is that something that we absorb for now and, you know, we'll wait when

it sort of normalizes. So what, how do we think about the commodity cost, going ahead?

Vivek Vikram Singh : Sure, but Gunjan, it's not 80 bps for a commodity. 80 bps is a commodity and product mix. And as you know, the traction motor has been the highest

growth driver where the margins are lower. So my bet, I don't have a breakup.

Rohit can answer better, but majority of the 80 bps would be product mix - related, not commodity-related. But Rohit. If you can answer last quarter, or what would it look like this year?

Rohit Nanda : So, Gunjan, this 80 bps is actually almost half for the mix and half for the commodity prices, and, you're right, most of this would be, for the material

price, and, that is a pass-through with a lag, so it is largely because of the lag effect. but you also have to recognize that the commodity prices continue to trend up, so it's not as if, you know, this has stopped. So, if the prices stabilize

this, I think, commodity price inflation, margin impact, and you also know there is a numerator denominator effect also wherein the percentage margin gets impacted. So to that extent, you know, historically, also, since you've also been tracking the company now for a fairly long time, you've seen that in a commodity inflationary cycle, the percentage margin tends to sort of take a dip, and absolute margin may not get impacted. So I think, until we have commodity price inflation, you will see this impact one way or the other.

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Gunjan Prithyani : OK, got it. No, that's helpful. And just coming back to on, on the, on the traction motor, sorry, this is the last question. On the traction motor, is there any change in the business pipeline you're seeing because of the whole, you know, the, the noise around EV seeing more, you know, more favorable policy support from the government and in that sense, OEMs trying to build more around it. Is there any pipeline change that you're noticing in the traction motor? And how would you sort of, you know, talk about the growth in traction motors over the next 2 or 3 years? Like you said, suspension will be the fastest growth.

Vivek Vikram Singh : The traction motor will be the second fastest because it already has a decent base. It's almost 10% of our revenue now. The suspension motor is smaller

, hence, it will have triple -digit growth rates. This will have high double -digit growth rates, actually, maybe, yeah, very high double -digit growth rates for some time. The reason is this, and Gunjan, I'll just like to replace one word, not the noise, the signal around electrification.

So one is where we are already there on the programs, the volumes are going up. I would say slightly more than what we had assumed, on existing programs, and we are obviously seeing new inquiries, so it's both. Policy -wise, also, Gunjan, I think there is a growing concern in the government. As you know, our country, if you look at all industries, I'm not talking about automotive, it's about 80/20 that 80% is petrochemical based or oil and gas - based energy, and 20% alone is electrification.

There is a very high need for electrification to increase from 20% to cover, and I'm talking across not just automotive. And I think you should see over the next 18 months, a lot more policy push to reduce our country's oil and gas exposure. This is also the reason the currency remains weak. So there is a very, very high realization of how this dependence is bad for us. And a lot of work should happen in the next 18 months from the policy side. The consumer

demand side also, I expect that, as more and more people realize that the TCO in an inflated diesel and petrol price environment, the TCO is so much better for electric vehicles, especially if they are for any economic use, if it's used as an economic asset. So 3 wheelers, delivery, two -wheelers, electric LCVs, buses, I think the pace of electrification is going to go up significantly.

Gunjan Prithyani : OK. Got it. No, this is helpful. Thank you so much. I'll join back the queue .

Kapil Singh : Vivek, we have some questions in the chat box, so I'll just read out a few of them. So one is, how is Sona progressing on rare earth magnets? Maybe you can give us an update on the whole situation.

Vivek Vikram Singh : Yeah, no update as of now as you know, there is a policy that has been released by the government. And when we have anything that is material and reportable, we will report it. For now, we do not use any heavy rare earth magnets in any of our products. So that's where we are as of today.

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Kapil Singh : OK. On the order book, there is a question, what proportion has clear volume visibility and pricing stability over the next 2 to 3 years? And how should we think about conversions into steady revenues and margins as these programs ramp up?

Vivek Vikram Singh : 100% has volume visibility and pricing stability, but, it is just impossible to answer how volatility will affect the next 2 or 3 years. So, as you know, in our industry, there's no such thing as firm commitment. Volumes are indicative volumes only. You take your calls. So when we put orders in the order book, we take a call on how much to discount the volume projection given by the

customer. We have been doing this for a while, so we do have a fair idea of, you know, how much, to adjust by.

But then there are years like the COVID year and semiconductor chip crisis year. Right now there is, frankly an EV and going back to Gunjan's previous

question, we don't have a demand problem actually. We have a problem or our, well, not we are customers. They are not able to produce enough to supply the demand right now, and it is not because of us. It is because of weaknesses in the supply chain where certain suppliers are finding it hard to ramp up that quickly. So this works both ways, that there are orders in the order book which when eventually converted will be far higher, and there are some which will be lower, but over time it pans out, and it is pretty much around that same number.

Kapil Singh : OK. One more question is on the railways. How should we think about steady - state asset terms, margins, ROC

versus your core EV business? And will this growth structurally improve or dilute overall returns?

Vivek Vikram Singh : It will improve returns because from a return perspective, they're very, very high return, businesses. It may be slightly diluted on margins, but return -wise, it will be much higher.

Kapil Singh : OK. then this question is on BYD. Have you tracked the recent decline in BYD sales following removal of EV purchase tax exemptions? Automakers that build their strategies around budget, PHEVs and BEVs seem to be hit hardest. Given that 70% of Sona's order book consists of BEVs and PHEVs, do you view this Shifting subsidy landscape as a structural risk.

Vivek Vikram Singh : Short answer, no, because most of these orders are already in geographies where there are little to no subsidies. US, Europe, India also, I think subsidies

are almost on their way out almost. So, Yeah, not, not really, is the answer. I don't know. Rohit do you want to add, because I don't know what to say in this one. Actually, I think this is more if we had a huge exposure to China or one particular guy or something, but we don't, and I think, I think, pertinent.

Kapil Singh: OK. And then cash on books, is there any M&A potential in pipeline?

Vivek Vikram Singh : Nothing that has reached a stage which is worth sharing or reportable. We are always evaluating M&A opportunities at any given time. Over the last 3

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years, we would have evaluated over 100 opportunities and frankly acted on one. So that process is always going on. Of course, having cash means that yes, we are always looking very, very aggressively with focus on opportunities that could add to us. But that doesn't also mean that if you just have cash, you do M&A just for the sake of deploying capital, because that kind of pressure, as I mentioned before, that anything done hastily and without prudence does lead to bad results. So no, we have cash, but it's not to burn. It is very hard earned cash, it's shareholders' cash. It is our duty as a responsible company to deploy it only when we get an opportunity that is amazing and process all four of our filters that we have already spoken about.

Whatever we put in, we must be able to be confident that the product will last for the next 15 years. Second, whatever we do, we must be able to take the top 5 positions in that category. If not, it's not worth doing. Third, we should make good money and good financial returns from doing so. And fourth, that it should be good for humanity. If all these 4 conditions are done, only then do we even consider an opportunity.

Kapil Singh: OK, is the worst of commodity pressure behind or should we anticipate increasing pressure before pass-through happens and margins improve or stabilize?

Vivek Vikram Singh : That is a multi-trillion dollar question, in some sense, because if you can figure out when the war will end and when oil and gas and all these things will go back to normal, yeah, you'll be far more wise than I am. I have no idea.

Kapil Singh: Vivek, on this front, you know, we have historically talked about 24 to 26% margins. So, would you like to give an update on that? Are we comfortable with that band?

Vivek Vikram Singh : No, I'm not. We had already said that it will be 23 to 25 % after the railway acquisition. So that is the band. 24 to 26 % is the band prior when we, the core business. I think now it is 23 to 25 %, and that, I think we can say we should be able to continue being in that band.

Kapil Singh: OK. Great. How are things shaping up on the non -automotive front apart from railways? When will we see any developments on robotics and EVTOLs?

Vivek Vikram Singh : So development soon, but if the question is, when will you see meaningful revenue, assume if your investment horizon is less than 3 years, none of this has any mean

ing for you as an investor. It will only come after. If we can go back in time, I think 2021 is when we announced, Sat it was 2021 when we won the suspension mode order, right?

Sat Mohan Gupta : Yes

Vivek Vikram Singh : Now, 2026 is the first year that it will be in hundreds of crores. So it takes 4 to 5 years for anything which is a new product, and if you're doing it organically, to actually get there. Usually, first 0 to 3 years, you don't actually earn any

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money, you actually spend more money than you earn. Year 4, you start making some money. Your first bit of revenue starts trickling in, which was the last calendar year for suspension mode. And then you get to hundreds of crores, and if God is kind and your job is good, and you've made a good product, then you get to the thousands of crores. The same thing happened with EV differential assembly. We started in 2016. Until 2018, I don't think we made meaningful money. 2019 started becoming meaningful, and now it's, as you know, uh, fairly meaningful. That's the trajectory any new product development cycle will take. I think Amit also answered when he was asked about HVAC and electric control panels. It is a 3-year cycle. It is not magic that we make something and then immediately we start selling it because our process is B2B. Second, we make safety critical or mission critical parts that have very long testing and safety cycles, and we are not in a rush to cut back just for financial gains and actually endanger our reputation, our trust that has been built over decades. So we will always play it this way. But developments you will keep hearing, as and when we develop, you will see the progress that we are making on each of those fronts.

Kapil Singh: Ladies and gentlemen, that was the last question, that we had, on behalf of Nomura, I thank all of you for joining this call and, to the team of Sona Comstar for giving us this opportunity to host you. Sneha we can close the call. Thank you.

Moderator : Thanks, Kapil. We will now conclude this call. If you have any follow -up questions, please feel free to email your Nomura sales representative or corporate access team. Thank you so much. Thank you everyone for your time. You may now drop off the line. Thank you.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Jul 2026

Date: 30th July, 2026

Subject: - Transcript of Earning Call pertaining to Financial Results for quarter ended on 30th June , 2026 .

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earning Call held on Thursday , 23rd July, 2026 on the financial result of the Company for the quarter ended on 30th June , 2026.

The transcript will also be available on the website of the Company at <https://sonacomstar.com/investor/investor-presentations>

This is for your information and further dissemination.

Thanking you,

For Sona BLW Precision Forgings Limited

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SONA BLW Precision Forgings Ltd. (Sona Comstar)
Q1 FY27 Earnings Conference Call Transcript
July 23, 2026

The webcast recording and the presentation referred to in this transcript are available on the website of the Company and can be accessed through the following link:

<https://sonacomstar.com/investor/investor-presentations>

Moderator : Ladies and gentlemen, good day and welcome to Sona Com star Q1FY27 earnings group conference call.

Please note all participants' lines are in the listen only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your line on mute except when asking questions.

Some of the statements by the management team in today's conference call may be forward looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. The management will also not be taking any specific customer-related questions or confirm or deny any customer name or relationships due to confidentiality reasons.

Please refrain from naming any customer in your questions.

Now I will hand over the floor to Mr. Kapil Singh, Deputy Head of Research India and Lead Auto Analyst at Nomura. Kapil, please go ahead. Thank you.

Kapil Singh : Yeah, thanks, Sneha. Good Evening, everyone . To take us through the Q1 results, we have the whole management team of Sona Comstar. We have Mr. Vivek Vikram Singh, MD and Group CEO, Mr. Vikram Verma, Whole Time

Director and CEO of Drive Line Business, Mr. Sat Mohan Gupta, CEO of Motor Business, Mr. Praveen Rao, Group CTO, Mr. Rohit Nanda Group CFO, Mr. Amit Mishra, Head Railway Business, Mr. Ankit Agarwal, Head Investor Relations, and, Pratik Sachan, Head, Strategy and M&A.

With this, I'll hand over the call to Vivek for his opening remarks and the presentation.

Vivek Vikram Singh: Thank you, Kapil, and welcome everyone. Today's call will be a little different from my usual quarterly discussions. I'd like to first spend some time sharing how we are thinking about the next phase of Sona Comstar's journey. Those of you who read my recent letter to shareholders know that FY 26 was a year that tested us in many ways. But while we were dealing with those challenges, something equally important was happening in the background. We were quietly preparing for our next decade.

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There's a poem by Edwin Markham that I like. It goes, "when you're the anvil, bear, when you're the hammer, strike." And we believe that every company goes through both sorts of phases. There are times when resilience matters the most. And there are times when a company must forge its own future. Now, over the last decade, we transformed Sona Comstar from a small automotive components company into a mid-sized global mobility technology company with a diversified product, customer portfolio and leadership positions across many categories. It's natural for us to then ask ourselves this question. What does it take to go from a mid-sized company to a truly large company? And our answer is what we call Sona Comstar 2.0. This is not a change in direction. It is a natural evolution of the strategy that has brought us this far. We began working on the strategy more than 2 years ago. But we deliberately chose not to talk about it, because we wanted to do something tangible and have something to show before we came to you. Ambition without substance can easily be mistaken for hubris, and we wanted to come to you not with ideas alone, but with actions. Yesterday's announcement of the Denso JV is one example. Our work in Robotics and Physical AI is another one, which is perhaps an even bigger move. In other words, Sona Comstar 2.0 is not something we are announcing today. It is the beginning of year 2 of our next decade's journey. And today, we'd like to share that journey with you.

Slide 5:

So let me begin by explaining how we've been thinking about the next decade. We did some reflection, I put this in our annual report two years ago, that when we look back at our own journey between 2015 and 2025, we noticed something that was both interesting and humbling. Our revenues increased 10-fold in that period. Yet, more than 85% of that growth came from just 3 strategic decisions. We entered new product verticals. We expanded into global markets, particularly the West. And we recognized the electrification opportunity early and acted upon it. That reinforces for us an important lesson that great companies rarely become exceptional because they make hundreds of small good decisions. They become exceptional because they make a handful of truly transformational decisions and then execute them well. Our ambition over the next decade is simple. We want to build another 10x company. But every decade obviously brings a different set of opportunities. Our job is not to repeat what worked before. It is to build on the capabilities that brought us here while creating new growth platforms for the future. This is why we've broadened our addressable market from automotive to mobility.

Now our first growth engine remains new product verticals. It has been our biggest driver of growth over the last decade, and we intend to accelerate it through both organic innovation and disciplined acquisitions and partnerships wherever necessary.

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Our second growth engine is what we call a look east strategy. But let me first explain what it is not. It is not a shift away from the West. Europe and North America will remain strategically important markets for us. Our ambition in those markets is every bit as strong as it has always been. But what is changing is that over the next decade, we intend to build an equally strong presence in the East, and not through incremental expansion, like

having more sales staff or doing more business development calls. But through carefully chosen strategic moves that strengthen our access to technologies, customers, and markets. Our railway acquisition was one such move. Our partnership with DENSO is another, and we expect that we'll continue making similar long-term strategic moves over the next decade. Our third growth engine is undoubtedly

our boldest yet. Alongside electrification, we're adding another long-term technology theme to the company - Robotics and physical AI. We believe this has the potential to become a significant long-term growth platform for us as a company.

Slide 6:

So now let's begin with the first growth engine, new product verticals. We believe that one of the biggest differences between great manufacturing

companies and really good ones is where management chooses to spend their time. Most companies spend most of their energy defending the business that they already have. We have spent hours creating businesses that we did not have. Ever since our IPO, investors have actually often asked

me, what they believe the market still underestimates about Sona Comstar?

You know, people come to you and say, what do people not understand fully? And in the last 5 years, I don't think I've ever fully answered that question. So let me try and answer it today.

First, it's our ability to consistently create entirely new products and businesses through our own engineering and R&D. Today, more than 35% of our revenue comes from products that simply did not exist in our portfolio seven years ago. 19 of those products were conceived, designed, industrialized, and scaled entirely through our own R&D, funded from our own cash flows. If I annualize our quarter 1, together these new products represented 1,800 crore revenue business generating over 230 crore of annual profit. If this were a stand-alone company, this would be one of the biggest innovation success stories of India. That's literally the equivalent of creating a multi-unicorn from scratch in just 7 years. And this is the power of building new businesses from within. But organic innovation is only one part of the story.

The second capability, which is probably not understood, is disciplined capital allocation. Just because we are good engineers, doesn't mean we can't also be thoughtful investors. Over the last 7 years, we've invested around 2,750 crores across the acquisitions of Comstar, Novelic, and the Railway Business. And today at the end of Q1, these 3 businesses contribute roughly 40% of our revenue. And if we assume comparable margins, they contribute 270 crore of net annual profit. And this is despite the railway

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business being in its first year of post-acquisition integration. All of you are very good at math, so you can do the math of how good or how return accretive these acquisitions have been.

The point is whether we build or we buy, the objective is exactly the same. To create capabilities that compound over decades, when we believe we can build something better, we build it. When we believe someone else has already built an exceptional capability, we try and acquire it. Sona Comstar 2.0 means that we intend to become even more ambitious and double down on both these fronts.

Slide 7:

This brings me to the second pillar of our Eastward expansion strategy.

Yesterday, we announced what I believe is the most important strategic partnership in Sona Comstar's history. A partnership with DENSO. Not because

it's a joint venture, although this is our first joint venture in my time period here.

But because of what it enables us to become. Over the years, we've built one of India's broadest portfolio of electric powertrain products. But there was one big gap. All of you know it. We did not participate at all in high voltage electric as well as hybrid powertrain systems for passenger and commercial vehicles. This partnership fills that gap. More importantly, it completes our entire electrification portfolio.

Today, we have a leadership position in 2 and 3 wheelers in India, and through this partnership, we should hopefully add more customers to the 2

and 3-wheeler JV and extend our leadership position to one of dominance.

Through JV 2, we will have the

opportunity to build a meaningful presence across the entire electric and hybrid powertrain spectrum across every vehicle category, and that opportunity is far, far more substantial in revenue potential terms. If we go by S&P Global mobility, Indian hybrid and EV cars and the commercial vehicle market alone represents an addressable market of over 2.3 million vehicles, which would roughly amount to about a 24,000 crore opportunity in 2030 itself. If you go to 2035, it will be many times this. And this is even before we consider our longer-term global ambitions. India is where we will begin. But just like we've done with Delivine and Motor business, our ambition is always ultimately global.

Now, the actual question that some of you may have had is, why DENSO so? But I think an even more interesting question is why Sona Comstar? DENSO is the world's 2nd largest mobility technology company. It has no shortage of potential partners across the globe. But I believe they saw in Sona Comstar what we have been building over the last decade, a company with strong engineering capabilities, proven frugal execution and technologies that complement their own. With their strength in hybrid and our strength in electric, I think it makes for a fairly killer combo. It is a strategic partnership between two technology companies where each brings distinctive strengths to the table and together we can build something that neither company

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could have built as effectively on their own. And that, in our view, is the hallmark of a successful long-term partnership.

Slide 8:

To get into the details, the partnership consists of two joint ventures. The first will focus on high voltage electric and hybrid powertrain systems for 4 and 4+ wheel vehicles, so all passenger and commercial vehicle applications, in short. In this JV, Denso will hold the majority stake, contribute the relevant technology and intellectual property, and lead the business from a management perspective. The 2nd joint venture will focus on 2 and 3

wheelers, where Sona Comstar has already established technology position. Here we will retain majority ownership and management control while licensing our own technology into the joint venture. Let me also clarify because we got some calls that our suspension motor business, together with all our other non-traction motor businesses remain completely outside the scope of this transaction.

Now, let me come to what I personally find one of the most satisfying aspects of this partnership, the royalty structure. The ultimate validation of any technology is quite simple. Technology has value when someone else is willing to pay to use it. In this partnership, the royalty arrangements are equal and reciprocal in both. JV2 will pay royalties to Denso for its high voltage technologies, while JV1 will pay royalties to Sona Comstar for our 2 and 3 wheeler technologies. And it tells you that this is not a partnership where one company brings technology and the other brings manufacturing. Both companies bring technology, both companies contribute intellectual property, both companies contribute engineering expertise, and both companies strengthen each other. I believe that mutual respect is what makes partnerships successful. And if I may end on a lighter note, I suspect we may be the first Indian automotive company to receive royalty income from one of the global mobility technology companies and that is certainly something as an Indian, everybody could be proud of.

Slide 9:

Moving on, our new addition to the third growth engine is robotics and physical AI. And I want to spend a couple of minutes explaining why we believe this is such an important opportunity. Every few decades, a technology comes along that fundamentally changes almost every aspect of human endeavor. Economists call these general purpose technologies.

Fire was the first, the wheel was another one, and more recently, electricity transformed the world. The internet did the same in our lifetimes. We believe artificial intelligence will be the next general purpose technology. And so far, AI has largely transformed the digital world. The world of bits and bytes. But we believe that the next phase of AI will be different. It will move into the physical world, the world of atoms, and that will transform almost every

machine on the planet. The machines will no longer simply execute instructions. They will sense, they will think, they will act, and most importantly,

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they will continuously learn. This is what we mean by physical AI. So what does all of this have to do with Sona Comstar? And the answer is simple, the same technologies that power modern electric and autonomous vehicles, motors, gearboxes, actuators, sensors, electronics, and software. These are exactly the fundamental building blocks of intelligent machines. People often think of automotive and robotics as two completely different industries. We don't. In fact, we believe those two industries have already started converging. Hyundai owns Boston Dynamics. There are companies making humanoids which are from the automotive sector. And whether it's an electric robotaxi or an autonomous mobile robot, a collaborative robot, or a humanoid - the underlying technologies are the same or remarkably similar. Therefore, Robotics and Physical AI is not a departure from our strategy. It's a natural extension of the capabilities that we've been building for over a decade. The long-term opportunity for these components is quite large. Morgan Stanley has a report called The Robot Almanac. I would encourage you to read it. According to that, the global market for radars, reducers, and electric motors over the next 25 years could grow approximately 260 times, 590 times, and 260 times respectively, like absurdly large numbers. They're expected to reach an estimated size of \$60 billion for radars, \$1.4 trillion for reducers, and \$2.5 trillion for motors. If we succeed in taking even a fraction of this opportunity, the future is very, very bright for us.

Slide 10:

Now coming to this slide, this slide is about what we have already built. So we're not announcing our intent to enter Robotics and Physical AI. We're announcing that Sona Comstar has already entered. Over the past year, we've invested in technology, invested in equipment, and we have developed products. And even more importantly, we've been working very closely with customers. We see 3 distinct revenue streams for ourselves. The first is advanced components and subsystems, an area which is closest to our existing capabilities. We have deep capabilities in motors, gearboxes and sensors. These are all mission critical building blocks for intelligent machines. The second is the perception stack and engineering services around perception. Here we'll provide engineering and R&D services while also developing perception software and integrated hardware software solutions for customers so that whatever the customer requires, we're able to provide that part to them. The third and perhaps the most ambitious is manufacturing of selected full robotic platforms. Initially our focus will be on 2 platforms - autonomous mobile robots or AMRs, and cognitive collaborative robots or cobots. Earlier this year we showcased the prototype of our first AMR at CES in Las Vegas, and development continues to progress fairly rapidly. Oh, and one more thing, we already have customers, we've secured our first order for an advanced robotic subsystem. Our second order is for perception engineering services for AMRs. And our third combines both hardware and software. It's a complete short range radar perception solution for an Indian commercial vehicle OEM. Together, these three

orders, they add \$6 billion to our Robotics and Physical AI orderbook, which takes the total order book for

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this new vertical to \$8 billion. And what has pleasantly surprised us, is that unlike electrification products or a suspension motor product, this market may be developing far faster than we had originally anticipated. We've obviously positioned ourselves early in that journey, so this is no longer an idea, an aspiration, and ambition. It is now a business, a small business today surely, but one that we believe has the potential to become a meaningful growth engine for Sona Comstar over the next 10 years.

Slide 11:

So before I move on to the more prosaic business of our quarterly

performance, let me leave you with one final thought. As we evolved from Sona Comstar 1.0 to Sona Comstar 2.0, we spent a lot of time thinking about two questions. What should change? And equally, what should never change.

So let me begin with what will not change. Our purpose will not change. Our values will not change. Our commitment to our customers, our shareholders, and our people will not change. Nor will the principles that have guided us over the last decade, Engineering excellence. Disciplined capital allocation, operational execution, financial prudence, and transparency. Those foundations will remain exactly the same.

What will change is the scale of our ambition. We will pursue larger opportunities. We will enter larger markets. And where appropriate, we'll make larger investments and much larger strategic decisions. I believe after yesterday's announcement we have entered the big league. And when you enter the big league, it is wiser to make bigger moves. However, whatever decision we make, we'll be judged against the same three questions that we have always asked ourselves. Does it create meaningful value for our customers? Does it create long term value for our shareholders? And do we have the capability and management bandwidth to execute it well? If the answer to any one of these questions is no. We'll walk away and that

discipline is what has served us well over the last decade. We believe it'll serve us equally well over the next.

Over the last 10 years together, we built one 10X company, our ambition for the next decade is to build another 10X company. With that, let's now go back to the quarterly performance and the quarterly numbers.

Slide 1 2:

So coming to the quarter, I'm happy to share this was the best ever quarter for revenue, BEV revenue, and BEV revenue share, with very healthy momentum, continuing across the business.

But as always, I will begin with the challenges. Inflation continues to be the biggest near-term challenge. Commodities and other input costs remain

elevated. They have impacted margins during the quarter. April was tough,

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May was even tougher, but June showed improvement. As material costs passed through and other cost reduction and mitigation measures started catching up. Those of you who followed us know that costs pass through with automotive customers always lag inflation, so they come a little later. This, along with the arithmetic impact on both revenue and cost, may continue to create some pressure on margin as a percentage. However, the encouraging part is that directionally things have started improving as the quarter has progressed. Beyond that, the operating environment remains uncertain. We all read the news. Trade and geopolitical developments continue to be choppy. But frankly, they've been uncertain for so long that I don't think they should be used as an explanation anymore for business performance. Our job is to manage through all the choppiness.

Now I'll move to the positives, of course, they are far more than the challenges. Demand has remained healthy across all the markets we

serve.

India delivered another strong quarter, particularly in passenger vehicles and electric two-wheelers, which was phenomenal. Europe has been, surprisingly to many, it has not just remained stable, it's actually growing now. And the US has also improved meaningfully, as the quarter has progressed. China was the only one which remained kind of mixed. However, for us, it was our fastest growing geography this quarter, because of the suspension motor ramp up and its success in China. Second point, EV demand continues to gather pace. Our BEV revenues were, I think they more than doubled during the quarter and BEV revenue share has also reached an all-time high. Finally, business development efforts, this quarter, we secured new business across EVs, hybrids, and ICE across India, Europe, and North America, and across

virtually every product category we operate in. And that's, that's very gratifying for us because you know, usually there are times when some things do well, some parts of business don't. This is the business that we've been trying to build, a diversified one which can grow strongly across customers,

geographies, products, and powertrain technologies.

Slide 13:

Now to the numbers, our revenue grew by 54% year on year, while EBITDA and net profit increased by 49% and 45% respectively. EBITDA margin was 23.1%. Margins were heavily impacted by input cost inflation, labor cost increases as well as the timing gap in the customer recoveries of the past - throughs. This was especially true during April and May, but as I mentioned earlier, June was significantly better. We expect that these recovery

measures will become progressively more visible from quarter 2 onwards.

There was also a product mix impact as traction motor sales grew quite rapidly, and as is well known to you, that product category has the lowest margins relative to our average company margin, so that also dragged it down a little bit.

Slide 16:

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Let me now turn to electrification, this was an amazing quarter for us. We continue to see electrification gaining tremendous pace. We delivered the highest ever BEV revenue and BEV mix during the quarter, and BEV revenue grew 107% despite EV demand in the US remaining weak. This is quite a testament to how our EV business is no longer dependent on a handful of customers or one particular geography. We have also added 2 new EV programs and 1 hybrid program, which takes our EV order book to 69 programs across 36 customers.

Slide 17:

Now, let me go to our order wins. So the quality of our order book continues to improve. We are increasingly winning businesses across multiple

powertrains, multiple geographies, and multiple product categories. This quarter we received a new order from an existing North American customer for hybrid differential assembly, again, surprising but very gratifying. If North America takes on to hybrid, I think this opens up another avenue for growth. Second, we won 2 traction motor programs from a new age Indian electric two-wheeler vehicle.

Slide 19:

To add to this, we also won meaningful ICE differential gear programs. This is our first product category, so it often gets glossed over by newer and more exciting products, but I just wanted to reiterate that we continue to gain in this category. We received an ICE differential gear program from a traditional North American OEM with an order value of \$2.1 billion.

Slide 20:

Along with additional business wins in starters, differential gears and railways, and at the end of Q1 FY27, our net order book stands at 240 billion, with EVs accounting for 64%. As you can see, we've added robotics and physical AI to our orderbook, which is a small 3%. But as they say, all great endings have small beginnings, hopefully, this is one of those.

Slide 22:

So now, let me come to diversification, which is our 4th strategic

priority. This

is one area where we continue to see a lot of tangible progress on our strategy. For example, eastern markets contributed 59% of our revenue this quarter. This was 56% last year. This shows that there is a continued shift in our geographic mix. We are seeing a similar trend across our product portfolio. Our fastest growing business this quarter was EV suspension motors, followed by EV traction motors, and something that gets lost in the others category, are emerging product portfolios. This includes steering bevel boxes, intermediate gears, epicyclic gear trains, input rotor shafts, and several railway products. So with this, I will turn to our group CTO Praveen, to update us on technology. Over to you, Praveen.

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Praveen Rao: Thanks Vivek, Good evening, everyone.

Slide 24:

Our technology focus and customer centric approach continue to deliver significant business wins and shape our roadmap. We are advancing market relevant products and solutions across automotive and railway applications from magnet -free motor solutions and exterior radar solutions to air springs, HVAC, and door systems.

Products under commercialization this quarter include short range radar sensors and advanced robotics components. The short -range exterior radar sensor developed for a leading commercial vehicle OEM is designed to meet the upcoming Government of India regulations on advanced driver

assistance systems, also known as ADAS. The business win in advanced robotic components builds on our deep expertise and foundational capabilities in automotive product design, tooling and manufacturing.

A notable addition to our roadmap is the autonomous mobile robot or AMR. This product brings together capabilities across motor, driveline, and sensor

divisions, while also establishing expertise in newer domains such as robot perception, motion planning and control, telematics, reinforcement learning, and AI orchestration. The AMR platform is being developed as part of a broader robotic portfolio focused on manufacturing and warehousing applications. It is designed to support use cases across automotive, electronics, pharmaceuticals, FMCG, and other sectors. The field of robotics and physical AI is expanding rapidly as smart and flexible manufacturing scales up. Manufacturers are moving from isolated automation initiatives to connected and coordinated operations, creating opportunities for Sona Comstar in physical AI including components, actuators, and in some cases, full systems. An interesting aspect of deployment of physical AI is the need for training. This is an area likely to be the next frontier in cognitive robotics.

In summary, as we evolve from an automotive components company into a global mobility technology provider, we will continue to strengthen our core

mobility portfolio while expanding into the emerging growth areas such as robotics and physical AI. With this , I conclude and hand over to Rohit for the financials. Over to you, Rohit. Thank you.

Rohit Nanda : Thank you, Praveen. A very good day to you all. It's my pleasure to share our first quarterly results for financial year 2027 with you.

Slide 26:

Our revenue for the quarter grew to 12,310 crores, a growth of 54% over the first quarter of last year. BEV revenue grew by 107% to 436 crores over the same quarter last year. BEV revenue constituted 44% of our automotive product sales.

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EBITDA for the quarter grew by 49% to 303 crore. EBITDA margin was 23.1%, which is lower by about 0.7% compared to the same quarter last year. The margin was lower primarily on account of product mix and higher input prices, despite the positive impact of the operating leverage.

Our profit after tax grew by 45% to 181 crores. PAT margin was 13.6%, which is lower by 0.7% compared to last year.

Between EBITDA and PAT, we had a positive impact on the margin from lower depreciation percentage and exceptional expenses booked in the 1st quarter of last year. Whereas PAT margin was pulled down by lower EBITDA margin and lower net finance income.

Slide 27:

Now on to the final slide on our key ratios. All these ratios except VA to employee cost have shown improvement in this quarter. In case of VA to employee cost, there is a decline compared to previous period, mainly due to change in the product mix in favor of assembly products. Our return ratios continue to show gradual improvement, as I had indicated in the previous quarters as well. The impact of QIP fundraise has been absorbed in the ratios,

and incremental returns from businesses are now supporting the same ratios. Our net debt continues to be negative. Therefore, net debt to EBITDA ratio also continues in a negative territory. Both the turnover ratios showed improvement in this quarter, supported by a robust revenue growth. Besides this, the working capital turnover ratio also improved due to a significant reduction in debtor days, which also made this as our best quarter from an

operational cash flow perspective.

With this, we've come to the end of our earnings presentation. I'll now hand over the proceedings back to the Nomura team.

Moderator : Thanks everyone, we will now open the floor for a Q&A session. If you wish to ask a question, please use the raise hand function located at the bottom

right of the Webex page, and we will unmute your line and prompt you to speak, or you may submit your question via Q&A chat box addressing to all panelists.

Kapil Singh : Yeah, Vivek, by the time the question queue builds, probably I'll start off. First of all, congratulations to you and the entire team for executing this, very significant and, momentous, joint venture, and we look forward to all the progress from this. But I'll start off with a question on an area which I don't understand much, which is AI. How should we think about this? And compare and contrast this to the automotive business, in terms of, firstly, you know, we understand you have certain physical capabilities, but there is, probably half of the value lies in the software aspect as well. So, is that, how are you going to target that, if at all? And secondly, in terms of the return ratios, capital commitment, how are you thinking about it because it's a completely new and evolving area. So, any guidance here in terms of how you're thinking will help?

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Vivek Vikram Singh : Sure. So let's go back, Pratik, to that slide which had the services, etc. Yeah, the Robotics and Physical AI slide. But first, Kapil one, thank you for being our host for 5 years, which obviously gives you the privilege of asking questions first and you have seen all our presentations. So we've been talking about this software and hardware becoming almost one for a long while now, if you remember. Our suspension motor product has 2 million lines of code. Almost nothing we make today is just metal, it is metal and a few lines of code. If you look at the car, a car today has over a million lines of code, even a regular one. The more advanced electric vehicles who do are 5 million plus and robotaxis are actually physical AI products. Robotaxis, now, what you want to classify them is up to you as an analyst. But to be honest, a lot of these devices have already crossed that border.

The closest example I can give to make you understand this is, when electricity first came into our lives, it wasn't that it created revenue only for electricity utility companies or power plant companies. Every single device in your home got connected to electricity and changed. General Electric did

not just build light bulbs - toasters, washing machines, vacuum cleaners. The same thing will happen. So that was the elec

trification of the machine. This

will be the addition of intelligence to the machine that these are thinking machines. They can learn and calibrate their behavior as opposed to scripted machines. I think the boundaries between industries will blur quite fast. The things that go into, and I'll give you an example. So you take a

reducer that goes into a car, right? We make the reducer for electric vehicles, that will have a 9 to 1 reduction for the motor's torque to be increased and RPM to be decreased, right? In a humanoid, in a joint, that ratio will be somewhere between 100 to 160, but it is fundamentally the same concept. It

is much smaller, it is far, far more precise. But it is the same product, and you will see the companies that are the new entrants into this place, even in China, if you cover the Chinese companies of robotics and physical AI and you'll see very, very similar names to what you are used to compare them with people like us, our competitors, in fact. So it is a natural extension in that field. Motor players are the ones who will get into frameless motors, and I think a few quarters ago we actually showed a humanoid and said how many motors and how many actuators actually go into one humanoid. But a

humanoid is not the only application. A robotaxi is one, and AMR is one, a quadruped is one. You will have multi-access robots that work in factories, can move between stations, and can do multitasking. All of those require the same building blocks. So that is one, and software is already something we do, the example of the win that we spoke about, and I think it's good that we waited one year to announce our entry after we won, because then these questions would perhaps have a suspension of belief element to it. Now you don't have to. So, our first service is one in, one in which we are training an AMR and providing the entire perception software stack. That's it. We're not

building the machine. We're providing pure software. The third one is where we'll provide the device as well as the software. So yeah, in a thinking machine environment, opportunities will come from all sides. They will also come from people who do very hardware-oriented things like sheet metal,

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because, I mean, it has to be made of something, and those guys will perhaps still, we have value in a pure hardware thing, but most of us will be hardware plus software. Returns, you know, how we have invested so far. We were asked these questions in 2016 by our board. That time, we didn't have external public shareholders. In 2020 and 2021, by public investors, when we were investing in suspension motors and traction motors. I think our record speaks for itself that we are fairly frugal in how we allocate capital, and so far, touch wood, our returns on innovation have far exceeded even our own high expectations.

Kapil Singh : Okay, thank you. As long as Rohit approves of all the plans, I'm fine.

Vivek Vikram Singh: He's a very hard man to please, so if we can get it past him, you know that it must be something good.

Kapil Singh: Yeah, yeah, Sneha we can move along with the question queue.

Moderator: Yes, we have a question from Pramod Kumar. Pramod, you can go ahead.

Pramod Kumar : Congratulations to the entire team on the collaboration. Vivek, my first question is on the joint venture 2, as you call it, the high voltage joint venture.

So what, what are the timelines you can share here, given the understanding you have with Denso, as to what, what should be the timeline we should see

some bit revenue recognition starting or any kind of, some, some color on by when can we expect some more updates on the business, on the high voltage, because the two wheeler and the three wheeler traction motor is a business which is gaining traction any which ways and it goes to the JV

straight away. And also if you can share by the b

oth the joint ventures,

activation will be, on the same date or there could be some gap between the, good of, of the, the incorporation of the joint ventures and all of that. So if you can just share some color on the timeline, sir.

Vivek Vikram Singh : Okay, the SOP timelines, I will answer, and I'll let the second part be answered by Rohit or Sat, whoever chooses to. The SOP timelines, unfortunately,

Pramod, we are restricted by confidentiality agreements on it, because, you know, multiple parties are involved, from DENSO's side, from customer side, so we'll have to hold that. But as soon as we humanly can is really the actual timeline. But Rohit and Sat can answer on the specifics of the JV formation and which one will lead and lag, etc.

Sat Mohan Gupta : Hi, thanks, Vivek. Rohit, you want to answer?

Rohit Nanda: No, no, it's okay, Sat . Please go ahead.

Sat Mohan Gupta: Thanks, Rohit and Vivek. Pramod, the first, JV will be leading it and the 2nd JV will be following it, so I can't share you the timing exactly. But, the first JV is the one which will kickstart, faster. Yeah.

Pramod Kumar: Yes, thanks a lot, and Vivek, I'll try another attempt on the product portfolio for the JV2 because Denso is a world leader when it comes to a lot of the

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hybrid systems. They're by far the world leader, and, and have like 2 decades plus of experience on the hybrid side. So, and, also they're pretty, as in, they developed the EV vertical, also the battery electric vehicle vertical also very well. So if you can just help us understand what is the kind of capability, what it brings to, it brings to the joint venture because, we were not exactly fully updated on the, I at least I was not fully updated on your own solo plan on the high voltage motor as to what all parts you will be doing, whether that included, the, liquid cooling, the cooling systems and the inverters and all of that. And, given Denso already has a very globally proven portfolio there, what could be the potential here? If you can just help us understand some bit of sizing up of the market, the TAM, because you kind of gave us a pretty good view on the, on the, on the robotic side. So if you can help us understand, or, or size up the opportunity here, which, one should look

forward to, in this journey of 10 years.

Vivek Vikram Singh : Yeah. So, good question, Pramod, and you're absolutely right, Denso is not a leader, it is by far the runaway leader when it comes to hybrid powertrains.

The electrification business revenue for Denso is above \$8 billion a year. That obviously, we get the JV2 gains immensely from that exposure and that would be a market leading position in itself. The EV part, you're right, we have, made some progress and we will do more progress jointly. There are some parts that they bring in, including, I mean, in controller technologies, they have the full spectrum. You name it, you name any kind of technology in control systems and Denso has it in their portfolio. And that strengthens our own controller thing. What we are good at is the motor part, the manufacturing excellence design. Because you, we start with frugal design because we're starting even at TRL level one, we do cost targets. So, it is, you're building something for a very different market in which cost pressure is very high, which allows us to offer a compelling product. So both of them put together should make a fairly, fairly strong combination. Market size, I did say 2030, 24,000 crores, but if you were to look at 2035, this number will be many times that. It will be maybe 3 times that, and that is what we are looking at. Frankly, neither Denso nor us, have ever accepted anything less than market leadership. We will leave it to your imagination on how much market share that entails, but neither of us are people who like being second. So hopefully, we, th

at gives some color. I can't really say more than this.

Pramod Kumar : And anything on the capex intake for JV2

Vivek Vikram Singh : Sure, capex intensity of motor business and control system businesses is actually low. I mean, even in our two-wheeler thing, as I think I've shared before, for ₹ 1 of capex, you can get 8 to 9 rupees of revenue easily in high voltage systems, Sat, how much do you think for ₹ 1 of capex, how much revenue is the thumb rule?

Sat Mohan Gupta: It will be at least 11 -12

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Vivek Vikram Singh: Yeah, 11- 12. Yeah, because it's more about the technology thing. It is know-how, the number of iterations you've done, it isn't a very capital intensive thing. It is more engineering intensive.

Pramod Kumar : Hm and I understand that the competition intensity in this category is not as severe as the two-wheeler space. So if you can just help us understand when you look at the India, high voltage motor landscape, how many guys are actually out there who have got local manufacturing capability with high

level of localization, and, or is it we're still relying on largely imported subassemblies getting put together here?

Vivek Vikram Singh: Pramod, your question has the answer, and I can't say more than that because I'll get into trouble because some of these things may not even entirely be legal. Some of these things will be people claiming PLI when they shouldn't exactly. So, I don't want to get into a contentious issue. But what I will say is two-wheeler, three-wheeler is far more competitive, and we are able to on our own take market leadership. This one is less competitive because of the technology barrier. High voltage technology is not easy to crack, and hence there will be lesser competitive intensity. I think we'll make a fairly big dent in the market.

Pramod Kumar: Wish you all the best, sir. Thanks a lot. Thank you.

Vivek Vikram Singh: Thank you so much Pramod.

Moderator : We have our next question from Nitin Arora. Nitin, please go ahead.

Nitin Arora : Yeah, hi, good evening team, and thanks for the presentation. My first question is, if you can, throw some light on this EV volumes which are going up, you know, just are you thinking about, capacity because on the recent calls, all the OEMs are just upsizing their capacity, on the EV. So just wanted your take, how you are looking at the schedules or how you're looking, thinking about EV growing, EV market in India, Europe and US, what kind of

traction you are seeing? Is it, you feel that this is something really now coming at inflection, the kind of inquiries, what are you getting from OEMs? So my first question is on that.

Vivek Vikram Singh : So, Nitin, as always, good to hear your voice. EV is in a way, right now, we are not constrained by demand. Actually, all our OEMs are not constrained by demand. They are constrained by their own supply chain challenges. We are definitely not the supply chain challenge, and if you talk to OEM please tell

them, that if you're having capacity issues, please go to Sona Comstar, we have enough and more capacity for them. Sat, do you have any capacity constraints?

Sat Mohan Gupta: Not right now.

Vivek Vikram Singh: I can assure you, neither does Vikram. We have always built capacity ahead of markets and that is definitely not our problem, but unfortunately, Nitin, and

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as you well understand, any vehicle has hundreds of parts. So even if one supplier becomes the bottleneck, the whole system has to stop. If you read the book Goal, the slowest member of the team actually decides the pace of the group. So unfortunately, we are able to sell less than we ideally would

have, but not much we can do about other players in the supply chain.

Nitin Arora: And how, how's the EV, you're seeing traction in Europe and US because,

and

also if in Europe, do you see further traction on that supply chain area, which was getting a little weakened.

Vivek Vikram Singh: Yes, so Nitin, Europe is electrifying very fast. I mean, whether it be fully BEV or, whether it be strong hybrids or plug-in hybrids, they are actually accelerating quite fast. India is actually the fastest growing EV market in the world, I think, right now. So India is doing phenomenally well. USA, we are seeing a shift to

hybrids as you saw even in one of our events, but the EV market is not doing so well in the US right now. But despite that, I think we will see phenomenal,

EV growth in the, in this year at least. This is, I don't know, Nitin, if it's an inflection or not. After COVID, I would have definitely said it was an inflection because this is just one quarter of data, let me have 2-3 data points, so

another quarter or so, then we know that it's actually inflection, but it is trending very, very positively.

Nitin Arora : Just, lastly, you know, as I think, as Kapil said, even, I don't understand the third part of the business, I need to dwell more on this physical AI. But when you started your electric business, whatever the number today is, it took you, I think, about 4 or 5 years. You said you have 800 crores of orders already in the order book. How we should think about this business ramp up because I'm sure when you're talking about opportunity pie, you will get more. But is it from an execution perspective, is it going to take the same time or how we should think about the, the sizing of this business over the next 2 or 3 years?

Vivek Vikram Singh : It's a good question, Nitin, and I think I've answered this on a prior earnings call in which I said, first 3 years when you make a new product or get into a new technology, you make no money. Year 4, you see your 1st \$1 of revenue. Year 5, you start making the 1st \$10 million odd dollar number, and year 7 or year 8 is when it becomes a \$100 million business. We saw that with EV differential assemblies, we're seeing that with EV traction motors. We will see that with suspension motors, pretty much the same timeline or time frame of how it happens. I think this one will be faster, much faster, probably. So, that's the difference, it is faster than our internal assumptions too. How much too early to tell, but yeah, we will get to each of those milestones earlier than we typically used to.

Nitin Arora : Thank you. Thank you, Vivek and team. All the best as always. Thank you.

Vivek Vikram Singh: Thank you, Nitin.

Moderator : Next question is from Jay Kale. Jay, please go ahead.

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Jay Kale : Good evening and thanks for taking my question. And congratulations on the announcements, heartening to know. You know, my first question is regarding your passenger vehicle motor. You know, you have the JV with Denso, you have, you know you have tried your share of, you know, making the passenger vehicle EV motor in the last few years, so there would have been some developments around that. And of course, now, what kind of capabilities you bring to that in this JV. And also from a backward integration perspective, do you think that you have a significant lead compared to the, compared to your peers who are trying to get into this and your existing business can also capture a lot of that opportunity feeding into this, JV. That

would be my first question.

Vivek Vikram Singh : So Jay, the short answer, yes, long answer is, of course, even if you get a PO today, it'll take 3 years to SOP, right? I mean, that's how automotive works. 32

months is the cycle. But yes, we are well positioned because the supply chain is the same. So there are 2 or 3 building blocks to this. First is design, that, can you design your motor to be the most frugal, yet the best quality expression of what you're trying to build. That, you,

your job is to provide traction while

using the least amount of material possible. So that is the most efficient way to do it. So design from a cost perspective from day 1. Two, building the supply chain because, you know, no man can do this alone, and there is, it is

an assembled product, as Rohit was mentioning and value addition at our end is lower. Third, will be the knowledge of the market and hence designing a product that works for India. So you need to know the duty cycle. So you would have had to study it. If you remember 2021, in our second or third earnings call, Jay, I'd mentioned that we have done an MOU with a three - wheeler company to get data. For 1 year, we just captured duty cycle data to make better motors and inverters for the 3- wheeler market, and a year after that is when we actually launched the product. So you have to work on all three and make a product that day 1 becomes the most competitive

product in the industry, because in automotive, as you well know, it's not enough to be the best. You have to be the best as well as the most economically competitive. It is a combination of this that one has to work on always. Of course, we will bring some of these, but Denso is a company we admire, like these are the companies you want to become one day, right?

Bosch, Denso, that's the league in which we also want our name to be taken one day. They have taken 85 years to get there. We are just 25 years old. And

one day, hopefully we will get there, but it comes by partnering with people of that stature. And the question that you should ask is why would someone like Denso feel comfortable with someone like Sona Comstar? We are 1/100th their size, I think, in revenue. But the respect that we have got from them is definitely not 1/100th. And that, that means we've been building something which is important, it is something that is worth being proud of.

Jay Kale: Great, my second question is regarding, you know, your view on how do you see this evolution of this market in terms of OEM adoption, was, you know, let's take e -axels in context. How do you see the adoption of OEMs, for e - axles versus, you know, taking the products independently and integrating.

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And in your JV, you know, is there any future possibility of, you know, transitioning to that, or do you think that maybe the localization efforts of your peers are, are, are not up to the mark where you have a significant lead over them? So just your view on the evolution of this market over the next 5 -7 years.

Vivek Vikram Singh: Sure, so let's just first start with what is an e -axel. An e -axle is an integrated assembly. Which assembles a motor, an inverter, and a gearbox, right? You add all of these, you get an e -axle. Now this could be done by a tier one for an OEM or it could be done by the OEM themselves. And frankly, both models are equally valid. In early stages of electrification, when people are making

far less volume, they're OK keeping the whole e- axle outside, but I suspect it will come inside also because, and Jay, you know how this works, the battery is not in your control, e -axle is also gone. What is your design leverage as an OEM? What is your cost leverage as an OEM? What is your bargaining power? Like, what are you making? the shell and the wheels, like, that's kind of not,

that critical then. So I think this will change, more OEMs may integrate it themselves, but for the JV, the JV can sell to tier ones who make e -axles. It can sell directly to OEMs integrating motors and inverters themselves, and it can also sell to Sona Comstar, to our driveline division, where we could make the e -axle with the help of our own motor inverters. So all three models are open, but ultimately the customer decides what they want and who they want it from, and we must always stay humble and know that the customer is the one who co

mes first, who is above us all.

Jay Kale: That's great to know. I'll just squeeze in one last question on the robotics side,

of course, this quarter you've been much more, you know, open about sharing a lot of details, than the last few quarters on them, of course, because of some developments. Just from your perspective, have, has the market evolution surprised you positively over the last few quarters? Or has Sona Comstar's pace of development been faster than expected, you know, for this, because there's a marked change on a lighter note on your comments in robotics in historical quarters, or maybe you are downplaying it, to currently on the developments.

Vivek Vikram Singh: Yeah, so Jay, I'll answer that we were downplaying it a little bit, one without proof of success, I think one should not talk about anything. I know there are a lot of companies out there who talk about things that may happen in 3 or 4 years and we didn't want to be those and second, also remember last year was not that great for us. I know we grew and everything, but not to our satisfaction. And when you're not doing so well, right? There are two tendencies: one, out of desperation, you start announcing big things. And then people start, you lose credibility. Which is why we downplayed it intentionally, that we will come when we have something positive, when we have something substantial, then we will talk. Otherwise, you know, there are people who like, I mean, in India, you know, that mentality that people want to see you fail. And if you're an innovative company, 100% they want to see you fail, and there'll be many critics, and they'll say, oh, these guys will just tell stories or something negative. Why go through all that? So when we are in a position of strength. We are doing well. We have the orders. That's the right

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time to do it. As always, under promise over deliver is a better strategy than promising before time. To the first part of your question. Both have surprised me. Our team is brilliant. Vikram's team has done wonders that they have moved so fast. However, the market evolution, also Jay, is much faster than we expected.

Jay Kale: Great. Thanks and all the best.

Vivek Vikram Singh: Thanks, Jay.

Moderator : Next question is from Sonal Gupta. Sonal, please go ahead.

Sonal Gupta : One question from my side, just going back to JV1, I mean, we're already doing very well on the traction motor for two wheelers and three wheelers, and that's been, I mean, clearly this quarter again, a very strong growth in that business. So I'm just trying to understand the motivation for putting that in the JV and in what respects do you think Sona gains from putting that as a JV with Denso.

Vivek Vikram Singh : Sure, so, Sonal. If a company like Denso wants to partner with you and they think they bring value, I wish you were from my industry. I mean, to someone in my industry, it is, this question is kind of unthinkable that it is even a question. Second, there is a customer base that is in a way not that open to us right now, that opens up. Third, the export opportunity opens up for us to other markets where Denso is far more dominant. And fourth, yes, on paper it's two different JVs, but in our minds and in our hearts, it is one JV. It is structured differently, but we want to partner across the board, like I said, across vehicle categories, across technologies. When you partner with someone, like when you marry someone, either commit fully or don't commit. You can't pick and choose. That is a very spreadsheet way of looking at life, and it seldom works out, in my opinion.

Sonal Gupta: Right, no, I'm just asking. I don't know, I'm frankly not aware of how much Denso is focused on the two -wheeler, three -wheeler market, so that's why that question, and...

Vivek Vikram Singh: If they weren't focused, they wouldn't

do it and they wouldn't pay money to

do it is a natural, I would say, answer to that.

Sonal Gupta : Got it. Thanks. And just in terms of like, again, the only difference between the two sort of statements on the JVs is that in the JV2, we don't mention e - axle. So just any thoughts there on why e -axle is in JV1 and not JV2.

Vivek Vikram Singh : Sure, e -axles in JV1 will be a very tiny market anyway, but JV2 will make motors and inverters. e -axles, like I said, this can sell to e -axle makers who are actually answered that in detail, but I'll say it again. E -axle is an integration of motor, inverter, and gearbox. There are many e -axle makers that we sell to today also, by the way. e -axles is not that, the guy who makes e -axles makes

all of the components themselves. We sell differentials to e-axes, large e-axes

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makers all over the world, and the e-axes could be integrated by the OEMs. And like I said, there could be 3 models, JV can sell to the OEM, JV can sell to tier 1s making e-axes, and JV can sell to Sona Comstar, who could make e-axes. So, then we could be making it in the driveline part of our business.

Sonal Gupta: Got it. Okay, great. Thank you

Vivek Vikram Singh: So and again, the ambition, by the way, like two-wheeler, three-wheeler, we're doing well in India, and we're 25%, but 25% is also not enough. Why not more than 50%? For that, you need to work in a slightly different way. Second, India is not the be all and end all. And if you want to go global, it does help.

Our brand is not as well known in this space as Denso's is, like by a margin of, I think 100:1, they are better known than us.

Sonal Gupta: Got it. Great. Thanks, Vivek. Thank you so much for answering my questions.

Kapil Singh: Yeah, hi Vivek, there are a few questions in the chat box. Some of them have already been answered, but, I'll just try to run through them. So, I think this

question is specific to JV2, is it focused on the Indian market only, or will it cater to the global market through Denso?

Vivek Vikram Singh: Of course, I will try to answer it. We begin with India and then we look at the world. I think it is also in, Maabara San from Denso has answered even in the press release, I think there is a mention that in time, in phase two is when we would look at it. Phase one is to get this up and running, then get Indian customers, start satisfying that, and then in phase two, we would also look at that. So yeah, definitely on the anvil, but yes, it will take time.

Kapil Singh: Okay. And then another question for JV2, so for reaching the revenue stage, would it be 2 to 3 years away?

Vivek Vikram Singh: I think I mentioned to Pramod that we can't comment on the timeline. There are certain confidentiality I wish, I mean, you, you know, we are fairly

transparent and if we could, we could have told it, but we can't share that.

Kapil Singh: Okay, so the question basically is asking this will entail the entire product development process that is validation, testing, etc. and then reach.

Vivek Vikram Singh: Of course.

Kapil Singh: Yeah, Okay. Does Denso supply any of these products in India in EVs and hybrids?

Vivek Vikram Singh: Sat?

Sat Mohan Gupta: I think I'll pass this question.

Vivek Vikram Singh: Yeah, I think, yeah, we can't speak about it, and it is not fair to ask us this question, to be honest. This is a question about a different company who's our partner, and they should be answering it, not us.

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Kapil Singh: Okay. 4th question, this is probably for Rohit, the VA per employee has been declining, can you elaborate on the reasons for the same, especially on a QoQ basis? I think you touched upon it, but yeah.

Rohit Nanda: So I actually answered it when I covered this, but basically, when the pro

duct

mix changes, so, as you all know, our motor and railway businesses are more of assembly businesses, whereas driveline business is where, you know, the value addition from raw materials stage to finished goods is higher. So, depending upon which business is growing faster, this ratio tends to change. So while the higher the better is, is obviously the rule, but the thing is that 4.5

times, itself is also very strong. So I'm not trying to take away the fact that it has come down, but basically, it can vary from quarter to quarter. So, FY27 number that you look at, that's purely based on Q1 revenue, so there is a shift, I mean, if there's a shift in one quarter, it will move like that. So that's the explanation.

Kapil Singh: Okay, and then this question is on AI. It brings tremendous opportunities but also raises ethical concerns and Sona Comstar has always committed to respecting human values, cultural diversity, privacy, fairness, etc. transparency. So how will you ensure that these core values are maintained and protected?

Vivek Vikram Singh: Certainly, so, the applications you choose obviously decide the ethical

guardrails, and it is a good question, a surprising one, I must say, but a good question. The first thing you do actually, when you do any project with artificial intelligence involved. Literally, even before the data structure mapping, you actually designed the guardrails. That what are the guardrails for the data? Also, you must know that because we supply to European customers, GDPR rules are so severe that it has to pass through a very high bar for data to be taken. Now an amazing thing, that most of our perception stack is built around radar. Now, radar cannot see you as a person. Like they can detect your outline. They know it's a human being, they can detect heartbeat, but it will not capture your face, your voice, and hence it anyway has that privacy layer built in because of the core technology. But yes, this is something that we're always sensitive about, especially if it is a transmitting device. But good question, it is always going to be built into whatever we do. Fortunately, our customers are also the kind of people who need this to be built in as the first layer.

Kapil Singh : Okay. Then we have a question on, you know, Rupees 8 billion order book for robotics. When are SOPs for these orders ?

Vivek Vikram Singh : They range, some of them are as early as next quarter, some of them next year, but they are not very far in the future. Let's put it that way. Rohit, you, you want to take a stab at this?

Rohit Nanda : No, but I think that's the kind of detail we can share at this moment. So you're right. I mean, most of this will start production, let's say within 12 to 15 months

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max. I mean, like Vivek said, one will probably start within a quarter or so, and, the rest probably in a year or so.

Vivek Vikram Singh: Actually, 1 is this quarter, 1 is next quarter, 1 within 15 months.

Kapil Singh: Then how is the rare earth situation panning out?

Vivek Vikram Singh : Oh, it's been a while since we got this one. Yeah, rare earth magnets are still restricted. So heavy rare earth magnets cannot be imported. Almost all that we do today is with light rare earth alternatives, and it's working fine. We don't think there is going to be much change. Like, we don't have an update, to be honest. It's been the same way for the last 5 quarters now. Is that a reference to the red earth magnet scheme of the government, or is it to the red earth magnet import situation? I didn't fully get the question.

Kapil Singh : I think it's probably, to the rare earth shortage situation that we faced on imports.

Vivek Vikram Singh : Yeah, so then I've answered it, that we shifted to light rare earth alternatives and there is no real magnet shortage as shown by our EV traction moto

r
business growth.

Kapil Singh : Okay. I think this is an interesting question. Please help me understand which product is expected to grow the fastest, the order 2, please, and which entails the highest margins.

Vivek Vikram Singh : Second, part will not answer. The 1st part, I think it'll be one of Sat's products only. Actually, Kapil, this is a very hard question, yeah, because if let's say there is a product which has almost no revenue in the last year, actually, Amit might have some products which had no revenue last year and they suddenly will grow. They will grow at infinity %. But in the ones that already exist, I think suspension motors are growing the fastest rate. The traction motor would be the second. Vikram, unless you are going to surprise us all with something you are growing. No, Vikram is choosing to ignore me .

Kapil Singh : Okay. I think this is the last one that I have in the chat box, and, that is, I just need to clarify if we consume orders worth 15 billion, how are the revenues only 13 billion?

Vivek Vikram Singh : Sorry?

Kapil Singh: If we consumed orders worth 15 billion, how are the revenues only 13 billion?

Vivek Vikram Singh : Oh the order book consumption is of 10 years, right? So you've got to like, divide by that much. So, Pratik you want to take a stab at this one, you haven't got a chance for some time. I think this question used to come in the first year of IPO and Pratik used to answer it. So, good throwback. And this is also, by the way, 5 years that we were listed.

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Pratik Sachan: Yeah, so basically the consumption we take out from all the future years for the orders. So let's say if you assume the average life of an order is 8 years, so, then it is, the consumption from the quarter is multiplied by 32 times. So that is why this kind of difference you are seeing.

Kapil Singh: Okay. Great. I'll pass it on to Sneha. I believe we have one more, raised hand. Sneha, over to you?

Moderator: Yes, we have a question from Jay Kale.

Jay Kale: Yeah, thanks for, yeah, thanks for taking my follow-up. Just one clarification, how do you see the execution timeline of robotics orders? For autos, it's typically around 7 years, I guess. But, how different is it for robotics?

Vivek Vikram Singh : Hmm, that is actually a very good question, Jay, and I don't think I know. Because I don't think the guys making the robotics right now know also, because even the first generation has not ended its lifespan. So good question, Vikram, you want to answer this one? This is, I don't know the answer.

Vikram Verma : The pace at which people are making normally will mature, on the ground.

Vivek Vikram Singh : He's saying jese order mila (translation: once we get the order) , normally how many years would it run till like, so I said I don't know what the model life cycle is in.

Vikram Verma: I mean, there will be a lot of evolution of the same product. So, it is still growing, I mean, they're still figuring out. So there will be generations. I think unlike automotive, this generation changes will happen more frequently.

Vivek Vikram Singh : Correct.

Vikram Verma: So even the largest guys, has already started making the 3rd generation. The 1st generation has not come on the shop.

Jay Kale: Okay, so I think this segment is as difficult for analysts as it is for manufacturers.

Vivek Vikram Singh: This is early. It's like going back and electricity has just come into the world and you are in year 2 and now you're an analyst and trying to figure out what will happen in 10 years. It is exactly that.

Jay Kale: Great. All the best.

Vivek Vikram Singh: Or an experiment you can do, Jay, wake up in the morning and say each device that you interact with, from your toothbrush to your window to your alarm. What if it was truly thinking and learning, and it could change

the way

things happen, and you will realize the potential is actually almost limitless.

Jay Kale : Perfect. Great. Thanks and all the best, Vivek. Thank you.

Vivek Vikram Singh : Thank you, Jay.

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Kapil Singh: I think with that, we have come to the end of the question queue. We don't have any further questions and we've run out of time as well. So I'll thank everyone for joining this call and thank you, Sona Comstar team for giving us this opportunity to host you. Always a pleasure. And, Sneha with this, we can close the call.

Moderator : Thanks everyone. We will now conclude this call. If you have any follow-up questions, please feel free to email your Nomura sales representative or corporate access team. You may now drop off the line.

Vivek Vikram Singh: Thank you. Thanks, everyone. Bye. Thank you.

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